

Variable Annuities

Standard Suitability Hypotheticals

100 scenarios | Question: Did the financial advisor violate suitability or best interest requirements?

Hypothetical 1

Topic: variable_annuity_unsuitable | Difficulty: medium

[NON-COM]

Fact Pattern

Margaret Kowalski, age 78, is a retired school librarian living in suburban Ohio on a fixed income of approximately \$2,400 per month from Social Security and a small defined benefit pension. Her total liquid assets consist of \$185,000 in a bank savings account and a \$40,000 certificate of deposit. She owns her home outright, valued at roughly \$210,000. Margaret has no other investments and described herself as someone who 'cannot afford to lose any money' when she first met with advisor Dennis Farwell in March 2023. She told Farwell that her primary financial goals were preserving her savings to cover potential assisted living costs and leaving a modest inheritance to her two grandchildren. She also mentioned she was recently diagnosed with early-stage Parkinson's disease and anticipated rising medical expenses. Farwell recommended that Margaret liquidate her \$185,000 savings account and invest \$160,000 into a variable annuity product - the 'Pinnacle Growth & Income VA' - which carried a seven-year surrender charge schedule starting at 8% in year one and declining by 1% per year thereafter. The product's total annual expenses, including mortality and expense risk charges, administrative fees, and underlying sub-account management fees, totaled 3.15% annually. Farwell allocated the sub-accounts as follows: 40% to an aggressive growth equity fund, 35% to an international emerging markets fund, and 25% to a high-yield bond fund. Farwell also added an optional guaranteed minimum income benefit rider costing an additional 1.10% annually, bringing total annual product costs to 4.25%. Margaret signed all documents, including a disclosure form, but later told her daughter she did not fully understand what a variable annuity was. Within 14 months, the account had declined to \$131,200 due to market volatility in emerging markets and high-yield bonds. Margaret needed to access \$30,000 for home modifications related to her Parkinson's diagnosis but faced an approximate \$9,100 surrender penalty. She filed a complaint with her state insurance department in June 2024.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated multiple applicable standards governing the sale of variable annuities.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under FINRA Rule 2330, a registered representative must have a reasonable basis to believe that a variable annuity transaction is suitable for the customer before recommending it. The rule specifically requires consideration of (a) whether the customer would

benefit from certain features of a variable annuity (such as tax-deferral, annuitization, or a death benefit), (b) the customer's age, income, financial situation, existing investments, liquidity needs, risk tolerance, and investment objectives, and (c) whether the customer has had another variable annuity exchange within the preceding 36 months. Margaret Kowalski was 78 years old, had a limited fixed income, expressed zero risk tolerance, had an anticipated need for liquidity due to a progressive medical diagnosis, and had stated preservation of capital as her primary goal. The seven-year surrender schedule directly conflicted with her foreseeable liquidity needs. The aggressive sub-account allocation - 40% aggressive growth equities, 35% emerging markets - was wholly inconsistent with her stated conservative profile. The total annual cost of 4.25% created a significant drag on returns that was unlikely to be overcome given her time horizon and objectives.

****NAIC Model Regulation 275 (Best Interest Standard):**** Under the revised NAIC Model #275, a producer must act in the best interest of the consumer at the time of the recommendation. This requires the producer, at a minimum, to exercise reasonable diligence, care, and skill in (1) knowing the consumer's financial situation, insurance needs, and objectives, (2) understanding the products available, (3) making a recommendation that reflects the consumer's profile without placing the producer's financial interest ahead of the consumer's. Farwell's recommendation failed all three prongs. He recommended a complex, illiquid, high-cost product to a consumer whose profile demanded safety, liquidity, and simplicity. The guaranteed minimum income benefit rider added cost without clear benefit to a consumer who did not express an interest in annuitization and had a limited life expectancy consideration given her medical condition.

****NY Regulation 187 (if applicable by analogy to Ohio's adoption of Model 275):**** NY Reg 187 requires that the transaction be in the consumer's best interest and that there be a reasonable basis beyond suitability. The recommendation here would fail even the older, less stringent suitability standard, let alone a best-interest analysis.

****Reg BI (SEC Rule 15l-1):**** If Farwell was acting in his capacity as a registered representative of a broker-dealer, Regulation Best Interest would apply to the variable annuity recommendation. Under Reg BI's Care Obligation, the advisor must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the recommendation and must have a reasonable basis to believe the recommendation is in the customer's best interest. The extreme mismatch between the product's risk profile, cost structure, and illiquidity features and the customer's age, health, income, liquidity needs, and stated objectives represents a clear violation.

****Likely Regulatory Outcome:**** The advisor faces potential disciplinary action from FINRA for Rule 2330 violations, enforcement action by the state insurance department under its adopted version of Model #275, and possible arbitration liability for unsuitable recommendations resulting in realized losses and surrender penalties. The state may also examine supervisory failures by the advisor's broker-dealer for approving the transaction.

Hypothetical 2

Topic: *variable_annuity_unsuitable* | Difficulty: *hard*

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Fact Pattern

Dr. Rajiv Anand, age 52, is a practicing cardiologist in northern Virginia with an annual household income of approximately \$680,000. He and his wife have a combined net worth of roughly \$4.8 million, including \$1.2 million in taxable brokerage accounts, \$1.6 million in qualified retirement plans (401(k) and profit-sharing), \$420,000 in 529 education savings accounts for their three children, and \$580,000 in bank deposits. They own a home valued at \$1.1 million with a remaining mortgage balance of \$290,000. Dr. Anand has been investing for over 20 years, holds an MBA in addition to his medical degree, and described his risk tolerance as 'moderately aggressive' during his April 2023 consultation with financial advisor Leah Whitfield. He told Whitfield that he had already maximized contributions to his 401(k) and profit-sharing plan and was looking for additional tax-deferred growth vehicles to supplement his retirement savings. He stated he did not anticipate needing to access any new investment for at least 12 to 15 years. After a comprehensive review of his financial profile, Whitfield recommended that Dr. Anand invest \$200,000 - approximately 4.2% of his total net worth - into the 'Meridian Balanced Growth VA,' a variable annuity with a five-year surrender charge schedule beginning at 5% and declining by 1% per year. The product's total annual expenses, including mortality and expense risk charges and sub-account fees, were 1.85%. Whitfield allocated the sub-accounts as follows: 50% to a diversified large-cap equity index fund, 20% to an international developed markets fund, 15% to a bond index fund, and 15% to a real estate securities fund. No optional riders were added. Whitfield documented the rationale in her file notes, explaining that Dr. Anand's high marginal tax bracket made tax-deferred compounding attractive, that he had ample liquidity elsewhere, that his long time horizon exceeded the surrender period, that he understood the fees and how they compared to his existing taxable accounts, and that the allocation was consistent with his stated moderately aggressive risk profile. Whitfield also presented Dr. Anand with two alternative options - a low-cost index fund portfolio in a taxable account and a deferred fixed annuity - and documented why the variable annuity was preferable given his stated goals and tax situation. Dr. Anand signed all disclosure documents, initialed each sub-account selection, and confirmed in writing that he understood the surrender charges, fees, and risks. The transaction was reviewed and approved by Whitfield's branch office manager before execution.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

No, the financial advisor did not violate applicable suitability or best interest requirements. The recommendation was well-supported by the client's profile and thoroughly documented.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Rule 2330 requires a registered representative to have a reasonable basis to believe that a variable annuity recommendation is suitable before making it. Key factors include whether the customer would benefit from features such as tax-deferral, the customer's age, income, financial situation, liquidity needs, risk tolerance, existing investments, and investment objectives. Here, Dr. Anand is a high-income, high-net-worth individual in his early 50s with a long investment time horizon (12-15 years), ample existing liquidity (\$580,000 in bank deposits, \$1.2 million in taxable accounts), and a clearly stated objective of supplementing retirement savings on a tax-deferred basis beyond his maxed-out qualified plans. The \$200,000 investment represents only about 4.2% of his net worth, posing no meaningful concentration or liquidity risk. The five-year surrender period is well within his stated time horizon. The sub-account allocation - predominantly diversified equities with bond and real estate diversification - is consistent with his moderately aggressive risk tolerance. The total cost of 1.85%

annually, while higher than a passive index fund portfolio, is reasonable for a variable annuity product and is justified by the tax-deferral benefit given Dr. Anand's high marginal tax bracket. Rule 2330 also requires principal review of variable annuity transactions; the branch office manager's documented review and approval satisfies this requirement.

****NAIC Model Regulation 275 (Best Interest Standard):**** Under the revised Model #275, a producer must act in the best interest of the consumer at the time of the recommendation. The producer must know the consumer's financial situation and insurance needs, understand the available products, and make a recommendation that reflects the consumer's stated profile without placing the producer's interest ahead of the consumer's. Whitfield conducted a comprehensive financial review, documented the client's profile thoroughly, presented alternatives (taxable index fund portfolio and a fixed deferred annuity), explained why the variable annuity was preferable for this specific client's tax and investment situation, and ensured the client understood all fees and surrender charges. The recommendation was proportionate to the client's overall wealth and consistent with his risk tolerance and time horizon. This is a textbook example of meeting the Model #275 best interest standard.

****Reg BI (SEC Rule 15l-1):**** Under Regulation Best Interest's Care Obligation, the advisor must exercise reasonable diligence, care, and skill and have a reasonable basis to believe the recommendation is in the customer's best interest, considering costs, reasonably available alternatives, and the customer's profile. Whitfield satisfied the Care Obligation by analyzing the client's complete financial picture, evaluating and documenting alternatives, selecting an appropriately allocated and reasonably priced product, and ensuring the recommendation was proportionate and aligned with the customer's goals. The Disclosure Obligation was met through the delivery and acknowledgment of fee and surrender charge disclosures. The Conflict of Interest Obligation was addressed through the comparative analysis of alternatives and the supervisory review.

****NY Regulation 187 (by analogy):**** Even under New York's stringent Regulation 187 best-interest framework, this transaction would pass scrutiny because the advisor demonstrated that the recommendation was suitable, that the consumer's best interest was prioritized, that alternatives were considered, and that the transaction was not motivated primarily by compensation.

****Likely Regulatory Outcome:**** No violation. This transaction exemplifies a well-documented, thoughtfully analyzed variable annuity recommendation to an appropriate client. The advisor's file documentation, presentation of alternatives, and supervisory review would likely withstand both FINRA and state insurance department scrutiny.

Hypothetical 3

Topic: inappropriate_risk_profile | Difficulty: medium

Fact Pattern

Dorothy Kessler, age 79, is a retired elementary school teacher living in Columbus, Ohio. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid assets

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consist of \$310,000 in a bank certificate of deposit and \$45,000 in a money market account. She has no other investments, no outstanding debts, and owns her home outright. Mrs. Kessler has described herself as someone who 'cannot afford to lose any money' and has never owned stocks, bonds, or mutual funds in her life. She told her financial advisor, Craig Linden, that her primary goals were preserving her savings for potential nursing home expenses and leaving a modest inheritance for her two grandchildren. In March 2023, Linden recommended that Mrs. Kessler liquidate her \$310,000 CD-which was earning 4.1% APY with five months remaining to maturity-and invest the full amount into a variable annuity with a seven-year surrender period. The annuity carried a mortality and expense charge of 1.55%, an administrative fee of 0.15%, and underlying subaccount expense ratios averaging 0.92%. Linden allocated 60% of the subaccount investments to an aggressive growth equity fund, 25% to an international small-cap fund, and 15% to a high-yield bond fund. The product included a guaranteed minimum death benefit rider at an additional annual cost of 0.40%, but no living benefit rider. The total annual cost burden exceeded 3.0%. Linden earned a commission of \$18,600 on the sale. Mrs. Kessler's account lost approximately \$37,200 (12%) in the first eight months due to equity market volatility. When she attempted to withdraw funds in November 2023 to pay for an unexpected home medical aide, she was assessed a 7% surrender charge of \$19,096 on the \$272,800 remaining account value. Linden's firm's new account form listed Mrs. Kessler's risk tolerance as 'aggressive growth' and her investment objective as 'speculation,' though Mrs. Kessler later stated she never used those words and was not told what they meant.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Linden violated multiple applicable regulatory standards.

1. **FINRA Rule 2330 (Variable Annuity Suitability):** Under Rule 2330(b), before recommending a variable annuity, a registered representative must have a reasonable basis to believe the transaction is suitable based on the customer's age, annual income, financial situation, investment experience, investment objectives, intended use of the annuity, existing insurance holdings, liquidity needs, liquid net worth, risk tolerance, and tax status. Mrs. Kessler is 79 years old, has no investment experience, has explicitly conservative objectives (capital preservation and estate transfer), expressed zero risk tolerance, and has clear liquidity needs given her age and health-related expenses. The seven-year surrender period is wholly inappropriate for someone of her age and circumstances, as she may need access to her principal for medical or long-term care costs. The aggressive subaccount allocation (60% aggressive growth equity, 25% international small-cap) is fundamentally inconsistent with her stated goals and risk tolerance.

2. **NAIC Model Regulation 275 (Suitability in Annuity Transactions):** Under the NAIC model, the producer must have reasonable grounds to believe the annuity is suitable based on facts disclosed by the consumer concerning, among other things, age, liquidity needs, financial objectives, and risk tolerance. Mrs. Kessler's profile categorically does not support a variable annuity with aggressive equity exposure and a lengthy surrender period. The regulation also requires that the consumer's profile information be accurately documented. The mischaracterization of her risk tolerance as 'aggressive growth' and her objective as 'speculation' on the new account form, contradicting her own stated preferences, constitutes a documentation falsification that violates both the letter and spirit of suitability requirements.

3. ****NY Regulation 187 (Best Interest Standard):**** Although Mrs. Kessler resides in Ohio, if the product were sold under a New York-issued contract or if similar state-level best interest standards apply, the advisor must act in the consumer's best interest at the time of the recommendation without placing his own financial interest ahead of the consumer's. Linden earned \$18,600 in commissions on a product that subjected a 79-year-old capital preservation investor to a 3%+ annual fee drag and aggressive equity volatility. This plainly prioritizes the advisor's compensation over the client's welfare.

4. ****Regulation Best Interest (Rule 15l-1):**** The Care Obligation under Reg BI requires that the broker-dealer and associated person exercise reasonable diligence, care, and skill when making a recommendation, considering the customer's investment profile. The recommendation must be in the customer's best interest and must not place the financial interest of the broker-dealer ahead of the customer's. The combination of liquidating a safe, competitive-yield CD, the aggressive allocation, the long surrender period, the high all-in costs, and the falsified risk profile documentation demonstrates a failure of the Care Obligation. The Disclosure Obligation was also likely violated, as Mrs. Kessler appears not to have understood the product's risks, costs, or liquidity restrictions. The Conflict of Interest Obligation was violated by the failure to mitigate the obvious conflict arising from the \$18,600 commission incentive.

****Likely Regulatory Outcome:**** Linden faces potential sanctions including fines, disgorgement of commissions, suspension or bar from the industry, and restitution to Mrs. Kessler. His firm faces supervisory failure liability under FINRA Rule 3110 for approving a transaction with such obvious red flags, including the falsified risk profile. State insurance regulators may also pursue administrative action against Linden's insurance license.

Hypothetical 4

Topic: *annuity_unnecessary_switching* | Difficulty: *hard*

Fact Pattern

Martin and Linda Chowdhury, ages 62 and 59, are a married couple in suburban Atlanta. Martin is a senior project manager earning \$145,000 annually; Linda is a part-time consultant earning \$55,000. Together they have \$820,000 in retirement assets: \$490,000 in Martin's 401(k), \$180,000 in Linda's traditional IRA, and \$150,000 in a joint taxable brokerage account. In 2019, their advisor, Renee Maguire, recommended they invest \$180,000 from Linda's IRA into a variable annuity (Product A) issued by National Horizon Life. Product A included a guaranteed minimum income benefit (GMIB) rider with a 6% annual roll-up rate on a benefit base, a seven-year surrender schedule starting at 7%, mortality and expense charges of 1.30%, and underlying fund expenses averaging 0.78%. The GMIB rider cost 0.95% annually. The Chowdhurys were three years into the surrender period-having paid down to a 4% surrender charge-and the GMIB benefit base had grown to approximately \$214,000 when, in September 2022, Maguire contacted them to recommend they surrender Product A and purchase a new variable annuity (Product B) from Pacific Western Insurance. Maguire told the Chowdhurys that Product B was 'the newest and best product on the market' and offered a 5% bonus credit on the premium transferred. Product B had a new eight-year surrender schedule starting at 8%, mortality and expense charges of 1.45%, underlying fund expenses averaging 0.88%, and a GMIB rider with a 5.5% roll-up rate at a cost of 1.10%. The total annual cost of

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Product B was approximately 3.43%, compared to 3.03% for Product A. The surrender of Product A triggered a 4% surrender charge of approximately \$7,000 on the then-account value of \$174,500, and the Chowdhurys forfeited their accumulated \$214,000 GMIB benefit base, which would reset to the new premium amount under Product B. After the surrender charge, approximately \$167,500 was transferred to Product B, and the 5% bonus credit added roughly \$8,375, bringing the initial value to approximately \$175,875. Maguire earned a first-year commission of \$12,100 on the Product B sale. She had also earned a \$9,000 commission on the original Product A sale in 2019. In her internal exchange analysis form, Maguire checked 'yes' that the replacement was suitable and noted the 5% bonus credit as the primary justification, without documenting the loss of the GMIB benefit base, the higher ongoing costs, the new surrender period, or the reduced roll-up rate. Her branch manager approved the exchange without requesting additional documentation. Six months later, Martin was unexpectedly laid off, and the couple needed to access funds from the annuity for living expenses. They faced an 8% surrender charge on any withdrawal exceeding the 10% free corridor, resulting in additional charges of approximately \$9,400 on a \$117,500 partial withdrawal they attempted in March 2023.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Renee Maguire committed multiple regulatory violations through this unsuitable annuity replacement.

1. **FINRA Rule 2330 (Variable Annuity Exchanges):** Rule 2330(b)(1)(A) specifically addresses exchange and replacement transactions involving variable annuities. Before recommending an exchange, the registered representative must consider, among other factors: (i) whether the customer would lose existing benefits such as death benefits or living benefits; (ii) whether the customer would incur surrender charges on the existing annuity; (iii) whether the new product would involve a new surrender period; (iv) whether the new product has higher fees and charges; and (v) whether the customer's investment objectives and financial situation have changed since the original purchase. Maguire's recommendation fails every one of these prongs. The Chowdhurys forfeited a \$214,000 GMIB benefit base-\$39,500 above the original premium-which represented significant guaranteed value. They paid \$7,000 in surrender charges. They were subjected to a new eight-year surrender schedule, extending their illiquidity by approximately five years compared to where they stood in Product A. Product B's total annual costs of 3.43% were 40 basis points higher than Product A's 3.03%, compounding into significant additional expense drag over the life of the contract. The GMIB roll-up rate decreased from 6% to 5.5%, meaning the new product was inferior on its core guaranteed benefit feature.

2. **NAIC Model Regulation 275 (Replacement Transactions):** Under the NAIC model, when a replacement is involved, the producer must document the material differences between the existing and proposed products, including costs, benefits, and surrender charges. Maguire's exchange analysis form was materially deficient-she cited only the 5% bonus credit as justification while omitting the forfeiture of the GMIB benefit base, the higher costs, the new surrender period, and the lower roll-up rate. The NAIC model specifically warns against using bonus credits as a primary justification for replacement when they are offset or exceeded by higher costs and lost benefits. Here, the \$8,375 bonus credit is dwarfed by the combination of the \$7,000 surrender charge, the forfeited \$39,500 in GMIB benefit base appreciation, the higher annual costs, and the inferior roll-up rate. The net economic impact of the exchange was significantly

negative for the Chowdhurys.

3. ****Regulation Best Interest (Rule 15l-1):**** The Care Obligation requires that the recommendation be in the customer's best interest at the time it is made. The quantitative analysis overwhelmingly demonstrates that Product B was inferior to Product A for the Chowdhurys. The Conflict of Interest Obligation is implicated by the \$12,100 commission Maguire earned on the new sale-she had a direct financial incentive to recommend the switch regardless of its merits. The Disclosure Obligation required Maguire to disclose all material facts about the costs and consequences of the exchange, including the forfeiture of the GMIB benefit base, which she failed to communicate adequately.

4. ****NY Regulation 187 (if applicable):**** Under New York's best-interest standard for annuity transactions, the producer must demonstrate that the recommendation is in the consumer's best interest based on an evaluation of the relevant suitability factors, and must not place her financial interest ahead of the consumer's interest. The facts here-increased costs, lost benefits, renewed surrender period, and commission motivation-represent a textbook violation.

5. ****Supervisory Failures:**** The branch manager's approval without requesting additional documentation-particularly given the obviously incomplete exchange analysis form-constitutes a supervisory failure under FINRA Rule 3110. The firm's supervisory system should have flagged the replacement as requiring heightened scrutiny, including a comparative cost analysis and benefit comparison.

****Likely Regulatory Outcome:**** Maguire faces potential sanctions including disgorgement of the \$12,100 commission, restitution to the Chowdhurys for the surrender charges and quantifiable economic harm from the inferior product, fines, and potential suspension or bar. The firm faces liability for supervisory failures and may be required to pay restitution as well. State insurance regulators may pursue separate action against Maguire's insurance license for the deficient replacement documentation. This fact pattern is consistent with the types of annuity switching cases that have been the subject of significant enforcement activity, GAO reports on VA mis-selling, and academic literature documenting the pattern of commission-motivated replacements that harm consumers.

Hypothetical 5

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Maria Delgado, age 34, works as a part-time dental hygienist earning approximately \$38,000 per year. She has a checking account with \$4,200, a savings account with \$11,500, and no prior investment experience. She has never owned a brokerage account, mutual fund, or any insurance product other than a basic term life policy through her employer. In March 2024, Maria inherited \$85,000 from her grandmother's estate. She visited a local financial advisory office seeking guidance on how to save for a home purchase she hoped to make within three to four years. She told her advisor, Kevin Brandt, that she wanted something safe and accessible, and that she did not understand stocks or bonds. Brandt recommended she invest

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\$75,000 into a variable annuity contract issued by a national insurance carrier. The product featured a seven-year surrender charge schedule starting at 8% in year one and declining by one percent annually, an annual mortality and expense charge of 1.35%, an administrative fee of 0.15%, and underlying sub-account expense ratios averaging 0.92%. The total annual cost load was approximately 2.42%. Brandt also recommended she add a guaranteed minimum income benefit rider at an additional annual cost of 0.95%, explaining it would 'protect her downside.' He did not discuss the tax implications of withdrawing funds from an annuity before age 59½, including the 10% federal tax penalty on earnings. He did not present any alternative products such as certificates of deposit, money market accounts, short-term bond funds, or a basic savings vehicle. The account paperwork listed Maria's investment objective as 'growth' and her risk tolerance as 'moderate,' though Maria later stated in a written complaint that she told Brandt she wanted 'something like a savings account but maybe a little better.' Brandt earned a 6.5% commission of \$4,875 on the sale. Within eighteen months, Maria needed \$30,000 for a down payment on a condominium. When she attempted to withdraw the funds, she discovered she would owe a 7% surrender charge of \$2,100 plus taxes and a 10% early withdrawal penalty on any gains. She filed a complaint with the state insurance department in September 2025.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Kevin Brandt's recommendation of a variable annuity to Maria Delgado was almost certainly a violation of multiple applicable standards.

1. FINRA Rule 2330 (Variable Annuity Suitability): Under Rule 2330, before recommending a variable annuity, a registered representative must have a reasonable basis to believe the transaction is suitable based on the customer's investment profile, including age, income, financial situation, risk tolerance, liquidity needs, investment objectives, investment experience, investment time horizon, existing assets, and tax status. Here, Maria was 34 years old with limited income, virtually no investment experience, a short time horizon of three to four years, and an explicitly stated need for liquidity. Variable annuities are long-term, illiquid investment vehicles with surrender periods, tax penalties for early withdrawal before age 59½, and layered fee structures that erode short-term returns. Rule 2330(b) specifically requires that the member or associated person have a reasonable basis to believe that the customer would benefit from certain features of the annuity, such as tax-deferred growth, annuitization, or death benefits, and that the particular annuity as a whole is suitable. Maria had no need for tax deferral (her income was modest), no need for a death benefit rider, and no use for a guaranteed minimum income benefit rider when her goal was a home purchase within four years.

2. Regulation Best Interest (SEC Rule 15l-1, Reg BI): Under Reg BI's Care Obligation, a broker-dealer or associated person must exercise reasonable diligence, care, and skill to understand the recommended product and have a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made. The analysis must weigh costs, reasonably available alternatives, the customer's investment profile, and risks. Brandt failed every element: he did not consider lower-cost, more liquid alternatives (CDs, money market funds, short-term bond funds); he recommended a product with a seven-year surrender period to a customer with a three-to-four-year time horizon; he added a costly income benefit rider irrelevant to a 34-year-old seeking a home down payment; and the 2.42% (plus rider) annual

cost drag was wholly disproportionate to any benefit Maria could realize. Reg BI also includes a Disclosure Obligation requiring full and fair disclosure of material facts, including costs, conflicts of interest, and the capacity in which the recommendation is made. Brandt failed to disclose the 10% early withdrawal tax penalty or surrender charges in a meaningful way.

3. NAIC Model Regulation 275: Under the revised NAIC Suitability in Annuity Transactions Model Regulation (Model 275), which has been adopted in most states, a producer must act in the best interest of the consumer when recommending an annuity. The regulation requires that the recommendation be based on an evaluation of the consumer's financial situation, insurance needs, and financial objectives, and that the producer consider reasonably available alternatives. Model 275 also requires that the consumer's profile information-including liquidity needs, financial situation, risk tolerance, and time horizon-support the recommendation. Maria's profile overwhelmingly pointed away from a variable annuity. The regulation also prohibits a producer from placing his or her financial interest ahead of the consumer's interest, and the \$4,875 commission earned by Brandt on this sale strongly suggests a conflict-driven recommendation.

4. NY Regulation 187 (if applicable in New York): If this transaction occurred in New York, NY Reg 187 imposes an explicit best-interest standard on annuity recommendations. The producer must document that the recommendation is in the consumer's best interest based on the consumer's suitability profile, and must consider the full range of alternatives. Brandt's recommendation would fail this standard as well.

Violations and Likely Outcomes: Brandt's conduct constitutes unsuitable recommendation of a variable annuity, failure to consider alternatives, failure to disclose material costs and tax consequences, and likely misrepresentation of the customer's investment profile on account documents (listing 'growth' and 'moderate risk tolerance' when the customer sought safety and liquidity). The state insurance department complaint could result in license suspension or revocation, fines, and an order to pay restitution. If pursued through FINRA arbitration, Brandt and his firm could face compensatory damages including surrender charges, tax penalties, excess fees, and consequential damages related to the delayed home purchase.

Hypothetical 6

Topic: senior_investor_exploitation | Difficulty: hard

Fact Pattern

Harold Pennington, age 79, is a retired machinist living in suburban Ohio on a fixed income of approximately \$2,800 per month from Social Security and a small defined benefit pension. His wife, Eleanor, passed away in January 2024, and Harold has been managing his finances alone for the first time. His total liquid assets consist of \$210,000 in an existing variable annuity purchased in 2016, which had exited its surrender period in 2023, and \$42,000 in a bank savings account. He also owns his home outright, valued at roughly \$185,000. Harold has mild cognitive decline, as noted by his primary care physician in medical records from November 2023, though he has not been declared legally incapacitated. Harold's listed investment objectives have historically been 'preservation of capital' and 'income,' and his risk tolerance has been documented as 'conservative' in every account review since 2016. In April 2024, Harold's financial advisor, Denise Whitaker, contacted him to discuss 'upgrading' his existing annuity.

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During a single in-home visit lasting approximately 45 minutes, Whitaker recommended that Harold surrender his existing variable annuity-which had a current account value of \$218,400 and included a guaranteed minimum withdrawal benefit rider providing \$1,090 per month for life-and use the proceeds to purchase a new variable annuity from a different carrier. The new annuity carried a nine-year surrender charge schedule beginning at 9% in year one, total annual fees of approximately 3.10% (including a 1.40% mortality and expense charge, a 0.20% administrative fee, sub-account expense ratios averaging 0.85%, and a new living benefit rider costing 1.05% annually after a three-year waiting period). Whitaker told Harold the new product had 'better investment options' and a 'more modern' living benefit, but she did not provide a side-by-side comparison of the two products' guaranteed income amounts, total costs, surrender schedules, death benefits, or investment options. She did not document any analysis of whether Harold would receive higher guaranteed income from the new product's rider relative to his existing \$1,090 per month guarantee. Harold signed the paperwork during that single visit. Whitaker earned a 7% commission of \$15,288 on the replacement sale. Six months later, Harold needed \$25,000 for emergency home repairs after a pipe burst. He was informed he would face a surrender charge of approximately \$2,175 (9% on the withdrawal amount, net of any free withdrawal allowance). Harold's adult daughter, Patricia, discovered the transaction in November 2024 and filed a complaint, noting that her father had told her he 'didn't really understand what he signed' and thought he was 'just moving the same account to a new company.' Patricia also provided a copy of her father's physician's note regarding his cognitive decline.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Denise Whitaker's recommendation to Harold Pennington constitutes multiple serious violations across every applicable regulatory framework governing variable annuity replacements and the protection of senior investors.

1. FINRA Rule 2330 - Variable Annuity Suitability and Exchanges: Rule 2330(b)(1) requires that before recommending a variable annuity, the associated person must have a reasonable basis to believe the transaction is suitable, considering the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, investment time horizon, existing assets (including other annuity holdings), liquidity needs, liquid net worth, risk tolerance, and tax status. Harold is 79 years old, on a fixed income, conservative in risk tolerance, and oriented toward capital preservation and income. A new nine-year surrender period is grossly misaligned with his age and likely liquidity needs.

Rule 2330(b)(2) specifically addresses exchanges and replacements. It requires the representative to consider whether the customer would incur a new surrender period, lose existing benefits (such as death benefits, guaranteed income riders, or other contractual features), be subject to increased fees, and whether the customer would receive materially improved features from the new product. Whitaker failed to perform or document any such comparative analysis. Harold's existing annuity had already exited its surrender period (providing full liquidity), included a guaranteed minimum withdrawal benefit of \$1,090 per month for life, and had lower total annual expenses. The replacement locked Harold into a new nine-year surrender schedule, imposed higher annual fees (approximately 3.10% vs. presumably lower in the mature contract), and offered no documented increase in guaranteed income. This is a textbook unsuitable 1035

exchange.

2. Regulation Best Interest (SEC Rule 15l-1): Under Reg BI's Care Obligation, the advisor must exercise reasonable diligence, care, and skill, and have a reasonable basis to believe the recommendation is in the retail customer's best interest. The Care Obligation requires evaluation of costs, reasonably available alternatives, and the customer's investment profile. Whitaker recommended a higher-cost product with a new surrender period to a 79-year-old with conservative objectives and no documented benefit from the switch. The Conflict of Interest Obligation under Reg BI requires firms to identify, disclose, and mitigate or eliminate conflicts of interest, including compensation-related conflicts. Whitaker earned a \$15,288 commission on the replacement. Without documented justification showing the new product served Harold's interest rather than her own, this raises a presumption of conflict-driven conduct. Under the Disclosure Obligation, Whitaker was required to provide full and fair disclosure of all material facts regarding the recommendation, including costs, risks, and conflicts. She provided no side-by-side comparison and gave only vague qualitative descriptions ('better investment options,' 'more modern').

3. NAIC Model Regulation 275 - Suitability in Annuity Transactions: Under the revised Model 275, adopted in Ohio, a producer must act in the consumer's best interest. For replacement transactions, Model 275 Section 6 requires the producer to consider the totality of the consumer's circumstances, including (a) whether the consumer will incur surrender charges or be subject to a new surrender period; (b) whether the consumer will lose existing benefits; (c) whether the replacement product provides substantially similar or better features; and (d) whether the consumer has had another annuity exchange within the preceding 36 months. Whitaker failed on every count. The regulation also requires that the recommendation be appropriately documented. No comparative analysis was conducted or preserved.

4. Senior-Specific Concerns: Multiple state insurance department bulletins and industry guidance (including IRI best practices and GAO reports on variable annuity mis-selling) identify seniors as particularly vulnerable to unsuitable annuity replacements. Harold's age (79), fixed income, conservative investment profile, recent bereavement (which may affect decision-making), mild cognitive decline (documented by his physician), and reliance on a single in-home meeting for a \$218,400 financial decision all represent significant red flags. FINRA has issued multiple regulatory notices emphasizing heightened supervisory obligations when recommendations involve senior investors, including enhanced scrutiny of annuity exchanges. Academic literature on VA mis-selling consistently identifies 'churning' or 'twisting'-replacing one annuity with another primarily to generate a new commission-as one of the most common and harmful forms of annuity abuse targeting seniors.

5. Supervisory Failures: Under Rule 2330(c), a registered principal must review and approve the variable annuity transaction before it is transmitted to the issuing insurance company. The principal must determine whether the transaction is suitable and, in the case of an exchange, whether the exchange meets the standards of Rule 2330(b)(2). If Whitaker's supervising principal approved this transaction without identifying the red flags-Harold's age, the loss of his existing guaranteed income rider, the new surrender period, the higher costs, and the absence of any documented comparative analysis-the firm also bears supervisory liability.

Likely Regulatory Outcome: This case presents strong grounds for findings of unsuitable replacement,

failure to act in the customer's best interest, failure to adequately disclose material information, and potential financial exploitation of a senior investor. Whitaker could face suspension or bar, monetary fines, disgorgement of commissions, and an order to pay restitution. The firm could face additional sanctions for supervisory failures. State insurance regulators could pursue license revocation and additional penalties under the applicable state adoption of Model 275. In arbitration, Harold or his daughter Patricia (acting under power of attorney or as complainant) could recover compensatory damages including the surrender charges on the new contract, excess fees paid, the value of the lost guaranteed income benefit from the old contract, and potentially consequential damages.

Hypothetical 7

Topic: *tax_deferred_unnecessary_annuity* | Difficulty: *easy*

[NON-COM

Fact Pattern

Margaret Ellison, age 58, is a public school librarian in suburban Chicago earning \$62,000 per year. She has \$185,000 in a 403(b) retirement plan, \$22,000 in a savings account, and no other investment accounts. She has no debt other than a small remaining balance on her home mortgage. In March 2023, she attended a dinner seminar hosted by financial advisor Dale Furman of Horizon Wealth Advisors. During the seminar, Furman emphasized the importance of tax-deferred growth for retirement savings and the dangers of market volatility. After a follow-up meeting at his office, Furman recommended that Margaret roll over \$150,000 from her 403(b) into a variable annuity issued by National Pacific Life, called the "Advantage Growth VA." The product carried a mortality and expense risk charge of 1.35% annually, an administrative fee of 0.15%, and underlying subaccount expenses averaging 0.92%, for a total annual cost of approximately 2.42%. The contract also included a seven-year surrender charge schedule beginning at 7% and declining by 1% per year. Furman earned a 5.5% commission on the sale, totaling \$8,250. Margaret's stated investment objectives on her new account form were "growth and retirement income," with a moderate risk tolerance and an investment time horizon of 7 to 10 years. Furman did not discuss with Margaret the fact that her existing 403(b) already provided tax-deferred growth, nor did he document any comparison between the fees in her existing 403(b) plan—which offered low-cost index funds averaging 0.08% in annual expenses—and the variable annuity. Margaret was not informed that placing a tax-deferred product inside another tax-deferred wrapper would provide no additional tax benefit. Six months later, Margaret's account had declined by 4.2% after fees during a period when her previous 403(b) index allocation would have gained 1.8%.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the advisor violated applicable suitability and best-interest standards in multiple respects.

1. ****Tax-Deferred Redundancy - FINRA Rule 2330(b)(1)(A):**** FINRA Rule 2330 specifically requires that when recommending a variable annuity purchase, a registered representative must have a reasonable basis to believe the transaction is suitable. One of the enumerated considerations is whether the customer would benefit from the tax-deferred features of a variable annuity. Margaret's 403(b) already provided full

tax-deferred growth. Rolling those assets into a variable annuity added no incremental tax advantage whatsoever, while layering on significantly higher costs. This is a textbook violation of the "tax-deferred inside tax-deferred" prohibition that FINRA has repeatedly flagged in enforcement actions and regulatory guidance.

2. ****Failure to Consider Costs - FINRA Rule 2330(b)(1)(B)-(C):**** The advisor failed to compare the costs of the existing 403(b) plan (approximately 0.08% annually) with the variable annuity (approximately 2.42% annually). This represents a roughly 30-fold increase in annual expenses. FINRA Rule 2330 requires advisors to determine that the customer would benefit from the features of a VA, such as annuitization or death benefits, sufficient to justify the additional costs. No such analysis was documented or communicated.

3. ****Surrender Charges and Liquidity - NAIC Model Regulation 275:**** Under NAIC Model Regulation 275, an insurance producer must have reasonable grounds for believing the annuity is suitable based on the consumer's financial situation, including liquidity needs. The seven-year surrender charge schedule locked up a significant portion of Margaret's retirement savings, and no analysis of her liquidity needs was conducted. Margaret had only \$22,000 in liquid savings, and with \$150,000 now subject to surrender penalties, her financial flexibility was materially impaired.

4. ****NY Regulation 187 / Reg BI Rule 15l-1 Best Interest Standard:**** Under both the SEC's Regulation Best Interest (Rule 15l-1) and, if applicable, NY Regulation 187, the advisor was obligated to act in the customer's best interest and could not place his own financial interest ahead of the customer's. The \$8,250 commission created a material conflict of interest that was neither disclosed nor mitigated. The recommendation to move assets from a low-cost tax-advantaged account into a high-cost tax-advantaged product with no additional tax benefit, while generating substantial commissions, is strong evidence that the advisor's financial interest drove the recommendation.

5. ****Documentation Failures:**** The advisor failed to document any rationale for why the variable annuity was preferable to maintaining the existing 403(b) allocation, failed to perform or document a cost comparison, and failed to note the absence of any incremental tax benefit.

****Likely Regulatory Outcome:**** This case presents straightforward violations. The advisor would likely face FINRA enforcement action including fines, disgorgement of commissions, possible suspension, and customer restitution. State insurance regulators could also take action under the NAIC Model Regulation 275 framework for unsuitable annuity sales. The customer would likely prevail in an arbitration claim seeking recovery of excess fees and the surrender charge differential.

Hypothetical 8

Topic: *high_fees_unsuitable* | Difficulty: *hard*

Fact Pattern

Ronald and Patricia Chen, ages 72 and 69 respectively, are retired residents of Scottsdale, Arizona. Ronald

[NON-COM

is a former aerospace engineer and Patricia was a nursing administrator. Their combined household income consists of \$4,800 per month in Social Security benefits and \$2,200 per month from Ronald's defined-benefit pension, totaling \$84,000 annually. Their investable assets include \$620,000 in Ronald's traditional IRA, \$195,000 in Patricia's traditional IRA, \$87,000 in a joint taxable brokerage account, and \$45,000 in bank CDs. Their home is fully paid off, valued at approximately \$580,000. They have no outstanding debts. Their stated investment objectives are capital preservation and modest income supplementation; their risk tolerance is conservative. They have two adult children and wish to leave a meaningful inheritance.

In January 2023, their advisor, Kevin Braddock of Pinnacle Financial Group, recommended that both Ronald and Patricia each purchase a variable annuity from Continental Assurance Corporation-the "Premier Select VA"-investing \$400,000 from Ronald's IRA and \$180,000 from Patricia's IRA, respectively. Each contract included a Guaranteed Minimum Withdrawal Benefit (GMWB) rider with a 5% annual withdrawal guarantee. The base mortality and expense charge was 1.40%, administrative fees were 0.20%, the GMWB rider cost 1.25% annually, and subaccount expenses averaged 1.05%, bringing total annual costs to approximately 3.90%. Each contract carried a nine-year declining surrender charge schedule starting at 8.5%. Braddock earned a blended commission of 6.25% on the combined \$580,000 in sales, totaling \$36,250.

Braddock's stated rationale, as reflected in brief handwritten notes, was that the GMWB rider would provide "guaranteed income regardless of market performance" and "protect against sequence-of-returns risk." However, the Chens' existing income from Social Security and the pension already covered approximately 95% of their estimated \$88,000 annual living expenses. They needed only about \$4,000 per year in supplemental income from investments. Braddock did not analyze whether the cost of the GMWB rider-approximately \$22,620 per year across both contracts-was justified relative to the \$4,000 annual income gap. He also did not consider that Ronald, at 72, was already subject to required minimum distributions from his IRA, and the surrender charges on the VA would complicate RMD compliance, potentially triggering surrender penalties if distributions exceeded the free withdrawal corridor. The Chens were not presented with lower-cost alternatives such as a diversified portfolio of bond funds, a SPIA ladder, or fixed annuities without surrender charges. Patricia later told a state insurance department examiner that Braddock never explained the total annual cost of the contracts and that she believed the "guarantee" meant they could not lose money in the account. Within 18 months, the combined account values had declined by approximately \$61,000 due to a combination of market losses and fee erosion, while the Chens had withdrawn only \$6,000 total for supplemental income.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the advisor committed multiple serious violations of suitability and best-interest requirements.

1. ****Excessive and Disproportionate Costs - FINRA Rule 2330(b)(1)(A)-(C):**** FINRA Rule 2330 requires that a registered representative have a reasonable basis for believing the customer will benefit from the features of the variable annuity in light of its costs. Here, the combined annual costs of approximately 3.90% (\$22,620 per year on \$580,000) dramatically exceeded the Chens' actual supplemental income need

of roughly \$4,000 per year. The annual cost of the GMWB rider alone (\$7,250 on each contract, \$14,500 combined) was more than three times the income gap the rider was supposedly designed to fill. A reasonable cost-benefit analysis-which was never performed or documented-would have demonstrated that the guaranteed withdrawal benefit was economically irrational given the Chens' specific financial situation.

2. ****Age-Related Unsuitability and RMD Complications - FINRA Rule 2330(b)(1)(A):**** Ronald was 72 years old and already subject to required minimum distributions from his IRA. Placing \$400,000 of IRA assets inside a variable annuity with a nine-year, 8.5% declining surrender charge created a foreseeable conflict between RMD obligations and surrender penalties. FINRA guidance has specifically highlighted the risks of recommending variable annuities to customers who are at or near RMD age, particularly when surrender charges may be triggered by mandatory withdrawals. The advisor's failure to analyze this interaction was a significant suitability deficiency.

3. ****Conservative Investors with Adequate Existing Income - NAIC Model Regulation 275:**** Under NAIC Model 275, Section 6, an insurance producer must have reasonable grounds for believing the annuity is suitable based on facts disclosed by the consumer, including existing insurance and annuity products, financial situation and needs, and investment objectives. The Chens' existing pension and Social Security covered 95% of their expenses. They had conservative risk tolerance and a primary goal of capital preservation with legacy planning. A product with 3.90% in annual drag, substantial equity-market exposure through subaccounts, and nearly a decade of surrender restrictions was fundamentally inconsistent with these objectives.

4. ****Failure to Consider Reasonable Alternatives - Reg BI Rule 15l-1; NY Regulation 187:**** Under the SEC's Regulation Best Interest, a broker-dealer and associated person must consider reasonably available alternatives. The advisor failed to present or evaluate lower-cost alternatives that would have been more appropriate: a simple portfolio of short-to-intermediate-term bond index funds (with costs under 0.10% annually), a small SPIA to cover the income gap (which could have been purchased for approximately \$50,000-\$70,000), or a fixed annuity without surrender charges. The failure to consider these readily available, less costly, and less complex alternatives strongly suggests the recommendation was driven by the \$36,250 commission rather than the Chens' needs.

5. ****Misleading Characterization of Guarantees:**** Patricia Chen's understanding that the "guarantee" meant she could not lose money reflects a fundamental miscommunication by the advisor. A GMWB guarantees a minimum withdrawal rate, not principal protection. The 3.90% total annual fee drag, combined with market volatility, meant the account values could-and did-decline substantially. The advisor's failure to clearly explain the nature and limitations of the guarantee, particularly to conservative 70-year-old investors, raises additional concerns about misleading sales practices.

6. ****Concentration and Liquidity Risk:**** The recommendation placed approximately 71% of the Chens' total investable assets (\$580,000 of \$815,000 in IRAs) into illiquid variable annuity contracts with nine-year surrender schedules. For retirees in their seventies with conservative objectives and legacy goals, this level of concentration in a single illiquid product type was excessive and inappropriate.

7. ****Documentation Deficiencies:**** The advisor's rationale was documented only in brief handwritten notes

referencing generic concepts ("guaranteed income" and "sequence-of-returns risk") without any quantitative analysis, cost-benefit comparison, alternatives considered, or client-specific justification. This fails to meet the documentation standards contemplated by both FINRA Rule 2330 and NAIC Model Regulation 275.

****Likely Regulatory Outcome:**** This case involves egregious facts-elderly conservative retirees with adequate income, massive fee layering relative to need, RMD complications, failure to consider alternatives, and a \$36,250 commission. The advisor would face significant FINRA sanctions likely including a substantial fine, lengthy suspension or bar, and full customer restitution. State insurance regulators could revoke or suspend the advisor's insurance license under NAIC Model 275 enforcement provisions. The firm's supervisory procedures would also be scrutinized under FINRA's supervisory framework. In arbitration, the Chens would have a strong claim for compensatory damages including excess fees, surrender charges, and market losses attributable to the unsuitable recommendation.

Hypothetical 9

Topic: *illiquid_investments* | Difficulty: *hard*

[NON-COM]

Fact Pattern

Margaret Olsen, age 74, is a retired schoolteacher living in Rochester, New York, with a fixed monthly pension of \$2,800 and Social Security benefits of \$1,950 per month. Her total liquid assets consist of \$410,000 in a traditional IRA, \$55,000 in a money market account, and a \$30,000 certificate of deposit maturing in six months. She has no other sources of income and has documented moderate-to-low risk tolerance on her new account paperwork, with investment objectives listed as income and capital preservation. Margaret told her advisor, Dennis Kirkland, that she was concerned about rising healthcare costs and wanted to make sure she could access her savings in an emergency, noting that her husband had recently passed away and she was now solely responsible for all household expenses, including \$1,200 per month in out-of-pocket prescription drug costs not covered by Medicare. In March 2023, Dennis recommended that Margaret invest \$340,000 of her IRA - approximately 69% of her total liquid net worth - into a variable annuity with a Guaranteed Minimum Withdrawal Benefit rider. The product carried a seven-year surrender schedule beginning at 7% in the first year and declining by 1% per year. The annual mortality and expense charge was 1.35%, the administrative fee was 0.15%, the GMWB rider fee was 1.10%, and the underlying sub-account expense ratios averaged 0.85%, bringing the total annual cost to approximately 3.45%. Dennis told Margaret that the GMWB rider would 'guarantee her income for life no matter what the market does' and that she could always access her money if she needed it, without clearly explaining that withdrawals above the guaranteed amount during the surrender period would trigger surrender charges and could reduce her benefit base. Dennis earned a \$20,400 commission on the sale. Margaret's prior IRA holdings were invested in a balanced mutual fund with a total expense ratio of 0.62%. Within five months of the purchase, Margaret needed to withdraw \$45,000 to cover unexpected home repairs and medical bills. She was assessed a \$2,925 surrender charge on the amount exceeding the free withdrawal corridor and her GMWB benefit base was permanently reduced by the excess withdrawal.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dennis Kirkland likely violated multiple suitability and best-interest standards. Under FINRA Rule 2330, a registered representative recommending a variable annuity must have a reasonable basis to believe the transaction is suitable based on the customer's investment profile, including age, income, net worth, risk tolerance, liquidity needs, investment objectives, and existing holdings. A key consideration under Rule 2330(b) is whether the customer would benefit from the tax-deferral features of a variable annuity, particularly when the investment is made within an already tax-deferred IRA, which negates the primary tax advantage and layers on additional costs. Concentrating approximately 69% of a 74-year-old widow's liquid assets into a product with a seven-year surrender period directly contradicts her stated needs for liquidity, capital preservation, and income stability, and her documented concern about emergency access. The all-in annual cost of 3.45% is nearly six times the 0.62% she was paying in her balanced mutual fund, and the advisor failed to adequately disclose the consequences of excess withdrawals on both surrender charges and the GMWB benefit base. Under New York Regulation 187, which applies because the client resides in New York, the advisor and insurer have an affirmative obligation to act in the consumer's best interest at the time the recommendation is made, considering the consumer's financial situation, insurance needs, and stated objectives without placing the producer's financial interest ahead of the consumer's. The recommendation fails this standard: the product was excessively illiquid for a client with predictable high healthcare expenses and no other liquid reserves adequate to meet emergencies, and the \$20,400 commission created a material conflict of interest that was not mitigated. The NAIC Model Regulation 275, adopted in many states, similarly requires that annuity recommendations be in the consumer's best interest, considering the consumer's age, liquidity needs, and existing coverage, and that the producer exercise reasonable diligence in making the recommendation. Additionally, under SEC Regulation Best Interest (Rule 15l-1), applicable to the broker-dealer, the recommendation must satisfy the Care Obligation, which requires that the advisor exercise reasonable diligence, care, and skill in evaluating costs, risks, and reasonably available alternatives. Placing the vast majority of a 74-year-old's liquid retirement assets into an illiquid, high-cost variable annuity when she had clearly articulated liquidity needs and conservative objectives fails this standard. The Conflict of Interest Obligation further requires disclosure and mitigation of the commission incentive, which was not done here. Likely regulatory outcomes include disgorgement of the commission, rescission of the transaction, restitution of the surrender charges incurred, supervisory sanctions against the firm for failure to flag the concentration and age-related red flags, and potential fines against the advisor.

Hypothetical 10

Topic: annuity_unnecessary_switching | Difficulty: medium

Fact Pattern

Carlos Reyes, age 58, is a senior IT project manager earning \$145,000 per year. He has \$620,000 in a 401(k) with his current employer, \$90,000 in a Roth IRA, and \$185,000 in a non-qualified brokerage account. In 2019, Carlos purchased a variable annuity through his advisor, Paul Whitfield, investing \$150,000 of his non-qualified brokerage funds. That annuity, issued by Pacific National Life, included a Guaranteed Lifetime Withdrawal Benefit rider with a 5% annual step-up feature. The contract was in its fourth year of a six-year surrender period, and the account value had grown to approximately \$168,000.

[NON-COM]

The GLWB benefit base, thanks to the step-up feature and no prior withdrawals, stood at \$182,500. The annual total cost of the Pacific National product was approximately 2.90%. In September 2023, Paul recommended that Carlos surrender the Pacific National annuity and use the proceeds to purchase a new variable annuity issued by Continental Heritage Insurance. Paul told Carlos that the new product had 'better investment options and a stronger guarantee.' The Continental Heritage annuity carried a new seven-year surrender schedule starting at 7%, a total annual cost of approximately 3.15%, and a GLWB rider with a 4.5% step-up feature - actually a lower step-up rate than the existing product. Carlos paid a \$5,040 surrender charge (3% on \$168,000) to exit the Pacific National contract. He also lost his accumulated \$182,500 benefit base and started over at a \$162,960 benefit base in the new contract (after the surrender charge). Paul earned a \$9,777 commission on the new sale. Paul's notes in the client file stated only: 'Client wants better fund lineup. Discussed replacement. Client agreed.' No comparative analysis of surrender charges, benefit bases, rider features, total costs, or death benefit provisions was documented. Carlos's risk tolerance is listed as moderate growth, and his investment objective is long-term retirement accumulation with some downside protection.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Paul Whitfield's recommendation to replace Carlos's existing variable annuity appears to violate applicable suitability and best-interest standards governing annuity replacements. FINRA Rule 2330(b)(1)(A) specifically addresses exchanges and replacements of variable annuities, requiring the registered representative to consider whether the customer would incur a surrender charge, would lose existing benefits such as death benefits or guaranteed living benefits, would face a new surrender period, would face increased fees or charges, and whether the customer would benefit from product enhancements in the new contract that justify these costs. Here, Carlos incurred a \$5,040 surrender charge, lost a \$182,500 GLWB benefit base accumulated over four years (resetting to only \$162,960), restarted a seven-year surrender period, moved into a product with a higher total annual cost (3.15% vs. 2.90%), and received a lower GLWB step-up rate (4.5% vs. 5%). None of these trade-offs yielded a demonstrable material benefit to Carlos. The vague justification that the new product has 'better investment options' is insufficient absent documented analysis demonstrating that the specific sub-account options available in the new contract materially improve Carlos's expected risk-adjusted returns enough to offset the quantifiable losses. Under SEC Regulation Best Interest (Rule 15l-1), the Care Obligation requires the advisor to evaluate the costs and benefits of a recommended transaction in light of reasonably available alternatives, which would include simply retaining the existing annuity. The replacement recommendation resulted in higher costs, reduced guarantees, a loss of accumulated benefits, and renewed illiquidity - outcomes that are difficult to reconcile with Carlos's interest. The Conflict of Interest Obligation is also implicated because Paul earned a \$9,777 commission on the new sale, creating a financial incentive to recommend the switch regardless of whether it benefited the client. Under the NAIC Model Regulation 275, which many states have adopted, the producer must have a reasonable basis to believe the replacement is in the consumer's best interest after considering the totality of the consumer's circumstances, including the benefits of the existing contract being replaced. The lack of any documented comparative analysis also suggests a supervisory failure under the broker-dealer's obligation to review and approve replacement transactions. GAO reports and academic studies on variable annuity mis-selling have consistently identified unnecessary switching - sometimes called 'churning' or 'twisting' - as one of the most common and harmful

practices in annuity distribution, particularly when the primary economic beneficiary of the exchange is the advisor through new commissions. Likely regulatory consequences include restitution of the surrender charge and commission, rescission or unwinding of the replacement transaction if feasible, fines against both the advisor and potentially the supervising broker-dealer, and enhanced supervision or suspension of the advisor.

Hypothetical 11

Topic: *failure_to_know_customer* | Difficulty: *medium*

[NON-COM

Fact Pattern

In March 2024, financial advisor Derek Hollis met with new client Marlene Fujimoto, a 71-year-old retired school librarian living in Syracuse, New York. Mrs. Fujimoto came to the appointment after receiving a mailer about "tax-advantaged retirement income solutions." During their initial and only meeting, which lasted approximately 35 minutes, Hollis collected Mrs. Fujimoto's name, address, date of birth, and Social Security number. He asked her how much money she had available to invest, and she told him she had approximately \$340,000 in a bank CD that was maturing the following week and a small checking account with about \$8,200. She mentioned she receives \$2,150 per month in Social Security and a \$780 monthly pension from the school district. Hollis did not ask about her monthly living expenses, existing debts, health status, other insurance policies, beneficiaries, investment experience, liquidity needs, time horizon, or risk tolerance. He did not ask whether she had any other assets or income sources. He did not inquire about her tax bracket or whether she had any estate planning documents. Mrs. Fujimoto mentioned offhand that her husband had passed away eight months earlier and that she was "just trying to make sure she doesn't run out of money." Hollis recommended she invest \$310,000 into a variable annuity issued by National Heritage Life Insurance Company, the "Heritage Advantage Plus VA," which carried a seven-year surrender charge schedule starting at 8% in year one and declining by 1% per year, an annual mortality and expense charge of 1.45%, an administrative fee of 0.15%, and underlying subaccount expenses averaging 0.92%. He also recommended she add a guaranteed minimum income benefit rider at an additional annual cost of 1.10%, bringing the total all-in annual cost to approximately 3.62%. The product offered 47 subaccounts across equity, bond, and balanced portfolios. Hollis allocated 60% of the investment to equity subaccounts and 40% to bond subaccounts without discussing this allocation with Mrs. Fujimoto. He completed the account application, checking "moderate" for risk tolerance and "growth and income" for investment objective. Mrs. Fujimoto signed the paperwork. Hollis earned a 6.5% commission on the sale, totaling \$20,150. Within five months, Mrs. Fujimoto's account had declined by \$27,000 due to equity market volatility. She called Hollis's office asking to withdraw \$15,000 to pay for emergency plumbing repairs and was informed she would face a surrender charge of approximately \$1,200 on the withdrawal plus potential tax consequences. She filed a complaint with the state insurance department in October 2024.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hollis violated multiple applicable standards governing variable annuity sales. Under FINRA Rule 2330, before recommending a variable annuity, a registered representative must make reasonable

efforts to obtain, at a minimum, the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the variable annuity, investment time horizon, existing assets (including other insurance and investments), liquidity needs, liquid net worth, risk tolerance, and tax status. Hollis failed to gather the vast majority of this required information. He did not inquire about Mrs. Fujimoto's monthly expenses, health condition, existing insurance policies, other assets, investment experience, liquidity needs, time horizon, or tax situation. The perfunctory 35-minute meeting was grossly inadequate for a \$310,000 variable annuity transaction involving a recently widowed 71-year-old retiree whose total liquid assets were approximately \$348,200.

Because the transaction occurred with a New York resident, NY Regulation 187 also applies, imposing a best-interest standard on annuity recommendations effective since August 1, 2019. Under Regulation 187, the producer must act in the best interest of the consumer, and this requires the producer to know the consumer's financial situation, insurance needs, and financial objectives. The regulation requires that the recommendation be based on an evaluation of the relevant suitability information and that there be a reasonable basis to believe the consumer would benefit from certain features of the annuity. Hollis's failure to collect this information represents a foundational failure that renders the entire recommendation unsupported.

Additionally, under the NAIC Model Regulation 275, an insurance producer must have reasonable grounds for believing the recommendation is suitable based on facts disclosed by the consumer regarding investments, other insurance products, financial situation, and needs. Hollis self-selected 'moderate' risk tolerance and 'growth and income' objectives without any meaningful discussion with the client, effectively fabricating suitability information on the application.

Substantive suitability concerns compound the know-your-customer failure. A 71-year-old retiree with \$348,200 in total liquid assets, modest fixed income of \$2,930/month, and no disclosed investment experience was placed into a product with a seven-year surrender period, 3.62% annual all-in costs, and a 60% equity allocation. This left her with only \$38,200 in accessible liquid funds—an extremely thin liquidity cushion for someone entirely dependent on fixed income. The surrender charges effectively locked up 89% of her liquid net worth for seven years, creating severe liquidity risk for a septuagenarian.

Under Reg BI (Rule 15l-1), if Hollis acted as a broker-dealer representative, the Care Obligation requires that the recommendation be in the retail customer's best interest at the time, considering the customer's investment profile including age, financial situation, tax status, investment objectives, and liquidity needs. The failure to even gather this information precludes any reasonable basis for the recommendation.

Likely regulatory outcomes include: the state insurance department sustaining the complaint and ordering rescission or restitution; potential FINRA enforcement action for violations of Rule 2330(b) (reasonable efforts to know the customer) and Rule 2330(a) (reasonable basis for the recommendation); potential fines, disgorgement of the \$20,150 commission, suspension, and enhanced supervisory requirements. The supervising broker-dealer may also face liability under FINRA Rule 3110 for failing to have adequate supervisory procedures to catch such deficient documentation at the point of sale.

Hypothetical 12

Topic: *inappropriate_risk_profile* | Difficulty: *hard*

Fact Pattern

Carlos Medina, age 42, is a software engineer in Austin, Texas, earning \$185,000 annually. He is married with two children, ages 6 and 9. In January 2024, he met with financial advisor Samantha Reeves at a seminar held at a local hotel titled "College Savings Strategies for Texas Families." Medina explained to Reeves that he wanted to begin saving aggressively for his children's college education. He told her he had approximately \$95,000 in a 401(k), a joint checking account with \$22,000, an emergency fund money market account with \$30,000, and no other investment accounts. He and his wife had \$420,000 remaining on their mortgage and \$38,000 in student loan debt of their own. Medina stated clearly in their initial meeting-and again in a follow-up phone call-that this money was specifically earmarked for college tuition, that he expected to need access to the funds in approximately 10 to 13 years, and that he was uncomfortable with the idea of losing principal because he and his wife had no other college savings mechanism in place. Reeves documented in her notes that Medina had a "moderate" risk tolerance and that his investment objective was "education funding with capital preservation priority." Despite this documentation, Reeves recommended that Medina invest \$50,000-drawn from the couple's checking and money market accounts combined-into the "Pinnacle Select Variable Annuity" issued by Granite State Life Insurance Company. She allocated the funds as follows: 45% to an aggressive growth small-cap equity subaccount, 25% to an international emerging markets equity subaccount, 20% to a high-yield bond subaccount, and 10% to a large-cap equity index subaccount. The product carried a mortality and expense charge of 1.35%, an administrative fee of 0.20%, and average underlying subaccount expenses of 1.18%, for a total annual cost of approximately 2.73%. It featured a six-year declining surrender charge beginning at 7%. Reeves did not recommend adding any optional guaranteed benefit riders. She did not discuss 529 college savings plans, Coverdell Education Savings Accounts, or any education-specific savings vehicles. The \$50,000 investment represented the entirety of the family's liquid non-retirement savings beyond \$2,000 left in checking. By September 2024, the aggressive subaccount allocations resulted in a portfolio decline to \$41,200-a loss of \$8,800 or 17.6%. Medina contacted Reeves expressing alarm. She advised him to "stay the course" because the annuity was a long-term product. In November 2024, Medina needed \$12,000 to repair his roof after storm damage. He attempted a partial withdrawal and was assessed a 6% surrender charge of \$720 plus ordinary income tax on any gains (though there were none due to losses). He subsequently filed a complaint with his state insurance department and with Reeves's broker-dealer.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Samantha Reeves committed multiple serious violations related to inappropriate risk profiling and product unsuitability despite having collected adequate customer information-making this a particularly egregious case because she documented the client's actual needs and then contradicted her own notes with her recommendation.

Under FINRA Rule 2330, a registered representative recommending a variable annuity must have a reasonable basis to believe that (a) the customer would benefit from certain features of the VA, such as

tax-deferred growth, annuitization, death benefits, or living benefit protections; (b) the particular VA as a whole is suitable; and (c) the underlying subaccount allocations are suitable. Reeves failed on all three prongs.

First, a variable annuity was a fundamentally inappropriate vehicle for education savings. VAs do not receive favorable tax treatment for education expenses (unlike 529 plans and Coverdell ESAs, which offer tax-free growth when used for qualified education expenses). Withdrawals from a VA are taxed as ordinary income, and withdrawals before age 59½ are generally subject to a 10% federal tax penalty—Medina would be approximately 52-55 when his children enter college, potentially avoiding the penalty, but the tax inefficiency compared to purpose-built education savings vehicles is stark. Reeves did not discuss or consider any education-specific alternatives, suggesting she failed to evaluate whether the VA's features provided any meaningful benefit over more appropriate products.

Second, the subaccount allocation was flagrantly inconsistent with Medina's documented risk profile and objectives. Reeves's own notes recorded that Medina had a "moderate" risk tolerance with a "capital preservation priority." Yet she allocated 70% to aggressive growth small-cap and emerging markets equities—among the most volatile asset classes available—and another 20% to high-yield bonds, which carry significant credit and market risk. Only 10% was in a relatively stable large-cap index. This allocation is characteristic of an aggressive growth profile, not a moderate one prioritizing capital preservation. The 17.6% loss within nine months is a direct and foreseeable consequence of this mismatch.

Third, under the NAIC Model Regulation 275, an insurance producer must have reasonable grounds for believing that the recommendation is suitable based on the consumer's suitability information, including financial situation, insurance needs, financial objectives, and the intended use of the annuity. Medina explicitly stated the funds were for college education with capital preservation as a priority. The aggressive allocation directly contradicted these stated objectives.

Fourth, the recommendation devastated the family's liquidity. The \$50,000 investment consumed virtually all non-retirement liquid assets, leaving \$2,000 in checking. For a family with two young children, a mortgage, and student loan debt, this created dangerous financial fragility—as demonstrated when Medina needed \$12,000 for emergency home repairs and faced surrender charges to access his own money. FINRA Rule 2330 specifically requires consideration of liquidity needs before recommending a VA.

Under Reg BI (Rule 15l-1), the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill to ensure the recommendation is in the retail customer's best interest. The Disclosure Obligation requires material facts about the recommendation to be disclosed, including costs and risks. Reeves's failure to discuss education-specific alternatives and her placement of education-earmarked funds into an aggressive VA with high costs and surrender penalties violated these obligations. The Conflict of Interest Obligation is also implicated: Reeves likely received a substantial commission on the VA sale that would not have been available had she recommended a 529 plan, creating an undisclosed economic incentive to recommend the inferior product.

Additionally, Reeves did not add any guaranteed benefit riders that might have offered some principal protection, despite the client's explicit desire for capital preservation. The absence of even a guaranteed

minimum accumulation benefit rider-while not necessarily required-further demonstrates that the recommendation was not tailored to the client's stated needs.

Likely regulatory outcomes include: sustained complaint at the state insurance department level; FINRA enforcement for violations of Rule 2330 and the general suitability and best-interest framework; potential Reg BI violations if applicable; orders for restitution of losses plus surrender charges incurred; disgorgement of commissions; fines; and potential suspension. The supervising broker-dealer may face supervisory liability under FINRA Rule 3110 for approving a transaction where the documented customer profile was so clearly inconsistent with the recommended allocation. Academic literature on VA mis-selling, including studies referenced in GAO reports, has consistently identified the sale of VAs for purposes better served by other products-particularly education savings-as a hallmark pattern of unsuitable recommendations driven by commission incentives.

Hypothetical 13

Topic: *high_fees_unsuitable* | Difficulty: *medium*

[NON-COM]

Fact Pattern

Margaret Colson, age 74, is a retired elementary school teacher living in Topeka, Kansas. She receives \$2,400 per month from her state pension and \$1,850 per month in Social Security benefits. Her total liquid assets consist of \$185,000 in a bank savings account and a \$60,000 certificate of deposit maturing in six months. She owns her home outright and has no debts. Margaret describes herself as a conservative investor whose primary goals are capital preservation and generating modest supplemental income to cover medical expenses and home maintenance. She has no prior experience with securities or annuity products and told her advisor she wanted something "safe like a CD but maybe a little better."

In March 2024, her financial advisor, Dennis Hargrove, recommended she move \$160,000 from her savings account into a variable annuity with an optional guaranteed minimum income benefit rider. The product carried an annual mortality and expense charge of 1.40%, an administrative fee of 0.15%, underlying sub-account management fees averaging 0.95%, and the income rider carried an additional annual charge of 1.10%, bringing the total all-in annual cost to approximately 3.60%. The product had a seven-year surrender schedule starting at 7% and declining by 1% per year. Dennis allocated 60% of the sub-account investments to an aggressive growth equity fund and 25% to an international equity fund, with only 15% in a bond fund.

Dennis earned a \$9,600 commission on the sale. He did not present Margaret with any alternative products such as fixed annuities, multi-year guaranteed annuities, or bond funds. His notes from the meeting simply stated "client wants growth potential with income" and did not document any discussion of fees, surrender charges, or the client's limited liquidity needs. Within eight months, the aggressive equity sub-accounts declined 14% during a market correction, and Margaret's account value dropped to approximately \$138,500. When Margaret attempted to withdraw \$20,000 to pay for an unexpected roof repair, she was assessed a 6% surrender charge of \$1,200 plus applicable taxes on gains, and she contacted her state insurance department to file a complaint.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dennis Hargrove violated multiple applicable standards governing the recommendation of variable annuities.

****FINRA Rule 2330 (Variable Annuity Suitability):**** This rule requires that before recommending the purchase of a variable annuity, a registered representative must make reasonable efforts to obtain the customer's financial status, tax status, investment objectives, liquidity needs, risk tolerance, and other relevant information. The representative must then have a reasonable basis to believe that the customer would benefit from certain features of a variable annuity (such as tax-deferred growth, annuitization, or death benefit features) that are not available through other products, that the particular variable annuity is suitable, and that the transactions as a whole are not excessive. Dennis failed on all counts: Margaret's conservative profile, age, limited liquidity, and stated desire for CD-like safety made a high-cost variable annuity with a seven-year surrender period fundamentally unsuitable. The aggressive equity allocation (85% equities) directly contradicted her conservative risk tolerance and capital preservation objective.

****NAIC Model Regulation 275 (Annuity Best Interest):**** Kansas adopted the amended NAIC Model 275 with a compliance date of January 1, 2024. Under this model, a producer must act in the best interest of the consumer at the time the recommendation is made, without placing the producer's financial interest ahead of the consumer's interest. The producer must consider the consumer's age, financial situation, insurance needs, financial objectives, intended use of the annuity, and liquidity needs. The producer must also consider reasonably available alternatives. Dennis failed to consider or present any lower-cost alternatives such as fixed annuities or MYGAs that would have been far more aligned with Margaret's stated objectives. His \$9,600 commission appears to have been a primary motivator.

****SEC Regulation Best Interest (Rule 15l-1):**** As a broker-dealer representative recommending a securities product, Dennis was subject to Reg BI's Care Obligation, which requires that the recommendation reflect reasonable diligence, care, and skill, and that the advisor consider costs, reasonably available alternatives, and the specific needs of the retail customer. The all-in cost of 3.60% annually was excessive for a 74-year-old conservative investor with no need for tax-deferred growth (she was already in a low tax bracket). The Care Obligation also requires consideration of whether less costly alternatives exist-Dennis documented no such analysis.

****NY Regulation 187 (if applicable in that jurisdiction):**** While Margaret resides in Kansas, it is worth noting that NY Reg 187 similarly requires that transactions be in the customer's best interest and that the financial professional consider the client's financial situation, needs, and suitability-standards substantially similar to the NAIC model adopted by Kansas.

****Specific Violations:****

1. Unsuitable product type: A variable annuity with high fees and long surrender periods was inappropriate for a 74-year-old conservative investor needing liquidity.
2. Unsuitable asset allocation: 85% equity allocation contradicted the client's conservative risk tolerance

and capital preservation goals.

3. Failure to consider alternatives: No documentation or discussion of lower-cost, more liquid, or more conservative products.

4. Inadequate documentation: Advisor's notes were conclusory and did not reflect a meaningful suitability analysis or best-interest evaluation.

5. Excessive costs: Total annual fees of 3.60% would erode a significant portion of any returns for a client whose primary concern was preservation.

6. Placing financial interest above customer's interest: The \$9,600 commission incentivized the recommendation of a high-cost product over more suitable alternatives.

****Likely Regulatory Outcome:**** Dennis faces potential FINRA disciplinary action including fines, suspension, and required restitution. The Kansas Insurance Department could revoke or suspend his insurance license under the state's adopted best interest rule. The broker-dealer's supervisory system may also face scrutiny for failure to flag this transaction for heightened review given the customer's age and the product costs.

Hypothetical 14

[NON-COM

Topic: illiquid_investments | Difficulty: hard

Fact Pattern

Carlos and Elena Reyes are a married couple, ages 52 and 49 respectively, living in Orlando, Florida. Carlos is a self-employed HVAC contractor earning approximately \$130,000 annually, though his income fluctuates significantly due to seasonal demand and the cyclical nature of construction projects. Elena works part-time as a medical billing specialist earning \$32,000 per year. Together they have \$95,000 in a joint brokerage account, \$40,000 in Carlos's SEP-IRA, \$22,000 in Elena's traditional IRA, and \$18,000 in a money market account that serves as their emergency fund. They have a mortgage with \$210,000 remaining at 5.75% interest, \$14,000 in credit card debt at 19.8% APR, and Carlos's business line of credit carries a \$35,000 balance. They have two children, ages 16 and 13, and have saved nothing for college. They describe their risk tolerance as moderate and their primary financial goals as paying down debt, funding their children's college education within the next two to five years, and building retirement savings.

In September 2023, their financial advisor, Rachel Nguyen, recommended that Carlos roll over his \$40,000 SEP-IRA into a variable annuity and that Elena roll her \$22,000 traditional IRA into a second variable annuity from the same carrier. Both products featured a ten-year surrender charge schedule beginning at 8.5% in year one and declining to 1% in year ten. The annual fees on each contract totaled approximately 3.25%, comprised of M&E charges of 1.35%, administrative fees of 0.20%, sub-account expense ratios averaging 0.85%, and an optional enhanced death benefit rider costing 0.85%. Rachel also recommended that the couple redirect \$500 per month from Carlos's business income into additional premium payments on his variable annuity contract rather than paying down their 19.8% credit card debt.

Rachel earned a combined commission of \$4,650 on the two annuity sales. Her documentation noted that the clients "want long-term growth with some protection" but did not address their significant

short-to-medium-term liquidity needs for college funding, the impact of the surrender schedule on their ability to access funds, the drag of 3.25% annual fees relative to lower-cost IRA investment options, or the financial harm of directing cash flow to an annuity while carrying high-interest consumer debt. Rachel did not disclose or discuss the commission she would receive.

By June 2024, Carlos experienced a three-month business slowdown and needed to access \$15,000 to cover operating expenses and prevent defaulting on his business credit line. When he attempted to withdraw from his variable annuity, he learned the surrender charge would be approximately \$1,275 (8.5%), plus ordinary income taxes and a potential 10% early withdrawal penalty since he was under age 59½. Meanwhile, their credit card balance had grown to \$19,500 due to the continued redirection of cash flow into the annuity. The couple filed complaints with both their state insurance department and the firm's compliance department.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Rachel Nguyen committed serious violations of multiple applicable regulatory standards by recommending illiquid variable annuity products to clients with significant short-term liquidity needs, high-interest debt, and near-term college funding obligations.

****FINRA Rule 2330 - Variable Annuity Suitability:****

Rule 2330 requires that prior to recommending a variable annuity purchase or exchange, a registered representative must make reasonable efforts to obtain comprehensive customer profile information including financial status, investment objectives, time horizon, existing assets, liquidity needs, and risk tolerance. The representative must then have a reasonable basis to believe: (1) the customer would benefit from features of a deferred variable annuity that are not available through other products; (2) the particular annuity as a whole, including riders, is suitable; and (3) the transactions in combination are not unsuitable or excessive.

Rachel's recommendations fail all three prongs. The Reyes family had acute near-term liquidity needs (college funding in 2-5 years, fluctuating self-employment income, \$14,000 in high-interest credit card debt, \$35,000 on a business credit line). Locking \$62,000 of their retirement savings into contracts with 10-year surrender schedules and 8.5% first-year surrender charges was directly contrary to their liquidity profile. The tax-deferred growth feature of the variable annuity provided no incremental benefit since both the SEP-IRA and traditional IRA were already tax-deferred vehicles. The enhanced death benefit rider at 0.85% annually was not discussed relative to the clients' actual insurance needs and added cost without documented justification.

****NAIC Model Regulation 275 (Annuity Best Interest Standard):****

Florida adopted the amended NAIC Model 275 with a compliance date of January 1, 2024. However, even under the prior suitability standard in effect in September 2023 when the sales occurred, the producer was required to have reasonable grounds for believing the annuity was suitable based on the consumer's financial situation, insurance needs, age, and financial objectives. The ten-year surrender period was wholly incompatible with the family's stated 2-5 year college funding timeline. Furthermore, under the best

interest standard now in effect, Rachel would have been required to act in the consumer's best interest, consider reasonably available alternatives, and not place her own financial interest ahead of the consumer's. Her \$4,650 commission on products that were clearly misaligned with client needs strongly suggests a conflict of interest that was not mitigated.

****SEC Regulation Best Interest (Rule 15l-1):****

As recommendations of securities products to retail customers, both VA sales triggered Reg BI's obligations:

- ***Disclosure Obligation***: Rachel failed to disclose her commission of \$4,650 or explain the material conflicts of interest arising from the compensation structure.
- ***Care Obligation***: Rachel was required to exercise reasonable diligence, care, and skill in making the recommendation, including evaluating costs and reasonably available alternatives. Recommending 3.25% all-in annual cost products when the clients could have maintained their existing IRAs with low-cost index funds or target-date funds at a fraction of the expense is a clear failure. Additionally, recommending additional premium payments of \$500/month while the clients carried 19.8% APR credit card debt demonstrates a fundamental failure to consider the client's overall financial picture.
- ***Conflict of Interest Obligation***: The firm and Rachel were required to establish, maintain, and enforce policies to identify and mitigate conflicts of interest. The commission-driven recommendation with no documentation of alternatives suggests both individual and supervisory failures.

****NY Regulation 187 (for reference on enhanced standards):****

While not directly applicable to Florida residents, NY Reg 187's framework is instructive: it requires that every recommendation be in the best interest of the consumer and that the producer consider the consumer's existing assets, other annuity holdings, liquidity needs, financial situation, and needs. The Reyes fact pattern would be a clear violation under any best-interest framework.

****Academic and GAO Research Context:****

GAO reports and academic studies on VA mis-selling have consistently identified the pattern seen here: recommending variable annuities inside already tax-advantaged accounts (providing no marginal tax benefit while adding layers of fees and illiquidity), selling to clients with near-term liquidity needs, and failing to consider lower-cost alternatives. These are hallmarks of unsuitable VA sales.

****Specific Violations:****

1. ****Illiquidity mismatch****: Ten-year surrender schedules for clients needing funds within 2-5 years for college and with irregular income.
2. ****No incremental tax benefit****: Rolling tax-deferred IRAs into tax-deferred variable annuities added costs without tax advantages.
3. ****Failure to address debt****: Directing \$500/month into an annuity instead of paying 19.8% credit card debt caused direct, quantifiable financial harm to the clients.
4. ****Excessive and unjustified costs****: 3.25% annual all-in fees when low-cost IRA alternatives were readily available.
5. ****Inadequate documentation****: Notes did not address liquidity needs, college timeline, debt situation, or alternatives considered.
6. ****Failure to disclose compensation****: The \$4,650 commission and associated conflicts were not

disclosed to the clients.

7. ****Unsuitable rider****: The enhanced death benefit rider was not analyzed relative to the clients' actual needs and added 0.85% in annual drag.

****Likely Regulatory Outcome**** Rachel faces potential FINRA sanctions including fines, disgorgement of commissions, suspension, and mandatory restitution. The Florida Department of Financial Services could pursue disciplinary action under the state's annuity sales standards, including license suspension or revocation. The supervising broker-dealer faces liability for failure to implement adequate supervisory procedures, particularly given the obvious red flags (IRA-to-VA rollovers, long surrender periods relative to client age and stated objectives, high-interest debt on the client profile). The firm may be required to rescind the transactions, waive surrender charges, and restore the clients to their prior positions.

Hypothetical 15

Topic: *variable_annuity_unsuitable* | Difficulty: *hard*

[NON-COM]

Fact Pattern

Margaret Kowalski, age 58, is a public high school biology teacher in upstate New York earning \$74,000 per year. She has been contributing to her employer-sponsored 403(b) plan for 22 years and has accumulated \$415,000 across three separate 403(b) accounts—two held in variable annuity contracts with surrender periods that had already expired, and one in a custodial mutual fund account. Margaret also has a small traditional IRA worth \$38,000 and a savings account with \$21,000. She has no debt other than \$42,000 remaining on her mortgage, which she expects to pay off by age 63. Her stated investment objectives are growth and income with moderate risk tolerance, and she plans to retire at age 62.

In February 2022, Margaret attended a retirement planning seminar hosted at her school district by Derek Pallone, a registered representative and licensed insurance agent affiliated with Keystone Financial Partners. During a subsequent one-on-one meeting at a local coffee shop, Derek reviewed Margaret's existing 403(b) accounts and told her that her current variable annuity contracts were 'outdated products with limited investment options' and that she would benefit from consolidating all three 403(b) accounts into a single new variable annuity contract offered through National Prosperity Life Insurance Company.

The new contract—the National Prosperity Horizon Plus VA—carried an annual mortality and expense charge of 1.45%, an administrative fee of 0.15%, underlying sub-account fund expenses averaging 0.92%, and an optional guaranteed minimum income benefit (GMIB) rider costing 1.10% annually. Total all-in annual costs would be approximately 3.62%. The contract also imposed a seven-year declining surrender charge schedule starting at 8% in year one and decreasing by 1% each year. Derek emphasized the value of the GMIB rider, telling Margaret it would 'guarantee her a paycheck for life starting at 62' and that the benefit base would grow at 5% compounded annually regardless of market performance.

Derek did not discuss that Margaret's existing two variable annuity 403(b) contracts already included living benefit riders with similar income guarantees, nor did he mention that one of them had a benefit base that had already grown to \$197,000 through years of deferral credits. He also did not disclose that the custodial

mutual fund 403(b) account had a total expense ratio of only 0.41% and no surrender charges. Derek earned a 5.75% commission on the \$415,000 rollover, totaling \$23,862.50, plus a 0.25% annual trail commission.

Margaret signed the paperwork in March 2022. By September 2022, after equity markets declined, Margaret wanted to access \$30,000 for an unexpected home repair and discovered she would owe a \$2,400 surrender penalty (8% on the withdrawal amount) plus potential tax consequences. She also learned that the GMIB rider could not be exercised until the contract had been in force for at least 10 years, meaning she could not access the guaranteed income stream until age 68-six years past her planned retirement date of 62. When Margaret contacted Derek, he said he 'didn't recall discussing her specific retirement timeline in detail' and suggested she delay retirement. Margaret filed a complaint with her state insurance department in November 2022.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Pallone committed multiple violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 - Variable Annuity Suitability:****

FINRA Rule 2330 requires that prior to recommending the purchase or exchange of a variable annuity, a registered representative must have a reasonable basis to believe the transaction is suitable based on the customer's investment profile, including age, income, financial situation, risk tolerance, investment objectives, investment time horizon, existing assets, liquidity needs, and other relevant information. Specifically, Rule 2330(b)(1) requires consideration of whether the customer would benefit from certain features of a variable annuity such as tax-deferred growth, annuitization, or death benefit features. Here, Margaret's assets were already held in tax-advantaged 403(b) accounts, meaning the tax-deferral feature of the new VA provided no incremental benefit. The consolidation into a new product with a seven-year surrender schedule imposed significant liquidity constraints on a client only four years from her planned retirement. The GMIB rider's 10-year waiting period was fundamentally incompatible with Margaret's stated retirement timeline of age 62.

Rule 2330(b)(1)(A) also requires that when an exchange or replacement is recommended, the representative must consider whether the customer would lose existing benefits (such as the accumulated benefit base on her prior living benefit riders), would face new surrender charges, and whether the new product offers materially superior features that justify the costs and loss of existing benefits. Derek failed to disclose or consider that Margaret's existing VA contracts already contained living benefit riders with substantial accrued value, and that one contract's benefit base had grown to \$197,000. The replacement destroyed this accumulated value.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):****

The NAIC Model #275, as amended and adopted by most states, requires that insurance producers act in the best interest of the consumer when recommending an annuity and that the recommendation be based on an evaluation of the consumer's suitability profile including financial situation, insurance needs, financial objectives, and specifically requires consideration of alternatives available to the consumer. The producer

must consider the consumer's existing annuity contracts and the benefits therein. Derek's failure to evaluate and disclose the existing riders and their accumulated benefit bases, his failure to compare the cost structures of existing versus proposed products, and his failure to consider that the mutual fund 403(b) account had materially lower expenses all constitute violations of Model 275's care and disclosure requirements.

****New York Regulation 187:****

Because Margaret resides in New York, NY Regulation 187 (11 NYCRR 224) applies. Regulation 187 imposes a best-interest standard on all recommendations of annuity products and life insurance. Under Reg 187, the producer must act in the best interest of the consumer, without placing the producer's financial interest ahead of the consumer's interest. The \$23,862.50 commission generated by consolidating assets that were already suitably invested-including a low-cost custodial account with no surrender charges-into a high-cost VA with a 3.62% annual expense load strongly suggests that Derek's financial interest was the primary motivator. Reg 187 also requires that the producer consider reasonably available alternatives, which Derek did not do.

****Regulation Best Interest (Rule 15l-1):****

Under SEC Regulation Best Interest, a broker-dealer and its associated persons must act in the retail customer's best interest at the time a recommendation is made, without placing the financial or other interest of the broker-dealer ahead of the interest of the retail customer. The Care Obligation under Reg BI requires that the advisor exercise reasonable diligence, care, and skill in making recommendations, including understanding the potential risks, rewards, and costs of the recommendation, and having a reasonable basis to believe the recommendation is in the customer's best interest. The Disclosure Obligation requires full and fair disclosure of material facts relating to conflicts of interest. Derek failed on both: he did not disclose the conflict created by his substantial commission, and the recommendation was not in Margaret's best interest given (a) the loss of existing living benefit riders, (b) imposition of new surrender charges on a near-retiree, (c) a GMIB exercise date incompatible with her retirement plan, and (d) materially higher ongoing expenses relative to her existing holdings.

****Likely Regulatory Outcome:****

Margaret's complaint to the state insurance department would likely trigger a review under both NY Reg 187 and NAIC Model 275 standards. FINRA enforcement could pursue a Rule 2330 violation, potentially resulting in restitution of commissions, reversal of the transaction (if possible), fines, and potential suspension. The combination of an unsuitable replacement, failure to disclose material facts about existing benefits, cost disparity, liquidity mismatch, and the producer's significant financial incentive creates a strong case for multiple, overlapping violations.

Hypothetical 16

Topic: *failure_to_know_customer* | Difficulty: *hard*

Fact Pattern

In March 2022, Gerald Whitmore, a 71-year-old retired postal worker in Tacoma, Washington, met with

[NON-COM

financial advisor Kevin Driscoll at the recommendation of a neighbor. Gerald had recently lost his wife of 48 years and was managing finances alone for the first time. He came to the meeting with a bank statement showing \$410,000 in a money market account, a monthly Social Security benefit of \$2,280, and a small pension of \$1,350 per month. He told Kevin he was nervous about running out of money, that he had no other family aside from a disabled adult son who lived in a group home, and that he wanted to make sure he could continue paying his son's supplemental care costs of approximately \$1,800 per month out of pocket. Gerald had no prior investment experience beyond a savings account and a certificate of deposit he had held in the 1990s. During the initial meeting, which lasted approximately 40 minutes, Kevin asked Gerald to fill out a new account form. Gerald checked the box marked 'moderate growth' for investment objective and wrote 'medium' for risk tolerance, but later told a state investigator he didn't understand what those terms meant and that Kevin told him 'just put moderate, it's what most people pick.' Kevin did not ask about Gerald's monthly expenses, did not inquire about existing insurance coverage, did not ask about his health status or any anticipated medical costs, and did not discuss Gerald's tax bracket or whether he had any existing tax-deferred accounts. Kevin did not document Gerald's liquidity needs or time horizon. Based on this single meeting, Kevin recommended Gerald invest \$370,000 - roughly 90% of his liquid net worth - into a variable annuity with a seven-year surrender schedule, carrying a mortality and expense charge of 1.35%, an administrative fee of 0.15%, and underlying subaccount expenses averaging 0.87%. The product included a guaranteed minimum income benefit rider at an additional annual cost of 1.10%, bringing total annual costs to approximately 3.47%. The surrender charges started at 8% in year one and declined by 1% annually. Kevin earned a commission of \$25,900 on the sale. Gerald signed the paperwork the same day. Over the next 18 months, Gerald needed to withdraw \$43,200 to cover his son's supplemental care costs and unexpected home repairs, triggering surrender charges totaling \$2,764. When Gerald called Kevin to ask why his account value was lower than expected, Kevin did not return his calls for three weeks. Gerald eventually filed a complaint with the state insurance department, stating he never understood the product, was never told about surrender charges, and believed he was putting his money into something 'like a CD but better.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Driscoll committed multiple serious violations stemming from a fundamental failure to know his customer, compounded by an unsuitable recommendation and inadequate disclosure.

****Failure to Know the Customer / Reasonable Diligence:****

Under FINRA Rule 2330(b)(1), before recommending a variable annuity, a registered representative must make reasonable efforts to obtain, at a minimum, the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing insurance holdings, liquidity needs, liquid net worth, risk tolerance, and tax status. Kevin failed to ascertain Gerald's monthly expenses, liquidity needs, health status, tax bracket, existing insurance coverage, or time horizon. The new account form was filled out in a cursory and misleading fashion, with Kevin effectively directing the client to select 'moderate growth' and 'medium' risk tolerance without explanation. A 71-year-old retiree with no investment experience, dependent care obligations, and no other liquid assets does not have a 'moderate growth' profile simply because a box was checked.

The NAIC Model Regulation 275, as amended in 2020 and adopted or substantially adopted in Washington State, requires that producers collect sufficient consumer profile information - including financial situation, insurance needs, financial objectives, and existing assets - to have a reasonable basis for a recommendation. Kevin's 40-minute meeting, during which he failed to gather this critical information, falls far short of the standard.

****Unsuitable Recommendation:****

FINRA Rule 2330(b)(2) requires that a recommended variable annuity transaction be suitable based on the information gathered. Placing 90% of a 71-year-old retiree's liquid assets into a product with a seven-year surrender period, total annual costs of approximately 3.47%, and significant early withdrawal penalties is facially unsuitable for a client with ongoing, predictable liquidity needs (\$1,800/month for dependent care alone), no other liquid reserves, and no investment experience. The NAIC Model Regulation 275 similarly requires that the recommendation be in the consumer's best interest at the time of the transaction, considering the consumer's existing assets, insurance products, financial situation, and needs.

NY Regulation 187, which serves as a benchmark and influenced the NAIC model revisions, explicitly requires that producers act in the best interest of the consumer and that the recommendation be suitable considering the consumer's financial situation, needs, and objectives - not the producer's compensation interest.

****Reg BI Considerations:****

To the extent this transaction involved a securities-based variable annuity sold through a broker-dealer, SEC Regulation Best Interest (Rule 15l-1) required Kevin to satisfy the Care Obligation by exercising reasonable diligence, care, and skill in making the recommendation, including understanding the risks, costs, and rewards of the product and having a reasonable basis to believe the recommendation was in the customer's best interest. The failure to gather basic financial data, combined with the concentration of nearly all liquid wealth in a single illiquid product, constitutes a clear violation of the Care Obligation. The Disclosure Obligation was also likely violated, as Gerald credibly states he was never informed of surrender charges or the nature of the product.

****Likely Regulatory Outcome:****

Kevin faces potential enforcement action from both FINRA (for violation of Rules 2330 and 2111) and the Washington State Office of the Insurance Commissioner (for violation of the state's annuity best-interest standard derived from the NAIC Model Regulation 275). Likely sanctions include disgorgement of the \$25,900 commission, restitution of surrender charges and excess fees paid by Gerald, a fine, a suspension or bar from the securities industry, and possible revocation of his insurance license. The broker-dealer's supervisory system may also face scrutiny under FINRA Rule 3110 for failing to detect the red flags associated with this transaction - particularly the high concentration, advanced age, lack of investment experience, and same-day execution without adequate documentation of the customer profile.

Hypothetical 17

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

[NON-COM

Fact Pattern

In March 2023, financial advisor Derek Holcomb met with Margaret Reeves, a 74-year-old retired school librarian living in Rochester, New York, on a fixed income. Margaret's sole income consisted of \$2,150 per month in Social Security benefits and a small pension of \$850 per month from the local school district. She had \$185,000 in a bank certificate of deposit that had just matured, representing virtually all of her liquid savings. Margaret told Derek that she wanted to keep her money safe, that she could not afford to lose any principal, and that she might need access to the funds within the next two to three years to pay for potential assisted-living costs, as her physician had recently recommended she begin exploring residential care options due to early-stage cognitive decline. She described herself as someone who had never invested in stocks and had always kept her money in CDs and savings accounts. On the new-account form, Derek marked her risk tolerance as 'moderate growth' and her investment time horizon as '10+ years.' He then recommended she invest \$170,000 into a variable annuity issued by a national insurance carrier. The product allocated 65% of the premium to an aggressive small-cap equity sub-account and 20% to an international emerging markets sub-account, with only 15% placed in a stable value option. The annuity carried a seven-year declining surrender charge schedule starting at 8% in the first year, annual mortality and expense risk charges of 1.35%, an administrative fee of \$35 per year, and sub-account management fees averaging 1.10%. Derek also added an optional Guaranteed Minimum Accumulation Benefit rider at an additional annual cost of 0.75%, bringing total annual fees to approximately 3.20%. Within the first fourteen months, the aggressive sub-accounts lost 22% of their value due to a broad equity market correction, reducing Margaret's account value to approximately \$136,000. When Margaret's daughter attempted to withdraw \$40,000 in January 2024 to secure a deposit for an assisted-living facility, the surrender charge of 7% was applied, resulting in a penalty of approximately \$2,800 on the withdrawal. Margaret's daughter filed a complaint with the state insurance department alleging that the annuity was entirely unsuitable for her mother's financial situation and risk profile.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Holcomb committed multiple violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Rule 2330 requires that, prior to recommending a variable annuity, a registered representative must make reasonable efforts to obtain the customer's age, income, financial situation, investment experience, investment objectives, intended use of the annuity, existing insurance coverage, risk tolerance, tax status, and liquidity needs. Derek obtained much of this information from Margaret but then disregarded it entirely. Rule 2330(b) specifically requires that the representative have a reasonable basis to believe the customer would benefit from certain features of a variable annuity, such as tax-deferred growth, annuitization, or death benefit features. Margaret, at age 74 on a fixed income with no prior equity investing experience and a stated near-term liquidity need, had virtually no use for tax-deferred growth over a 10+ year horizon, and the surrender period directly conflicted with her two-to-three-year liquidity timeline.

****Falsification of Customer Profile:**** Derek marked Margaret's risk tolerance as 'moderate growth' and her time horizon as '10+ years,' directly contradicting her stated preferences for principal preservation and her expressed need for access to funds within two to three years. Misrepresenting customer information on

account documents is a serious violation and constitutes a failure to observe high standards of commercial honor under FINRA Rules.

****NY Regulation 187 - Best Interest Standard:**** Because Margaret resides in New York, the transaction is also subject to NY Regulation 187, which requires that any annuity recommendation be in the consumer's best interest at the time of the recommendation. The regulation evaluates the consumer's age, income, existing assets, financial situation, risk tolerance, liquidity needs, and the product's costs relative to reasonably available alternatives. A 74-year-old retiree with early-stage cognitive decline, limited fixed income, no investment experience, and a near-term need for assisted-living funds is a textbook example of a customer for whom a long-surrender-period, high-fee, aggressively allocated variable annuity is not in her best interest. A CD ladder, short-term bond fund, or fixed annuity with a short surrender period and no market risk would have been far more appropriate.

****NAIC Model Regulation 275:**** Under the NAIC Suitability in Annuity Transactions Model Regulation, the producer must have reasonable grounds to believe the annuity is suitable based on the consumer's stated financial situation and needs. The aggressive equity allocation (85% in small-cap and emerging markets sub-accounts) for a conservative, elderly investor with imminent liquidity needs is plainly unsuitable.

****Reg BI (Rule 15l-1):**** If Derek is also acting as a broker-dealer representative, Regulation Best Interest's Care Obligation requires that he exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the product's costs and risks. The recommendation fails this standard on every dimension: the costs are excessive relative to the client's modest means, the risk profile is entirely mismatched, and the liquidity restrictions are incompatible with her needs.

****Likely Regulatory Outcome:**** Derek faces potential disciplinary action from FINRA (fine, suspension, or bar), enforcement by the New York Department of Financial Services under Regulation 187, and potential customer arbitration liability for losses, surrender charges, and consequential damages. The falsification of the customer profile elevates the severity of the violation considerably, as it suggests intentional misconduct rather than mere negligence. Margaret would likely prevail in an arbitration claim for compensatory damages representing the difference between her current account value (after losses and surrender charges) and what she would have retained in a suitable, conservative investment.

Hypothetical 18

Topic: inappropriate_risk_profile | Difficulty: medium

Fact Pattern

Margaret Kowalski is a 74-year-old retired elementary school teacher living in Syracuse, New York. She receives \$2,400 per month from her state pension and \$1,850 per month from Social Security, totaling approximately \$51,000 in annual fixed income. Her liquid assets consist of \$185,000 in a credit union savings account, \$40,000 in a 12-month CD, and \$22,000 in a checking account. She has no other investments and owns her home outright. Margaret has no dependents; her husband passed away in 2021.

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She has been treated for early-stage dementia and her adult daughter, Karen, accompanies her to most financial appointments. Margaret's stated investment objectives, as recorded on her new account form completed in March 2024, are capital preservation and income. Her documented risk tolerance is conservative. She told her advisor, Derek Hollis, that she wanted her money to be safe and accessible in case she needed to move to an assisted-living facility, which her physician had discussed as a possibility within two to three years.

In April 2024, Derek recommended that Margaret liquidate her \$185,000 credit union savings account and invest the full amount into a variable annuity with a seven-year surrender period. The product, issued by Ridgeline Life Insurance Company, carried a mortality and expense risk charge of 1.35%, an administrative fee of 0.15%, and underlying sub-account expenses averaging 0.92%, bringing the total annual cost to approximately 2.42%. The surrender charge schedule began at 7% in year one and declined by 1% per year. The annuity offered a guaranteed minimum death benefit rider at an additional cost of 0.20% annually, and Derek also added a guaranteed lifetime withdrawal benefit rider costing 1.05% per year, bringing the all-in annual cost to roughly 3.67%. Derek allocated 60% of the sub-account investments to an aggressive growth equity fund and 25% to an international equity fund, with only 15% placed in a bond fund. The investment allocation questionnaire in the file, purportedly signed by Margaret, indicated a growth-oriented risk profile, which conflicted with the conservative designation on her new account form completed just one month earlier. Karen later told regulators she was not present at the April meeting and that her mother could not recall signing the questionnaire. Derek earned a commission of \$11,100 on the sale. He did not document any consideration of lower-cost alternatives such as fixed annuities, bank CDs, or Treasury securities, nor did he document why the product's liquidity constraints were appropriate given Margaret's anticipated assisted-living expenses.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hollis violated multiple applicable suitability and best-interest standards in recommending this variable annuity to Margaret Kowalski.

1. ****FINRA Rule 2330 - Variable Annuity Suitability****: Rule 2330 imposes heightened suitability requirements specifically for variable annuity transactions. Before recommending a VA purchase, the registered representative must make reasonable efforts to obtain the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, investment time horizon, existing assets, liquidity needs, liquid net worth, risk tolerance, and tax status. Derek obtained much of this information on the new account form, which clearly indicated Margaret was 74 years old, conservative, seeking capital preservation, and potentially facing significant near-term liquidity needs for assisted-living care. Despite all of this, he recommended a product with a seven-year surrender period, high annual expenses (approximately 3.67% all-in), and an aggressive equity-heavy sub-account allocation. Rule 2330(b) requires a principal to review and determine whether the customer has been informed of the product's features, including surrender charges and fees, and that the transaction is suitable. The conflicting risk profiles on documents completed one month apart—conservative on the new account form versus growth-oriented on the VA allocation questionnaire—should have triggered principal scrutiny and likely rejection of the transaction.

2. ****NAIC Model Regulation 275 (Suitability in Annuity Transactions)**:** As revised in 2020 and adopted in most states, Model 275 requires that a recommendation to purchase an annuity must be in the consumer's best interest at the time of the transaction. The producer must consider the consumer's age, financial situation, insurance needs, existing assets, liquidity needs, and stated objectives. Margaret's profile-advanced age, conservative tolerance, near-term liquidity needs for potential institutional care, early-stage dementia, and reliance on fixed income-makes a long-surrender-period variable annuity with aggressive sub-account allocations fundamentally unsuitable. Model 275 also requires that the producer consider reasonably available alternatives and document the basis for the recommendation. Derek failed to document any consideration of fixed annuities, short-term CDs, Treasury securities, or other products that would have preserved capital and liquidity.

3. ****New York Regulation 187**:** Because Margaret resides in New York, Regulation 187 applies. This regulation requires that annuity recommendations be in the best interest of the consumer, evaluated based on the consumer's financial situation, needs, and objectives, and not based primarily on the producer's compensation. The \$11,100 commission, combined with the absence of any documented rationale for why the VA was superior to lower-cost, more liquid alternatives, strongly suggests compensation was a motivating factor. Regulation 187 also prohibits recommendations where there is no reasonable basis to believe the consumer would benefit from certain features, such as tax deferral. Margaret, already in a low tax bracket in retirement, derived little benefit from tax deferral, particularly given the high annual cost drag.

4. ****Regulation Best Interest (Rule 15l-1)**:** If Derek is also a registered representative of a broker-dealer, Reg BI's Care Obligation requires that he exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the product's risks, rewards, and costs. A 3.67% annual cost structure applied to a 74-year-old conservative investor with imminent liquidity needs and cognitive decline does not satisfy this standard. The Disclosure Obligation requires full and fair disclosure of material facts, including conflicts of interest created by the commission. The Conflict of Interest Obligation requires policies and procedures to mitigate financial incentives that could lead to recommendations not in the customer's interest.

****Additional concerns**:** The conflicting risk profile documents raise potential supervisory and documentation integrity issues. The change from conservative to growth-oriented within one month, combined with Karen's statement that Margaret could not recall signing the questionnaire and that Karen was not present, suggests the allocation questionnaire may not reflect Margaret's actual preferences. Margaret's early-stage dementia also raises questions about her capacity to consent to this transaction.

****Likely regulatory outcome**:** Derek faces potential enforcement action from FINRA for violations of Rule 2330 and the general suitability rule (Rule 2111), as well as from the New York Department of Financial Services for violations of Regulation 187. Potential sanctions include fines, disgorgement of the \$11,100 commission, restitution to make Margaret whole (including surrender charges if she needs to liquidate), suspension or bar from the industry, and enhanced supervisory requirements for his firm. The firm's principal who approved the transaction may also face supervisory liability under Rule 2330(c) for failing to identify the red flags in the conflicting documentation and customer profile.

Hypothetical 19

Topic: *senior_investor_exploitation* | Difficulty: *hard*

[NON-COM

Fact Pattern

Margaret Dunleavy, age 81, is a retired schoolteacher living in Syracuse, New York. She has a fixed monthly income of \$2,400 from Social Security and a small pension of \$1,100 per month. Her total liquid assets consist of \$310,000 in a bank certificate of deposit ladder maturing over the next two years and \$45,000 in a savings account she keeps for emergencies and medical co-pays. She owns her home free and clear, valued at approximately \$185,000. Margaret has been diagnosed with early-stage Parkinson's disease and her neurologist has advised that she may need assisted living care within three to five years, with projected annual costs of \$78,000 in her area. She has no long-term care insurance. Margaret's documented risk tolerance, recorded in prior account opening paperwork from 2019, is "conservative," and her investment objectives are listed as "preservation of capital and income." She has no prior experience with variable annuities, options, or equity investments beyond a small position in a balanced mutual fund she sold in 2017.

In March 2024, financial advisor Derek Hollis, who holds insurance and securities licenses, contacted Margaret after obtaining her name from a list of CD holders at a local bank branch where he maintains a referral arrangement. During a single in-home meeting lasting approximately 90 minutes, Derek recommended that Margaret liquidate \$275,000 of her maturing CDs and invest the proceeds into a variable annuity contract issued by a national insurance carrier. The product selected was the "Pinnacle Growth Plus VA," which featured a seven-year surrender schedule with declining charges starting at 7.5% in year one. The contract included a Guaranteed Minimum Income Benefit (GMIB) rider at an additional annual cost of 1.15% of the benefit base, on top of a mortality and expense charge of 1.30% and average underlying subaccount expenses of 0.87%, bringing total annual costs to approximately 3.32%. Derek allocated the subaccounts as follows: 40% to an S&P 500 index fund, 30% to a mid-cap growth fund, 20% to an international equity fund, and 10% to a high-yield bond fund - an allocation carrying moderate-to-aggressive equity risk.

Derek documented on the application that Margaret's investment objective was "growth and income" and her risk tolerance was "moderate," which differed from the records on file at the firm from 2019. He also noted on the application that Margaret's liquid net worth was \$500,000, a figure significantly higher than her actual liquid assets. Derek did not discuss the surrender charges in detail, did not inquire about Margaret's health condition or potential future liquidity needs, and did not present any alternative products such as a fixed annuity, a single-premium immediate annuity, or a short-term bond fund. Margaret's daughter, who holds power of attorney, was not present at the meeting and was not informed of the transaction. Derek received a commission of \$16,500 (6% of the premium) on the sale.

Six months later, in September 2024, Margaret's Parkinson's symptoms progressed faster than expected and her family began seeking assisted living placement. When her daughter attempted to withdraw funds from the annuity to pay a \$12,000 facility deposit and first month's rent, she discovered the surrender charge would be approximately \$19,688 on a \$275,000 withdrawal, and that the account value had declined to \$261,400 due to equity market volatility and the cumulative effect of fees. Margaret's daughter filed a complaint with the state insurance department and the advisor's broker-dealer.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hollis committed multiple serious violations across overlapping regulatory frameworks.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Rule 2330 imposes heightened suitability obligations for VA recommendations, requiring the registered representative to have a reasonable basis to believe the transaction is suitable based on the customer's age, annual income, financial situation, investment experience, investment objectives, intended use of the annuity, existing insurance holdings, liquidity needs, liquid net worth, risk tolerance, and tax status. Derek failed virtually every element. Margaret was 81, in declining health, had conservative risk tolerance, limited income, no VA experience, and an imminent need for liquidity to fund assisted living. A seven-year surrender-charge product with aggressive equity subaccount allocations was facially unsuitable. Rule 2330(b)(1)(A) also requires a principal to review and approve VA transactions before transmittal, and the firm's supervisory system should have flagged the discrepancy between the 2019 account records (conservative/capital preservation) and the new application (moderate/growth and income).

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the revised Model 275, which incorporates a best-interest standard for annuity recommendations, the producer must act in the consumer's best interest at the time of recommendation, exercise reasonable diligence and care, and ensure the recommendation is suitable considering the consumer's age, liquidity needs, financial situation, and existing coverage. The producer must not place his financial interest ahead of the consumer's interest. Derek's \$16,500 commission created a significant financial incentive that he failed to mitigate. He did not consider or present reasonably available alternatives (fixed annuities, SPIAs, or non-annuity products), violating the care obligation component. He also inflated Margaret's liquid net worth on the application to \$500,000 - a misrepresentation that could constitute fraud and a separate violation of the duty to gather accurate consumer profile information under Model 275 § 6A.

****New York Regulation 187:**** Because Margaret resides in New York, Regulation 187 applies with full force. It requires that the recommendation be in the best interest of the consumer based on an evaluation of the consumer's suitability information, that the producer consider reasonably available alternatives, and that compensation not be a material factor in the recommendation. Regulation 187 § 224.4(d) specifically requires documentation of the basis for the recommendation. Derek's documentation was falsified, his failure to discuss alternatives was a direct violation, and the outsized commission on an unsuitable product to a vulnerable senior demonstrates that compensation was a primary driver.

****Reg BI (Rule 15l-1 under the Securities Exchange Act):**** Because this involved a securities transaction (variable annuity) recommended by a broker-dealer-associated person, Regulation Best Interest applies. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, consider reasonably available alternatives, and consider costs. Derek recommended the most expensive and illiquid option without considering alternatives. The Disclosure Obligation requires disclosure of material facts about the recommendation, including costs and conflicts; Derek failed to explain surrender charges. The Compliance Obligation requires the firm to have policies to

identify and mitigate conflicts such as compensation-driven recommendations.

****Additional Violations:****

- Falsification of customer records (inflating net worth, changing risk tolerance and objectives without basis) violates FINRA Rules 4511 and 2010 (standards of commercial honor and just and equitable principles of trade).
- Potential elder financial exploitation under New York's elder abuse statutes and FINRA Rule 2165.
- The firm's supervisory system likely failed under FINRA Rule 3110 for not catching red flags: an 81-year-old, discrepant suitability records, and a large illiquid product sale.

****Likely Regulatory Outcome:**** Derek faces potential sanctions including fines, disgorgement of the \$16,500 commission, suspension or bar from the securities industry, and revocation of his insurance license. The broker-dealer faces supervisory failure charges. Margaret would likely recover her losses, surrender charges, and potentially consequential damages through arbitration or the state insurance department complaint process. The state insurance department may also pursue the insurer for inadequate producer oversight under Model 275's insurer supervision requirements.

Hypothetical 20

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Margaret Kowalski, age 72, is a retired elementary school cafeteria worker living in Syracuse, New York. She has a monthly Social Security income of \$1,640 and a small pension of \$480 per month. Her total liquid savings consist of \$127,000 in a bank certificate of deposit and \$18,000 in a savings account. She has no other investments, no prior experience with securities, and has never owned an annuity or mutual fund. She did not finish high school and has told multiple people at her church that she finds financial paperwork confusing and relies on her niece to help her pay bills online.

In March 2023, Margaret met advisor Dennis Hargrove at a free dinner seminar at a local restaurant advertised as 'Retirement Income Protection Strategies.' During the seminar, Dennis described how retirees could 'grow their money while protecting against market downturns.' Margaret signed an attendance card with her phone number. Dennis called her two days later and scheduled a meeting at her kitchen table.

At the meeting, Dennis collected basic information: her age, income, the CD balance, and her savings account. Margaret stated she wanted to keep her money safe and accessible in case she needed it for medical expenses, as she had recently been diagnosed with early-stage chronic kidney disease and anticipated future out-of-pocket costs. She mentioned she had no family members who depended on her financially.

Despite these stated objectives, Dennis recommended Margaret liquidate her \$127,000 CD - which still had 14 months remaining and would incur a \$1,900 early withdrawal penalty - and invest the proceeds into a variable annuity with a guaranteed minimum income benefit rider. The product, the Pinnacle Growth &

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Income VA, carried a mortality and expense charge of 1.35%, an administrative fee of 0.15%, underlying sub-account expenses averaging 0.87%, and the income rider fee of 1.10%, bringing total annual costs to approximately 3.47%. The product had a seven-year surrender charge schedule beginning at 7% in year one and declining by 1% per year. The minimum holding period before penalty-free income rider activation was also seven years.

Dennis documented Margaret's risk tolerance as 'moderate growth' on the new account form, despite her repeated verbal statements about wanting safety and access to her funds. He selected an aggressive sub-account allocation: 60% in a small-cap growth fund, 25% in an international equity fund, and 15% in a high-yield bond fund. He did not discuss lower-cost alternatives such as fixed annuities, immediate annuities, or simply renewing the CD. He earned a 5.75% commission on the sale, totaling approximately \$7,302.

Twelve months later, Margaret needed \$22,000 for a kidney-related surgical procedure not fully covered by Medicare. When she attempted to withdraw the funds, she was informed she would owe a 6% surrender charge (\$1,320 on the withdrawal) plus the amount had declined in value by approximately 9% due to the aggressive sub-account allocation and market volatility. Her account value had fallen to roughly \$115,400. Margaret filed a complaint with the New York Department of Financial Services and a written grievance with Dennis's broker-dealer.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated multiple suitability and best-interest standards applicable to this transaction.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under FINRA Rule 2330, before recommending the purchase of a variable annuity, a registered representative must make reasonable efforts to obtain the customer's financial status, tax status, investment objectives, and other relevant information. The representative must then have a reasonable basis to believe that (a) the customer has been informed of the features of variable annuities, including surrender charges, potential tax penalties, mortality and expense charges, and market risk; (b) the customer would benefit from certain features of a variable annuity such as tax-deferred growth, annuitization, or a death benefit; and (c) the specific variable annuity as a whole, including its riders and sub-accounts, is suitable.

Here, Margaret was a 72-year-old unsophisticated investor with no securities experience, limited income, a known near-term medical need for liquidity, and expressly stated objectives of safety and accessibility. A variable annuity with a seven-year surrender period, aggressive equity sub-account allocation, and total annual expenses of 3.47% was clearly unsuitable. She had no need for tax-deferred growth (the CD was already generating modest taxable interest, and at her income level, the tax benefit was negligible). The death benefit rider was irrelevant because she had no dependents. The income rider could not be activated for seven years, well beyond her stated liquidity horizon.

****NAIC Model Regulation 275 - Suitability in Annuity Transactions:**** Under the revised NAIC Model

Regulation 275, an insurance producer must act in the consumer's best interest when recommending an annuity. This includes consideration of the consumer's existing assets, financial situation, insurance needs, investment objectives, risk tolerance, liquidity needs, and time horizon. A recommendation must reflect the care, skill, prudence, and diligence that a prudent person acting in a like capacity would exercise. The producer must not place the producer's financial interest ahead of the consumer's interest.

Dennis placed his own financial interest - a \$7,302 commission - ahead of Margaret's clearly expressed need for safety and liquidity. He failed to consider reasonable alternatives. He misrepresented her risk tolerance on the application as 'moderate growth' when she explicitly expressed a conservative, capital-preservation objective. This constitutes a documentation falsification issue in addition to the suitability failure.

****New York Regulation 187 - Best Interest Standard:**** Because this transaction occurred in New York after August 1, 2019, NY Reg 187 applies. Under Reg 187, the recommendation must be in the best interest of the consumer, considering the consumer's financial situation, insurance needs, and financial objectives, without placing the producer's or insurer's interests ahead of the consumer's. The regulation requires evaluation of reasonable alternatives and imposes obligations on the insurer to establish and maintain a supervision system.

The recommendation fails the Reg 187 best-interest standard on multiple grounds: (1) the product's surrender schedule and illiquidity were fundamentally incompatible with Margaret's known medical expenses and liquidity needs; (2) the aggressive sub-account allocation was inconsistent with her conservative risk tolerance; (3) the total cost drag of 3.47% annually was excessive relative to any benefit Margaret could derive; (4) no alternatives were presented, including a fixed annuity or simply renewing her CD; (5) the advisor caused an unnecessary \$1,900 early CD withdrawal penalty.

****Likely Regulatory Outcome:**** The broker-dealer's supervisory system should have flagged this transaction under its principal review obligations (FINRA Rule 2330(c) requires a registered principal to review VA transactions before transmittal). The facts suggest inadequate supervision. Dennis is likely to face disciplinary action including potential fines, disgorgement of the commission, suspension, or bar. The broker-dealer faces potential liability for failure to supervise. The New York DFS complaint may result in additional state-level enforcement, including potential revocation of Dennis's insurance license. Margaret is likely entitled to rescission or compensatory damages restoring her to the pre-transaction position, including recovery of the CD early withdrawal penalty, surrender charges, investment losses attributable to the unsuitable allocation, and potentially consequential damages related to her inability to access funds for medical treatment.

Hypothetical 21

Topic: *tax_deferred_unnecessary_annuity* | Difficulty: *medium*

Fact Pattern

In March 2023, financial advisor Derek Simmons met with Patricia Aldridge, a 58-year-old high school

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principal earning \$112,000 annually. Patricia had accumulated \$340,000 in her 403(b) retirement plan through her school district and held an additional \$185,000 in a traditional IRA rolled over from a previous employer's 401(k). She also had \$47,000 in a taxable brokerage account invested in a balanced mutual fund and \$22,000 in a savings account. Patricia described herself as a moderate-risk investor whose primary objective was retirement income starting at age 65. She had no dependents, owned her home outright, and had no significant debts. During their meeting, Derek recommended that Patricia move \$160,000 from her traditional IRA into a variable annuity issued by National Protective Life Insurance Company. The product, called the "Horizon Growth Plus VA," carried a 7-year surrender period with declining surrender charges starting at 7% in year one, an annual mortality and expense risk charge of 1.35%, an administrative fee of 0.15% annually, and underlying subaccount expense ratios averaging 0.82%. Derek also recommended adding a guaranteed minimum income benefit rider at an additional annual cost of 0.95%, bringing total annual fees and charges to approximately 3.27%. Derek told Patricia that the variable annuity would give her "tax-deferred growth" on her retirement savings and that the income rider would protect her future retirement paycheck. He did not discuss the fact that Patricia's IRA already provided tax-deferred growth. He did not compare the total cost of the variable annuity against lower-cost alternatives within the IRA, such as a diversified portfolio of index funds or a fixed indexed annuity without the layered fee structure. Derek earned a \$9,600 commission on the sale. Patricia signed the application and the funds were transferred. Fourteen months later, Patricia's account value had grown only marginally to \$163,200 despite favorable equity markets, largely because the 3.27% annual fee drag offset most of the subaccount investment gains. When Patricia consulted another advisor for a second opinion, she learned that her IRA had already provided the same tax-deferral benefit and that comparable low-cost index fund portfolios inside her IRA would have generated significantly better net returns.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons likely violated multiple applicable standards governing the sale of variable annuities.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under Rule 2330, a registered representative must have a reasonable basis to believe that a variable annuity transaction is suitable for a particular customer. Critically, Rule 2330(b)(1)(A) requires the advisor to consider, among other factors, whether the customer would benefit from certain features of a variable annuity, such as tax-deferred growth, that are not available through other products. Here, Patricia's \$160,000 was already held inside a traditional IRA - an account that inherently provides tax-deferred growth under the Internal Revenue Code. Placing tax-deferred money into a variable annuity provides no incremental tax-deferral benefit. The only result is the addition of a costly insurance wrapper (totaling approximately 3.27% annually) on top of the underlying investments. This is a textbook example of 'layering' unnecessary tax deferral, which FINRA and state insurance regulators have repeatedly identified as a red flag for unsuitable sales.

****NAIC Model Regulation 275:**** Under the NAIC Suitability in Annuity Transactions Model Regulation (Model 275), an insurance producer must have a reasonable basis to believe that an annuity recommendation is suitable based on the consumer's financial situation, insurance needs, and objectives. The regulation also imposes a best-interest standard in states that have adopted the amended version. Derek failed to establish that the insurance features - specifically the guaranteed minimum income benefit

rider - justified the substantial additional cost when Patricia could have obtained similar downside protection or income planning strategies through lower-cost alternatives within her existing IRA. The GMI rider alone cost 0.95% per year, and Derek did not document or demonstrate any analysis showing that the rider's benefits exceeded the drag on Patricia's retirement accumulation.

****New York Regulation 187 (if applicable):**** If Patricia resided in New York, Regulation 187 imposes an explicit best-interest standard on annuity recommendations. The regulation requires that the recommendation be in the consumer's best interest at the time of the transaction, considering reasonably available alternatives. Derek's failure to compare the VA to lower-cost IRA investment options, and his failure to disclose that the IRA already provided tax deferral, would constitute a clear violation.

****SEC Regulation Best Interest (Rule 15l-1):**** As a registered representative of a broker-dealer, Derek was also subject to Reg BI's care obligation, which requires that the advisor exercise reasonable diligence, care, and skill in making a recommendation, including evaluating reasonably available alternatives. Recommending a high-cost variable annuity to hold assets that are already tax-deferred, without any documented analysis of alternatives or cost comparison, fails this standard. Additionally, the \$9,600 commission creates a material conflict of interest that should have been mitigated under Reg BI's conflict-of-interest obligation, and there is no indication Derek disclosed or mitigated this conflict.

****Key Deficiencies:**** (1) No incremental tax-deferral benefit since funds were already in a traditional IRA; (2) No documented cost-benefit analysis comparing the VA to lower-cost IRA investment alternatives; (3) Failure to explain that the primary stated benefit - tax-deferred growth - was redundant; (4) High total expense ratio of 3.27% significantly eroded investment returns; (5) A 7-year surrender period restricted Patricia's liquidity during the years leading up to her target retirement age of 65; (6) Substantial commission creating an undisclosed or unmitigated conflict.

****Likely Regulatory Outcome:**** Derek's firm and supervising principal could face FINRA enforcement action for failure to supervise and for an unsuitable variable annuity recommendation. State insurance department action is also possible. Remedies could include disgorgement of commissions, restitution to Patricia for excess fees and surrender charges, fines, a letter of caution or censure, and enhanced supervisory requirements. In egregious or repeat scenarios, suspension or bar from the industry is possible.

Hypothetical 22

Topic: *inappropriate_risk_profile* | Difficulty: *hard*

Fact Pattern

Gerald Whitmore, age 74, is a retired postal worker living in Binghamton, New York, with a fixed pension of \$2,800 per month and Social Security income of \$1,950 per month. His total liquid savings consist of \$310,000 in a bank certificate of deposit and \$85,000 in a money market account. He owns his home outright, valued at approximately \$185,000, and has no outstanding debts. Gerald has never owned equities, mutual funds, or any market-linked investment product. On his new account form completed in March 2022, he checked 'conservative' for risk tolerance, listed 'capital preservation and income' as his

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investment objectives, and indicated a time horizon of 'less than five years.' He told his advisor, Denise Carrollton, that his primary concern was making sure his savings lasted through retirement and that he could access funds if needed for potential assisted-living costs, as his wife had recently been diagnosed with early-stage dementia. In April 2022, Denise recommended that Gerald liquidate both the CD (incurring an early withdrawal penalty of \$4,200) and the money market account and invest the combined \$390,800 into two variable annuity contracts. The first was a variable annuity with a guaranteed minimum income benefit rider allocated 70% to an aggressive growth sub-account and 30% to an international equity sub-account, with total annual expenses of 3.45% including the rider charge, mortality and expense fees, and sub-account management fees. The surrender period was eight years with a declining surrender charge starting at 8%. The second was a similar variable annuity from a different carrier, allocated 60% to a small-cap growth sub-account and 40% to a mid-cap value sub-account, carrying total annual expenses of 3.10% and a seven-year surrender schedule beginning at 7%. Neither contract included a fixed or bond sub-account allocation. Denise earned a total upfront commission of \$27,310 across both contracts. She documented on her recommendation form that Gerald had a 'moderate-aggressive' risk profile and a 'long-term growth' objective, directly contradicting the information Gerald had provided on his new account form. Gerald's branch manager approved the transactions the same day without requesting clarification on the discrepancy between the customer profile documents. Within fourteen months, the aggressive sub-account allocations declined roughly 22% in value due to equity market volatility, and Gerald's wife required placement in a memory care facility costing \$7,500 per month. When Gerald attempted to withdraw funds, he was assessed surrender charges totaling \$24,680 across the two contracts, reducing the accessible value of his life savings significantly. Gerald filed a complaint with his state insurance department in August 2023.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Denise Carrollton committed multiple serious violations of applicable suitability and best-interest standards.

1. ****FINRA Rule 2330 (Variable Annuity Suitability):**** Rule 2330 requires that before recommending a variable annuity purchase, a registered representative must have a reasonable basis to believe the transaction is suitable based on the customer's age, income, financial situation, investment objectives, risk tolerance, time horizon, liquidity needs, and other relevant factors. Gerald was 74 years old, had a conservative risk tolerance, a short time horizon, explicit capital preservation objectives, and an imminent need for liquidity due to his wife's dementia diagnosis. Recommending that he place virtually 100% of his liquid net worth into two variable annuities with aggressive equity sub-account allocations, combined annual expenses exceeding 3%, and lengthy surrender periods of seven and eight years was fundamentally unsuitable. The product features - long surrender periods, high fees, and aggressive equity exposure - were antithetical to every stated customer need.

2. ****Falsification of Customer Profile:**** Denise documented Gerald as having a 'moderate-aggressive' risk profile and 'long-term growth' objective on the recommendation form, directly contradicting the 'conservative' risk tolerance and 'capital preservation and income' objectives Gerald recorded on his own new account form. This constitutes a falsification of books and records and is a serious violation in its own

right, potentially implicating Exchange Act Section 17(a) and FINRA Rules 4511 and 2010 (standards of commercial honor).

3. ****NY Regulation 187 (Best Interest Standard):**** Because Gerald resides in New York, the transaction is subject to NY Regulation 187, which requires that annuity recommendations be in the consumer's best interest at the time of the recommendation, considering the consumer's age, financial situation, insurance needs, objectives, and other relevant suitability information. The regulation also prohibits placing the producer's financial interest ahead of the consumer's. Denise earned \$27,310 in commissions by concentrating Gerald's entire liquid net worth in products that were wholly inconsistent with his documented profile and needs. This is a textbook violation of the producer's best-interest obligation under Regulation 187.

4. ****NAIC Model Regulation 275:**** Model 275 establishes that an insurance producer must have reasonable grounds for believing a recommendation is suitable based on facts disclosed by the consumer concerning investments, insurance products, financial situation, and needs. The recommendation here fails every element of the suitability framework - unsuitable risk level, unsuitable time horizon, unsuitable liquidity characteristics, and unsuitable concentration.

5. ****Reg BI (Rule 15l-1) - Care Obligation:**** Under Regulation Best Interest's Care Obligation, a broker-dealer and associated person must exercise reasonable diligence, care, and skill to understand the recommended product and have a reasonable basis to believe the recommendation is in the customer's best interest without placing the financial interest of the broker-dealer ahead of the customer's interest. The 100% aggressive equity allocation in products with punitive surrender charges for a 74-year-old conservative investor with pressing liquidity needs fails the Care Obligation. Additionally, the cost component - annual expenses of 3.10%-3.45% - further undermines any best-interest analysis.

6. ****Supervisory Failures:**** The branch manager's same-day approval despite an obvious discrepancy between the new account form and the recommendation form constitutes a supervisory failure under FINRA Rules 3110 and 2330(c), which specifically require a registered principal to review variable annuity transactions and consider whether the recommendation is suitable.

****Likely Regulatory Outcome:**** Denise faces potential sanctions including fines, disgorgement of commissions, suspension or bar from the securities industry, and revocation of her insurance license. The firm faces liability for supervisory failures. Gerald would likely be entitled to rescission or compensatory damages in arbitration or through the state insurance department complaint process. The falsification of customer documents could also trigger criminal referral depending on the jurisdiction.

Hypothetical 23

Topic: *annuity_unnecessary_switching* | Difficulty: *hard*

Fact Pattern

Margaret Olsen, age 61, is a retired school principal in Columbus, Ohio, with a \$420,000 traditional IRA, a

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\$95,000 savings account, and a monthly pension of \$4,200. She describes herself as moderately conservative and her primary investment objective is capital preservation with modest growth to supplement her pension through retirement. In March 2022, Margaret's financial advisor, Derek Hannon, recommended she purchase a variable annuity (Product A) from National Horizon Life, investing \$300,000 of her IRA assets. Product A carried a 7-year surrender schedule starting at 7% and declining annually, an annual mortality and expense charge of 1.35%, administrative fees of 0.15%, and average underlying subaccount expenses of 0.82%. Margaret also elected, on Derek's recommendation, a guaranteed minimum income benefit rider costing an additional 0.95% annually. Total all-in annual cost was approximately 3.27%. Margaret began taking systematic withdrawals of \$1,200 per month in September 2022 to cover property taxes and supplemental living expenses.

In June 2024-only 27 months into the surrender period-Derek contacted Margaret and told her that a newer variable annuity product (Product B) from Pinnacle Assurance Corp. offered 'significantly better investment options and a stronger income guarantee.' He recommended she surrender Product A and purchase Product B with the proceeds. Product B carried a new 8-year surrender schedule beginning at 8%, mortality and expense charges of 1.40%, administrative fees of 0.15%, subaccount expenses averaging 0.79%, and a guaranteed lifetime withdrawal benefit rider at 1.05% annually-total all-in cost of approximately 3.39%. The surrender of Product A triggered a 5% surrender charge on the \$287,400 account value, resulting in a \$14,370 penalty paid by Margaret. Derek's notes in the file stated the switch was justified because Product B's lifetime withdrawal benefit rider had a 5.5% rollup rate on the benefit base compared to Product A's 5.0% rollup rate, and Product B offered two additional equity subaccount choices.

Margaret's account at Pinnacle opened at approximately \$273,030 after the surrender penalty. Over the next 12 months, Product B's subaccounts performed comparably to Product A's prior subaccount selections, and Margaret continued her \$1,200 monthly withdrawals. By June 2025, her account value in Product B was approximately \$254,600. Derek earned a commission of \$7,800 on the original Product A sale and \$6,830 on the Product B sale. Margaret later learned from a different advisor that the marginal improvement in the rollup rate would have added an estimated \$38 per month to her guaranteed income at age 70 under Product B versus Product A-a difference that would take over 31 years of withdrawals to recoup the \$14,370 surrender charge she paid, not accounting for the new surrender period or slightly higher ongoing fees. Margaret also was not informed that Product A's issuer had been planning to offer a rider upgrade at no cost to existing contract holders, which would have increased her rollup rate to 5.25% without any surrender charge or new surrender period. Derek did not document any comparison of this upcoming rider enhancement, nor did he document a quantified cost-benefit analysis of the switch. His branch manager approved the transaction after a cursory review of Derek's recommendation memo, which contained only qualitative statements about Product B's 'superior features.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hannon violated applicable suitability and best-interest standards in multiple respects.

1. ****FINRA Rule 2330 - Variable Annuity Suitability and Exchanges:**** FINRA Rule 2330(b) imposes heightened suitability requirements for recommended VA exchanges or replacements. Before

recommending that a customer exchange one VA for another, the registered representative must consider, among other things: (a) whether the customer would incur a surrender charge on the existing VA; (b) whether the customer would lose existing benefits; (c) whether the customer would be subject to a new surrender period; (d) whether the replacement product offers materially different features; and (e) whether the customer has had another exchange within the preceding 36 months. Here, Margaret incurred a \$14,370 surrender charge (5% of \$287,400), was locked into a new 8-year surrender schedule at 8%, and the purported benefit—a 0.5% improvement in the income rollup rate—yielded a negligible incremental income benefit of approximately \$38/month at age 70, which would take over 31 years to offset the surrender penalty alone. Derek failed to perform or document any quantified comparison of costs versus benefits of the exchange, as required under the rule.

2. ****NAIC Model Regulation 275 (Suitability in Annuity Transactions Model Regulation):**** The revised NAIC Model, adopted across most states, requires that a recommendation to exchange or replace an annuity must be in the consumer's best interest. The producer must consider the totality of the consumer's circumstances, including costs, benefits, and material features of the existing product versus the recommended product. Specifically, Model Section 6(B) requires documentation of the reasons the replacement is in the consumer's best interest, including a comparison of benefits, costs, surrender charges, and product features. Derek's recommendation memo contained only qualitative assertions without quantitative analysis. He also failed to investigate or disclose that Product A's issuer was planning a no-cost rider upgrade that would have narrowed the rollup-rate differential to only 0.25% without incurring any surrender charge or new surrender period. The Model further requires the insurer's supervisory system to meaningfully review replacement transactions. The branch manager's cursory approval of the transaction without verifying a cost-benefit analysis represents a failure of supervisory oversight under Section 6(D) of the Model.

3. ****Regulation Best Interest (SEC Rule 15l-1):**** Under Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)(B)), a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation, considering the costs and reasonably available alternatives. They must have a reasonable basis to believe the recommendation is in the retail customer's best interest and does not place the financial professional's interest ahead of the customer's. Derek earned \$6,830 in new commission on the replacement while Margaret suffered a \$14,370 surrender penalty and higher ongoing annual expenses (3.39% vs. 3.27%). The marginal benefit was negligible relative to the quantifiable costs. Under the Conflict of Interest Obligation (Rule 15l-1(a)(2)(iv)), the firm must identify and disclose or mitigate conflicts of interest, including compensation-driven incentives. The commission structure here created an obvious incentive for the switch that was not mitigated.

4. ****New York Regulation 187:**** Although Margaret resides in Ohio, NY Reg 187 is instructive as the gold standard for annuity best-interest conduct. It requires that the recommendation be in the best interest of the consumer at the time of the transaction, with documentation of a comparative analysis and consideration of all reasonably available alternatives, including retention of the existing product. Derek's conduct would clearly fail Reg 187's requirements as well.

****Likely Regulatory Outcome:**** Derek and his firm face potential FINRA enforcement action for violations of Rule 2330, including fines, disgorgement of commissions, restitution to Margaret for the surrender charge

and excess fees, and potential suspension. The state insurance department may pursue action against Derek's insurance license under the adopted version of NAIC Model 275 for failure to act in the consumer's best interest and failure to document a reasonable basis for the replacement. The firm's supervisory system may also face separate sanctions for inadequate review of the exchange transaction. Academic studies and GAO reports on VA mis-selling have consistently identified unnecessary switching-sometimes called 'churning'-as one of the most harmful practices in the VA marketplace, particularly when the primary beneficiary of the exchange is the producing agent's commission rather than the consumer.

Hypothetical 24

Topic: *senior_investor_exploitation* | Difficulty: *medium*

[NON-COM]

Fact Pattern

Margaret Evanston, age 81, is a retired elementary school teacher living in Rochester, New York, on a fixed income of approximately \$2,400 per month from Social Security and a small defined-benefit pension. Her total liquid assets consist of \$285,000 in a bank money market account and a \$40,000 certificate of deposit maturing in six months. She has no other investments, no outstanding debts, and owns her home outright. Margaret's late husband handled most financial decisions, and she has very limited investment experience. She has been diagnosed with early-stage dementia, a fact she disclosed to her financial advisor, Kevin Tramell, during their first meeting in March 2023. Margaret told Kevin that her primary goals were preserving her savings so she could pay for potential assisted-living expenses in the next two to three years and leaving whatever remained to her two grandchildren. She described herself as very conservative and said she could not afford to lose any principal. Kevin, who had been a licensed insurance agent and registered representative for four years, recommended that Margaret invest \$240,000-approximately 74% of her liquid net worth-into a variable annuity contract with a 7-year surrender period. The product carried a mortality and expense risk charge of 1.40%, an administrative fee of 0.15%, and underlying sub-account expenses averaging 0.95%, bringing the total annual cost to approximately 2.50%. The contract also included an optional guaranteed minimum income benefit rider costing an additional 0.85% annually. Kevin allocated 60% of the sub-account investments to an equity growth fund and 40% to a balanced fund. The surrender schedule imposed a 7% penalty in year one, declining by 1% each year. Kevin did not document any discussion of Margaret's cognitive condition, her short-term liquidity needs for assisted living, or alternative lower-cost products such as fixed annuities, bank CDs, or Treasury securities. He earned a commission of \$16,800 (7%) on the sale. Within eight months, the equity sub-accounts declined 12% during a market correction, and Margaret's account value dropped to approximately \$210,500. When Margaret's daughter, who holds power of attorney, attempted to withdraw funds to pay a \$9,000 deposit for an assisted-living facility, she was informed that the surrender charge would be \$13,650. The daughter filed a complaint with the state insurance department in January 2024.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated multiple applicable standards governing the sale of variable annuities.

****FINRA Rule 2330 - Variable Annuity Suitability:**** This rule requires that, prior to recommending a variable annuity, a registered representative must make reasonable efforts to obtain information about the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, investment time horizon, existing assets, liquidity needs, liquid net worth, risk tolerance, and tax status. The representative must then have a reasonable basis to believe the transaction is suitable for the particular customer. Here, Kevin recommended that an 81-year-old woman with early-stage dementia, virtually no investment experience, an extremely conservative risk profile, and an explicit near-term need for liquidity (assisted-living costs within two to three years) place 74% of her liquid savings in a product with a 7-year surrender period and aggressive equity sub-account allocations. The recommendation was plainly unsuitable on multiple dimensions: (1) the long surrender period was incompatible with her short time horizon and imminent liquidity needs; (2) the 60% equity allocation contradicted her stated zero tolerance for principal loss; (3) the total annual expense load of approximately 3.35% (including the rider) was excessive relative to her conservative objectives; and (4) the concentration of nearly three-quarters of her liquid assets in a single illiquid product left her dangerously under-diversified and without adequate emergency reserves.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the revised Model 275, which has been adopted in most states, an insurance producer must act in the best interest of the consumer and must have a reasonable basis to believe that the recommended annuity is suitable based on the consumer's disclosed financial situation, insurance needs, financial objectives, and other relevant information. The producer must consider less costly and less complex alternatives. Kevin failed to document or apparently even consider lower-cost, more liquid alternatives such as fixed annuities without surrender charges, short-term CDs, or Treasury instruments, all of which would have been far more consistent with Margaret's stated objectives of capital preservation and near-term liquidity for assisted living.

****New York Regulation 187 (Suitability and Best Interest of Consumer):**** Because Margaret resides in New York, Regulation 187 applies and imposes a best-interest standard on annuity recommendations effective February 2020. Under Reg 187, the producer must act in the best interest of the consumer at the time of the recommendation without placing his own financial interest ahead of the consumer's. The \$16,800 commission (7%) created a powerful financial incentive that appears to have driven the recommendation in direct conflict with the client's needs. The regulation also requires that the recommendation be accompanied by adequate documentation, which Kevin failed to provide—particularly regarding Margaret's cognitive condition and its implications for understanding the product.

****SEC Regulation Best Interest (Rule 15l-1):**** As a registered representative of a broker-dealer, Kevin is also subject to Reg BI, which requires that a broker-dealer and its associated persons act in the best interest of a retail customer when making a recommendation of any securities transaction, including variable annuities. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill, consider reasonably available alternatives, and evaluate costs and risks in light of the customer's profile. The Disclosure Obligation requires full and fair disclosure of material conflicts of interest, including commission-based compensation. The Conflict of Interest Obligation requires the firm to establish policies to identify and mitigate conflicts. Kevin's recommendation fails all three obligations.

****Senior Investor Exploitation Factors:**** Multiple red flags specific to senior investor protection were ignored. Margaret's advanced age (81), cognitive impairment (early-stage dementia raising capacity concerns), limited financial sophistication, dependence on fixed income, and near-term care needs all should have prompted heightened scrutiny. Many state insurance departments and self-regulatory organizations have issued specific guidance requiring enhanced supervision and documentation for annuity sales to seniors, particularly those over age 65.

****Likely Regulatory Outcome:**** Kevin faces potential sanctions from multiple regulators. FINRA could impose fines, suspensions, or a bar for violating Rule 2330 and the general suitability and best-interest framework. The New York Department of Financial Services could revoke or suspend his insurance license for violating Regulation 187. The SEC or the firm's compliance department could pursue action under Reg BI. Margaret and her family would likely be entitled to rescission of the annuity contract, full restitution of losses including surrender charges, and potentially consequential damages related to the delay in accessing assisted-living care. The producing firm would also face supervisory liability for failing to flag and review this transaction, given the obvious red flags associated with a senior client with diminished capacity.

Hypothetical 25

[NON-COMMERCIAL]

Topic: *tax_deferred_unnecessary_annuity* | Difficulty: *medium*

Fact Pattern

Margaret Ellison, age 58, is a public high school teacher in suburban Portland, Oregon, earning \$72,000 per year. She has been contributing to her employer-sponsored 403(b) plan for 22 years and has accumulated approximately \$410,000 in that account, invested in a balanced target-date fund with an expense ratio of 0.12%. She also holds \$95,000 in a traditional IRA at a discount brokerage, allocated across low-cost index funds. Margaret's total liquid savings outside of retirement accounts consist of \$28,000 in a savings account. She owns her home outright (valued at approximately \$340,000) and has no debt. Her investment objective is moderate growth for retirement at age 65, and she has described herself as having a moderate risk tolerance on her new account paperwork. In March 2023, Margaret met with financial advisor David Proctor after attending a retirement planning seminar he hosted at a local hotel. During the seminar, Proctor emphasized the risks of market downturns close to retirement and the importance of guaranteed income. During their subsequent one-on-one meeting, Proctor recommended that Margaret roll her entire \$95,000 traditional IRA into a variable annuity issued by National Heritage Life Insurance Company. The variable annuity carried a guaranteed minimum income benefit (GMIB) rider. The total annual expenses of the variable annuity, including the mortality and expense charge (1.30%), administrative fees (0.15%), underlying sub-account fund expenses (averaging 0.85%), and the GMIB rider fee (0.95%), came to approximately 3.25% per year. The contract also imposed a seven-year surrender charge schedule starting at 7% in the first year and declining by 1% annually. Proctor earned a 5.5% commission on the sale, totaling \$5,225. Margaret signed the paperwork and the IRA was rolled into the variable annuity. At no point during the recommendation process did Proctor discuss whether the existing IRA holdings—already tax-deferred—would receive any additional tax benefit from being placed inside an annuity. He also did not document any comparison between the cost of retaining her current index fund portfolio versus the variable annuity, nor did he discuss lower-cost alternatives such as a fixed indexed

annuity or simply rebalancing her existing IRA toward a more conservative allocation. Margaret's 403(b), combined with her projected Social Security benefits, was already estimated to replace roughly 78% of her pre-retirement income, and Proctor did not analyze or document this existing income replacement coverage before recommending the GMIB rider.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor likely violated applicable suitability and best-interest standards in multiple respects.

****Layering Tax Deferral on Tax Deferral (FINRA Rule 2330):**** FINRA Rule 2330(b) specifically requires that when recommending a variable annuity purchase, a registered representative must have a reasonable basis to believe, among other things, that the customer would benefit from certain features of a variable annuity, such as tax-deferred growth, annuitization, or a death benefit. Margaret's IRA was already a tax-deferred account. Placing tax-deferred assets inside a variable annuity—which is itself a tax-deferred vehicle—provides no incremental tax benefit and instead layers additional costs. The rule explicitly targets this scenario. The advisor failed to articulate any tax-related justification for the recommendation.

****Cost Analysis (FINRA Rule 2330 & Reg BI Rule 15l-1):**** The variable annuity's all-in annual cost of approximately 3.25% dramatically exceeds the 0.12% expense ratio of Margaret's existing IRA holdings. Over a seven-year period (the length of the surrender period), this cost differential would consume a substantial portion of her investment returns. Under Regulation Best Interest (Rule 15l-1), the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill to understand the costs and reasonably available alternatives. Proctor documented no cost comparison and explored no lower-cost alternatives (e.g., a fixed indexed annuity, a low-cost deferred income annuity, or simply rebalancing her existing IRA).

****NAIC Model Regulation 275 (as adopted by many states including Oregon-equivalent standards):**** The revised NAIC Model Regulation 275 imposes a best-interest standard requiring that the recommendation be in the consumer's best interest based on the consumer's suitability profile and that the insurance producer not place their financial interest ahead of the consumer's. The high commission (\$5,225 or 5.5%) creates a material conflict of interest that was not mitigated. Furthermore, the producer must consider reasonably available alternatives, including keeping existing products, and must document the basis for the recommendation. Proctor failed on all counts.

****NY Regulation 187 (applicable as a benchmark even outside NY):**** Although Margaret resides in Oregon, New York's Regulation 187 is instructive as the leading state-level best-interest rule for annuities. It requires that the recommendation be suitable and in the consumer's best interest, that the producer consider the consumer's existing insurance and financial products, and that there be a reasonable basis for concluding the replacement provides an overall benefit. The failure to analyze Margaret's existing 403(b) income replacement ratio and Social Security projections before recommending a costly GMIB rider would constitute a clear violation under such standards.

****GMIB Rider Redundancy:**** Margaret's projected retirement income replacement from her 403(b) and Social Security was already approximately 78%. The advisor did not document any income gap analysis that would justify the additional 0.95% annual cost of the GMIB rider. Without such analysis, the rider appears redundant and its cost unjustified.

****Surrender Charge Concern:**** The seven-year surrender schedule, starting at 7%, would restrict Margaret's access to her funds from age 58 to 65—precisely the period leading up to her stated retirement goal. This liquidity constraint was not documented as having been considered.

****Likely Regulatory Outcome:**** A FINRA examination or state insurance department investigation would likely find that: (1) the recommendation to purchase a variable annuity within an already tax-deferred IRA lacked reasonable basis absent documented non-tax justifications; (2) the failure to perform or document a cost-benefit analysis violated both FINRA Rule 2330 and Reg BI's Care Obligation; (3) the recommendation of the GMIB rider without an income gap analysis was unsuitable; and (4) the high commission created an unmitigated conflict of interest. Probable outcomes include disgorgement of commissions, restitution to the customer, supervisory deficiency findings against the firm, and potential fines or suspension for the advisor.

Hypothetical 26

Topic: *annuity_unnecessary_switching* | Difficulty: *hard*

Fact Pattern

Margaret Halstead, age 64, is a retired school librarian living in Rochester, New York, with an annual pension of \$48,000, Social Security income of \$22,800, and total liquid savings of approximately \$410,000. Her risk tolerance is moderate-conservative, and her primary investment objectives are capital preservation, modest growth to keep pace with inflation, and ensuring she does not outlive her assets. In March 2020, Margaret owned a variable annuity issued by Pacific Guardian Life that she had purchased five years earlier with a \$185,000 premium. The contract included a guaranteed minimum income benefit (GMIB) rider with a 5% annual roll-up rate on the benefit base, which by March 2020 had grown the benefit base to approximately \$236,000. The contract was still within its seven-year surrender charge period, with a remaining surrender charge of 3%, equaling roughly \$5,550 based on the account value at the time. Her advisor, Derek Whitfield, age 41, a registered representative with Keystone Wealth Partners, contacted Margaret in April 2020 and recommended she surrender the Pacific Guardian contract and use the proceeds to purchase a new variable annuity issued by Continental Assurance Corp. Derek told Margaret that the new contract offered 'better fund options' and a 'more modern' living benefit rider. The new Continental Assurance contract carried an annual mortality and expense charge of 1.45%, an administrative fee of 0.15%, average underlying subaccount expenses of 1.10%, and a guaranteed lifetime withdrawal benefit (GLWB) rider costing 1.20% annually - bringing total annual costs to approximately 3.90%. The surrendered Pacific Guardian contract had total annual costs of approximately 2.95% (M&E of 1.25%, admin of 0.10%, average subaccount expenses of 0.85%, and the GMIB rider at 0.75%). The new contract imposed a fresh eight-year surrender charge schedule starting at 8% in the first year and declining by 1% per year. Derek's notes in the file indicated that Margaret wanted 'better investment performance,' but there was no documentation of a side-by-side comparison of the two products' costs, benefits,

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surrender charge implications, or the lost benefit base accrual. Margaret signed the replacement paperwork, including a standard replacement disclosure form, but later stated she did not understand that she was forfeiting the \$236,000 GMIB benefit base or restarting a surrender period. The gross commission paid to Derek on the new contract was approximately \$10,175 (5.5% of the \$185,000 net proceeds rolled into the new product). Eight months after the replacement, Margaret's new account had declined 4.2% net of fees during a period of moderate market recovery, and her total cost drag was measurably higher than her prior contract. Margaret filed a complaint with her state insurance department in January 2021, alleging that the switch was never in her interest and that Derek failed to explain the material disadvantages of the replacement.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Whitfield likely violated multiple regulatory standards governing variable annuity replacements and best-interest obligations.

1. ****FINRA Rule 2330 (Variable Annuity Suitability):**** Rule 2330 requires that before recommending a variable annuity exchange, a registered representative must consider whether the customer would incur a surrender charge, lose existing benefits (such as a GMIB rider with an accrued benefit base), face a new surrender charge period, and whether the transaction generates increased costs. Derek recommended that Margaret surrender a contract with a \$236,000 GMIB benefit base (grown at a 5% roll-up over five years) and pay a 3% surrender charge, only to move into a product with materially higher annual costs (3.90% vs. 2.95%) and a fresh eight-year surrender period starting at 8%. Rule 2330(b) specifically requires the registered representative to document the basis for the recommendation, including a comparison of the material features of the existing and proposed annuities. Derek's file contained no side-by-side cost-benefit analysis - only a vague note that Margaret wanted 'better performance,' which is insufficient.

2. ****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** The 2020 revisions to Model 275 impose a best-interest standard on insurance producers recommending annuity transactions, including replacements. Under Section 6, the producer must act in the consumer's best interest without placing the producer's financial interest ahead of the consumer's. The facts here suggest a classic unsuitable replacement (often called 'churning' or 'twisting'): Margaret gained no material benefit from the switch, lost a valuable GMIB benefit base, incurred a surrender penalty, restarted an even longer surrender period, and took on higher annual expenses - while Derek earned a \$10,175 commission. Model 275 also requires that the producer have a reasonable basis to believe the replacement is suitable based on the consumer's profile, which Derek does not appear to have established.

3. ****New York Regulation 187:**** Because Margaret resides in New York, Regulation 187 (11 NYCRR 224) applies. Effective since August 1, 2019 for annuity transactions, Reg 187 requires that any recommendation be in the customer's best interest at the time the recommendation is made, considering the customer's age, income, existing insurance products, financial situation, and stated objectives. The regulation explicitly requires evaluation of replacement transactions and mandates that the producer not place their compensation interest ahead of the consumer. Derek's recommendation fails this standard: (a) the replacement generated a net cost increase, (b) the GLWB rider on the new contract did not demonstrably

improve Margaret's retirement income position relative to the lost GMIB rider, (c) the new surrender schedule effectively locked in a 64-year-old retiree until age 72, reducing her liquidity during a critical phase of retirement, and (d) Derek's commission was the most apparent beneficiary of the transaction.

4. ****Regulation Best Interest (SEC Rule 15l-1):**** As a registered representative of a broker-dealer making a recommendation to a retail customer, Derek is also subject to Reg BI, which became effective June 30, 2020 - just after this recommendation was made in April 2020. While the exact effective date may create a narrow timing question, to the extent Reg BI applied, the Care Obligation (Rule 15l-1(a)(2)(ii)(B)) requires that the representative exercise reasonable diligence, care, and skill in making a recommendation, including understanding the costs, risks, and alternatives, and having a reasonable basis to believe the recommendation is in the customer's best interest. The Disclosure Obligation also requires full and fair disclosure of material facts, including conflicts of interest such as the differential compensation. Margaret's statement that she did not understand the forfeited benefit base or the new surrender period suggests a failure of disclosure.

****Likely Regulatory Outcome:**** Derek faces potential disciplinary action from FINRA (fines, suspension, or bar under Rule 2330), enforcement action from the New York Department of Financial Services under Regulation 187, and potential SEC scrutiny under Reg BI. The firm, Keystone Wealth Partners, faces supervisory liability under FINRA Rule 3110 if it failed to flag or review the replacement through a principal review process. Margaret would likely be entitled to rescission of the replacement, restitution of the surrender charge paid, and compensation for any investment losses attributable to the unsuitable switch. Derek's conduct is a textbook example of an unsuitable variable annuity replacement motivated by commission generation rather than client benefit.

Hypothetical 27

Topic: *high_fees_unsuitable* | Difficulty: *medium*

Fact Pattern

Margaret Kowalski, age 72, is a retired elementary school teacher living in Syracuse, New York. She receives a fixed pension of \$3,200 per month and Social Security benefits of \$1,850 per month, giving her a combined gross monthly income of \$5,050. Her monthly living expenses, including property taxes, insurance, and medical co-pays, total approximately \$4,300 per month, leaving her a modest surplus. Margaret's total liquid savings consist of \$185,000 in a bank money market account and a \$140,000 traditional IRA held in a short-term bond fund. She owns her home outright, valued at approximately \$210,000. She has no debts. Margaret describes herself as a conservative investor whose primary goals are capital preservation and maintaining a cash reserve for potential assisted-living costs, which she has discussed with her adult daughter. She has no prior experience with variable annuities or equity investments.

In March 2024, Margaret's financial advisor, Derek Sloane, who holds both securities and insurance licenses, contacted her after a marketing seminar hosted at a local restaurant. During a follow-up meeting at her home, Derek recommended that Margaret move \$160,000-\$120,000 from her money market account

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and \$40,000 from her IRA-into a single variable annuity contract issued by National Horizon Life Insurance Company. The product selected was the "Horizon Growth & Protection VA," which carried a base mortality and expense (M&E) charge of 1.45% annually, an administrative fee of 0.15%, and underlying sub-account expense ratios averaging 1.05%. Derek also recommended adding the "Enhanced Lifetime Guaranteed Withdrawal Benefit" rider at an additional annual charge of 1.20%. The all-in annual cost of the contract, including fund expenses and rider fees, totaled approximately 3.85% of account value. The contract carried a seven-year declining surrender charge schedule starting at 8% in year one and declining by 1% each year. Derek allocated 55% of the sub-account assets to an aggressive growth equity fund, 25% to an international equity fund, and 20% to a balanced fund. He told Margaret the guaranteed withdrawal rider "basically means you can never lose money" and that the annuity would be "a better deal than any CD or bond fund."

Derek earned a gross commission of \$10,400 on the sale. He did not document any alternative products considered, did not discuss lower-cost fixed annuity or fixed indexed annuity options, and did not note Margaret's stated need for liquidity to cover potential long-term care expenses. The account application listed Margaret's risk tolerance as "moderate growth" and her investment objective as "growth and income," which differed from the conservative, capital-preservation goals she had articulated. Within eight months, the contract's account value had declined to \$141,600 due to equity market losses and ongoing fees. Margaret contacted her daughter in distress when she learned she would face a \$9,920 surrender charge to access her funds, in addition to the investment losses already incurred.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Sloane violated multiple suitability and best-interest standards applicable to this transaction.

****FINRA Rule 2330 - Variable Annuity Suitability:**** FINRA Rule 2330 imposes heightened suitability requirements on variable annuity recommendations. Before recommending a VA purchase, the registered representative must have a reasonable basis to believe the transaction is suitable based on the customer's investment profile, including age, income, net worth, financial situation, risk tolerance, liquidity needs, investment objectives, time horizon, and existing holdings. Specifically, Rule 2330(b) requires the representative to consider (among other factors) whether the customer would benefit from tax-deferred growth, whether the customer has met liquidity needs, and whether the customer is willing to accept the investment risk associated with sub-accounts. Here, Margaret is 72 years old with conservative objectives and an explicit need for liquid reserves to cover potential assisted-living costs. Placing 86% of her liquid savings (\$160,000 of \$185,000) in a product with a seven-year surrender period and total annual costs of approximately 3.85% is plainly inconsistent with her profile. The aggressive equity allocation (80% in growth and international equity sub-accounts) contradicts her stated conservative risk tolerance and capital-preservation objective.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the NAIC Model Regulation 275, as revised in 2020 to incorporate a best-interest standard, a producer must act in the best interest of the consumer at the time of the recommendation. The regulation requires the producer to satisfy four component obligations: Care, Disclosure, Conflict of Interest, and Documentation. Under the Care

obligation, the producer must exercise reasonable diligence, care, and skill, and must consider reasonably available alternatives. Derek failed to document or consider lower-cost alternatives such as fixed annuities, fixed indexed annuities, multi-year guaranteed annuities, or even retaining the existing bond fund and money market positions. The failure to evaluate alternatives and the recommendation of a high-cost, surrender-charge-laden product to a 72-year-old with low risk tolerance and high liquidity needs constitutes a clear violation. The Documentation obligation was also violated: the application recorded risk tolerance and objectives that were materially inconsistent with Margaret's actual stated goals, suggesting either negligent record-keeping or intentional misrepresentation to facilitate the sale.

****New York Regulation 187:**** Because Margaret resides in New York, NY Regulation 187 applies. This regulation requires that annuity recommendations be in the best interest of the consumer at the time of the transaction. It requires producers to consider the consumer's expressed insurance needs and financial objectives, existing assets and financial situation, and tolerance for risk. The regulation also imposes a heightened standard regarding replacement transactions. Derek's failure to align the recommendation with Margaret's expressed conservative objectives and liquidity needs, combined with the mischaracterization of her risk profile on the application, violates Regulation 187's best-interest requirements.

****Regulation Best Interest (SEC Rule 15l-1):**** To the extent this transaction was effected through a broker-dealer, Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the recommendation and to have a reasonable basis to believe it is in the customer's best interest without placing the advisor's financial interest ahead of the customer's. The \$10,400 commission created a significant financial incentive that was not mitigated by any documented consideration of less costly or more suitable alternatives. The Disclosure Obligation requires that material facts about the scope and terms of the relationship be disclosed, including conflicts of interest; Derek's claim that the rider meant Margaret could "never lose money" was materially misleading and omitted the reality of surrender charges, ongoing fees, and market risk. The Conflict of Interest Obligation required the firm to establish policies to identify and mitigate conflicts; the high compensation without documented comparison to alternatives suggests this obligation was not met.

****Likely Regulatory Outcome:**** This transaction exhibits multiple hallmarks of VA mis-selling identified in GAO reports and academic studies: the customer is elderly, conservative, unsophisticated, and has high liquidity needs; the product is expensive, illiquid, and allocated aggressively; the application documents were inaccurate; and the advisor earned a substantial commission without considering alternatives. Derek and his supervising broker-dealer face potential enforcement action from FINRA (for Rule 2330 and Rule 2111 violations), the New York Department of Financial Services (for Regulation 187 violations), and potentially the SEC (for Reg BI violations). Remedies could include rescission of the annuity contract, restitution of commissions and surrender charges, fines, suspension or revocation of licenses, and enhanced supervisory requirements for the broker-dealer.

Hypothetical 28

Topic: *senior_investor_exploitation* | Difficulty: *medium*

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Fact Pattern

Margaret Olsen, age 79, is a retired schoolteacher living in Toledo, Ohio. She has annual income of approximately \$31,000 from Social Security and a small pension. Her total liquid assets consist of \$285,000 in a bank certificate of deposit and \$42,000 in a savings account. She owns her home outright, valued at roughly \$180,000. Mrs. Olsen has no dependents; her husband passed away in 2018. She has described herself to her advisor as someone who "cannot afford to lose money" and whose primary financial goals are preserving her savings to cover potential assisted-living costs and leaving a modest inheritance to her two grandchildren. She has no prior experience with securities or variable insurance products.

In March 2023, her financial advisor, Dale Buckner, age 44, who holds both securities and insurance licenses, contacted Mrs. Olsen after learning about her husband's life insurance payout that had been deposited into the CD. Buckner visited her home twice over the course of a week. During the second visit, he recommended she move \$230,000 from her maturing CD into a variable annuity issued by National Horizon Life Insurance Company. The product-the "Horizon FlexGrowth VA"-carried a seven-year surrender schedule with a declining charge starting at 8% in year one. Total annual expenses, including the mortality and expense risk charge, administrative fees, and the average sub-account management expense, were approximately 2.85%. Buckner also recommended an optional guaranteed minimum income benefit rider costing an additional 1.10% annually, bringing total annual costs to roughly 3.95% of account value.

Buckner's presentation materials emphasized the death benefit feature and the tax-deferred growth, telling Mrs. Olsen the product would "protect her nest egg while giving it room to grow." He allocated the sub-accounts as follows: 55% to an aggressive growth equity fund, 25% to an international equity fund, and 20% to a high-yield bond fund. Buckner did not discuss the surrender charges in detail, nor did he explain that her CD interest was already tax-advantaged for her income bracket, or that she would face ordinary income tax treatment on any future withdrawals. He did not document any consideration of lower-cost alternatives, such as a fixed annuity or a balanced mutual fund portfolio. Buckner earned a 6.25% commission on the sale, totaling \$14,375.

By January 2024, the account had declined to \$198,000 due to equity market volatility and the high expense drag. Mrs. Olsen contacted Buckner because she needed approximately \$35,000 for a home accessibility renovation recommended by her physician. Buckner informed her that a withdrawal of that size would trigger a surrender penalty of roughly \$2,800 on top of the account losses. Mrs. Olsen filed a complaint with her state insurance department in February 2024, alleging she was never told about the surrender charges, the investment risk, or the real cost of the product, and that the recommendation was wholly inappropriate given her age, financial situation, and stated goals.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes. Dale Buckner's recommendation to Mrs. Olsen violated multiple applicable standards governing variable annuity sales.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under Rule 2330, before recommending the purchase of a variable annuity, a registered representative must make reasonable efforts to obtain the customer's

age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing insurance holdings, risk tolerance, tax status, and liquidity needs. The representative must then have a reasonable basis to believe that the customer would benefit from certain features of the variable annuity (such as tax-deferred growth, annuitization, or death benefits) and that the particular annuity as a whole, the underlying sub-accounts, and any riders are suitable. Here, Mrs. Olsen was 79 years old, had virtually no investment experience, expressed capital preservation as her primary goal, required liquidity for potential health-related expenses, and had a low risk tolerance. A seven-year surrender period product with nearly 4% annual costs and an 80% allocation to aggressive equities and high-yield bonds is facially unsuitable for this profile. Rule 2330 also requires a principal to review and approve the transaction prior to transmittal; any supervisory deficiencies would compound the violation.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** The 2020 revised Model #275 requires that an insurance producer, prior to a recommendation, must act in the best interest of the consumer. The producer must consider the consumer's age, liquidity needs, financial situation, tax status, investment objectives, and existing insurance products. The producer must consider reasonably available alternatives and document the basis for the recommendation. Buckner failed to consider or document alternatives (e.g., a fixed annuity offering principal protection and liquidity, a short-term bond fund, or simply renewing the CD). The concentration of assets (roughly 81% of liquid net worth) in a single illiquid variable annuity with high surrender charges is inconsistent with a best-interest determination for a 79-year-old with foreseeable medical and living expenses.

****New York Regulation 187 (if applicable by domicile of insurer or sale):**** Reg 187 imposes a best-interest standard for annuity recommendations in New York, requiring that the recommendation be in the best interest of the consumer evaluated at the time of the transaction, considering the consumer's financial situation and needs without placing the producer's financial interest ahead of the consumer's. While Mrs. Olsen resides in Ohio, if the insurer is domiciled in New York or the transaction touches New York, Reg 187 would independently apply. The \$14,375 commission created a significant financial incentive that was not mitigated by any documented cost-benefit analysis.

****SEC Regulation Best Interest (Rule 15l-1):**** As a broker-dealer representative, Buckner was subject to Reg BI's Care Obligation, which requires that a recommendation be in the retail customer's best interest at the time it is made, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation, and that the representative consider reasonably available alternatives. The Disclosure Obligation required Buckner to disclose material facts about the scope and terms of the relationship, including all fees, costs, and conflicts of interest such as the 6.25% commission. The evidence suggests Buckner failed both obligations: he did not adequately disclose surrender charges, total costs, or tax implications; he did not consider alternatives; and the aggressive sub-account allocation was inconsistent with Mrs. Olsen's stated conservative objectives. The Conflict of Interest Obligation also required the firm to have policies to identify and mitigate conflicts arising from the high commission, which does not appear to have occurred.

****Specific Violations Include:****

1. Unsuitable product type: A variable annuity with a long surrender period and high expenses for a 79-year-old with conservative objectives and foreseeable liquidity needs.

2. Unsuitable asset allocation: 80% equity/high-yield bond allocation for a client with no risk tolerance and no investment experience.
3. Excessive concentration: Placing 81% of liquid assets into a single illiquid product.
4. Inadequate disclosure: Failure to explain surrender charges, total costs, tax treatment, and investment risks.
5. Failure to consider alternatives: No documented analysis of lower-cost, more liquid, or principal-protected alternatives.
6. Potential exploitation of a senior investor: The home visits, the targeting of a recent life insurance payout, and the lack of informed consent raise concerns about predatory sales practices targeting a vulnerable elderly person.

****Likely Regulatory Outcome:**** The state insurance department complaint will likely trigger an investigation under the state's adoption of NAIC Model 275 or equivalent statute. FINRA, if notified or upon review of the U5 or complaint filing, could bring an enforcement action under Rule 2330 and Reg BI. Probable sanctions include disgorgement of commissions, restitution to Mrs. Olsen, fines, enhanced supervision, and possible suspension or bar of Buckner's licenses. The broker-dealer firm may face supervisory deficiency charges for failure to adequately review and approve the transaction.

Hypothetical 29

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Margaret Olsen, age 71, is a retired elementary school teacher living in suburban Minneapolis. She receives \$2,400 per month from her state pension and \$1,850 per month from Social Security, for a combined annual income of approximately \$51,000. Her total liquid savings amount to \$215,000, held in a money market account and a short-term bond fund at her local credit union. She also owns her home outright, valued at approximately \$190,000. Margaret has no dependents; her husband passed away in 2019. She has a history of conservative investing and told her financial advisor, Derek Cannon, that her primary goals were capital preservation, maintaining her current standard of living, and leaving a modest inheritance to her two grandchildren. She described herself as someone who "cannot afford to lose money" and said she had trouble sleeping during the 2020 market downturn even though her bond fund lost only 3%. On her new account form completed in March 2023, Derek recorded her risk tolerance as "moderate" and her investment objective as "growth and income." He then recommended she move \$175,000—approximately 81% of her liquid assets—into a variable annuity with an aggressive growth sub-account allocation: 40% in a small-cap equity fund, 35% in an international equity fund, and 25% in a high-yield bond fund. The product carried a seven-year surrender period with a declining surrender charge starting at 7%, an annual mortality and expense charge of 1.35%, administrative fees of 0.15%, and average sub-account expense ratios of 1.10%, bringing the total all-in annual cost to approximately 2.60%. Derek did not recommend any guaranteed living benefit rider. He earned a 6.5% commission on the sale, totaling \$11,375. Margaret signed all paperwork but later told a family member she thought the annuity was "like a CD with a little more upside." Within nine months, her account value had declined to \$152,000 due to volatility in the small-cap and international sub-accounts. She contacted Derek about surrendering the

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contract and was informed she would owe a \$10,640 surrender charge, effectively locking her into the product. She filed a complaint with her state insurance department in January 2024.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Cannon violated multiple applicable suitability and best-interest standards in recommending this variable annuity to Margaret Olsen.

****Risk Profile Mischaracterization:**** Under FINRA Rule 2330, before recommending a variable annuity, a registered representative must make reasonable efforts to obtain and consider the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, investment time horizon, existing assets, liquidity needs, liquid net worth, risk tolerance, and tax status. Margaret's own statements-that she 'cannot afford to lose money,' lost sleep over a 3% decline, and sought capital preservation-are inconsistent with a 'moderate' risk tolerance and 'growth and income' objective. Recording her profile as moderate appears to have been done to justify the aggressive recommendation rather than to accurately reflect her stated preferences. This constitutes a failure to accurately document customer information, which undermines the entire suitability analysis.

****Unsuitable Asset Allocation:**** An allocation of 75% equities (40% small-cap, 35% international) and 25% high-yield bonds is aggressive by any reasonable standard. For a 71-year-old retiree with limited liquid assets, no other growth investments, a conservative self-assessment, and a capital preservation objective, this allocation is patently unsuitable. FINRA Rule 2330(b) requires that the representative have a reasonable basis to believe the transaction is suitable based on the information gathered. No reasonable advisor could conclude that concentrating 81% of a conservative 71-year-old's liquid net worth in aggressive equity sub-accounts serves a capital preservation objective.

****Concentration and Liquidity Risk:**** Placing \$175,000 of Margaret's \$215,000 in liquid savings into a product with a seven-year surrender period left her with only \$40,000 in accessible funds-less than one year of supplemental living expenses beyond her pension and Social Security. This creates significant liquidity risk, particularly for a 71-year-old who may face unexpected medical or long-term care expenses. The NAIC Model Regulation 275 requires that an annuity recommendation be suitable considering the consumer's financial situation, including liquidity needs and existing assets.

****Failure to Recommend Protective Features:**** Derek did not recommend any guaranteed living benefit rider, which would have provided some downside protection consistent with Margaret's stated risk aversion. While not every VA purchase requires a rider, the omission here is notable given that the client's primary concern was capital preservation.

****Cost Considerations:**** The all-in annual cost of approximately 2.60% imposes a substantial drag on returns, particularly for a client whose stated objective was preservation rather than growth. Under NY Regulation 187 (applicable if the transaction involved a New York-domiciled insurer or New York resident, and serving as a model for other states' best-interest frameworks), the advisor must act in the consumer's best interest, and cost is a factor that must be evaluated. The high commission of 6.5% (\$11,375) raises

additional questions about whether the recommendation was driven by the advisor's compensation rather than the client's needs.

****Misleading Client Understanding:**** Margaret's belief that the product was 'like a CD with a little more upside' suggests that Derek failed to adequately explain the risks, fees, and surrender charges associated with the variable annuity. Under FINRA Rule 2330(b)(1)(A), the representative must have a reasonable basis to believe the customer has been informed of the features of the annuity, including surrender charges, potential tax penalties, and various fees.

****Likely Regulatory Outcome:**** Derek faces potential disciplinary action from FINRA for violating Rule 2330 suitability requirements and potentially Regulation BI's care obligation (Rule 15l-1) if he was acting in a broker-dealer capacity and the recommendation was made after the June 2020 effective date. The state insurance department complaint could result in enforcement action under the state's adoption of NAIC Model Regulation 275 or equivalent best-interest standards. Margaret would likely prevail in arbitration, with potential recovery of her losses plus the surrender charge, and Derek could face fines, disgorgement of commissions, suspension, or a bar depending on his disciplinary history and the totality of circumstances.

Hypothetical 30

Topic: *high_fees_unsuitable* | Difficulty: *medium*

[NON-COM]

Fact Pattern

In March 2022, financial advisor Derek Simmons met with Margaret Kowalski, a 71-year-old retired elementary school teacher living in Buffalo, New York. Margaret's husband had passed away six months earlier, and she inherited his traditional IRA valued at approximately \$185,000. Her other assets consisted of a pension paying \$2,800 per month, Social Security benefits of \$1,950 per month, a savings account with \$22,000, and a paid-off home valued at \$210,000. Margaret described herself as conservative, stating she wanted to preserve her husband's money and possibly leave it to her two adult children. She had no investment experience beyond her pension and a small savings account. She told Derek she might need to draw from the IRA to cover occasional home repairs and medical copays, estimating \$5,000 to \$8,000 per year in supplemental withdrawals. Derek recommended that Margaret invest the entire \$185,000 IRA into a variable annuity product called the Pinnacle Growth & Protection VA, issued by Meridian Life Insurance Company. The product featured a guaranteed minimum income benefit rider, a guaranteed minimum death benefit rider, and an optional enhanced nursing care rider. The base mortality and expense charge was 1.35%, the administrative fee was 0.15%, and the three riders collectively added 1.85% in annual charges, bringing the total insurance-related fees to 3.35% per year. The underlying subaccounts Margaret was placed into - a mix of moderate allocation and bond funds - carried average fund expense ratios of 0.92%. The all-in annual cost of the product was therefore approximately 4.27%, or roughly \$7,900 per year on the initial investment. The product also carried a seven-year surrender charge schedule beginning at 8% in year one and declining by 1% each year. Derek's commission on the sale was \$12,950. Derek did not discuss lower-cost alternatives such as a diversified portfolio of no-load index mutual funds, fixed annuities, or even a simple balanced fund within the existing IRA custodian. He did not document why the guaranteed income rider was necessary given Margaret's pension and Social Security already covered her living

expenses, nor did he address why the seven-year surrender period was appropriate for a 71-year-old who indicated she would need periodic withdrawals. Within the first fourteen months, Margaret withdrew \$7,500 for a new furnace and dental work, triggering a surrender charge of \$525 and reducing her death benefit guarantee. She contacted Derek's office to complain that she did not understand she would be penalized for taking money out, and that the account had declined to \$174,200 despite moderate market gains during the same period, largely because the annual fees consumed her returns.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons violated multiple applicable standards governing variable annuity sales.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under FINRA Rule 2330, a registered representative must have a reasonable basis to believe that a variable annuity transaction is suitable for the customer. Specifically, Rule 2330(b) requires the advisor to consider, among other factors: (1) whether the customer would benefit from the tax-deferral features of a variable annuity given existing tax-advantaged accounts; (2) whether the customer has a long enough time horizon to recoup the higher costs of the annuity; (3) whether the customer intends to make withdrawals before the surrender period expires; and (4) whether the features and riders are necessary given the customer's financial situation. Here, the \$185,000 was already in a tax-deferred IRA, so the VA's tax-deferral wrapper provided no incremental tax benefit - a classic red flag under Rule 2330. Margaret explicitly stated she expected to need periodic withdrawals of \$5,000-\$8,000 per year, making a seven-year surrender schedule directly contrary to her stated liquidity needs. The guaranteed income rider was difficult to justify when her pension (\$2,800/month) and Social Security (\$1,950/month) already provided \$4,750/month - more than sufficient for her living expenses. The all-in cost of 4.27% annually is extraordinarily high for a conservative, income-oriented retiree with a relatively modest account, consuming nearly all expected returns and eroding principal over time.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under Model 275, the producer must have a reasonable basis to believe the annuity is suitable based on the consumer's financial situation, insurance needs, investment objectives, and other relevant information. The regulation requires documentation of why the specific product was recommended over alternatives. Derek failed to document why lower-cost alternatives were rejected and why riders costing 1.85% annually served Margaret's actual needs. Model 275 also imposes a supervision obligation on the insurer, Meridian Life, to maintain a system to review whether the recommendation was suitable.

****New York Regulation 187 (Best Interest Standard):**** Because Margaret resides in New York, Regulation 187 applies. Effective since February 2020 for annuity transactions, Reg 187 requires that recommendations be in the consumer's best interest at the time of the recommendation, considering the consumer's needs and financial objectives without placing the producer's or insurer's financial interest ahead of the consumer's. The \$12,950 commission created a significant financial incentive that was not subordinated to Margaret's interests. The product was materially more expensive than readily available alternatives (e.g., low-cost index funds within the IRA), and the features did not address demonstrated needs. Reg 187 explicitly requires consideration of reasonably available alternatives.

****Regulation Best Interest (SEC Rule 15l-1):**** If Derek was acting in a broker-dealer capacity, Reg BI's Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and ensuring costs do not outweigh likely benefits. A 4.27% annual expense drag for a conservative 71-year-old retiree who needs liquidity strongly suggests the cost-benefit analysis was never performed. The Conflict of Interest Obligation also required disclosure and mitigation of the commission incentive, and there is no evidence Derek disclosed that lower-compensation alternatives existed.

****Likely Regulatory Outcome:**** Derek faces potential FINRA disciplinary action for Rule 2330 violations, a New York Department of Financial Services enforcement action under Reg 187, and possible SEC scrutiny under Reg BI. Remedies could include disgorgement of commissions, restitution to Margaret for surrender charges and excess fees, fines, enhanced supervision, or suspension. The supervising broker-dealer and Meridian Life also face potential liability for failure of supervisory and suitability review systems.

Hypothetical 31

Topic: *failure_to_know_customer* | Difficulty: *medium*

Fact Pattern

In March 2024, financial advisor Derek Sims met with Margaret Okafor, a 71-year-old retired school principal living in Tallahassee, Florida. Mrs. Okafor came into Derek's office after receiving a mailer about 'tax-advantaged retirement income strategies.' During their first and only meeting, which lasted approximately 35 minutes, Derek collected Mrs. Okafor's name, address, date of birth, and Social Security number. He asked her how much money she had available to invest, and she told him she had approximately \$340,000 in a bank certificate of deposit that was maturing the following week, plus a small checking account with about \$12,000. She mentioned that this represented essentially all of her liquid savings. Derek did not ask about her monthly income, her pension amount, her Social Security benefits, her monthly expenses, her existing insurance coverage, her health status, her tax bracket, her estate planning goals, or whether she had any other investments or debts. He did not ask about her prior investment experience or whether she had ever owned securities or annuities before. He did not inquire about her risk tolerance or time horizon for the funds. He did not ask whether she had any dependents or anticipated large expenses such as long-term care needs. Derek recommended that Mrs. Okafor place \$310,000 into a variable annuity issued by National Horizon Life Insurance Company - the 'Horizon Growth & Income VA.' This product featured a seven-year surrender charge schedule starting at 8% in the first year and declining by 1% annually, an annual mortality and expense charge of 1.35%, an administrative fee of 0.15%, and underlying sub-account expense ratios averaging 0.85%. The total annual cost structure was approximately 2.35%. The product also offered an optional guaranteed minimum income benefit rider at an additional 1.10% annually, which Derek added to the recommendation, bringing total annual charges to roughly 3.45%. Derek earned a 6.5% commission on the sale, totaling \$20,150. Mrs. Okafor signed the application and funding paperwork during that same meeting. She exercised her free-look cancellation right 18 days later after her grandson, a CPA, reviewed the contract and raised concerns. By that point, the sub-accounts had declined approximately \$4,800 in value due to market fluctuation. The insurer returned the full premium amount per Florida's free-look provisions. Mrs. Okafor subsequently filed a complaint with the Florida

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Department of Financial Services, alleging that Derek never asked her enough questions to understand her financial situation before recommending she put nearly all of her life savings into a complex, expensive, long-term product.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Sims violated applicable suitability and best-interest standards in multiple respects, most fundamentally through his failure to make a reasonable effort to know his customer before recommending a complex variable annuity.

****FINRA Rule 2330 - Members' Responsibilities Regarding Deferred Variable Annuities:**** This rule explicitly requires that, prior to recommending the purchase of a deferred variable annuity, a registered representative must make reasonable efforts to obtain, at a minimum, the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the deferred variable annuity, investment time horizon, existing assets, liquidity needs, liquid net worth, risk tolerance, tax status, and any other information deemed relevant. Derek obtained virtually none of this information beyond Mrs. Okafor's age and available investable assets. He failed to ask about income, expenses, risk tolerance, investment experience, time horizon, liquidity needs, health, tax status, or existing insurance. This is a textbook failure-to-know-your-customer violation under Rule 2330(b).

****FINRA Rule 2330(b)(1)(A) also requires a principal review**** of the transaction, and the firm's supervisory obligations would be triggered. The fact that a \$310,000 variable annuity was sold to a 71-year-old retiree during a single 35-minute meeting without documented customer profile information should have been flagged by any reasonable supervisory system.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the revised NAIC model, which Florida has adopted in substance, an insurance producer must obtain sufficient information about the consumer to have a reasonable basis for believing the annuity recommendation is suitable. The model requires gathering information about the consumer's age, annual income, financial situation and needs, investment objectives, intended use, time horizon, existing assets, liquidity needs, liquid net worth, risk tolerance, tax status, and other relevant factors. Derek's failure to collect this information violates the producer's duty under Model 275, Section 6.

Further, under the 2020 amendments to Model 275, producers must act in the consumer's best interest at the time of the recommendation, meaning the producer's financial interest cannot be the primary motivating factor. The \$20,150 commission on a product recommended after a superficial 35-minute conversation to a 71-year-old retiree with no documented risk tolerance, investment experience, or income information raises serious questions about whether the recommendation was driven by compensation rather than the consumer's needs.

****NY Regulation 187 (if applicable in New York transactions, included here as an analytical benchmark):**** While this transaction occurred in Florida, Reg 187's framework is instructive. It requires that recommendations be in the consumer's best interest, considering the consumer's financial situation,

insurance needs, financial objectives, and other relevant information. The total absence of documented customer information would constitute a per se violation under Reg 187's standards.

****Regulation Best Interest (Rule 15l-1):**** To the extent Derek acted in a broker-dealer capacity recommending a securities product (a variable annuity is a security), Reg BI's Care Obligation requires that the broker-dealer exercise reasonable diligence, care, and skill to understand the customer's investment profile before making a recommendation. The Care Obligation specifically requires understanding the potential risks, rewards, and costs of the recommendation in light of the customer's profile. Without gathering basic customer information - income, expenses, risk tolerance, time horizon, liquidity needs, health status, investment experience - Derek could not possibly have had a reasonable basis for his recommendation. This is a clear violation of the Care Obligation under Reg BI.

Additionally, the Disclosure Obligation under Reg BI requires full and fair disclosure of material facts, including costs and conflicts of interest (such as the 6.5% commission). There is no indication Derek disclosed his compensation or the conflict it created.

****Substantive Suitability Concerns Beyond the Know-Your-Customer Failure:**** Even setting aside the procedural failure, the recommendation itself raises red flags. Placing \$310,000 of a 71-year-old's \$352,000 in total liquid assets (88% concentration) into a product with a seven-year surrender schedule and approximately 3.45% in annual charges is potentially unsuitable on its face. The customer would have only \$42,000 in accessible liquid funds, creating significant liquidity risk for a retiree who may face healthcare, long-term care, or other unexpected expenses. GAO reports and academic studies on VA mis-selling have consistently identified concentration of retiree assets in high-cost, illiquid variable annuities as a hallmark of unsuitable sales practices.

****Likely Regulatory Outcome:**** Derek would likely face enforcement action from both FINRA and the Florida Department of Financial Services. Potential sanctions include fines, disgorgement of commissions, suspension or revocation of licenses, and required restitution. His firm would face supervisory violation charges for failing to detect and prevent the sale. The fact that Mrs. Okafor exercised her free-look right mitigates actual harm but does not eliminate the underlying violations, which are evaluated at the time of the recommendation, not based on whether the customer ultimately avoided loss.

Hypothetical 32

Topic: *high_fees_unsuitable* | Difficulty: *medium*

Fact Pattern

In March 2023, Gerald Thornton, a 71-year-old retired postal worker living in Albany, New York, met with financial advisor Keith Breslin at his local branch office. Gerald had recently lost his wife and was managing finances alone for the first time. He had a combined net worth of approximately \$410,000, consisting of \$185,000 in a traditional IRA invested in a balanced mutual fund, \$140,000 in a bank CD ladder, a \$55,000 savings account, and Social Security income of \$2,350 per month. Gerald told Breslin that his primary goals were capital preservation, maintaining access to his money for potential medical expenses, and leaving

[NON-COM

whatever was left to his two grandchildren. He described himself as conservative and said he did not want to lose money. He had no prior experience with annuities or complex financial products.

Breslin recommended that Gerald liquidate his entire IRA and invest the full \$185,000 into a variable annuity with a Guaranteed Minimum Income Benefit (GMIB) rider. The product - the Horizon Growth & Income VA issued by Summit Life Insurance Company - carried a mortality and expense risk charge of 1.40%, an administrative fee of 0.15%, underlying subaccount expenses averaging 1.05%, and the GMIB rider cost an additional 1.10% annually. The total all-in annual cost was approximately 3.70%, or roughly \$6,845 per year on the initial investment. The contract also included a seven-year declining surrender charge schedule starting at 7% in year one and declining by 1% per year. The product permitted annual free withdrawals of up to 10% of the account value without surrender charges.

Breslin's written notes from the meeting stated that Gerald wanted 'growth with downside protection' and was a 'moderate' investor, though Gerald later disputed ever using those words. Breslin earned a commission of approximately \$11,100 (6% of premium) on the sale. The firm's product grid showed that several lower-cost alternatives were available, including a fixed indexed annuity with a three-year surrender period and total annual costs under 1.00%, and a simple fixed annuity paying 4.25% guaranteed for five years. Breslin did not document any comparison of these alternatives or explain why the variable annuity was preferable to lower-cost options.

Within eight months, Gerald needed \$30,000 to cover home modifications recommended by his doctor after a fall. He withdrew the \$18,500 available under the 10% free withdrawal provision and was assessed a \$6,900 surrender charge (6% in year two) on the remaining \$11,500 he needed. Additionally, the subaccounts had declined in value by approximately 4.2% due to market volatility, reducing his account value to roughly \$171,400 before the withdrawal. Gerald filed a complaint with his state insurance department, alleging the product was never appropriate for someone his age with his stated objectives and liquidity needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, advisor Keith Breslin likely violated multiple suitability and best-interest standards applicable to variable annuity sales.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under Rule 2330, a registered representative must have a reasonable basis to believe that a variable annuity transaction is suitable for the customer. The rule specifically requires consideration of (a) whether the customer would benefit from certain features of a VA, such as tax-deferred growth, annuitization, or a death benefit; (b) whether the customer has a long enough time horizon to recoup the costs of the product, particularly surrender charges; and (c) whether less expensive alternatives were considered. Here, Gerald was 71 years old, conservative, had no need for tax-deferred growth (the money was already in a tax-deferred IRA), and explicitly prioritized capital preservation and liquidity for medical expenses. The seven-year surrender schedule directly conflicted with his stated liquidity needs, and the 3.70% all-in annual cost was excessive for a customer with no growth objective. Breslin appears to have failed the reasonable-basis and customer-specific suitability

requirements of Rule 2330.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** The NAIC model, adopted in most states, requires that an insurance producer have a reasonable basis to believe an annuity recommendation is suitable based on the consumer's age, financial situation, objectives, intended use of the annuity, time horizon, existing assets and financial products, liquidity needs, risk tolerance, and tax status. The producer must also consider whether a replacement of an existing product is in the consumer's interest. Gerald's profile - elderly, conservative, liquidity-dependent, with no investment sophistication - is a textbook mismatch for a high-cost VA with a long surrender period. The regulation also requires documentation of why the specific product was recommended over alternatives; Breslin failed to document any comparative analysis.

****New York Regulation 187 (Best Interest Standard):**** Because Gerald resides in New York, the transaction is also subject to NY Reg 187, which imposes a best-interest standard on annuity recommendations. Under Reg 187, the recommendation must be in the best interest of the consumer at the time of the transaction, considering the consumer's financial situation and needs without placing the producer's compensation interest ahead of the consumer's interest. The \$11,100 commission and the advisor's characterization of Gerald as 'moderate' - contradicted by the client - suggest the recommendation was compensation-driven rather than client-driven. The availability of materially lower-cost alternatives (a fixed indexed annuity with a 3-year surrender and sub-1% costs, or a simple fixed annuity at 4.25%) that better matched Gerald's objectives further supports a finding that the recommendation was not in his best interest.

****SEC Regulation Best Interest (Rule 15l-1):**** If Breslin is a registered representative of a broker-dealer, Reg BI requires that the recommendation be in the retail customer's best interest and that the advisor not place his own financial interest ahead of the customer's. The Care Obligation under Reg BI requires consideration of reasonably available alternatives. Breslin's failure to document or consider lower-cost products, combined with the mismatch between the product features and Gerald's profile, likely constitutes a violation of the Care Obligation. The high commission also raises concerns under the Conflict of Interest Obligation, as the firm apparently did not have adequate policies to mitigate the incentive to recommend the higher-commission VA over lower-cost alternatives.

****Likely Regulatory Outcome:**** Gerald's complaint to the state insurance department would likely trigger an investigation under NY Reg 187. The state may impose fines, require restitution, or revoke Breslin's insurance license. FINRA could pursue a Rule 2330 violation resulting in suspension, fines, and disgorgement of commissions. The broker-dealer's supervisory obligations under FINRA Rules 3110 and 2330(c) may also be at issue if the firm failed to implement adequate principal review procedures for VA transactions involving senior customers. Academic literature and GAO reports have consistently identified exactly this pattern - high-cost VAs sold to elderly, conservative investors with liquidity needs - as a hallmark of VA mis-selling.

Hypothetical 33

Topic: *senior_investor_exploitation* | Difficulty: *hard*

[NON-COM]

Fact Pattern

Margaret Holloway, age 81, is a retired schoolteacher living in Syracuse, New York, with an annual pension income of \$34,000 and Social Security benefits of \$22,800. Her total liquid net worth is approximately \$410,000, consisting of \$185,000 in a bank money market account, \$140,000 in a brokerage account holding Treasury bonds and investment-grade municipal bonds, and \$85,000 in a traditional IRA invested in certificates of deposit. Margaret's husband passed away in 2023, and she has been managing her finances conservatively since then, primarily to cover her living expenses, prescription drug costs averaging \$1,100 per month, and occasional home health aide visits. She has two adult children who help with daily logistics but do not contribute financially. Margaret has no prior experience with variable products and has consistently described her investment objective as capital preservation with modest income generation. Her stated risk tolerance on account documents is 'conservative.' In March 2025, her financial advisor, Dean Whitfield, age 38, conducted a home visit during which he discussed Margaret's concern about outliving her savings given rising healthcare costs. Dean recommended that Margaret liquidate the \$185,000 money market account and the \$140,000 bond portfolio—a total of \$325,000—and invest the proceeds into a single variable annuity contract issued by a mid-size insurance carrier. The product selected carried a seven-year surrender charge schedule beginning at 8% in year one and declining by one percentage point per year. The contract included a Guaranteed Minimum Withdrawal Benefit (GMWB) rider at an annual cost of 1.15%, on top of total annual contract expenses (mortality and expense charges, administrative fees, and average underlying subaccount expense ratios) of approximately 2.45%, bringing the all-in annual cost to roughly 3.60%. Dean allocated 60% of the subaccount selections to equity-heavy portfolios, including a small-cap growth fund and an international emerging markets fund, with the remaining 40% in a fixed-income subaccount. Dean documented in his notes that the GMWB rider would protect Margaret's principal and provide guaranteed lifetime income, and that the equity allocation was necessary to 'keep pace with inflation and maximize the benefit base.' He did not document any comparison with lower-cost alternatives such as a fixed annuity, a single premium immediate annuity, or maintaining her existing conservative portfolio supplemented by systematic withdrawals. Dean also did not note whether Margaret understood the surrender charge implications given her age and health, nor did he discuss the likelihood that she would need to access the funds for medical emergencies within the surrender period. Dean's broker-dealer's supervisory system flagged the transaction for principal review due to Margaret's age and the concentration of assets, but the supervising principal approved the transaction within two business days, noting only 'GMWB addresses longevity risk—approved.' Dean received an upfront commission of approximately 5.75% on the \$325,000 investment, totaling \$18,687.50. Within nine months of the purchase, Margaret needed \$40,000 for an unexpected hospitalization and rehabilitation stay. She was forced to take a withdrawal subject to a 7% surrender charge, costing her \$2,800 in penalties in addition to any applicable tax consequences on gains. Her children subsequently filed a complaint alleging that the recommendation was wholly inappropriate for their mother's circumstances.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dean Whitfield violated multiple applicable standards governing variable annuity recommendations to senior investors.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under Rule 2330, a registered representative

recommending a variable annuity must have a reasonable basis to believe the transaction is suitable based on the customer's age, income, financial situation, investment objectives, risk tolerance, tax status, liquidity needs, and other relevant factors. Here, Margaret's profile-age 81, conservative risk tolerance, capital preservation objective, fixed income of approximately \$56,800 per year, significant ongoing medical expenses, and no investment experience with variable products-strongly militated against concentrating 79% of her liquid assets (\$325,000 of \$410,000) in a single variable annuity with a seven-year surrender period and an equity-heavy allocation. Rule 2330(b)(1)(A) specifically requires the advisor to consider whether the customer would benefit from certain features of a variable annuity, such as tax-deferred growth and annuitization, in light of available alternatives. Dean failed to perform or document any comparative analysis. The rule also requires consideration of the customer's liquidity needs; locking an 81-year-old with recurring medical costs into a product with surrender charges as high as 8% is presumptively unsuitable absent compelling justification.

****NAIC Model Regulation 275:**** Under the NAIC Suitability in Annuity Transactions Model Regulation (Model 275), which New York has adopted in substance, an insurance producer must have a reasonable basis to believe the annuity recommendation is suitable and in the consumer's best interest. The regulation requires documentation of the basis for the recommendation, consideration of reasonably available alternatives, and analysis of whether the consumer's existing holdings already achieve the stated objectives. Dean's existing conservative bond and money market portfolio arguably already served Margaret's capital preservation and income objectives at far lower cost and with full liquidity. The failure to consider or document alternatives such as a fixed annuity, SPIA, or maintaining the status quo violates Model 275's requirements.

****New York Regulation 187:**** Because Margaret resides in New York, Regulation 187 applies, imposing a best-interest standard on annuity recommendations. Under Reg 187, the transaction must be in the best interest of the consumer at the time of the recommendation, and the producer's compensation cannot be a material factor driving the recommendation over the consumer's interests. Dean received \$18,687.50 in upfront commissions-a significant financial incentive-while recommending a product with all-in annual costs of 3.60% to a conservative 81-year-old. The absence of any documented comparison to lower-cost alternatives, coupled with the magnitude of the commission, raises a strong inference that compensation influenced the recommendation, violating the regulation's prohibition on placing producer interests above consumer interests.

****SEC Regulation Best Interest (Rule 15l-1):**** To the extent Dean acted in his capacity as a broker-dealer registered representative, Reg BI's Care Obligation required him to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation compared to reasonably available alternatives. The 3.60% annual cost drag on a conservative investor's portfolio, the surrender charge exposure for an elderly client with predictable liquidity needs, and the 60% equity allocation for someone with a conservative risk tolerance all indicate a failure of the Care Obligation. Additionally, the Conflict of Interest Obligation under Reg BI required Dean's firm to establish policies to identify and mitigate conflicts arising from the 5.75% commission; the cursory supervisory review ('GMWB addresses longevity risk-approved') suggests the firm's conflict mitigation procedures were inadequate.

****Supervisory Failures:**** The principal's approval in two business days with a single-line justification-despite the transaction being flagged for age-related review-suggests a failure of the broker-dealer's supervisory system under FINRA Rule 3110. A heightened review was warranted given the customer's age, the concentration of assets, the surrender period, and the equity allocation.

****Likely Regulatory Outcome:**** Dean would likely face enforcement action from FINRA and the New York Department of Financial Services. Potential sanctions include disgorgement of the \$18,687.50 commission, restitution to Margaret for the surrender charges incurred and excess costs paid, fines, a suspension or bar, and supervisory sanctions against the approving principal and the broker-dealer for failure to adequately supervise a flagged transaction involving a senior investor. Academic literature and GAO reports have consistently identified precisely this pattern-high-cost variable annuities sold to elderly, conservative investors with liquidity needs-as a paradigmatic case of unsuitable VA mis-selling.

Hypothetical 34

Topic: *high_fees_unsuitable* | Difficulty: *medium*

[NON-COM

Fact Pattern

Margaret Kowalski, age 72, is a retired elementary school teacher living in Buffalo, New York. She receives \$2,850 per month from her state pension and \$1,740 per month in Social Security benefits, giving her a combined annual income of approximately \$55,080. She has \$185,000 in a traditional IRA at a bank brokerage unit, \$42,000 in a savings account, and owns her home outright, valued at approximately \$210,000. Mrs. Kowalski describes herself as conservative, stating repeatedly that her primary goal is to preserve her savings so she can cover medical expenses and leave something to her two grandchildren. She has no experience with market-linked investments and told her advisor, Derek Holton, that she 'cannot afford to lose any of this money.' In March 2023, Holton recommended that Mrs. Kowalski liquidate her existing IRA, which was invested in a short-term bond fund with an annual expense ratio of 0.18%, and use the proceeds to purchase a variable annuity issued by a mid-tier insurance carrier. The variable annuity carried a mortality and expense risk charge of 1.45%, an administrative fee of 0.15%, and underlying sub-account average expenses of 0.92%, bringing total annual costs to approximately 2.52%. The contract also included a guaranteed minimum income benefit rider costing an additional 1.10% annually, raising total all-in annual costs to approximately 3.62%. The annuity imposed a seven-year surrender charge schedule starting at 8% in year one and declining by one percentage point per year. Mrs. Kowalski signed the application after a single meeting lasting roughly 45 minutes. Holton earned a 6.5% commission on the sale, totaling \$12,025. He did not document any comparison between the existing bond fund and the proposed variable annuity, nor did he present lower-cost alternatives such as a fixed annuity, a fixed indexed annuity without a surrender period, or a simple certificate of deposit ladder. No written needs analysis or risk profile questionnaire was placed in the file. Within eight months, Mrs. Kowalski's account value had declined to \$168,400 due to sub-account losses and the cumulative fee drag. She contacted Holton requesting a withdrawal of \$25,000 for an unexpected roof repair, at which point she learned she would owe a surrender charge of approximately \$1,880 in addition to ordinary income tax on the distribution. She filed a complaint with the state insurance department in January 2024, alleging that Holton never explained the fees, surrender charges, or the risk of market loss, and that the product was entirely

wrong for someone in her financial position.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Holton violated multiple suitability and best-interest standards applicable to this transaction.

1. ****FINRA Rule 2330 - Variable Annuity Suitability****: Under Rule 2330, a registered representative recommending a variable annuity must have a reasonable basis to believe the transaction is suitable based on the customer's age, income, financial situation, investment objectives, risk tolerance, tax status, and liquidity needs. Mrs. Kowalski was 72, conservative, dependent on fixed income, had limited liquid assets, and expressly stated she could not afford losses. The variable annuity's 3.62% all-in annual cost, seven-year surrender schedule, and exposure to equity market risk were fundamentally inconsistent with her stated objectives of capital preservation and liquidity. Rule 2330(b)(1)(A) specifically requires consideration of whether the customer would benefit from the tax-deferred features of a VA; here, the money was already in an IRA, so the annuity wrapper provided no incremental tax deferral - a classic red flag. The rule also requires the representative to consider surrender charge implications relative to the customer's age and liquidity needs.

2. ****NAIC Model Regulation 275 - Suitability in Annuity Transactions****: Model 275, as adopted by New York and most states, requires a producer to have reasonable grounds to believe an annuity recommendation is suitable based on the consumer's financial profile and needs. The producer must make reasonable efforts to obtain information about the consumer's financial situation, tax status, insurance needs, and objectives. Holton failed to complete any documented needs analysis or risk questionnaire, violating the information-gathering requirement. The recommendation of a high-cost, long-surrender-period variable annuity to a 72-year-old conservative investor with modest liquid savings is facially unsuitable under Model 275's standards.

3. ****New York Regulation 187 - Best Interest Standard****: Because Mrs. Kowalski resides in New York, the transaction is subject to NY Reg 187, which imposes a best-interest standard on annuity recommendations effective August 1, 2019. Under Reg 187, the producer must act in the consumer's best interest at the time the recommendation is made, considering known alternatives and the consumer's financial situation. The regulation explicitly requires evaluation of costs, product complexity, surrender penalties, and the consumer's existing coverage. Holton failed to compare the existing low-cost bond fund to the proposed VA, did not present lower-cost alternatives (fixed annuity, CD ladder, etc.), and did not document how the recommendation served Mrs. Kowalski's best interest rather than his own commission interest. The \$12,025 commission, representing a 6.5% payout, constitutes a significant financial conflict that was neither disclosed nor mitigated.

4. ****SEC Regulation Best Interest (Rule 15l-1)****: If Holton is a registered representative of a broker-dealer, Reg BI also applies. The Care Obligation under Reg BI requires the broker to exercise reasonable diligence, care, and skill in making recommendations, including understanding costs and reasonably available alternatives. The Disclosure Obligation requires full disclosure of material fees and conflicts. The Conflict of Interest Obligation requires policies to identify, disclose, and mitigate conflicts, particularly those

arising from compensation. Holton's failure to disclose fees, failure to consider alternatives, and failure to place the customer's interest ahead of his commission income violate all three component obligations.

****Likely Regulatory Outcome**:** Mrs. Kowalski's complaint will likely result in an examination by the New York Department of Financial Services under Reg 187 and potentially a FINRA enforcement investigation under Rules 2330 and 2111. Probable consequences include restitution of the surrender charges and excess fees, disgorgement of the commission, fines, heightened supervision for Holton, and possible suspension or bar depending on the scope of similar conduct. The supervising broker-dealer could also face liability for failure to supervise if it did not flag the transaction for principal review as required under Rule 2330(c).

Hypothetical 35

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

[NON-COM

Fact Pattern

In March 2024, Gerald Hoffstein, a 71-year-old retired postal worker living in Columbus, Ohio, met with financial advisor Danielle Krieger at a free dinner seminar held at a local steakhouse. Gerald's wife had passed away eight months earlier, and he was managing his finances alone for the first time. Gerald had a fixed pension of \$2,850 per month, Social Security benefits of \$1,920 per month, and a total of \$410,000 in liquid savings: \$285,000 in a bank certificate of deposit earning 4.8% APY and \$125,000 in a money market account. He had no other investments and had never owned any securities or insurance products beyond a small whole life policy. Gerald described himself to Krieger as someone who "couldn't afford to lose a dime" and said his primary goals were preserving his savings to cover potential long-term care costs and leaving something for his two grandchildren. He specifically told Krieger he had no interest in the stock market because his late wife had lost money in mutual funds during the 2008 financial crisis and they had both sworn off equities. On the new account form, Krieger recorded Gerald's risk tolerance as "moderate growth" and his investment objective as "growth and income," explaining to him that the form was "just a formality" and that the product she was recommending would protect him. Krieger recommended Gerald liquidate his \$285,000 CD - which had seven months remaining until maturity, triggering a \$4,100 early withdrawal penalty - and invest \$275,000 into a variable annuity with a seven-year surrender period. The annuity carried a mortality and expense risk charge of 1.35%, an administrative fee of 0.15%, and underlying subaccount expenses averaging 0.92%, for total annual costs of approximately 2.42%. Krieger allocated the variable annuity as follows: 40% to a small-cap equity growth subaccount, 30% to an international equity subaccount, and 30% to a corporate bond subaccount. The annuity included an optional guaranteed minimum income benefit rider at an additional annual cost of 0.95%, bringing total annual charges to approximately 3.37%. Krieger earned a commission of \$16,500 on the sale. She did not discuss any fixed annuity products, fixed indexed annuities, or any alternative lower-cost options. She also did not discuss the tax implications of annuitization relative to Gerald's existing tax-advantaged CD income. Over the following twelve months, the subaccounts declined in value by approximately 14%, reducing Gerald's account to roughly \$236,500 before surrender charges. Gerald contacted his state insurance department in February 2025 after his grandson, a CPA, reviewed the statements and raised concerns.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated applicable suitability and best-interest standards on multiple grounds.

****1. Inaccurate Risk Profile Documentation - FINRA Rule 2330 and NAIC Model Regulation 275 (2020 Best Interest Amendments):****

FINRA Rule 2330(b)(1) requires that a member or associated person have a reasonable basis to believe that a variable annuity transaction is suitable based on the customer's stated risk tolerance, investment objectives, and financial situation. NAIC Model 275, Section 6 (as amended in 2020 and adopted by Ohio effective 2023 under the best-interest framework), requires that insurance producer recommendations reflect the consumer's actual risk tolerance and stated objectives. Here, Gerald explicitly stated he could not afford to lose any money, had no interest in equities, and wanted capital preservation. Krieger overrode these clearly expressed preferences by recording his risk tolerance as 'moderate growth' and his investment objective as 'growth and income.' Mischaracterizing a client's risk profile on documentation to justify a product recommendation is a serious violation. Telling the client the form was 'just a formality' compounds the misconduct and suggests an intent to manipulate the suitability determination process.

****2. Unsuitable Investment Allocation:****

Allocating 70% of a risk-averse 71-year-old retiree's assets into small-cap equity and international equity subaccounts is facially unsuitable under FINRA Rule 2330(b)(1)(A). These are among the most volatile asset classes and are wholly inconsistent with a client whose stated primary objectives are capital preservation and legacy planning. Even the remaining 30% in corporate bonds carries meaningful credit and interest rate risk. The allocation exposes Gerald to substantial downside risk - which materialized as a 14% loss - that he explicitly said he could not tolerate.

****3. Concentration and Liquidity Concerns:****

The recommendation to invest \$275,000 of Gerald's \$410,000 in liquid savings (approximately 67%) into a single variable annuity with a seven-year surrender schedule creates a severe liquidity constraint. FINRA Rule 2330(b)(1)(A)(ii) specifically requires consideration of the customer's liquidity needs. Gerald is 71, has potential long-term care needs, and would face substantial surrender charges (typically 7% in year one, declining thereafter) if he needed access to funds. The recommendation also caused him to break a CD early, incurring a \$4,100 penalty - an unnecessary cost that further erodes the client's position.

****4. Failure to Consider Reasonably Available Alternatives - NAIC Model 275, Section 6(B):****

Under the 2020 best-interest amendments to Model 275, the producer must consider reasonably available alternatives. Krieger did not discuss fixed annuities, fixed indexed annuities, or other lower-cost, lower-risk products that would have been far more aligned with Gerald's stated objectives. A fixed annuity with a guaranteed rate would have preserved principal, provided predictable income, and involved dramatically lower annual costs. The failure to present or even consider alternatives is a standalone violation.

****5. Excessive Costs:****

Total annual charges of approximately 3.37% (including the GMIB rider) are substantial and must be justified in light of the client's needs. Given that Gerald wanted capital preservation, the expensive GMIB

rider - designed to guarantee income payments that may not be needed given his pension and Social Security - and the high subaccount expenses represent costs that are disproportionate to any benefit Gerald would receive, particularly when lower-cost alternatives were available.

****6. Commission Motivation:****

The \$16,500 commission (approximately 6% of the investment) raises a reasonable inference that the recommendation was driven by the advisor's financial interest rather than the client's needs. Under Reg BI (Rule 15l-1, applicable if Krieger was also a broker-dealer registered representative) and NAIC Model 275, the advisor must identify and mitigate conflicts of interest, including compensation-driven incentives. Under NY Regulation 187 (which, while New York-specific, reflects the national trend), similar transactions have been found violative when compensation materially influenced the recommendation.

****Likely Regulatory Outcome:****

This fact pattern presents a strong case for enforcement action by both the state insurance department (under the state's adoption of NAIC Model 275 best-interest provisions) and, if applicable, FINRA (under Rule 2330 and potentially Rule 2111 general suitability). Likely outcomes include disgorgement of commission, rescission of the transaction, restitution to the customer for losses including the CD early withdrawal penalty, fines, and potential suspension or bar of the advisor. The deliberate mischaracterization of the client's risk profile on the account form could support an additional finding of fraud or dishonest practices.

Hypothetical 36

Topic: high_fees_unsuitable | Difficulty: medium

Fact Pattern

Margaret Kowalski, age 71, is a retired elementary school teacher living in Syracuse, New York. She receives \$2,850 per month in pension income and \$1,920 per month from Social Security, totaling approximately \$57,240 annually. Her total liquid savings amount to \$215,000, held primarily in bank certificates of deposit and a money market account. She owns her home outright, valued at approximately \$185,000, and has no outstanding debts. Margaret describes herself as a conservative investor whose primary objectives are preserving her savings, maintaining liquidity for potential healthcare costs, and leaving a modest inheritance to her two adult children. She has no prior experience with variable annuities or equities and told her advisor she was uncomfortable with market risk. She takes medication for early-stage Parkinson's disease and has expressed concern about potential long-term care expenses within the next five to ten years.

In March 2022, financial advisor Derek Stanhope, who is both a registered representative with a broker-dealer and a licensed insurance agent, recommended that Margaret invest \$185,000 - approximately 86% of her liquid net worth - into a variable annuity contract issued by a national insurance carrier. The product selected was the "Prestige Growth & Income VA" with the following fee structure: a mortality and expense risk charge of 1.40% annually, an administrative fee of 0.15% annually, underlying sub-account fund expenses averaging 0.92% annually, and an optional guaranteed minimum income

[NON-COM]

benefit rider costing an additional 1.10% annually. The total all-in annual cost of the product was approximately 3.57%. The contract carried a seven-year surrender charge schedule beginning at 8% in year one and declining by 1% per year. If Margaret needed to access more than the 10% free withdrawal allowance during the surrender period, she would face significant penalties. For a \$185,000 investment, the first-year surrender charge would be \$14,800 if the full amount were liquidated.

Derek's commission on the sale was approximately \$12,025 (a 6.5% upfront commission rate). He allocated Margaret's sub-accounts 60% to a mid-cap growth fund, 25% to an international equity fund, and 15% to a high-yield bond fund - all equity-oriented or below-investment-grade selections. Derek documented Margaret's risk tolerance as "moderate growth" on the new account form, despite her verbal statements to the contrary. He did not discuss lower-cost alternatives such as fixed annuities, immediate income annuities, bond funds, or Treasury securities. He also did not address how the seven-year surrender period might conflict with her potential need for liquidity to cover healthcare expenses related to her Parkinson's diagnosis. Margaret's two children later reviewed the contract documents and discovered the fee structure and surrender penalties. They contacted the broker-dealer's compliance department in September 2022 after Margaret's account had already declined by approximately \$22,000 due to equity market losses, on top of the roughly \$6,600 in first-year fees deducted from account value.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Stanhope violated multiple applicable suitability and best-interest standards in recommending this variable annuity to Margaret Kowalski.

****FINRA Rule 2330 - Variable Annuity Suitability:****

FINRA Rule 2330(b) requires that, prior to recommending a variable annuity, a registered representative must have a reasonable basis to believe the transaction is suitable based on the customer's investment profile, including age, income, financial situation, risk tolerance, liquidity needs, investment objectives, and investment time horizon. Specifically, Rule 2330(b)(1)(A) requires consideration of whether the customer would benefit from certain features of a variable annuity, such as tax-deferred growth, annuitization, or a death benefit. At age 71, with a conservative risk profile, no tax-advantaged need (her income is modest and mostly from tax-advantaged sources), and significant liquidity concerns due to a progressive medical condition, Margaret had no demonstrable need for the tax-deferral or growth features of a variable annuity.

Rule 2330(b)(1)(B) requires the representative to determine that the particular variable annuity as a whole is suitable. The Prestige Growth & Income VA carried a total annual cost of approximately 3.57% - an extraordinarily high expense load for a conservative, elderly investor. The seven-year surrender period is directly at odds with Margaret's stated need for liquidity to address healthcare costs. Allocating 86% of liquid assets to a single illiquid, high-cost product with aggressive sub-account selections is plainly unsuitable.

****NAIC Model Regulation 275:****

The NAIC Suitability in Annuity Transactions Model Regulation (Model 275), as adopted in many states, requires that producers have reasonable grounds to believe a recommendation is suitable based on the

consumer's financial situation, insurance needs, tax status, investment objectives, and other relevant information. The producer must also consider whether the consumer has been informed of the features of the annuity, including surrender charges, potential tax penalties, and fees. Derek failed to discuss lower-cost alternatives, misrepresented Margaret's risk tolerance on documentation, and did not adequately address how the product's illiquidity conflicted with her health situation and liquidity needs.

****New York Regulation 187:****

Because Margaret resides in New York, NY Regulation 187 applies directly. Effective August 1, 2019 for annuity transactions, Regulation 187 imposes a best-interest standard on all annuity recommendations. Under 11 NYCRR § 224.4, the producer must act in the best interest of the consumer at the time the recommendation is made, without placing the producer's financial interest ahead of the consumer's. The \$12,025 commission created a significant financial incentive that appears to have driven the recommendation. The producer must also consider reasonably available alternatives. Derek failed to present or discuss any lower-cost or more liquid alternatives such as fixed annuities, immediate annuities, CDs, or Treasury instruments - all of which would have been more consistent with Margaret's stated objectives and risk tolerance.

Regulation 187 also requires that documentation accurately reflect the consumer's profile. Derek documented Margaret's risk tolerance as "moderate growth" despite her explicit statements that she was conservative and uncomfortable with market risk. This misrepresentation of customer information is a serious violation.

****SEC Regulation Best Interest (Rule 15l-1):****

As a registered representative of a broker-dealer, Derek is also subject to Regulation Best Interest under the Securities Exchange Act. Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)(B)) requires that a broker-dealer and its associated persons exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and have a reasonable basis to believe the recommendation is in the retail customer's best interest. The recommendation must consider the customer's investment profile including age, financial situation, risk tolerance, and liquidity needs. Placing 86% of a 71-year-old retiree's liquid assets in a high-fee, illiquid variable annuity with aggressive equity sub-accounts while she faces progressive health deterioration fails this standard. Reg BI's Conflict of Interest Obligation also requires disclosure and mitigation of conflicts; the 6.5% upfront commission created a clear conflict that was neither disclosed nor mitigated.

****Likely Regulatory Outcome:****

This case presents classic hallmarks of VA mis-selling: an elderly, conservative customer with health and liquidity concerns was placed into a high-cost, illiquid, aggressively allocated variable annuity generating a substantial commission. Probable outcomes include: (1) FINRA enforcement action against the registered representative for violations of Rule 2330 and supervision failures against the broker-dealer; (2) New York DFS enforcement for Regulation 187 violations; (3) customer restitution including recovery of surrender charges, excess fees, and market losses attributable to unsuitable allocation; (4) potential fines and suspension or bar of the representative; and (5) enhanced supervision or censure of the broker-dealer for failure to detect the falsified risk tolerance documentation during supervisory review.

Hypothetical 37*Topic: senior_investor_exploitation | Difficulty: medium*

[NON-COM]**Fact Pattern**

Margaret Dillon, age 81, is a retired elementary school teacher living in Rochester, New York. She is a widow with two adult children who help manage her affairs. Her total liquid assets consist of \$340,000 in a bank savings account and a \$125,000 CD ladder maturing over the next three years. She receives \$2,400 per month from her state pension and \$1,850 per month from Social Security, which together comfortably cover her living expenses of approximately \$3,200 per month. Margaret has no debt, owns her home outright, and has consistently described herself as a conservative investor who prioritizes capital preservation and liquidity. She has a history of mild cognitive decline noted by her primary care physician, though she has not been declared legally incapacitated.

In March 2023, her financial advisor, Kevin Braddock, age 38, who holds both securities and insurance licenses, met with Margaret at her home after being referred by a neighbor. During the meeting, Kevin recommended that Margaret invest \$275,000—approximately 59% of her total liquid assets—into a variable annuity product called the "Pinnacle Growth VA Plus." This product features a 7-year surrender period with a declining surrender charge starting at 8% in year one, annual mortality and expense charges of 1.45%, an administrative fee of 0.15%, and underlying sub-account expense ratios averaging 0.92%. Kevin also recommended that Margaret add a Guaranteed Minimum Income Benefit (GMIB) rider at an additional annual cost of 1.10%, bringing total all-in annual fees to approximately 3.62%.

Kevin allocated 60% of the variable annuity sub-accounts to equity growth funds and 40% to a balanced allocation fund. He told Margaret that this product would "protect her money while letting it grow" and that the income rider would guarantee her payments for life starting in seven years. He did not discuss that Margaret would be 88 before the surrender period ended, did not document any discussion of her health status or reduced life expectancy, and did not compare the variable annuity to lower-cost alternatives such as a single-premium immediate annuity, fixed annuity, or a conservative portfolio of bonds and CDs. Kevin's commission on the sale was \$16,500.

Margaret's daughter, Patricia, discovered the transaction in June 2023 when Margaret mentioned she could not access "some of her savings." Patricia reviewed the paperwork and found that the application listed Margaret's risk tolerance as "moderate growth" and her investment objective as "long-term growth," which contradicted every prior financial document on file. Patricia also learned that Kevin had not contacted either of Margaret's children before the transaction, despite Margaret having previously told another advisor at the same firm that her children help her with financial decisions. When Patricia called Kevin to ask about the annuity, he said it was "the best product on the market for someone Margaret's age" and that "the living benefits make it completely safe." Kevin's firm's internal records show no evidence of a supervisory review of this transaction prior to submission.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Braddock violated multiple suitability and best-interest requirements applicable to this transaction.

****FINRA Rule 2330 - Variable Annuity Suitability:****

FINRA Rule 2330 requires that before recommending the purchase of a variable annuity, a registered representative must make reasonable efforts to obtain the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing insurance holdings, liquidity needs, liquid net worth, risk tolerance, and tax status. The recommendation must be suitable based on these factors. Here, the application mischaracterized Margaret's risk tolerance as "moderate growth" and her objective as "long-term growth," directly contradicting her documented conservative profile and capital preservation goals. A 7-year surrender period ending when the client is 88, combined with 59% of liquid assets being locked into a high-fee variable product, is facially unsuitable for an 81-year-old with no need for additional growth and adequate income from pension and Social Security.

FINRA Rule 2330 also requires a registered principal to review the transaction before transmitting the application. Kevin's firm failed to conduct any documented supervisory review, a direct violation of Rule 2330(c).

****NAIC Model Regulation 275 - Suitability in Annuity Transactions:****

The NAIC Model Regulation 275 (adopted in most states and updated in 2020 to include a best-interest standard) requires that an insurance producer, prior to recommending an annuity, act in the best interest of the consumer. The producer must evaluate the consumer's financial situation, insurance needs, existing assets, and must ensure the recommendation is suitable considering the consumer's age, liquidity needs, and financial objectives. Kevin failed to consider Margaret's advanced age, limited time horizon, existing adequate income, and conservative risk profile. He also failed to consider reasonably available alternatives, such as a fixed annuity, SPIA, or CD/bond portfolio, which would have been far more appropriate for her stated needs.

****New York Regulation 187 - Best Interest Standard:****

Because this transaction involves an annuity delivered in New York state, NY Insurance Regulation 187 applies. Reg 187 imposes a best-interest standard requiring that (1) the recommendation must reflect the care, skill, prudence, and diligence that a prudent person acting in a like capacity would exercise; (2) the producer must consider only the interests of the consumer in making the recommendation, not the producer's own compensation; and (3) there must be a reasonable basis to believe the recommendation is in the consumer's best interest at the time it is made, considering the consumer's age, income, existing assets, financial situation, risk tolerance, liquidity needs, and other relevant factors.

Kevin's \$16,500 commission created an obvious conflict of interest that he did not mitigate or disclose. His failure to compare alternatives, his misrepresentation of risk tolerance on the application, and his recommendation of a product with a 7-year surrender period and 3.62% all-in annual fees to an 81-year-old conservative investor with adequate income strongly suggests the recommendation was driven by compensation rather than the client's interest. The absence of any documentation regarding Margaret's cognitive health, shortened time horizon, or her children's role in financial decisions further demonstrates a failure to exercise the required diligence.

****SEC Regulation Best Interest (Rule 15l-1):****

To the extent Kevin acted in his capacity as a broker-dealer registered representative, Reg BI's Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making the recommendation, including understanding the potential risks, rewards, and costs of the recommendation, and having a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made without placing the advisor's financial interest ahead of the customer's. The Disclosure Obligation further requires full and fair disclosure of material facts regarding conflicts of interest. Kevin's conduct fails both obligations: the product was plainly unsuitable given the client's profile, and the conflict from the \$16,500 commission was not disclosed or addressed.

****Likely Regulatory Outcome:****

Kevin Braddock and his firm face potential enforcement action from FINRA for violations of Rule 2330 (both the suitability and supervisory review provisions), from the New York Department of Financial Services for violation of Regulation 187, and potentially from the SEC under Reg BI. Remedies could include disgorgement of commissions, rescission of the annuity contract, restitution to the customer, fines, suspension or bar of the advisor, and censure of the firm for supervisory failures. The involvement of a senior investor with documented cognitive decline would be treated as an aggravating factor. Academic literature and GAO reports on variable annuity mis-selling have repeatedly identified exactly this pattern-high-fee, long-surrender VAs sold to elderly clients with conservative profiles-as a hallmark of unsuitable sales driven by compensation incentives.

Hypothetical 38

Topic: *tax_deferred_unnecessary_annuity* | Difficulty: *medium*

Fact Pattern

In March 2024, financial advisor Derek Paulson met with Margaret Cho, a 58-year-old senior paralegal earning \$92,000 per year. Margaret had accumulated \$410,000 in her employer-sponsored 401(k) plan and held an additional \$135,000 in a traditional IRA rollover from a previous employer. She also maintained \$48,000 in a taxable brokerage account and \$22,000 in a savings account. Margaret described herself as a moderate investor with a primary goal of growing her retirement savings over the next seven to ten years before retiring at age 66 or 67. She told Derek she was comfortable with some market fluctuation but did not want to take excessive risk. Margaret mentioned she was already maximizing her annual 401(k) contributions and had been contributing \$6,500 per year to her traditional IRA. During their second meeting, Derek recommended that Margaret move \$120,000 from her traditional IRA into a variable annuity issued by National Horizon Life Insurance Company. The product, called the "Horizon Growth Select VA," carried total annual expenses of 2.35%, consisting of a 1.25% mortality and expense charge, a 0.40% administrative fee, and average underlying subaccount fund expenses of 0.70%. The contract also imposed a seven-year declining surrender charge schedule starting at 7% in year one and decreasing by 1% each year. Derek told Margaret the variable annuity would give her "an extra layer of tax-deferred growth" and access to professional money management through the subaccount options. He did not discuss the fact that her IRA already provided tax-deferred growth on the same assets. Margaret's existing IRA was

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invested in a diversified portfolio of index mutual funds with a blended expense ratio of 0.18%. Derek earned a 5.50% upfront commission on the \$120,000 purchase, totaling \$6,600. Margaret signed the paperwork and the transfer was processed. Six months later, Margaret consulted an independent financial planner who pointed out that layering a variable annuity inside a tax-deferred IRA provided no additional tax benefit and simply added substantial costs and surrender restrictions to her retirement savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Paulson violated applicable suitability and best-interest standards in multiple respects.

****Applicable Standards:****

FINRA Rule 2330 (Variable Annuity Suitability) requires that, prior to recommending a variable annuity purchase, a registered representative must have a reasonable basis to believe the transaction is suitable. Specifically, Rule 2330(b)(1)(A) requires consideration of whether the customer would benefit from certain features of a variable annuity, such as tax-deferred growth, annuitization, or a death benefit. A critical component is determining whether the tax-deferred feature provides a genuine benefit given the customer's existing accounts and tax situation.

The NAIC Model Regulation 275 (Suitability in Annuity Transactions), as amended in 2020, imposes a best-interest standard requiring that an insurance producer act in the consumer's best interest at the time of the recommendation without placing the producer's financial interest ahead of the consumer's interest. The producer must evaluate reasonably available alternatives and ensure the recommendation is in the consumer's best interest considering the consumer's financial situation, insurance needs, and financial objectives.

SEC Regulation Best Interest (Rule 15l-1) requires broker-dealers and their associated persons to act in the retail customer's best interest when making a recommendation, including the Care Obligation, which mandates the exercise of reasonable diligence, care, and skill in understanding the product's risks, costs, and rewards and evaluating whether the recommendation is in the customer's best interest. The Conflict of Interest Obligation requires mitigation of financial incentives that could cause the representative to place his interest ahead of the customer's.

New York Regulation 187 similarly imposes a best-interest standard on annuity recommendations made to New York consumers and requires documentation that alternatives were considered.

****Analysis of Violations:****

1. ****No Incremental Tax Benefit (Tax-Deferred Layering):**** Margaret's \$120,000 was already held in a traditional IRA, which provides full tax-deferred growth by statute. Placing these assets inside a variable annuity added zero additional tax benefit. The primary marketed advantage of a variable annuity - tax deferral - was entirely redundant. Under FINRA Rule 2330(b)(1)(A), Derek was required to determine whether the customer would benefit from the tax-deferred features of the VA. He could not reasonably have

concluded she would, since the assets already enjoyed identical tax treatment. This is one of the most commonly cited red flags in variable annuity suitability reviews and has been the subject of multiple FINRA enforcement actions and GAO reports on VA mis-selling.

2. ****Substantially Higher Costs with No Offsetting Benefit:**** Margaret's existing IRA portfolio had a blended expense ratio of 0.18%. The variable annuity carried total annual expenses of 2.35% - approximately 13 times higher. Over seven years on \$120,000, the incremental cost difference (roughly 2.17% annually) would amount to approximately \$18,000-\$22,000 in additional drag on returns, depending on market performance. Derek provided no evidence that the variable annuity's subaccount options or insurance features (death benefit, optional living benefits) were needed by or valuable to this customer. Under Reg BI's Care Obligation, a broker-dealer must evaluate costs relative to reasonably available alternatives; Derek failed to do so.

3. ****Surrender Charges Reduced Liquidity:**** The seven-year declining surrender charge schedule beginning at 7% locked Margaret into the product during the critical pre-retirement years (ages 58-65). If she needed access to funds for unexpected expenses, early retirement, or a reallocation strategy, she would face significant penalties. Her existing IRA had no surrender charges or early redemption fees on the index funds.

4. ****Compensation-Driven Conflict:**** Derek received \$6,600 in upfront commissions (5.50% on \$120,000). This is a significant financial incentive that, under the Conflict of Interest Obligation of Reg BI and the best-interest requirement of NAIC Model 275, must be identified, disclosed, and mitigated. There is no indication Derek disclosed this conflict or considered lower-cost alternatives that would have served Margaret's objectives more efficiently.

5. ****Failure to Consider Alternatives:**** Under NAIC Model 275 and Reg BI, the advisor should have considered whether Margaret's existing low-cost index fund IRA portfolio already met her stated objectives of moderate-risk growth over seven to ten years. A reasonable evaluation would have concluded that it did, and that the variable annuity recommendation was inferior to the status quo.

****Likely Regulatory Outcome:****

This fact pattern presents a classic case of unnecessary VA placement inside an already tax-qualified account, which FINRA, state insurance departments, and the SEC have consistently treated as a serious suitability and best-interest violation. Derek would likely face an enforcement action including fines, disgorgement of commissions, required restitution to the customer, and a potential suspension. His broker-dealer's supervisory review process would also face scrutiny under FINRA Rule 3110 for failing to flag this transaction at the principal review stage. The insurance carrier's compliance department could face state regulatory action under NAIC Model 275 for inadequate supervision of the producing agent.

Hypothetical 39

Topic: *complex_products_unsophisticated_investor* | Difficulty: *hard*

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Fact Pattern

Margaret Kowalski, age 72, is a retired elementary school cafeteria worker living in Buffalo, New York. She receives \$1,640 per month in Social Security and a small pension of \$485 per month from the school district. Her total liquid savings consist of \$187,000 in a bank certificate of deposit that matured in March 2023 and \$14,500 in a checking account. She owns her home outright, valued at approximately \$145,000. Margaret has no prior investment experience beyond the CD and a passbook savings account she held for decades. She has a stated risk tolerance of conservative, an investment objective of capital preservation, and she told her advisor during their first meeting that she wanted her money to be safe and available in case she needed it for medical expenses. She takes three prescription medications and has mild early-stage chronic kidney disease, for which she sees a nephrologist quarterly.

In April 2023, Margaret's neighbor introduced her to Kevin Braddock, a registered representative with Lakeshore Financial Partners. Braddock visited Margaret at her home three times over two weeks. During these visits, he explained that interest rates on CDs were 'terrible' and that she was 'losing money to inflation.' He recommended she invest \$165,000 - roughly 82% of her liquid net worth - into a variable annuity issued by National Guardian Life, the 'Patriot Growth Plus VA.' The product featured a seven-year surrender charge schedule starting at 8% in year one, declining by 1% annually. The annuity's annual mortality and expense charge was 1.35%, the administrative fee was 0.15%, and the average expense ratio of the underlying sub-accounts Braddock selected (a mix of mid-cap growth, international equity, and emerging market bond funds) was 1.12%, bringing the total all-in annual cost to approximately 2.62%. Braddock also added a guaranteed minimum income benefit rider costing an additional 0.95% annually, bringing the effective total annual cost to 3.57%.

Braddock's notes from the meetings reflect that he explained the product had a 'guarantee,' but Margaret later told her daughter she believed the guarantee meant she could never lose her principal. Braddock did not document any discussion of the surrender charge schedule, the liquidity constraints, or the fact that the sub-account allocations were heavily weighted toward equity and emerging market strategies inconsistent with Margaret's conservative risk tolerance. He did not present or discuss any alternative products such as fixed annuities, Treasury securities, short-duration bond funds, or high-yield savings accounts. The new account form listed Margaret's investment experience as 'limited,' her annual income as \$25,500, her liquid net worth as \$201,500, her risk tolerance as 'moderate growth,' and her time horizon as '10+ years.' Margaret's daughter later noted that her mother did not understand what 'moderate growth' meant and would never have described herself that way.

By November 2023, the sub-accounts had declined 11.4% in value due to emerging market volatility and rising interest rates. Margaret's contract value had fallen to approximately \$143,300. When Margaret called Braddock to withdraw \$22,000 for an unexpected home furnace replacement and dental surgery, she was informed she would face a surrender penalty of approximately 7% (the year-one rate having partially lapsed), plus the loss already embedded in the account. Margaret's daughter filed a written complaint with Lakeshore Financial Partners in December 2023, alleging her mother was sold a product she did not understand and could not afford to be locked into.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Braddock committed multiple violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under Rule 2330, a registered representative must have a reasonable basis to believe that a variable annuity transaction is suitable for the customer based on the customer's investment profile, including age, income, financial situation, risk tolerance, liquidity needs, investment objectives, investment experience, investment time horizon, existing assets, and tax status. Braddock failed on virtually every factor. Margaret was 72, had limited income (\$25,500/year), conservative risk tolerance, no investment experience, a known medical condition creating potential near-term liquidity needs, and capital preservation as her stated objective. Concentrating 82% of her liquid assets in a product with a seven-year surrender schedule, total annual costs of 3.57%, and equity/emerging-market sub-account allocations is facially unsuitable. Rule 2330(b) also requires the representative to determine whether the customer would benefit from certain features of a VA, such as tax-deferred growth - which provides diminishing benefit to a 72-year-old with modest income already in a low tax bracket - and whether the customer has other liquid assets sufficient to meet reasonably foreseeable needs. Margaret clearly did not.

****Misrepresentation of Risk Tolerance on the New Account Form:**** Listing Margaret's risk tolerance as 'moderate growth' and her time horizon as '10+ years' when she verbally stated she wanted safety and access to funds for medical expenses constitutes a falsification or, at minimum, a material inaccuracy on the account documentation. This violates the reasonable-basis and customer-specific suitability components embedded in both Rule 2330 and the broader FINRA Rule 2111 framework.

****NAIC Model Regulation 275 - Suitability in Annuity Transactions:**** Under the revised NAIC Model #275 (adopted in many states, including New York's enhanced version under Regulation 187), an insurance producer must act in the consumer's best interest at the time of the recommendation without placing the producer's financial interest ahead of the consumer's interest. Braddock was required to consider reasonably available alternatives and to document the basis for the recommendation. He presented no alternatives, failed to explain the surrender charge schedule, did not address the liquidity mismatch, and selected sub-accounts inconsistent with the customer's stated conservative profile. Under Model 275, the recommendation must be based on an evaluation of the consumer's financial situation, insurance needs, financial objectives, and suitability information - all of which pointed decisively against this product for this customer.

****New York Regulation 187:**** Because Margaret resides in New York, the enhanced best-interest standard under NY Reg 187 applies. This regulation requires that annuity recommendations must be in the best interest of the consumer at the time of the transaction, considering the consumer's age, annual income, financial situation, financial experience, financial objectives, intended use of the annuity, financial time horizon, existing assets (including other insurance and annuity products), liquidity needs, liquid net worth, risk tolerance, and tax status. Braddock's recommendation fails on nearly every enumerated factor. Reg 187 also imposes obligations on the insurer and the supervising entity to establish a supervision system reasonably designed to achieve compliance, and Lakeshore Financial Partners may face supervisory liability for failing to flag this transaction.

****SEC Regulation Best Interest (Rule 15l-1):**** As a broker-dealer recommendation, the transaction also falls under Reg BI's Care Obligation, which requires that the advisor exercise reasonable diligence, care, and skill to understand the risks, costs, and rewards of the recommendation, and have a reasonable basis to believe the recommendation is in the customer's best interest considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation, without placing the financial interest of the broker-dealer ahead of the customer's interest. The Disclosure Obligation also required that Braddock clearly disclose all material facts about costs, risks, and conflicts of interest - including the surrender charges, sub-account risk, and the fact that he was compensated via commissions on the sale. His failure to explain the surrender schedule and the nature of the guarantee constitutes a disclosure violation. The high all-in cost relative to available alternatives and the concentration of Margaret's liquid assets further evidence a breach of the Care Obligation.

****Likely Regulatory Outcome:**** Braddock and Lakeshore Financial Partners face potential FINRA enforcement action for violations of Rules 2330 and 2111, state insurance department action under NAIC Model 275 and NY Reg 187, and SEC or FINRA action under Reg BI. Likely sanctions include disgorgement of commissions, restitution to Margaret of losses and surrender charges, fines, a suspension or bar for Braddock, and supervisory deficiency findings against the firm. Margaret's complaint would likely also succeed in FINRA arbitration, with damages calculated as the difference between her current contract value (net of surrender penalties) and the amount she would have retained had the funds remained in a suitable conservative investment.

Hypothetical 40

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Margaret Olsen, age 74, is a retired elementary school teacher living in suburban Minneapolis. She receives \$2,400 per month from her state pension and \$1,850 per month from Social Security, for a combined annual income of approximately \$51,000. Her total liquid assets consist of \$285,000 in a credit union savings account and a \$40,000 certificate of deposit. She owns her home outright, valued at approximately \$210,000. Margaret has no long-term care insurance. She has described her investment experience as limited, noting that she has never owned stocks, bonds, or mutual funds, and that her late husband had handled all financial decisions before his passing in 2021. In early 2024, Margaret met with financial advisor Dale Kendrick after attending a dinner seminar at a local restaurant titled "Protect Your Retirement from Market Crashes." During the seminar, Kendrick emphasized the dangers of inflation eroding fixed-income savings and suggested that attendees could achieve higher returns while still protecting their principal. At a follow-up office meeting, Kendrick collected a client profile form on which he marked Margaret's risk tolerance as "moderate-aggressive" and her investment objective as "growth." Margaret later stated in a written complaint that she told Kendrick she "couldn't afford to lose any money" and that she wanted something "safe like a CD but maybe paying a little more." Kendrick recommended that Margaret liquidate her \$285,000 savings account and purchase a variable annuity with a guaranteed minimum income benefit rider. The product - the Pinnacle Growth Select VA - carried a mortality and expense charge of 1.35%, an administrative fee of 0.15%, underlying sub-account expenses averaging

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0.92%, and the income rider fee of 1.10%, for total annual charges of approximately 3.52%. Kendrick allocated 60% of the sub-account value to an aggressive equity growth fund, 25% to an international equity fund, and 15% to a high-yield bond fund. The annuity carried a seven-year surrender charge schedule starting at 8% in year one and declining by one percentage point annually. Kendrick earned a commission of \$19,950 (7% of premium). Margaret's account value declined by approximately 11% in the first eight months due to market volatility. She attempted to withdraw \$30,000 to pay for emergency home repairs after a storm, only to discover she would incur a surrender charge of \$2,400 and lose a portion of her rider benefit base. Margaret filed a complaint with her state insurance department in November 2024, alleging that Kendrick never explained the fees, surrender charges, or risks, and that the product was entirely inconsistent with what she asked for.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dale Kendrick violated multiple suitability and best-interest standards applicable to the recommendation and sale of this variable annuity.

****Risk Profile Misrepresentation and Suitability Failure:****

Under FINRA Rule 2330, a registered representative must have a reasonable basis to believe that a variable annuity transaction is suitable for the customer based on the customer's stated investment objectives, financial situation, risk tolerance, time horizon, liquidity needs, and other relevant factors. Margaret Olsen explicitly communicated that she could not afford to lose money and wanted a safe, CD-like product. Despite this, Kendrick recorded her risk tolerance as "moderate-aggressive" and her objective as "growth." This mischaracterization of the client profile is a textbook violation of suitability requirements and constitutes a manipulated risk profile designed to justify an otherwise unsuitable recommendation. FINRA enforcement has repeatedly sanctioned advisors for inflating or fabricating client risk profiles to fit product recommendations rather than tailoring recommendations to client needs.

****NAIC Model Regulation 275 - Best Interest Standard:****

Under the NAIC Suitability in Annuity Transactions Model Regulation (Model 275), as adopted in most states including Minnesota, a producer must act in the best interest of the consumer at the time of the recommendation. This requires consideration of the consumer's financial situation, insurance needs, existing coverage, age, liquidity needs, and stated risk tolerance. A 74-year-old retiree with no investment experience, limited fixed income, no long-term care coverage, and an explicitly stated desire for safety should not be placed into a variable annuity with 85% equity exposure and 3.52% in annual expenses. The product's seven-year surrender schedule also conflicts with Margaret's foreseeable liquidity needs.

****New York Regulation 187 (Analogous Standard):****

Although Margaret resides in Minnesota, the analytical framework of NY Reg 187 is instructive. Under Reg 187, recommendations must be in the consumer's best interest, the producer must not place their financial interest ahead of the consumer's, and the recommendation must be evaluated against reasonably available alternatives. Here, a fixed annuity, a multi-year guaranteed annuity (MYGA), or a simple short-term bond fund would have been far more appropriate and lower-cost alternatives. Kendrick's \$19,950 commission creates a significant financial conflict that he apparently failed to disclose or mitigate.

****SEC Regulation Best Interest (Reg BI, Rule 15l-1):****

If Kendrick is a registered representative of a broker-dealer, Reg BI's Care Obligation requires that he exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the recommended product and to have a reasonable basis to believe the recommendation is in the customer's best interest, taking into account the customer's investment profile. Reg BI's Disclosure Obligation requires that the advisor provide full and fair disclosure of all material facts relating to the scope and terms of the relationship, including fees and conflicts. Margaret's complaint that she was never informed of fees, surrender charges, or risks suggests a disclosure failure as well. The Conflict of Interest Obligation further requires policies and procedures to identify and mitigate conflicts arising from the 7% commission.

****Likely Regulatory Outcome:****

Kendrick faces potential sanctions from multiple regulators. FINRA could impose a fine, suspension, or bar for unsuitable recommendations and falsification of customer records under Rule 2330 (and Rule 2111). The state insurance department could revoke or suspend his insurance license under Model 275 for acting contrary to the client's best interest. The SEC or the broker-dealer's compliance department could impose additional penalties under Reg BI for failure to satisfy the Care, Disclosure, and Conflict of Interest Obligations. Margaret is likely to receive restitution for her losses, surrender charges, and excess fees. Kendrick's broker-dealer may face supervisory liability for failing to detect the mismatch between the client profile and the recommendation.

Hypothetical 41

Topic: high_fees_unsuitable | Difficulty: hard

Fact Pattern

Margaret Kowalski, age 74, is a retired school librarian living in Syracuse, New York. She has a fixed monthly pension of \$2,800, receives \$1,650 per month in Social Security, and has no other income sources. Her total liquid savings amount to \$185,000, held in a bank money market account earning 4.1% APY, plus a \$40,000 certificate of deposit maturing in six months. She owns her home outright, valued at approximately \$165,000. Margaret has no debts. She described her investment objective as 'preserving what I have so I can cover my medical costs and leave something to my grandchildren.' She characterized herself as very conservative and said she had never owned stocks, mutual funds, or any insurance product other than a small whole life policy she purchased in 1987. Her health is fair; she takes medication for early-stage Parkinson's disease and mild congestive heart failure, conditions she disclosed to her advisor during their first meeting in March 2023.

Her financial advisor, Derek Mullins, age 36, had been licensed for four years and worked at a mid-size broker-dealer with an insurance affiliate. In April 2023, Mullins recommended that Margaret move \$155,000 - roughly 84% of her liquid assets - from her money market account into a single variable annuity contract issued by a national insurance carrier. The product featured a seven-year surrender schedule with a first-year surrender charge of 8%, declining by 1% per year. The contract carried a base mortality and expense risk charge of 1.35% annually, an administrative fee of 0.15%, and Mullins selected underlying

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sub-account portfolios with a weighted-average fund expense ratio of 0.92%. Margaret was also sold an optional guaranteed minimum income benefit rider costing an additional 1.10% annually, bringing total all-in annual charges to approximately 3.52%.

Mullins earned a gross commission of 6.5% on the sale, totaling \$10,075. Internal notes from the firm's supervisory review file show that Mullins documented Margaret's risk tolerance as 'moderate growth' and her time horizon as '10+ years.' No mention of her Parkinson's diagnosis or heart condition appeared in the account paperwork. Mullins told Margaret the annuity would 'guarantee her income for life and grow tax-deferred,' but did not provide a comparison of projected net returns against her existing money market account, nor did he discuss the impact of the surrender charges on her liquidity. He did not present any alternative products, such as a fixed annuity, a single premium immediate annuity, or a short-term bond fund.

By January 2024, Margaret needed \$22,000 to cover a home accessibility renovation recommended by her occupational therapist. When she attempted to withdraw from the annuity, she learned she would face an 8% surrender charge of \$1,760 on the withdrawal amount, plus the contract's 10% free-corridor had already been partially consumed by a prior \$5,000 emergency withdrawal in October 2023 for medical co-pays. Her sub-account value had also declined to approximately \$146,200 due to equity market volatility in the selected growth-oriented portfolios. Frustrated, Margaret filed a written complaint with the broker-dealer and subsequently with the state insurance department, alleging that the annuity was never appropriate for her age, health, liquidity needs, and conservative profile, and that the fees were excessive relative to any benefit she would receive.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Mullins committed multiple violations across several overlapping regulatory frameworks.

1. ****FINRA Rule 2330 - Variable Annuity Suitability****: Rule 2330(b) requires that a member or associated person have a reasonable basis to believe that a variable annuity transaction is suitable based on the customer's age, income, financial situation, investment objectives, intended use of the product, existing insurance coverage, liquidity needs, risk tolerance, and tax status. Mullins failed on nearly every factor. Margaret was 74 with serious health conditions, had conservative objectives focused on capital preservation, had limited liquid assets, and had no prior experience with market-linked products. Concentrating 84% of her liquid savings in a single VA with a seven-year surrender period and 3.52% annual all-in costs was facially unsuitable. Rule 2330(b)(1)(A) also requires reasonable efforts to obtain information about the customer's existing insurance holdings and financial profile - Mullins's deliberate omission of Margaret's diagnosed medical conditions from account documentation suggests he either failed to gather or intentionally suppressed material information.

2. ****Supervisory Failures under FINRA Rule 2330(c)****: The registered principal who reviewed and approved this transaction should have questioned the inconsistency between a 74-year-old retired librarian earning a modest fixed income and a '10+ years moderate growth' classification. The firm's supervisory system failed to flag the concentration, the age-based red flag, and the absence of health-related

disclosures.

3. ****NAIC Model Regulation 275 (Suitability in Annuity Transactions)**:** Under Sections 6(A) and 6(B) of the revised Model 275 (adopted in many states), the producer must have a reasonable basis to believe the annuity is suitable based on the consumer's financial situation, insurance needs, age, liquidity needs, and risk tolerance. An annuity with a seven-year surrender period and high ongoing expenses is unsuitable for a 74-year-old with known near-term medical expenses and no other liquid reserves. The regulation also requires the producer to consider whether the consumer would benefit from the annuity's features, such as tax deferral - given Margaret's modest income and low marginal tax bracket, tax deferral offered minimal benefit relative to the drag of 3.52% in annual fees.

4. ****New York Regulation 187 - Best Interest Standard**:** Because Margaret resides in New York, the transaction is subject to NY Reg 187, which became effective for annuity transactions on August 1, 2019. Section 224.4 requires that a recommendation be in the consumer's best interest at the time of the transaction, considering the consumer's financial situation, insurance needs, age, and all known circumstances. There is no reasonable interpretation under which concentrating 84% of a 74-year-old's liquid assets in a high-cost VA with a long surrender period, when she has progressive health conditions and foreseeable medical and accessibility expenses, serves her best interest. Additionally, Reg 187 requires disclosure and mitigation of conflicts of interest - the \$10,075 commission Mullins earned created a material conflict that was neither disclosed nor mitigated.

5. ****SEC Regulation Best Interest (Rule 15l-1)**:** As a broker-dealer representative, Mullins is also subject to Reg BI's Care Obligation under Rule 15l-1(a)(2)(ii)(B), which requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The Care Obligation also requires consideration of reasonably available alternatives. Mullins failed to present or analyze any alternatives - a fixed annuity, SPIA, short-term bond fund, or simply retaining the money market account would have better matched Margaret's conservative profile, liquidity needs, and short time horizon. The Disclosure Obligation under Reg BI was also violated because Mullins failed to adequately explain the surrender charges, fee structure, and their impact on Margaret's liquidity.

****Specific Violations Summary**:**

- Misrepresenting the customer's risk tolerance and time horizon in account documentation
- Omitting material health information that directly bears on suitability (liquidity needs, life expectancy)
- Recommending excessive concentration (84% of liquid assets) in a single illiquid product
- Failing to consider or present lower-cost, more liquid alternatives
- Selling a high-cost product (3.52% annual fees) to a low-risk, income-dependent retiree whose existing money market yielded 4.1% with full liquidity and no risk
- Failing to disclose the material conflict of interest from the 6.5% commission

****Likely Regulatory Outcome**:** Mullins faces potential FINRA disciplinary action including fines, suspension, or bar. The broker-dealer faces supervisory deficiency charges. The New York Department of Financial Services could pursue enforcement under Reg 187, including revocation of Mullins's insurance license. Margaret may recover damages through FINRA arbitration, including the surrender charges paid,

the difference between her money market returns and the net annuity performance, and potentially consequential damages related to her inability to access funds for medically necessary home modifications.

Hypothetical 42

Topic: *senior_investor_exploitation* | Difficulty: *hard*

Fact Pattern

Margaret Donovan, age 81, is a retired schoolteacher living in Syracuse, New York. She has been widowed since 2019 and lives alone in a modest home she owns outright. Her total liquid assets consist of \$340,000 in a bank money market account and a \$95,000 certificate of deposit maturing in three months. She receives \$2,100 per month in Social Security and a \$1,400 monthly pension from the state teachers' retirement system. She has no long-term care insurance and has been experiencing early-stage memory issues, which her daughter, Karen, mentioned to the advisor during an initial meeting in January 2023. Margaret's stated investment objectives, as recorded on her new-account form, are capital preservation and income, with a conservative risk tolerance.

Her financial advisor, Brian Colter, age 38, with seven years of experience at a mid-size broker-dealer, met with Margaret three times over two weeks in February 2023. Karen attended the first meeting but was not present for the subsequent two. During the second meeting, Brian recommended that Margaret liquidate her \$340,000 money market account and invest \$295,000 into a variable annuity product - the "Pinnacle Growth & Income VA" - issued by a national insurance carrier. The product featured a guaranteed minimum income benefit rider with a 1.15% annual rider charge, underlying subaccount expenses averaging 0.87%, a mortality and expense charge of 1.25%, and an administrative fee of 0.15%, bringing the total all-in annual cost to approximately 3.42%. The contract carried a seven-year surrender schedule beginning at 7% and declining by 1% per year. The recommended subaccount allocation was 60% equity funds and 40% bond funds.

Brian's rationale, documented in a brief suitability memo, stated that the guaranteed income rider would provide Margaret with "lifetime income security" and that the equity exposure would help her assets keep pace with inflation. He did not document any discussion of Margaret's cognitive concerns, her liquidity needs, her lack of long-term care coverage, or the possibility that she might need access to her principal for medical or assisted-living expenses in the near term. He also did not present any alternative products, such as a fixed annuity, an immediate annuity, or a diversified portfolio of low-cost bond funds.

The remaining \$45,000 from the money market account was left in cash, and the \$95,000 CD was not discussed. Brian earned a gross commission of \$17,700 (approximately 6%) on the variable annuity sale. His branch manager approved the transaction after a cursory review.

By September 2023, Margaret's cognitive decline had progressed, and Karen, now holding power of attorney, discovered that the variable annuity's account value had dropped to approximately \$267,000 due to equity market volatility and the cumulative effect of fees. Karen attempted to surrender the contract to move the funds into a more accessible and conservative vehicle but was informed that the surrender

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charge would be approximately \$16,700 (6% in year one). Karen filed a complaint with the broker-dealer and the state insurance department, alleging that the product was wholly inappropriate for her mother given her age, health, cognitive status, limited liquidity, conservative objectives, and the likelihood of needing principal access for care expenses.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Brian Colter committed multiple violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 - Special Suitability Requirements for Variable Annuities:****

FINRA Rule 2330 imposes heightened suitability obligations specifically for recommended transactions involving deferred variable annuities. Under Rule 2330(b), before recommending a variable annuity, a registered representative must make reasonable efforts to obtain, among other things, the customer's age, income, financial situation, investment objectives, risk tolerance, existing insurance holdings, and liquidity needs. Brian documented Margaret's conservative risk tolerance and capital preservation objectives, yet recommended a product with 60% equity allocation, a seven-year surrender period, and total annual costs of 3.42% - fundamentally inconsistent with those stated objectives. Rule 2330(b)(1)(A) requires a reasonable basis to believe the customer would benefit from the features of a deferred variable annuity, such as tax-deferred growth and death benefits. At age 81, Margaret's time horizon was insufficient to benefit meaningfully from tax deferral, and the high costs would erode any such benefit. The seven-year surrender schedule locked up the vast majority of her liquid wealth at a time when her health and cognitive condition made near-term access highly probable.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):****

Model Regulation 275, as revised and adopted in many states, requires an insurance producer to have a reasonable basis to believe that a recommended annuity transaction is suitable based on the consumer's disclosed financial situation, insurance needs, and objectives. Section 6A of the revised model (effective in many states as the best-interest standard) further requires that the recommendation be in the consumer's best interest without placing the producer's financial interest ahead of the consumer's. Brian's \$17,700 commission created a significant financial incentive that appears to have driven the recommendation. His failure to consider or document alternative products (fixed annuities, immediate annuities, low-cost bond portfolios) that would have better matched Margaret's conservative objectives and liquidity needs strongly suggests the recommendation was driven by compensation rather than client welfare. His failure to address or document her known cognitive impairment also violates the reasonable diligence requirements embedded in Model 275.

****New York Regulation 187 (Suitability and Best Interest in Life Insurance and Annuity Transactions):****

Because Margaret resides in New York, NY Regulation 187 applies. Effective since August 1, 2019 for annuity transactions, Reg 187 imposes an explicit best-interest standard. Section 224.4 requires that the producer must act in the best interest of the consumer, must not place the producer's or insurer's financial interest ahead of the consumer's interest, and must consider reasonably available alternatives. Brian recommended one of the most expensive and illiquid product structures available without considering or presenting simpler, less costly alternatives. His failure to document the cognitive concerns raised by Karen,

his failure to ensure that Margaret could meaningfully consent to and understand the transaction, and his failure to evaluate her likely need for liquidity all constitute violations of Reg 187's care and documentation requirements.

****SEC Regulation Best Interest (Reg BI, Rule 15l-1):****

As a broker-dealer recommendation made after June 30, 2020, this transaction is also subject to Reg BI. The Care Obligation under Reg BI requires that the advisor exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, and investment objectives. A reasonable advisor exercising such care would not recommend concentrating 68% of an 81-year-old widow's liquid assets into a product with a seven-year lockup, 3.42% annual all-in costs, and significant equity exposure when the client has conservative objectives, no long-term care insurance, and documented cognitive decline. The Conflict of Interest Obligation further requires disclosure and mitigation of conflicts; the \$17,700 commission - roughly 6% - created a powerful incentive that was neither adequately disclosed to the client nor mitigated through any documented process.

****Supervisory Failures:****

The branch manager's cursory approval of this transaction likely violates FINRA Rule 3110 (supervisory obligations) and FINRA Rule 2330(c), which requires a registered principal to review variable annuity transactions with particular attention to whether the customer has been informed of the product's features, whether the recommendation is suitable given the customer's profile, and whether the customer would benefit from the annuity's features compared to other available products.

****Likely Regulatory Outcome:****

Brian Colter faces potential sanctions including fines, disgorgement of commissions, suspension, or a bar from the industry. The broker-dealer faces supervisory liability. The state insurance department may also pursue action under Reg 187 and/or Model 275. Margaret (through Karen) would likely prevail in an arbitration claim seeking rescission, return of surrender charges, and consequential damages. This fact pattern is a textbook example of senior investor exploitation through an unsuitable variable annuity sale.

Hypothetical 43

Topic: senior_investor_exploitation | Difficulty: medium

Fact Pattern

Margaret Kowalski, age 79, is a retired elementary school teacher living in Rochester, New York. She receives \$2,400 per month in pension income and \$1,850 per month in Social Security benefits, totaling \$4,250 monthly. Her total liquid assets consist of \$310,000 in a bank money market account and a \$45,000 certificate of deposit. She owns her home outright, valued at approximately \$185,000. Margaret has no long-term care insurance and has been experiencing early-stage memory issues, as noted by her daughter Karen who accompanied her to several meetings. Margaret's stated investment objectives on her account application are "preservation of capital" and "income," with a risk tolerance marked as "conservative." She told her advisor, Derek Halpern of Lakeshore Financial Group, that she wanted her money to be safe and

[NON-COM

accessible in case she needed to move into an assisted living facility, which her doctor had recently discussed as a possibility within the next two to three years.

In March 2023, Derek recommended that Margaret liquidate her \$310,000 money market account and invest \$275,000 into a B-Share variable annuity with a seven-year surrender charge schedule starting at 7% and declining annually to 3% in year five. The product carried a base variable annuity charge of 0.95% annually and included an optional guaranteed minimum income benefit rider costing an additional 1.10% annually, bringing total annual insurance charges to 2.05% before underlying fund expenses. The underlying fund options selected were a mix of equity growth and balanced funds with expense ratios ranging from 0.55% to 0.89%. Derek also recommended adding a guaranteed minimum death benefit rider at a cost of 0.25% annually. All-in annual costs on the annuity exceeded 2.75%.

Derek earned a 5.5% commission on the sale, totaling \$15,125. He did not document any consideration of lower-cost alternatives, such as immediate annuities, short-term bond funds, or keeping a larger portion in liquid savings. He did not document Margaret's potential near-term need for assisted living funds or her cognitive concerns. Karen, Margaret's daughter, later stated that Derek told them the annuity would "protect Mom's money better than a bank account" and that "she could take out what she needed anytime without penalty," without clearly explaining the surrender charge schedule or the 10% annual free-withdrawal limitation during the surrender period. Within fourteen months, Margaret's doctor recommended she transition to an assisted living facility costing \$6,800 per month. When Karen attempted to withdraw \$120,000 from the annuity to fund the first eighteen months of care, she learned the surrender charge would be approximately 6%, or \$7,200, and that the account value had declined to \$258,000 due to market losses in the equity-heavy sub-accounts and the cumulative effect of annual fees.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Halpern violated applicable suitability and best-interest standards on multiple grounds.

1. **FINRA Rule 2330 - Recommended Purchases and Exchanges of Deferred Variable Annuities:** This rule requires that a registered representative have a reasonable basis to believe that a deferred variable annuity transaction is suitable based on the customer's investment profile, including age, financial situation, investment objectives, time horizon, liquidity needs, risk tolerance, and other relevant factors. Margaret was 79 years old with a conservative risk tolerance, capital preservation objectives, and an imminent potential need for significant liquid funds to pay for assisted living care. A B-Share variable annuity with a seven-year surrender schedule and equity-heavy sub-accounts is fundamentally inconsistent with this profile. Rule 2330(b)(1)(A) specifically enumerates liquidity needs, investment time horizon, and existing insurance coverage as factors that must be considered. Derek failed to account for any of these.

2. **NAIC Model Regulation 275 (Suitability in Annuity Transactions):** Under the revised Model 275, which New York has adopted in substance through its own enhanced standards, an insurance producer must act in the best interest of the consumer at the time the recommendation is made, without placing the producer's financial interest ahead of the consumer's interest. The producer must consider the consumer's financial situation, insurance needs, existing assets, liquidity needs, and the suitability of the product. Margaret's

documented need for near-term liquidity and capital preservation was directly contradicted by the recommended product. The 5.5% commission (\$15,125) creates an inference of a financial-interest conflict, particularly given the absence of any documented analysis of less costly or more liquid alternatives.

3. ****New York Regulation 187 (Insurance Regulation 187):**** Because Margaret resides in New York, Regulation 187 applies with its heightened best-interest standard for annuity recommendations, effective since August 2019 for annuity transactions. Under Reg 187, the producer must have a reasonable basis to believe the recommendation is in the consumer's best interest based on an evaluation of relevant suitability information, and must consider reasonably available alternatives. Derek did not document consideration of any alternatives-such as an immediate annuity for guaranteed monthly income, a short-term bond ladder for liquidity, or simply maintaining funds in a bank account. The regulation also requires that care, skill, and diligence be applied. Recommending an illiquid, high-cost, equity-linked product to a 79-year-old with cognitive decline and near-term assisted living needs fails this standard.

4. ****Regulation Best Interest (Rule 15l-1 under the Exchange Act):**** To the extent the variable annuity recommendation involved the securities component of the product, Reg BI requires the advisor to act in the retail customer's best interest at the time of the recommendation and not place his own financial interest ahead of the customer's. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and potential risks, rewards, and costs. The Disclosure Obligation requires full and fair disclosure of material facts, including costs and conflicts. Derek's representation that Margaret could access funds "anytime without penalty" was materially misleading given the surrender schedule and free-withdrawal limitations. His failure to disclose or meaningfully explain the 7% initial surrender charge, the 10% annual free-withdrawal cap, and the all-in cost exceeding 2.75% annually constitutes a violation of the disclosure component.

5. ****Senior Investor Exploitation Concerns:**** Multiple regulatory frameworks-including FINRA's heightened scrutiny guidance for senior investors and NAIC's Suitability Model Regulation-flag transactions involving elderly customers with diminished capacity. Margaret's early-stage memory issues, the presence of her daughter at meetings (suggesting recognized cognitive vulnerability), and her advanced age all warranted heightened caution. Derek's failure to document these concerns or adjust his recommendation accordingly is a significant aggravating factor.

****Likely Regulatory Outcome:**** Derek would likely face a FINRA enforcement action for violating Rule 2330 and Reg BI, potentially resulting in a fine, disgorgement of the \$15,125 commission, restitution to Margaret for surrender charges and excess fees, and a suspension or bar. The New York Department of Financial Services could pursue a separate action under Regulation 187, including revocation of his insurance license. A state insurance department referral is also likely. Margaret's losses-including the \$7,200 surrender penalty, approximately \$7,500+ in first-year fees, and market losses attributable to the unsuitable equity allocation-are all compensable harms.

Hypothetical 44

Topic: *complex_products_unsophisticated_investor* | Difficulty: *hard*

[NON-COM

Fact Pattern

Margaret Nowak, age 71, is a retired elementary school cafeteria worker living in Syracuse, New York, with an annual income of \$24,400 consisting entirely of Social Security and a small municipal pension. Her total liquid savings amount to \$185,000 held in a credit union savings account and a \$40,000 certificate of deposit maturing in three months. She has no other investments and has never owned securities of any kind. She owns her home outright, valued at approximately \$140,000, and has no outstanding debts. Her stated investment objective, recorded on the new account form completed by advisor Derek Sievert in March 2023, was 'preservation of capital with modest income.' Her risk tolerance was marked as 'conservative.' Margaret told Derek during their initial meeting at a dinner seminar hosted at a local restaurant that she wanted to make sure her savings lasted through her lifetime and that she could access funds if she needed them for medical expenses, as she had recently been diagnosed with early-stage macular degeneration and anticipated increasing healthcare costs. She completed eighth grade and has described herself as having 'no understanding of the stock market.' She told Derek she had never heard of a variable annuity before the seminar.

Derek, a registered representative affiliated with a broker-dealer and also holding an insurance license, recommended that Margaret liquidate her CD upon maturity and combine those proceeds with \$135,000 from her savings account to purchase a single-premium variable annuity totaling \$175,000, representing approximately 78% of her liquid net worth. The product he recommended was the Pinnacle Growth & Protection VA issued by National Keystone Life Insurance Company, a B-share contract carrying a seven-year declining surrender charge schedule starting at 7% in year one and declining by 1% per year. The contract's annual mortality and expense risk charge was 1.35%, plus an administrative fee of 0.15% per year, and the underlying subaccount options carried expense ratios ranging from 0.65% to 1.40%. Derek also recommended that Margaret add a Guaranteed Minimum Income Benefit (GMIB) rider at an additional annual cost of 0.95% of the benefit base, bringing her total all-in annual cost to approximately 3.10% to 3.85% depending on subaccount selection.

Derek allocated Margaret's funds across five subaccounts: 30% to an aggressive growth equity fund, 25% to an international equity fund, 20% to a mid-cap value fund, 15% to a high-yield bond fund, and 10% to a government bond fund - meaning 75% of her annuity assets were in equity subaccounts and only 10% in investment-grade fixed income. The product's free withdrawal provision allowed Margaret to withdraw up to 10% of her account value annually without surrender charges, but any amount beyond that threshold during the surrender period would trigger the applicable surrender charge.

Derek's notes from the meeting state that he explained the product 'in full detail' and that Margaret 'understood the benefits of tax-deferred growth and the income guarantee.' Margaret's daughter, who accompanied her to a follow-up meeting, later reported that her mother did not understand what a subaccount was, could not explain the surrender charge schedule, and believed the product guaranteed she could never lose money. Margaret signed the application and the insurer's product-specific disclosure form on March 28, 2023. Derek earned a commission of \$10,150 (5.8% of premium) on the sale. By December 2023, the account had declined 9.2% in value to approximately \$158,900 due to equity market volatility, and Margaret needed \$30,000 for an unexpected eye surgery. When she attempted to withdraw the funds, she was told that only approximately \$15,890 could be withdrawn free of surrender charges, and the remaining \$14,110 would incur a 7% charge of approximately \$988. Margaret filed a complaint with her

state insurance department in January 2024.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Sievert committed multiple serious violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 - Variable Annuity Suitability:**** FINRA Rule 2330 requires that before recommending a variable annuity, a registered representative must make reasonable efforts to obtain the customer's financial profile, tax status, investment objectives, and other relevant information. The representative must then have a reasonable basis to believe the transaction is suitable in light of the customer's age, income, net worth, risk tolerance, liquidity needs, and investment objectives. Derek's recommendation fails on virtually every prong of Rule 2330's multi-factor analysis:

1. ****Age and time horizon:**** Margaret is 71 years old. A B-share variable annuity with a seven-year surrender period effectively locks a 71-year-old into the product until age 78, during a period when healthcare expenses and liquidity needs are statistically likely to increase substantially. Rule 2330(b)(1)(A) specifically lists the customer's age as a mandatory consideration.
2. ****Liquidity needs:**** Margaret explicitly stated she anticipated rising medical costs related to her macular degeneration diagnosis. Placing 78% of her liquid net worth into a product with a seven-year surrender charge schedule directly contradicts her clearly communicated liquidity requirements. The 10% free-withdrawal corridor was insufficient for her foreseeable medical needs, as the December 2023 withdrawal request demonstrated.
3. ****Risk tolerance and investment objectives:**** Margaret's documented risk tolerance was 'conservative' and her objective was 'preservation of capital with modest income.' Despite this, Derek allocated 75% of her subaccount assets to equity funds, including aggressive growth and international equity - allocations fundamentally inconsistent with capital preservation. The all-in annual cost of 3.10%-3.85% further erodes returns and makes it extremely difficult for a conservative investor to preserve capital in real terms.
4. ****Concentration:**** Investing \$175,000 of \$225,000 in total liquid assets (78%) in a single illiquid product is an excessive concentration for any conservative elderly investor, let alone one with known upcoming medical expenses.
5. ****Investor sophistication:**** Margaret had an eighth-grade education, no prior investment experience, and had never heard of a variable annuity before the seminar. Her daughter's testimony indicates Margaret did not understand basic features of the product, including subaccounts, surrender charges, or the fact that account values could decline. Rule 2330 implicitly requires that the customer be able to appreciate the risks of the product recommended; Margaret clearly could not.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the revised NAIC Model #275, a producer must have a reasonable basis to believe the recommended annuity transaction is in the

consumer's best interest at the time of the transaction, considering the consumer's age, financial situation, insurance needs, financial objectives, intended use of the annuity, financial time horizon, existing assets, liquidity needs, liquid net worth, risk tolerance, and tax status. The regulation imposes a best-interest standard backed by care, disclosure, conflict-of-interest, and documentation obligations. Derek failed the care obligation by recommending a product whose surrender period, cost structure, equity-heavy allocation, and illiquidity were incompatible with Margaret's documented profile. The 5.8% commission (\$10,150) creates a significant conflict of interest that Derek was obligated to identify, mitigate, and disclose; there is no indication he did so.

****New York Regulation 187:**** Because this transaction occurred in New York, NY Reg 187 applies directly. Reg 187 imposes a best-interest standard for annuity recommendations, requiring producers to act in the best interest of the consumer without placing their own financial interest ahead of the consumer's interest. Derek's recommendation of a high-cost, high-commission B-share VA with an aggressive equity allocation for a 71-year-old conservative investor with minimal income and foreseeable medical expenses strongly suggests the recommendation was driven by commission incentive rather than the client's best interest. Reg 187 also requires the producer to consider reasonably available alternatives; a short-term fixed annuity, a multi-year guaranteed annuity, or even maintaining FDIC-insured deposits would have been more consistent with Margaret's stated needs.

****SEC Regulation Best Interest (Rule 15l-1):**** As a registered representative of a broker-dealer, Derek is also subject to Reg BI when making recommendations to retail customers. Under the Care Obligation of Reg BI, Derek was required to exercise reasonable diligence, care, and skill to understand the product, understand costs and risks, have a reasonable basis to believe the recommendation was in Margaret's best interest considering her investment profile, and consider reasonably available alternatives. The Disclosure Obligation required clear disclosure of material facts about the recommendation, including conflicts. The Conflict of Interest Obligation required the firm to establish policies to identify and mitigate conflicts associated with compensation. Derek's recommendation fails the Care Obligation for the same reasons outlined above: excessive concentration, inappropriate risk allocation, excessive cost, liquidity mismatch, and disregard of the investor's limited sophistication and documented conservative profile.

****Likely regulatory outcome:**** Margaret's complaint to the New York Department of Financial Services is likely to trigger an investigation. Probable outcomes include: (1) an order requiring rescission of the annuity contract and restitution of all fees, charges, and investment losses; (2) monetary penalties against Derek and potentially his supervising broker-dealer; (3) potential license suspension or revocation for Derek under state insurance law; (4) a potential FINRA enforcement action including fines, disgorgement, suspension, or bar; and (5) a potential SEC enforcement action under Reg BI. The firm's supervisory system may also be cited for failure to review the transaction pursuant to FINRA Rule 2330(c), which requires a principal to review and approve all variable annuity transactions before they are transmitted. Given Margaret's profile, any reasonable supervisory review should have flagged this recommendation as unsuitable and rejected it.

Hypothetical 45

Topic: *illiquid_investments* | Difficulty: *hard*

[NON-COM

Fact Pattern

Margaret Ellison, age 71, is a retired school librarian living in suburban Dallas, Texas. She receives \$2,100 per month from her state pension and \$1,450 per month in Social Security benefits. Her total liquid assets consist of \$285,000 in a traditional IRA rollover, \$42,000 in a savings account, and \$18,000 in a checking account. She owns her home outright, valued at approximately \$210,000. Margaret has no long-term care insurance and has a family history of early-onset dementia; her older sister was diagnosed at age 74. Margaret described herself to her advisor, Kevin Brandt, as someone who needed safety, predictable income, and easy access to her savings in case of a medical emergency. She told Kevin in their second meeting, documented in his notes, that she was 'terrified of running out of money if I get sick like my sister.' Kevin had been Margaret's advisor for three years and was aware of her health concerns. In March 2023, Kevin recommended that Margaret move \$230,000 of her \$285,000 IRA into a variable annuity with a guaranteed minimum income benefit rider. The product carried an annual mortality and expense charge of 1.35%, an administrative fee of 0.15%, underlying sub-account expenses averaging 0.87%, and the income rider fee of 1.10%, bringing total annual costs to approximately 3.47%. The annuity carried a seven-year surrender schedule beginning at 7% in year one and declining by 1% per year. Free withdrawals were limited to 10% of accumulated value per year without penalty. Kevin also recommended she allocate the sub-accounts 60% to equity growth funds and 20% to international emerging market funds, with the remaining 20% in a bond index fund. In addition, Kevin recommended Margaret place \$35,000 of her remaining IRA funds into a non-traded real estate investment trust with a minimum five-year hold period, limited quarterly redemption at the sponsor's discretion, and upfront costs totaling 11.5% in commissions and offering expenses. After these transactions, Margaret's only liquid, accessible assets were her \$42,000 savings account and \$18,000 checking account - a combined \$60,000. Kevin earned a 5.75% commission on the variable annuity sale and a 7% commission on the non-traded REIT. His notes from the meeting state that Margaret 'understood the products' and that 'diversification across asset classes was appropriate for long-term growth.' Kevin did not document any discussion of lower-cost alternatives, did not address Margaret's stated need for emergency liquidity, and did not explain the cumulative impact of the surrender charges and REIT illiquidity on her ability to access funds in a health emergency. Six months later, in September 2023, Margaret's sister passed away after a rapid decline, and Margaret began experiencing early memory issues. Her daughter discovered the account structure and filed a complaint with her state insurance department and Kevin's broker-dealer.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Brandt committed multiple serious violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under Rule 2330, a registered representative must have a reasonable basis for believing that a variable annuity transaction is suitable for a particular customer. The rule requires the advisor to consider the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, investment time horizon, existing assets (including other annuity holdings), liquidity needs, liquid net worth, risk tolerance, and tax status. Kevin's recommendation that Margaret, a 71-year-old retiree with modest income and explicitly stated liquidity concerns, commit \$230,000 - over 80% of her IRA - to a product with a seven-year surrender period and total annual costs of approximately 3.47% is facially unsuitable. Her expressed need

for emergency access to funds in the event of a health crisis directly contradicts the illiquid nature of the product. The aggressive sub-account allocation (60% equity growth, 20% emerging markets) is also inconsistent with her conservative risk tolerance and stated preference for safety and predictability.

****NAIC Model Regulation 275 - Suitability in Annuity Transactions:**** Model 275, as adopted in Texas, requires that an insurance producer have a reasonable basis to believe that a recommendation is suitable based on the consumer's suitability information and that the transaction as a whole is in the consumer's best interest. The regulation specifically requires consideration of liquidity needs and existing assets. Kevin failed to adequately weigh Margaret's stated need for liquidity against a medical emergency. Furthermore, Model 275 requires that the producer consider reasonably available alternatives. Kevin's own notes show no documentation of any discussion of lower-cost or more liquid alternatives, such as short-term fixed annuities, certificates of deposit, or no-load mutual funds.

****NY Regulation 187 (applicable by analogy for best-interest analysis):**** While Margaret resides in Texas, Regulation 187's framework is instructive. It requires that a recommendation be in the consumer's best interest at the time it is made, considering the consumer's financial situation, insurance needs, and financial objectives. The recommendation must not place the producer's financial interest ahead of the consumer's interest. Kevin earned \$13,225 on the VA sale and \$2,450 on the REIT placement - a combined \$15,675 - on transactions that left a vulnerable 71-year-old client with only \$60,000 in accessible funds. The compensation structure creates a strong inference that Kevin's financial interest drove the recommendation.

****Regulation Best Interest (Rule 15l-1):**** Under Reg BI's Care Obligation, a broker-dealer and associated person must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest considering the customer's investment profile. The Care Obligation specifically requires consideration of reasonably available alternatives. The combination of a high-cost variable annuity with aggressive sub-account allocations plus a non-traded REIT - totaling \$265,000 of Margaret's \$285,000 IRA - violates the Care Obligation because it renders the vast majority of her retirement savings illiquid for a customer who specifically identified liquidity as her paramount concern. Reg BI's Disclosure Obligation also required Kevin to provide full and fair disclosure of the costs, conflicts of interest, and material limitations of both products, which his documentation shows he did not adequately do. The Conflict of Interest Obligation required Kevin's firm to have policies to identify, disclose, and mitigate conflicts arising from his compensation - the high commissions on both products created a material conflict that was not addressed.

****The Non-Traded REIT Recommendation:**** The \$35,000 allocation to the non-traded REIT compounds the violation. Non-traded REITs are illiquid, carry high upfront costs (11.5% here), and have limited redemption options. For a 71-year-old with a known family history of dementia and a need for accessible funds, this recommendation further demonstrates a pattern of prioritizing high-commission, illiquid products over the client's actual needs.

****Likely Regulatory Outcome:**** Kevin faces potential disciplinary action from his state insurance department for violation of annuity suitability standards, FINRA enforcement for violations of Rule 2330 and Reg BI, and potential arbitration liability. Remedies could include rescission of both transactions, disgorgement of commissions, restitution of surrender charges and losses, fines, and possible suspension

or bar. His supervising broker-dealer also faces liability for failure to supervise under FINRA rules, particularly given that the firm's supervisory system should have flagged the concentration of illiquid products for a senior investor with documented liquidity needs.

Hypothetical 46

Topic: *high_fees_unsuitable* | Difficulty: *medium*

[NON-COM

Fact Pattern

Margaret Okonkwo, age 61, is a veteran public school teacher in Illinois earning \$72,000 per year. She has been contributing to her employer's 403(b) plan for 28 years and has accumulated approximately \$410,000 in the plan, invested across a mix of low-cost target-date funds and a stable value fund with a blended expense ratio of 0.18%. Margaret also has a small traditional IRA worth \$35,000. She plans to retire at age 65 and will receive a defined benefit pension of approximately \$54,000 annually. Her risk tolerance is conservative, and her primary investment objective is capital preservation with modest growth to supplement her pension. She has no dependents; her two children are financially independent adults. In February 2023, she attended a retirement planning seminar at a hotel conference room hosted by Raymond Fisk, a financial advisor affiliated with a broker-dealer. After a one-on-one follow-up meeting, Fisk recommended that Margaret roll over her entire \$410,000 from the 403(b) plan into a variable annuity contract with a guaranteed minimum income benefit rider. The variable annuity carried an annual mortality and expense charge of 1.35%, an administrative fee of 0.15%, underlying subaccount expenses averaging 0.92%, and the income rider fee of 1.10%, bringing the total all-in annual cost to approximately 3.52%. The contract also carried a seven-year surrender charge schedule beginning at 8% in year one and declining by 1% per year. Fisk earned a 6.5% commission on the sale, totaling approximately \$26,650. During the meeting, Fisk told Margaret that the guaranteed income rider would 'lock in her gains' and provide her with 'pension-like income she could never outlive,' but he did not discuss the fact that she already had a defined benefit pension, nor did he compare the costs of the variable annuity to her existing low-cost 403(b) investments. He did not document any analysis of whether the income rider benefit would be meaningful given her existing pension income. Margaret signed the paperwork the same day. Six months later, after discussing the transaction with a colleague, Margaret realized the annual fees on the variable annuity were nearly \$14,400 per year—roughly 20 times what she had been paying on her 403(b) investments—and that the seven-year surrender period would lock up her savings until she was 68, three years past her planned retirement date. She filed a complaint with her state insurance department.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated multiple applicable suitability and best-interest standards.

****FINRA Rule 2330 Analysis (Variable Annuity Suitability):**** FINRA Rule 2330 requires that before recommending a variable annuity purchase or exchange, a registered representative must have a reasonable basis to believe the transaction is suitable for the customer. Specifically, Rule 2330(b) requires consideration of the customer's age, income, financial situation, investment objectives, intended use of the

annuity, existing insurance holdings, liquidity needs, risk tolerance, and tax status. Here, the advisor failed on multiple dimensions:

1. ****Fees Relative to Existing Holdings:**** Margaret's 403(b) had an all-in expense ratio of approximately 0.18%. The recommended variable annuity carried an all-in cost of approximately 3.52%-nearly 20 times higher. Rule 2330 requires consideration of whether the customer would benefit from the features of a variable annuity that are not available in lower-cost alternatives. The advisor did not perform or document any comparative cost analysis.
2. ****Liquidity Needs and Surrender Charges:**** Margaret planned to retire at 65, which was four years away. The seven-year surrender period would extend to age 68, restricting access to her funds during the critical early retirement years without penalty. This directly conflicts with her stated objectives and timeline.
3. ****Redundancy of the Income Rider:**** Margaret already had a defined benefit pension providing \$54,000 annually, plus Social Security eligibility. The guaranteed income rider-which added 1.10% annually in fees-was designed to provide pension-like income. The advisor failed to analyze whether this feature was necessary or beneficial given her existing guaranteed income sources.

****NAIC Model Regulation 275 Analysis:**** Under the NAIC Suitability in Annuity Transactions Model Regulation (Model 275), as amended to incorporate a best-interest standard, a producer must act in the best interest of the consumer. The regulation requires that the recommendation reflect the consumer's suitability information, that the producer consider reasonably available alternatives, and that the compensation not be the primary motivating factor. The \$26,650 commission strongly suggests the recommendation was driven by compensation rather than the client's needs. The lack of any documented comparison to the existing low-cost 403(b) holdings, and the failure to consider the existing pension, constitute violations of the care obligation under Model 275.

****New York Regulation 187 Analysis:**** If this transaction occurred in or involved a New York-issued product, Regulation 187 (11 NYCRR 224) imposes an explicit best-interest standard on annuity recommendations. The advisor would need to demonstrate that the recommendation was in the consumer's best interest at the time of the transaction, considering the consumer's financial situation, insurance needs, and financial objectives. Given the dramatically higher costs, the surrender charge constraints, and the redundancy with existing guaranteed income, this standard was clearly not met.

****Regulation Best Interest (Rule 15l-1) Analysis:**** Under SEC Regulation BI, a broker-dealer and its associated persons must act in the retail customer's best interest when making a recommendation. The Care Obligation requires reasonable diligence, care, and skill in making a recommendation, including understanding the costs and risks involved and considering reasonably available alternatives. The Cost Disclosure Obligation requires full and fair disclosure of material fees. The advisor's failure to compare costs, to consider existing guaranteed income, and to evaluate whether the product features justified the dramatically higher expense structure represents a violation of the Care Obligation. Additionally, the same-day signing without adequate deliberation time raises concerns about whether the disclosure obligations were meaningfully satisfied.

****Likely Regulatory Outcome:**** The advisor faces potential disciplinary action from FINRA, including fines and possible suspension or bar. The state insurance department could revoke or suspend his insurance license. The broker-dealer's supervisory system would also be scrutinized under FINRA Rule 3110 for failing to flag this transaction for heightened review as required by Rule 2330(c). Margaret would likely be entitled to rescission or damages including the surrender charges, excess fees paid, and any market losses attributable to the unsuitable investment.

Hypothetical 47

Topic: *high_fees_unsuitable* | Difficulty: *medium*

[NON-COMPLIANT]

Fact Pattern

Margaret Olsen, age 74, is a retired elementary school teacher living in Spokane, Washington. She has a fixed monthly pension of \$2,800, receives \$1,650 per month in Social Security benefits, and has \$185,000 in a certificate of deposit that recently matured at her local bank. She has no other investments, owns her home outright, and has approximately \$12,000 in a checking account for daily expenses. Margaret describes herself as very conservative with money and says her primary goals are preserving what she has, keeping her funds accessible for potential assisted-living costs, and leaving something to her two grandchildren. She has no experience with securities or variable products.

In September 2023, Margaret met with Derek Harmon, a dually-licensed insurance producer and registered representative operating out of a financial services office adjacent to her bank. Derek recommended she move the entire \$185,000 CD proceeds into a variable annuity issued by National Horizon Life Insurance Company, specifically the "Horizon Growth & Income VA" product. The product carried a total annual expense ratio of 3.42%, composed of a 1.30% mortality and expense risk charge, a 0.95% fund management fee (the recommended subaccount was an aggressive-growth equity portfolio), a 0.25% administrative fee, and a 0.92% optional guaranteed minimum income benefit rider. The contract also imposed a seven-year declining surrender charge schedule beginning at 8% in year one and decreasing by 1% per year. Derek received an upfront commission of 6.5% (\$12,025) plus a 0.25% annual trail.

Derek's notes from the meeting state that Margaret wanted "growth" and was comfortable with "moderate risk," but Margaret later told a family member she had specifically said she did not want to lose any of her principal and needed to be able to access the money if she had to move into a care facility. When Margaret's grandson, a CPA, reviewed the paperwork three months later, he noted that the annual fees alone would consume roughly \$6,327 per year - approximately \$527 per month - and that any early withdrawal beyond the 10% free-withdrawal corridor would trigger substantial surrender penalties during the seven-year lockup. He also observed that a low-cost fixed annuity or even a Treasury-ladder strategy would have preserved principal and provided liquidity on a much shorter timeline, with annual costs under 0.10%. Margaret filed a complaint with her state insurance department in January 2024, alleging the product was entirely wrong for her situation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Harmon likely violated multiple applicable standards governing the sale of variable annuities.

****FINRA Rule 2330 - Variable Annuity Suitability:****

FINRA Rule 2330 requires that before recommending a variable annuity, a registered representative must have a reasonable basis to believe the transaction is suitable for the customer based on the customer's age, income, financial situation, investment objectives, investment experience, liquidity needs, risk tolerance, tax status, and other relevant factors. Under Rule 2330(b)(1), the representative must also determine that the customer would benefit from certain features of variable annuities, such as tax-deferred growth, annuitization, or death benefit protections, and that these features justify the higher costs relative to alternative products.

Here, Margaret was 74 years old, had no investment experience, described herself as very conservative, prioritized principal preservation and liquidity for potential assisted-living expenses, and had a modest fixed income. The recommended product - an aggressive-growth equity subaccount inside a high-cost variable annuity with a seven-year surrender period - is fundamentally misaligned with every stated objective. Her age alone raises red flags under Rule 2330's heightened scrutiny for senior investors. She had no need for tax-deferral (her income is modest and largely already tax-advantaged), no stated desire for market participation, and an explicit need for liquidity that the surrender schedule directly impairs. The 3.42% total annual expense ratio on \$185,000 represents a significant annual drag that would need to be overcome by investment returns before any real growth occurs - an unreasonable expectation for a conservative 74-year-old investor.

****NAIC Model Regulation 275 (Best Interest Standard for Annuity Transactions):****

The NAIC Model Regulation 275, as revised in 2020 and adopted or being adopted by most states including Washington (effective January 1, 2024), imposes a best interest standard on insurance producers recommending annuity products. Under Model 275 Section 6, a producer must act in the consumer's best interest at the time of the recommendation, considering the consumer's financial situation, insurance needs, financial objectives, and must not place the producer's financial interest ahead of the consumer's interest. The regulation includes four component obligations: care, disclosure, conflict of interest, and documentation.

Derek's recommendation fails the care obligation because no reasonable producer, after learning Margaret's profile, would conclude that concentrating her entire liquid net worth in an illiquid, high-fee, equity-based variable annuity served her best interest. The 6.5% upfront commission (\$12,025) creates a glaring financial conflict that was apparently not disclosed or mitigated. Derek's file notes mischaracterize Margaret's risk tolerance as "moderate" and her objective as "growth," contradicting her own account - suggesting a documentation failure designed to rationalize an unsuitable sale.

****New York Regulation 187 (applicable as persuasive analogy for best-interest analysis):****

Although Margaret resides in Washington, NY Reg 187 provides a useful analytical framework as the first state-level best interest standard for annuity and life insurance transactions. Under Reg 187 Section 224.4, a producer must consider reasonably available alternatives and must have a reasonable basis to conclude the recommended product effectively addresses the consumer's needs. A fixed annuity, Treasury

securities, or even a high-yield savings account would have addressed Margaret's stated goals at a fraction of the cost and without liquidity restrictions. Derek apparently did not consider or present any alternatives.

****SEC Regulation Best Interest (Rule 15l-1):****

As a dually-registered representative, Derek is also subject to Reg BI under the Securities Exchange Act when making recommendations of securities (variable annuity subaccounts are securities). Reg BI's Care Obligation requires that the broker-dealer and associated person exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest. The Cost component is particularly relevant: Reg BI requires consideration of reasonably available alternatives, and when a lower-cost product would equally serve the customer's objectives, recommending the higher-cost product without justification is a violation. The Conflict of Interest Obligation further requires that the firm establish policies to identify, disclose, and mitigate conflicts - the large upfront commission here is a material conflict.

****Likely Regulatory Outcome:****

Margaret's complaint to the Washington Office of the Insurance Commissioner would likely trigger an investigation under the state's newly adopted best interest rules (effective January 1, 2024, aligned with NAIC Model 275). FINRA could also pursue the matter as a Rule 2330 and Reg BI violation. Probable outcomes include: rescission of the annuity contract with full return of premiums and fees; disgorgement of Derek's commission; fines imposed on Derek and potentially his broker-dealer for supervisory failures; mandatory additional training or suspension of Derek's insurance and securities licenses; and potential restitution to Margaret for any losses, surrender charges, or tax consequences incurred. The GAO and academic literature on VA mis-selling to seniors consistently identifies this pattern - concentration of liquid assets in high-fee, illiquid variable annuities sold to elderly, conservative, unsophisticated customers - as a paradigmatic unsuitable transaction.

Hypothetical 48

Topic: *tax_deferred_unnecessary_annuity* | Difficulty: *medium*

Fact Pattern

Margaret Kowalski, age 58, has been a high school chemistry teacher in suburban Illinois for 31 years. She earns \$82,000 annually and participates in her school district's 403(b) retirement plan, to which she contributes 12% of her salary. Her 403(b) account holds approximately \$410,000 invested in a diversified mix of low-cost index mutual funds with a blended expense ratio of 0.18%. She also has a traditional IRA worth \$95,000 and a savings account with \$40,000. Margaret describes herself as moderately conservative in risk tolerance, with a primary objective of capital preservation and modest growth as she approaches retirement at age 62. She has no dependents, owns her home outright, and carries no debt.

In March 2023, Margaret attended a retirement planning seminar at a local hotel, hosted by financial advisor Dennis Hargrove, who is dually registered as a broker-dealer representative and insurance agent. During a follow-up one-on-one meeting at his office, Dennis reviewed Margaret's financial situation and recommended she roll over her entire \$410,000 403(b) balance into a variable annuity contract issued by

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National Guardian Life. The recommended product, the "Premier Growth Select VA," carried a mortality and expense risk charge of 1.35%, an administrative fee of 0.15%, and underlying sub-account expenses averaging 0.85%, bringing total annual costs to approximately 2.35%. The contract also imposed a seven-year surrender charge schedule beginning at 7% in year one and declining by 1% annually. Dennis earned a 5.5% commission on the sale, totaling \$22,550.

Dennis told Margaret the variable annuity would provide her with "tax-deferred growth" and a guaranteed minimum income benefit rider (at an additional annual cost of 0.95%) that would protect her in retirement. He prepared a brief illustration showing projected income at age 62 but did not compare these projections to what Margaret's existing 403(b) investments would produce if left in place. He did not discuss the fact that her 403(b) plan already provided tax-deferred growth, nor did he explain that the rollover would layer additional costs onto investments that were already in a tax-advantaged wrapper. Margaret signed the paperwork the same day. Within two months, she noticed her quarterly statement showed significantly higher fees than she had previously paid. She contacted the Illinois Department of Insurance to file a complaint in June 2023.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dennis Hargrove likely violated multiple applicable suitability and best-interest standards.

****FINRA Rule 2330 - Variable Annuity Suitability****

FINRA Rule 2330 requires that prior to recommending a variable annuity purchase or exchange, a registered representative must have a reasonable basis to believe the transaction is suitable for the customer. Specifically, Rule 2330(b)(1) requires consideration of whether the customer would benefit from certain features of a variable annuity, such as tax-deferred growth, annuitization, or a death benefit. Here, Margaret's 403(b) already provided tax-deferred growth. Rolling those assets into a variable annuity added no new tax benefit while dramatically increasing costs - from 0.18% to approximately 3.30% (including the income rider). The "tax deferral" rationale Dennis cited was redundant and misleading, as the 403(b) is itself a tax-deferred vehicle. Rule 2330(b)(2) also requires consideration of the particular variable annuity as a whole, including its riders, surrender charges, and costs relative to alternatives.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions)****

Under the revised NAIC Model 275 (adopted by Illinois), an insurance producer must act in the consumer's best interest at the time of the recommendation and must not place their financial interest ahead of the consumer's. The producer must consider reasonably available alternatives. Dennis failed to compare the existing low-cost 403(b) allocation against the variable annuity. The seven-year surrender schedule also created a liquidity constraint inappropriate for a client four years from retirement. The 5.5% commission (\$22,550) represents a significant financial incentive that appears to have driven the recommendation rather than any demonstrable client benefit.

****SEC Regulation Best Interest (Rule 15l-1)****

As a dually registered representative, Dennis is subject to Reg BI when making recommendations to retail customers. The Care Obligation under Reg BI requires that the advisor exercise reasonable diligence, care,

and skill in making a recommendation, including understanding costs and reasonably available alternatives. Recommending a high-cost variable annuity to replace low-cost index funds already held in a tax-deferred account, without performing any comparative analysis, fails this standard. The Disclosure Obligation requires full and fair disclosure of material facts, including conflicts of interest - Dennis does not appear to have disclosed his \$22,550 commission or the cost differential. The Conflict of Interest Obligation requires policies to identify and mitigate conflicts; the commission structure here created an obvious conflict that was not mitigated.

****NY Regulation 187 (if applicable by analogy)****

Although Margaret resides in Illinois, NY Reg 187 is instructive as a best-interest standard in insurance transactions. It would similarly find the recommendation deficient because the annuity provided no material benefit over the existing arrangement and the producer failed to document any reasonable basis for the recommendation.

****Likely Regulatory Outcome:****

Dennis faces potential FINRA enforcement action for violating Rule 2330, state insurance department discipline in Illinois for violating the state's adopted version of NAIC Model 275, and potential SEC scrutiny under Reg BI. Remedies could include rescission of the annuity contract, disgorgement of the \$22,550 commission, restitution to Margaret for excess fees paid, fines, suspension, and enhanced supervisory requirements. Academic literature on VA mis-selling consistently identifies the placement of already tax-deferred retirement assets into variable annuities as a hallmark of unsuitable recommendations driven by commission incentives rather than client need. GAO reports have similarly flagged the vulnerability of 403(b) participants - particularly public school teachers - to high-cost product recommendations from outside advisors.

Hypothetical 49

Topic: failure_to_know_customer | Difficulty: medium

Fact Pattern

In March 2023, Gerald Watts, a financial advisor based in Houston, Texas, met with Margaret Fong, a 71-year-old retired school librarian, at a community center financial planning seminar he hosted. During the seminar, Mrs. Fong signed up for a free portfolio review. At their follow-up meeting one week later, Watts spent approximately 25 minutes with Mrs. Fong. According to his notes, he recorded her age, address, and the fact that she had \$410,000 in a bank certificate of deposit that was maturing in two weeks. Mrs. Fong mentioned she was widowed, lived alone, and relied on Social Security of \$2,180 per month and a small teacher's pension of \$1,350 per month. Watts did not ask about her monthly expenses, existing debts, other assets, health status, tax situation, beneficiaries, prior investment experience, risk tolerance, time horizon, or liquidity needs. He did not ask whether she had any other financial advisor or existing insurance or annuity contracts. Watts recommended that Mrs. Fong roll the entire \$410,000 CD into a variable annuity issued by Ridgeline Life Insurance Company, featuring a Guaranteed Minimum Income Benefit rider. The product carried a seven-year surrender charge schedule starting at 8% and declining to 0%, annual mortality and expense charges of 1.35%, an administrative fee of 0.15%, underlying subaccount expenses

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averaging 0.87%, and a rider fee of 1.10% annually. The total all-in annual cost was approximately 3.47%. Watts earned a 6.5% commission totaling \$26,650 on the sale. He told Mrs. Fong the product would 'protect her money while giving her stock market growth,' and that 'the guarantee means you can never lose your principal.' He did not explain the difference between the account value and the benefit base, the impact of withdrawals on the guarantee, or the fact that surrender charges could consume a significant portion of her investment if she needed funds in the early years. Mrs. Fong signed the application that same day. Fourteen months later, in May 2024, Mrs. Fong was diagnosed with early-stage kidney disease and needed \$45,000 for medical expenses not fully covered by Medicare. When she attempted to withdraw the funds, she was assessed a surrender charge of 7% (\$3,150 on the withdrawal), and her guaranteed income benefit base was reduced on a pro-rata basis. She filed a complaint with the Texas Department of Insurance stating that her advisor never asked about her health, her need for accessible funds, or whether she could afford to lock up her only liquid savings for seven years.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Gerald Watts violated multiple applicable regulatory standards by failing to gather essential customer information before recommending a complex variable annuity product.

****FINRA Rule 2330 - Variable Annuity Suitability**:** Under Rule 2330(b), before recommending the purchase of a variable annuity, a registered representative must make reasonable efforts to obtain, at a minimum, the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, investment time horizon, existing assets, liquidity needs, liquid net worth, risk tolerance, tax status, and other relevant information. Watts's own notes reflect that he gathered virtually none of the required data points. He recorded only her age, address, and the existence of the maturing CD. He failed to ascertain her monthly expenses, health status, liquidity needs, risk tolerance, investment experience, time horizon, tax bracket, existing insurance or annuity holdings, or beneficiary designations. This is a textbook failure-to-know-your-customer violation.

****NAIC Model Regulation 275**:** Under the NAIC Suitability in Annuity Transactions Model Regulation (Model 275), as adopted in Texas, a producer must obtain sufficient information about the consumer's financial situation, insurance needs, and financial objectives to have a reasonable basis for a recommendation. The regulation specifically requires the producer to gather information about the consumer's age, annual income, existing financial products, financial situation and needs, risk tolerance, financial experience, financial objectives, intended use of the annuity, financial time horizon, and liquidity needs. Watts's cursory 25-minute meeting and sparse documentation demonstrate that he did not satisfy these obligations. Texas adopted Model 275 standards, and the Texas Department of Insurance can pursue enforcement for non-compliance.

****NY Regulation 187 (applicable if the product were sold in New York, and relevant as an industry benchmark)**:** While Mrs. Fong is a Texas resident, it is worth noting that NY Reg 187 imposes a best-interest standard for annuity recommendations, requiring that the transaction be in the consumer's best interest at the time of the recommendation, considering the consumer's financial situation, needs, and objectives. Even under the less stringent suitability framework, Watts's conduct would fail.

****Regulation Best Interest (SEC Rule 15l-1)**:** If Watts is a registered representative of a broker-dealer, Reg BI's Care Obligation requires that the advisor exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest. Reg BI also imposes a Disclosure Obligation regarding material facts about the relationship, including conflicts of interest such as the \$26,650 commission. Watts's failure to gather basic customer profile information means he had no reasonable basis to conclude the recommendation was in Mrs. Fong's best interest. Additionally, telling her she could 'never lose her principal' without distinguishing between account value and benefit base constitutes a materially misleading statement.

****Specific Violations and Analysis**:**

1. ****Failure to Know the Customer**:** Watts did not obtain information about Mrs. Fong's health, liquidity needs, risk tolerance, investment experience, monthly expenses, tax situation, existing holdings, or time horizon. A 71-year-old widow with no investment experience, relying on fixed income of \$3,530/month, and holding her only liquid asset in a bank CD, presents a customer profile that demands thorough questioning before any illiquid, high-cost product recommendation.
2. ****Unsuitability of the Recommendation**:** Even if Watts had gathered the information, placing 100% of a 71-year-old retiree's liquid savings into a product with a seven-year surrender period and 3.47% annual all-in costs is almost certainly unsuitable. She had no other liquid reserves, depended on modest fixed income, and was at an age where health emergencies were foreseeable.
3. ****Misleading Statements**:** Telling Mrs. Fong the guarantee meant she could 'never lose her principal' was materially misleading. The GMIB rider protects a benefit base for annuitization purposes; it does not protect the account value from market losses or surrender charges.
4. ****Concentration Risk**:** Recommending that 100% of the client's liquid assets be placed in a single illiquid product is a red flag under both FINRA guidance and NAIC Model 275.

****Likely Regulatory Outcome**:** Watts faces potential enforcement action from the Texas Department of Insurance for violations of state annuity suitability rules based on Model 275. If he holds a securities registration, his broker-dealer's compliance department and FINRA could pursue disciplinary action under Rule 2330 and, if applicable, Reg BI. Likely sanctions include fines, disgorgement of the \$26,650 commission, restitution to Mrs. Fong for surrender charges incurred, a suspension or bar, and heightened supervision requirements. The broker-dealer's supervisory system may also be scrutinized under FINRA Rules 3110 and 3120 for failing to flag the deficiencies in the customer profile documentation before approving the transaction.

Hypothetical 50

Topic: *tax_deferred_unnecessary_annuity* | Difficulty: *medium*

[NON-COM

Fact Pattern

In March 2023, Gerald Whitfield, a 58-year-old high school principal in Albany, New York, met with financial advisor Denise Kowalski after attending a free dinner seminar titled 'Protect Your Retirement from Market Volatility.' Gerald earned \$128,000 annually, had a pension through the New York State Teachers' Retirement System, and maintained a 403(b) plan with a balance of approximately \$310,000. He also held \$95,000 in a traditional IRA rollover from a prior employer and \$42,000 in a taxable brokerage account invested in a balanced mutual fund. Gerald described himself as moderately conservative and told Denise his primary goal was steady growth over the next seven to ten years before retirement, with minimal fees. During the meeting, Denise recommended Gerald move the \$95,000 IRA into a variable annuity - the Pinnacle Advantage II VA - offered through her broker-dealer. The product carried a mortality and expense risk charge of 1.40%, an administrative fee of 0.15%, and average underlying subaccount expenses of 0.87%, bringing the total annual cost to approximately 2.42%. The contract also included a seven-year surrender charge schedule starting at 7% and declining by 1% per year. Denise emphasized the tax-deferred growth feature of the variable annuity as a key benefit, telling Gerald that his money would 'grow without the IRS taking a bite every year.' She did not discuss the fact that Gerald's IRA already provided tax-deferred growth. She also did not present any lower-cost alternatives such as no-load mutual funds or low-cost index funds within the existing IRA. Gerald signed the paperwork and the \$95,000 was transferred into the Pinnacle Advantage II VA. Within eighteen months, Gerald realized he was paying significantly more in annual fees than he had been in his prior IRA, which had held a diversified equity index fund with a total expense ratio of 0.08%. He also learned he could not access his funds without paying a 6% surrender charge. Gerald filed a complaint with his state insurance department and the broker-dealer's compliance office.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Denise Kowalski likely violated multiple suitability and best-interest standards applicable to variable annuity recommendations.

****FINRA Rule 2330 - Suitability of Variable Annuity Recommendations:**** Under FINRA Rule 2330(b), a registered representative must have a reasonable basis to believe that a variable annuity recommendation is suitable for a particular customer. Specifically, the rule requires the advisor to consider, among other things, whether the customer would benefit from certain features of a variable annuity, such as tax-deferred growth, that are not available through other investments. Here, Gerald's \$95,000 was already held in a traditional IRA, which inherently provides tax-deferred growth. Placing tax-deferred money inside another tax-deferred wrapper - the variable annuity - provides no incremental tax benefit and instead layers on additional costs. The Pinnacle Advantage II VA imposed total annual expenses of approximately 2.42%, compared to the 0.08% Gerald was paying in his existing index fund IRA. This represents roughly a 30-fold increase in annual costs with no offsetting tax advantage. FINRA has repeatedly identified the purchase of a variable annuity within a qualified retirement account as a red flag requiring heightened scrutiny and documentation of a non-tax rationale, such as a specific living benefit rider or death benefit. No such feature was discussed or recommended here.

****NAIC Model Regulation 275 - Suitability in Annuity Transactions:**** Under the revised NAIC Model #275

(adopted by many states), an insurance producer must act in the consumer's best interest at the time a recommendation is made, without placing the producer's financial interest ahead of the consumer's. The producer must consider reasonably available alternatives, the cost and complexity of the product, and the consumer's existing assets and financial situation. Denise failed to consider that Gerald's existing IRA structure already met his stated goals of steady, low-cost, tax-efficient growth. She also failed to present any lower-cost alternatives, which the model regulation explicitly requires. The seven-year surrender charge schedule imposed a significant liquidity constraint that was inconsistent with Gerald's moderate time horizon and retirement planning flexibility needs.

****New York Regulation 187 - Best Interest Standard (as applicable during the relevant period):**** Because Gerald resides in New York and the transaction occurred in 2023, New York's insurance best-interest standard (to the extent enforceable at the time) would require that the recommendation be in the consumer's best interest and that the producer consider the consumer's financial situation, insurance needs, and existing coverage. Even under the prior suitability framework, recommending an annuity inside an IRA solely on the basis of tax deferral - a feature the customer already enjoyed - would be considered unsuitable. The legal status of NY Reg 187 was subject to judicial challenge, but the underlying principle that a recommendation must have a sound, customer-centered rationale remains operative under both state and federal frameworks.

****SEC Regulation Best Interest (Rule 15l-1):**** As a registered representative of a broker-dealer, Denise was also subject to the SEC's Regulation Best Interest at the time of the recommendation. Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation, considering reasonably available alternatives, costs, and the customer's investment profile. Recommending a high-cost variable annuity to replace a low-cost index fund within an already tax-advantaged IRA, without any documented non-tax rationale and without discussing alternatives, fails the Care Obligation. Additionally, the Disclosure Obligation requires clear disclosure of all material facts, including costs and conflicts of interest. Denise's affirmative misrepresentation - telling Gerald the VA would let his money grow without the IRS taking a bite, when his IRA already provided that benefit - constitutes a material omission and potentially misleading statement.

****Likely Regulatory Outcome:**** Gerald's complaint would likely result in a finding of unsuitable recommendation. The broker-dealer's supervisory system may also be found deficient under FINRA Rule 2330(c), which requires a registered principal to review variable annuity transactions before transmittal. Remedies could include rescission of the annuity contract, reimbursement of excess fees and any surrender charges, and potential fines and suspension for the advisor. Academic literature and GAO reports have consistently identified the placement of variable annuities inside qualified plans as one of the most common forms of VA mis-selling, precisely because the layered tax-deferral benefit is redundant and the additional cost burden is unjustified absent a compelling non-tax feature.

Hypothetical 51

Topic: *variable_annuity_unsuitable* | Difficulty: *hard*

[NON-COM

Fact Pattern

Margaret Donovan, age 74, is a retired schoolteacher living in Syracuse, New York. She has a fixed monthly pension of \$3,200 and receives \$1,850 per month in Social Security. Her total liquid assets consist of \$410,000 in a traditional IRA that was previously invested in a diversified portfolio of low-cost index funds and a \$55,000 savings account at a local credit union. She has no debts, owns her home outright, and has listed her investment objectives as capital preservation and income. Her risk tolerance on all account documents is marked as 'conservative.' She has no prior experience with variable annuities or complex insurance products. In February 2022, her financial advisor, Derek Paulson, age 38, met with her at her home and recommended she liquidate \$370,000 from her IRA index fund portfolio and use the proceeds to purchase a variable annuity with a Guaranteed Minimum Income Benefit (GMIB) rider. The variable annuity carried a mortality and expense charge of 1.40%, an administrative fee of 0.15%, underlying sub-account expenses averaging 0.87%, and the GMIB rider cost an additional 1.05% annually, bringing the total all-in annual cost to approximately 3.47%. The product imposed a seven-year surrender charge schedule starting at 8% in year one and declining by one percentage point each year. Paulson told Margaret the GMIB rider would 'guarantee her income for life no matter what the market does,' and that the product was 'basically the same as a CD but with upside.' He did not discuss the surrender charge schedule, did not compare the existing portfolio's cost structure (approximately 0.06% in expense ratios) against the proposed annuity, and did not document any analysis of whether Margaret's existing income from pension and Social Security already covered her living expenses, which totaled roughly \$4,100 per month. He also did not consider that the IRA was already tax-deferred, meaning the annuity's tax-deferral feature provided no incremental benefit. Paulson received a 6.5% commission on the sale, totaling \$24,050. Within eight months of the purchase, the sub-accounts had declined 14% due to equity market volatility, and Margaret needed \$30,000 to pay for emergency roof repairs. She was shocked to learn that a surrender of that amount would trigger a \$2,100 surrender penalty and that her account value had fallen to approximately \$318,200. She filed a complaint with the state insurance department in November 2022.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Paulson committed multiple violations across several overlapping regulatory frameworks.

****FINRA Rule 2330 (Variable Annuity Suitability):**** Rule 2330 requires that before recommending a variable annuity purchase, a registered representative must have a reasonable basis to believe that (a) the customer has been informed of the features of the product, including surrender charges, mortality and expense fees, and sub-account risks; (b) the customer would benefit from certain features of the annuity, such as tax-deferred growth, annuitization, or a death benefit, that are not available through other investments; and (c) the particular annuity as a whole, the underlying sub-accounts, riders, and features are suitable. Paulson failed on all three prongs. He did not disclose the surrender schedule or fee structure, the tax-deferral feature was redundant inside an IRA, and the product's high cost and long illiquidity period were fundamentally unsuitable for a 74-year-old conservative investor with modest, already-sufficient income.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under Model 275 as revised (adopted in many states), a producer must act in the consumer's best interest at the time of the recommendation

without placing the producer's financial interest ahead of the consumer's. The producer must consider the consumer's age, financial situation, existing insurance products, liquidity needs, risk tolerance, and investment objectives. Paulson's recommendation ignored Margaret's advanced age, conservative profile, existing adequate income, and the liquidity risk created by a seven-year surrender period. The 6.5% commission (\$24,050) creates strong evidence of a financial conflict that was not mitigated or disclosed.

****New York Regulation 187:**** As a New York resident, Margaret's transaction falls under NY Reg 187, which imposes a best-interest standard on annuity recommendations made in the state. The regulation requires producers to document a reasonable basis for the recommendation, consider reasonably available alternatives, and ensure the transaction is in the consumer's best interest. Paulson failed to compare the existing low-cost index fund portfolio against the high-cost annuity, failed to document any needs analysis, and made materially misleading statements by comparing the variable annuity to a CD.

****Regulation Best Interest (Rule 15l-1):**** If Paulson made this recommendation in his capacity as a broker-dealer associated person, Reg BI's Care Obligation required him to exercise reasonable diligence, care, and skill in evaluating the recommendation in light of Margaret's investment profile, and to consider reasonably available alternatives. The Disclosure Obligation required full and fair disclosure of all material facts relating to conflicts of interest, including the commission. The massive cost differential (0.06% vs. 3.47%), the redundant tax-deferral feature, the illiquidity imposed on a 74-year-old, and the misleading oral representations all constitute clear failures under Reg BI's component obligations.

****Specific Violations Include:****

1. Recommending a high-cost, illiquid variable annuity to a 74-year-old conservative investor whose income needs were already met.
2. Failing to disclose surrender charges, total costs, and the limitations of the GMIB rider.
3. Making materially misleading statements comparing the variable annuity to a CD.
4. Failing to consider or document any analysis of the client's existing portfolio costs versus proposed costs.
5. Placing the IRA proceeds into a tax-deferred product within an already tax-deferred account, providing no incremental benefit.
6. Prioritizing the \$24,050 commission over the client's financial interests.

****Likely Regulatory Outcome:**** Paulson faces potential sanctions from the state insurance department (fine, license suspension or revocation), FINRA enforcement action (fine, suspension, or bar), and possible SEC action if the conduct constitutes a broader pattern. Margaret would likely recover damages through arbitration or the state complaint process, including the surrender charges incurred, the cost differential, and potentially consequential damages. The supervising broker-dealer also faces liability for failure to supervise under FINRA Rules 3110 and 3120 if it did not have adequate procedures to review variable annuity transactions involving elderly, conservative investors.

Hypothetical 52

Topic: *complex_products_unsophisticated_investor* | Difficulty: *hard*

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Fact Pattern

Margaret Bowen, age 73, is a retired elementary school teacher living in Rochester, New York, with an annual pension income of \$38,000 and Social Security benefits of \$21,600. Her total liquid savings consist of \$410,000 in a bank certificate of deposit and \$62,000 in a savings account. She has no prior experience with securities, mutual funds, or insurance-linked investment products. She has never owned stocks or bonds directly and described her investment knowledge as 'very limited' on her new account form. Her stated investment objective was 'preservation of principal with some income,' and she checked 'conservative' for risk tolerance. She told her advisor, Dale Richter, that her primary financial goals were to keep her money safe, have it available for potential assisted-living expenses within three to five years, and leave whatever remained to her two grandchildren. Margaret's only prior financial relationship was with her local bank, where she had renewed the same 12-month CD annually for nine years. She was referred to Dale by a family friend who described him as someone who 'helps people with retirement planning.' During their first and only meeting at Margaret's kitchen table on March 12, 2023, which lasted approximately 90 minutes, Dale explained that he could help her earn 'much better returns than the bank' while still providing 'guarantees.' He recommended that she liquidate her \$410,000 CD—which was 17 days from maturity—and invest \$365,000 into a variable annuity issued by a major insurance carrier. The product featured a Guaranteed Minimum Income Benefit rider and a Guaranteed Minimum Death Benefit rider. The base contract carried a mortality and expense charge of 1.40%, an administrative fee of 0.15%, and the two optional riders added a combined 1.55% annually, bringing the total insurance-related charges to 3.10% per year before underlying subaccount expenses. The subaccount options Dale selected for Margaret included an international small-cap equity fund (expense ratio 1.12%), an emerging markets bond fund (expense ratio 0.94%), and a sector-concentrated technology fund (expense ratio 1.08%). The blended all-in annual cost of the product as allocated was approximately 4.15%. The contract imposed a seven-year surrender charge schedule beginning at 8% in year one and declining by one percentage point each year. Dale did not discuss the surrender charge schedule in detail, telling Margaret only that 'there's a small penalty if you take everything out right away, but you won't need to do that.' He did not present any alternative products, such as a fixed annuity, a multi-year guaranteed annuity, a short-term bond fund, or a higher-yielding bank CD. He did not document why variable subaccounts with aggressive equity and emerging market exposure were appropriate given her stated conservative profile. Dale earned a gross commission of \$25,550 (7% of the premium) on the sale. Margaret signed the application and disclosure documents the same day; she later told her daughter she 'didn't really understand everything but trusted Dale.' Five months after the contract was issued, Margaret's subaccount value had declined by \$41,000 due to equity market volatility. She then learned she would need to move to an assisted-living facility and attempted to withdraw \$200,000 to cover anticipated costs. She was informed the surrender charge on that withdrawal would be approximately \$16,000 (8% of the amount exceeding the free-withdrawal corridor). When Margaret's daughter contacted Dale's broker-dealer to complain, she discovered that Dale had noted on his internal paperwork that Margaret had 'moderate' risk tolerance and 'growth and income' objectives, which contradicted what Margaret had written on the client-facing new account form.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Dale Richter committed multiple serious violations across overlapping regulatory frameworks.

1. ****FINRA Rule 2330 - Variable Annuity Suitability****: Rule 2330(b) requires that, prior to recommending the purchase of a variable annuity, a registered representative must make reasonable efforts to obtain the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing insurance holdings, liquidity needs, liquid net worth, risk tolerance, and tax status. While Dale apparently collected some of this information, his internal documentation contradicted what Margaret herself recorded—he upgraded her risk tolerance from 'conservative' to 'moderate' and changed her objective from 'preservation of principal with income' to 'growth and income.' This is a hallmark of falsifying documents to justify a sale and constitutes a separate violation. Under Rule 2330(b)(1), the advisor must have a reasonable basis to believe the customer would benefit from certain features of a variable annuity, such as tax-deferred growth, annuitization, or a death benefit. Margaret was 73, had no tax-deferral need (her assets were in non-qualified accounts already), needed liquidity within 3-5 years (conflicting with a 7-year surrender period), and had conservative objectives—none of which align with the costly features of the recommended VA.
2. ****Subaccount Allocation****: The selection of international small-cap equity, emerging markets debt, and a concentrated technology sector fund for a 73-year-old conservative investor with no securities experience is facially unsuitable under the customer-specific obligation of both Rule 2330 and the general suitability principles. These are high-volatility asset classes wholly inconsistent with Margaret's stated preservation-of-principal objective and her imminent need for the funds.
3. ****NAIC Model Regulation 275 (Suitability in Annuity Transactions)****: Under the amended Model 275, a producer must have a reasonable basis to believe a recommendation is suitable based on the consumer's profile, including liquidity needs, existing assets, and financial objectives. The recommendation must also serve the consumer's best interest under the 2020 revisions to the Model. Dale failed this standard because (a) the 7-year surrender period directly conflicted with Margaret's 3-5 year liquidity horizon for assisted-living costs, (b) the 4.15% all-in annual cost was excessive for a conservative investor who could have achieved her goals with a bank CD, fixed annuity, or MYGA at a fraction of the cost, and (c) no consideration of reasonably available alternatives was documented.
4. ****New York Regulation 187 - Best Interest Standard****: Because this transaction occurred in New York, NY Reg 187 applies to the annuity sale (effective for annuities since August 1, 2019). Reg 187 requires that a recommendation be in the consumer's best interest at the time of the transaction, considering the consumer's financial situation, insurance needs, and financial objectives, without placing the producer's or insurer's financial interest ahead of the consumer's. Dale earned \$25,550 in commission on a product that was ill-suited to Margaret's needs. The absence of any alternatives analysis, the mismatched risk allocation, and the liquidity mismatch strongly suggest the recommendation was driven by compensation rather than Margaret's best interest. Reg 187 also requires documentation of the basis for the recommendation; Dale's falsified internal notes compound the violation.
5. ****Reg BI (SEC Rule 15l-1)****: If Dale's broker-dealer is dually registered or the recommendation involved a securities transaction (which a variable annuity is), Regulation Best Interest applies. Under the Care Obligation, Dale was required to exercise reasonable diligence, care, and skill in making his recommendation, consider reasonably available alternatives, and ensure the recommendation was in the retail customer's best interest. The failure to present any alternative, the excessive cost, the liquidity

mismatch, and the aggressive subaccount allocation all represent failures of the Care Obligation. The Disclosure Obligation was also likely violated, as Dale minimized the surrender charges. The Conflict of Interest Obligation required the firm to identify and mitigate conflicts arising from the 7% commission; there is no evidence this occurred.

6. ****Document Falsification****: Dale's alteration of Margaret's risk tolerance and investment objectives on internal records-contradicting her own written responses-constitutes potential falsification of books and records, a separate serious violation that could result in enhanced sanctions including bars.

****Likely Regulatory Outcome****: Margaret's complaint would likely result in the broker-dealer being required to pay restitution of the surrender charge, the subaccount losses attributable to the unsuitable allocation, and potentially the opportunity cost versus a suitable alternative. Dale would face potential suspension or bar for the document falsification. The firm's supervisory system would also be examined under FINRA Rule 3110, as a principal should have flagged a \$365,000 VA sale to a 73-year-old conservative investor with no investment experience. The New York Department of Financial Services could pursue separate enforcement under Reg 187 against both the producer and the insurer. This is a textbook example of variable annuity mis-selling to an unsophisticated elderly investor.

Hypothetical 53

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

In March 2022, financial advisor Derek Hollis met with Martha Ellison, a 74-year-old retired schoolteacher living in Rochester, New York. Mrs. Ellison had total liquid assets of approximately \$310,000, consisting of \$185,000 in a traditional IRA invested in a balanced mutual fund, \$80,000 in a bank certificate of deposit maturing in June 2022, and \$45,000 in a savings account. Her sole income was Social Security of \$2,150 per month and a small state pension of \$1,400 per month. She had no outstanding debts and owned her home outright. Mrs. Ellison told Hollis during their initial meeting that her primary concerns were preserving her savings so she could cover potential assisted-living costs in the future and leaving some money to her two grandchildren. She described herself as someone who 'couldn't sleep at night' during the 2008 market downturn and said she had no appetite for losing money. She also mentioned she might need access to a significant portion of her savings within three to five years if her health declined. Despite these clearly stated objectives, Hollis completed a client profile form that categorized Mrs. Ellison's risk tolerance as 'moderate-aggressive' and her investment time horizon as '10+ years.' When Mrs. Ellison asked about this during a follow-up call, Hollis told her that the form 'was just for internal records' and that she 'shouldn't worry about the labels.' In April 2022, Hollis recommended that Mrs. Ellison liquidate her balanced mutual fund and her maturing CD, and invest \$250,000 into a variable annuity - the Patriot Growth & Income VA - offered through his broker-dealer. The product featured a seven-year surrender schedule with a declining surrender charge starting at 7% in the first year. The annuity's subaccounts were allocated 65% to a small-cap equity growth fund and 20% to an international equity fund, with only 15% in a bond fund. Total annual expenses on the variable annuity, including mortality and expense charges, administrative fees, and underlying fund expenses, came to 3.15%. The product included a guaranteed minimum death benefit rider

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at an additional cost of 0.45% annually, but no living benefit rider that would guarantee income. Hollis earned a commission of \$12,500 on the sale. Within the first year, the account lost approximately 18% of its value due to equity market declines, falling to roughly \$205,000. Mrs. Ellison called Hollis in distress, explaining that she was now worried about affording future care and that she could not access her money without paying surrender charges. Hollis told her to 'stay the course' and that markets always recover.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hollis committed multiple violations of applicable suitability and best-interest standards. Under FINRA Rule 2330, which specifically governs recommended purchases and exchanges of deferred variable annuities, a registered representative must have a reasonable basis to believe that the customer has been informed of the general features of a variable annuity (including surrender charges, potential tax penalties, and market risk), and that the variable annuity as a whole, the underlying subaccounts, and any riders are suitable in light of the customer's investment profile - including age, income, financial situation, risk tolerance, liquidity needs, investment experience, investment objectives, and time horizon. Here, multiple elements of the recommendation failed these requirements.

First, the risk profile was deliberately mischaracterized. Mrs. Ellison explicitly described herself as highly risk-averse with a short-to-intermediate time horizon and a primary objective of capital preservation. Hollis recorded her risk tolerance as 'moderate-aggressive' with a '10+ year' horizon, directly contradicting her stated preferences. This falsification of customer profile information is a serious violation that undermines the entire suitability analysis framework. Under FINRA Rule 2330(b), the member or associated person must make reasonable efforts to obtain relevant customer-specific information, and the analysis must be based on accurate data. Fabricating or distorting that data is itself a violation.

Second, the product was unsuitable on its face. A variable annuity with a seven-year surrender period and 3.15% in total annual expenses is inappropriate for a 74-year-old client who may need access to funds within three to five years for healthcare costs. The surrender schedule would impose significant penalties precisely when the client anticipated needing liquidity. The absence of a living benefit rider meant the product offered no guaranteed income floor, which would have been the only feature potentially justifying a VA for a risk-averse retiree concerned about future care costs.

Third, the subaccount allocation - 65% small-cap equities and 20% international equities - was wildly inconsistent with a conservative, capital-preservation objective. This aggressive allocation exposed Mrs. Ellison to substantial downside risk that she explicitly said she could not tolerate.

Fourth, under New York Regulation 187, which applies because Mrs. Ellison is a New York resident, transactions involving annuities must be in the best interest of the consumer at the time of the transaction. The regulation requires consideration of the consumer's existing assets and financial situation, including liquidity needs, and whether the product provides benefits that are appropriate for the consumer. The recommendation to concentrate over 80% of Mrs. Ellison's liquid assets in a single illiquid, high-cost, aggressively allocated variable annuity fails this standard comprehensively.

Additionally, under SEC Regulation Best Interest (Rule 15l-1), broker-dealers and their associated persons must act in the retail customer's best interest at the time a recommendation is made, without placing their own financial interest ahead of the customer's. The Care Obligation component requires the broker-dealer to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile. Hollis's \$12,500 commission provided a strong financial incentive to recommend the VA, and the falsification of the client's risk profile suggests the recommendation was driven by compensation rather than client need.

The NAIC Model Regulation 275, adopted in various forms by most states, similarly requires that producers have a reasonable basis to believe a recommended annuity transaction is suitable based on the consumer's stated financial situation, insurance needs, objectives, and other relevant information. Section 6 of Model 275 (as amended in 2020 to adopt a best-interest standard) would find Hollis in violation for recommending a product inconsistent with the customer's actual profile.

Likely regulatory outcomes include: FINRA enforcement action for violations of Rule 2330 and potentially Rule 2111 (general suitability), resulting in fines, disgorgement of commissions, restitution to the customer, and a potential suspension or bar; New York Department of Financial Services action under Regulation 187; and potential SEC action under Reg BI. The falsification of the customer profile form could also constitute a books-and-records violation and raise issues of fraud.

Hypothetical 54

Topic: high_fees_unsuitable | Difficulty: medium

Fact Pattern

Margaret Choi, age 72, is a retired elementary school teacher living in Columbus, Ohio. She receives \$2,400 per month in pension income and \$1,850 per month from Social Security, giving her a combined annual income of approximately \$51,000. Her total liquid savings amount to \$185,000, held primarily in bank certificates of deposit and a money market account. She also owns her home outright, valued at roughly \$220,000. Margaret describes herself as a conservative investor whose primary goals are preserving her savings for potential long-term care needs and leaving a modest inheritance to her two adult children. She has no investment experience beyond CDs and savings accounts, and she told her advisor, Derek Saunders, that she could not afford to lose any meaningful portion of her savings.

In September 2023, Derek, who had been Margaret's insurance agent for three years, recommended she liquidate \$160,000 of her CDs—which were earning a blended rate of 4.8% APY with maturities ranging from 6 to 18 months—and invest the proceeds in a variable annuity issued by National Horizon Life Insurance Company. The product, called the "Horizon Growth & Income VA," carried a mortality and expense risk charge of 1.45% annually, an administrative fee of 0.15%, and underlying sub-account management fees averaging 0.92%, bringing the total annual expense load to approximately 2.52%. The contract also imposed a seven-year declining surrender charge schedule starting at 8% in year one and decreasing by 1% per year. Derek selected an optional guaranteed minimum income benefit rider at an additional annual cost of 1.10%, bringing Margaret's all-in annual cost to roughly 3.62% of account value.

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Derek allocated 55% of Margaret's funds to an equity growth sub-account, 25% to an international equity sub-account, and 20% to a corporate bond sub-account. He did not discuss lower-cost alternatives such as fixed annuities, fixed indexed annuities, or simply renewing and laddering her existing CDs. He also did not address the tax implications of placing non-qualified funds in a product that converts capital gains into ordinary income upon distribution, nor did he explain that Margaret's age meant she would likely need access to the funds within the surrender period. Derek earned a 6.5% upfront commission of \$10,400 on the sale.

By June 2024, the equity sub-accounts had declined 11% during a market correction, reducing Margaret's account value to approximately \$137,200 after fees and market losses. Margaret attempted to withdraw \$30,000 to pay for emergency home repairs and was informed she would owe a 7% surrender charge on the amount exceeding the 10% free withdrawal corridor, costing her an additional \$1,470 in penalties. She filed a complaint with her state insurance department, alleging that Derek never explained the fees, surrender charges, or risk of loss, and that the product was inappropriate given her age, limited assets, conservative outlook, and liquidity needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Saunders violated applicable suitability and best-interest standards in multiple respects.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under Rule 2330, before recommending the purchase of a variable annuity, a registered representative must make reasonable efforts to obtain the customer's financial status, tax status, investment objectives, liquidity needs, risk tolerance, and other relevant information. The representative must then have a reasonable basis to believe the transaction is suitable, considering factors including (a) whether the customer would benefit from tax-deferred growth, (b) whether the customer has a long enough time horizon to absorb surrender charges and market volatility, (c) whether the customer intends to use the annuity for purposes beyond those served by less costly alternatives, and (d) the total costs and fees. Margaret's profile—a 72-year-old conservative investor with limited liquid savings, no investment experience, foreseeable liquidity needs, and a stated inability to tolerate loss—made a high-fee variable annuity with aggressive equity sub-account allocations fundamentally unsuitable.

****NAIC Model Regulation 275 (Revised 2020):**** The revised Model 275 imposes a best-interest standard on producers recommending annuity transactions. Under this standard, the producer must act in the consumer's best interest at the time of the recommendation without placing the producer's financial interest ahead of the consumer's. Key obligations include the care obligation (requiring reasonable diligence, care, and skill), the disclosure obligation (requiring clear communication of fees, surrender charges, and product features), and the conflict-of-interest obligation (requiring identification and mitigation of material conflicts such as compensation incentives). Derek failed all three: (1) he did not exercise reasonable care—he recommended a product whose 3.62% annual cost and seven-year surrender period were incompatible with Margaret's age, conservative objectives, and liquidity needs; (2) he failed to disclose the fee structure, surrender charges, and tax consequences; and (3) his \$10,400 commission created an unmitigated conflict of interest, particularly when lower-cost alternatives such as fixed annuities or CD laddering better matched

Margaret's needs.

****NY Regulation 187 (applicable by analogy to states adopting similar best-interest frameworks):**** Under Regulation 187, producers must demonstrate that a recommendation is in the best interest of the consumer, considering the consumer's financial situation, insurance needs, and objectives. The regulation explicitly requires consideration of reasonably available alternatives. Derek's failure to present or even discuss fixed annuities, fixed indexed annuities, or non-annuity alternatives is a clear violation.

****Reg BI (Rule 15l-1 under the Securities Exchange Act):**** Because a variable annuity is a security, broker-dealer obligations under Regulation Best Interest also apply. Reg BI's Care Obligation requires that the broker exercise reasonable diligence, care, and skill in making a recommendation, considering the investment's risks, rewards, and costs in light of the customer's profile. The Disclosure Obligation requires full and fair disclosure of material facts, including costs and conflicts. The Conflict of Interest Obligation requires policies to identify and mitigate conflicts, including compensation-driven incentives. Derek's recommendation fails all three components: the product's costs were excessive relative to Margaret's conservative needs, he withheld material cost and risk information, and his significant upfront commission was neither disclosed nor mitigated.

****Specific Violations and Aggravating Factors:****

1. ***Excessive fees:** A total annual expense ratio of 3.62% imposed on a conservative, elderly investor with a relatively small account is presumptively unsuitable, as it requires substantial investment returns merely to break even.
2. ***Inappropriate asset allocation:** Placing 80% of a 72-year-old conservative investor's funds in equity and international equity sub-accounts exposes her to volatility inconsistent with her stated objectives and risk tolerance.
3. ***Liquidity mismatch:** A seven-year surrender charge schedule is inappropriate for a client of Margaret's age who may foreseeably need access to her funds for healthcare, home maintenance, or living expenses.
4. ***Failure to consider alternatives:** Derek did not discuss lower-cost, lower-risk alternatives such as fixed annuities, multi-year guaranteed annuities, or simply maintaining her existing CD ladder—all of which would have been more consistent with her objectives.
5. ***Inadequate disclosure:** Margaret's complaint states she was never informed of the fee structure, surrender penalties, or risk of loss, representing a failure of disclosure obligations under all applicable frameworks.
6. ***Concentration risk:** Recommending that Margaret invest \$160,000 of her \$185,000 in liquid savings (86%) in a single illiquid product left her with inadequate reserves.

****Likely Regulatory Outcome:**** Derek faces potential enforcement action from FINRA for violations of Rule 2330 and Reg BI, including fines, disgorgement of commissions, suspension, or barring. The state insurance department may pursue action under its adopted version of Model 275 or equivalent state statute, potentially resulting in license revocation, restitution orders, and civil penalties. Margaret would likely prevail in a FINRA arbitration claim for compensatory damages including the surrender charges paid, market losses attributable to the unsuitable allocation, and excess fees charged relative to a suitable alternative product.

Hypothetical 55*Topic: high_fees_unsuitable | Difficulty: medium***Fact Pattern**

Margaret Tolliver, age 72, is a retired elementary school teacher living in Syracuse, New York. She receives \$2,850 per month in pension income and \$1,920 per month in Social Security benefits, giving her a combined annual income of approximately \$57,240. Her total liquid savings amount to \$215,000, held primarily in a bank certificate of deposit earning 4.1% annually, and she has an additional \$40,000 in a savings account for emergencies. She owns her home outright, valued at approximately \$185,000. Margaret has no dependents, has expressed that her primary financial goals are preserving her savings to cover potential long-term care costs and leaving a modest inheritance to her two grandchildren. She has described herself as very conservative and told her advisor, Dale Hendricks, that she 'cannot afford to lose any of this money.' She has limited investment experience, having never owned stocks, mutual funds, or any variable product.

In March 2023, Dale Hendricks, a dually licensed insurance agent and registered representative operating out of a regional brokerage office in Syracuse, met with Margaret after she responded to a mailer advertising 'tax-advantaged retirement strategies.' During the meeting, Dale recommended that Margaret liquidate her \$215,000 CD - which still had 14 months remaining before maturity, triggering a \$3,400 early withdrawal penalty - and invest the proceeds into a variable annuity issued by a mid-sized insurance carrier. The specific product was the Pinnacle Select VA III, which carried a mortality and expense risk charge of 1.45% annually, an administrative fee of 0.15%, and underlying sub-account fund expenses averaging 1.05%, bringing the total annual cost to approximately 2.65% of account value, or roughly \$5,698 per year on the initial investment. The contract also imposed a seven-year declining surrender charge schedule starting at 8% in year one and decreasing by 1% per year. Dale allocated 60% of the investment to an equity growth sub-account and 25% to an international equity sub-account, with the remaining 15% in a bond sub-account. He also added an optional guaranteed minimum income benefit rider at an additional annual cost of 0.95%, bringing total all-in annual charges to approximately 3.60%, or \$7,740 per year.

Dale's written notes from the meeting consist of a single sentence: 'Client wants growth and tax deferral.' He did not document Margaret's stated preference for capital preservation, her lack of investment experience, her concern about long-term care expenses, or her inability to tolerate losses. He earned a gross commission of \$14,190 (6.6% of the premium) on the sale. Margaret's account lost approximately 11.2% in value during the first nine months due to equity market declines in the sub-accounts, reducing her account value to roughly \$190,820. When Margaret called Dale in December 2023 asking to withdraw funds to pay for a home repair, she learned that a full surrender would cost her a penalty of over \$15,200 under the surrender schedule, and that she had also incurred roughly \$5,800 in combined fees and charges since the purchase.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dale Hendricks committed multiple violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under FINRA Rule 2330, before recommending the purchase of a variable annuity, a registered representative must make reasonable efforts to obtain the customer's financial status, tax status, investment objectives, liquidity needs, risk tolerance, and other relevant information. The representative must then have a reasonable basis to believe that the customer would benefit from certain features of VAs (such as tax-deferred growth, annuitization, or death benefit features), that the particular VA is suitable, and that the transaction as a whole - including any riders - is suitable. Dale failed on all counts. Margaret was 72 years old, highly conservative, had no investment experience, needed liquidity for potential long-term care costs, and had expressly stated she could not afford to lose money. A variable annuity with 85% equity allocation, a seven-year surrender period, and all-in annual costs of 3.60% was fundamentally mismatched to her profile. The tax-deferral benefit was negligible or counterproductive given her age: she would likely need distributions within the surrender period, and VA withdrawals are taxed as ordinary income rather than receiving capital gains treatment. The GMIB rider, while offering some downside protection, added nearly a full percentage point to annual costs on top of already-high charges and was poorly suited for a client whose primary objective was preserving capital, not generating future income from a variable product.

****NAIC Model Regulation 275:**** Under the NAIC Suitability in Annuity Transactions Model Regulation (Model 275), an insurance producer must have a reasonable basis to believe that a recommendation is suitable based on the consumer's age, annual income, financial situation and needs, existing insurance products, intended use of the annuity, financial experience, financial objectives, financial time horizon, liquidity needs, risk tolerance, and tax status. Margaret's profile - advanced age, conservative risk tolerance, no investment experience, reliance on fixed income, meaningful liquidity needs, and short-to-intermediate time horizon - made this VA recommendation unsuitable under every listed factor. The producer's documentation obligation was also violated: Dale's notes consisted of one vague sentence that omitted or contradicted the client's actual stated objectives.

****New York Regulation 187 - Best Interest Standard:**** Because this transaction occurred in New York, NY Regulation 187 applies and imposes a heightened best-interest standard for annuity recommendations (effective since August 1, 2019). Under NY Reg 187, the producer must act in the consumer's best interest at the time the recommendation is made, without placing the producer's or insurer's financial interest ahead of the consumer's interest. The recommendation must reflect consideration of suitable alternatives available through the producer. Dale's recommendation prioritized his own compensation (\$14,190 in commissions) over Margaret's clearly articulated needs. A lower-cost fixed annuity, a multi-year guaranteed annuity (MYGA), or simply retaining the CD would have been more consistent with her conservative objectives, liquidity needs, and limited time horizon. The aggressive sub-account allocation was directly contrary to her expressed risk tolerance. NY Reg 187 also requires that compensation not be a material factor motivating the recommendation; the high commission on a high-fee VA sold to a client who had no need for variable sub-accounts strongly suggests compensation was a primary driver.

****SEC Regulation Best Interest (Reg BI, Rule 15l-1):**** As a registered representative making a recommendation to a retail customer, Dale was also subject to Reg BI's Care Obligation, which requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation. This includes understanding and considering costs, reasonably available alternatives, and the customer's investment

profile. The Care Obligation was violated because: (1) total costs of 3.60% annually were excessive relative to her conservative objectives; (2) the liquidity constraints of a seven-year surrender period were incompatible with a 72-year-old client's potential near-term needs; (3) the 85% equity allocation was inconsistent with her stated conservative risk tolerance; and (4) Dale failed to consider reasonably available lower-cost alternatives. Reg BI's Disclosure Obligation also requires full and fair disclosure of material facts, including costs and conflicts, and the record suggests Dale's disclosures were inadequate given his minimal documentation.

****Documentation Failures:**** Across all applicable frameworks, Dale's documentation was grossly deficient. FINRA Rule 2330 requires a principal to review VA transactions before transmittal, and a principal performing such a review would have been unable to assess suitability based on a single-sentence file note. Model 275 and NY Reg 187 both impose documentation requirements on the producer to demonstrate the basis for the recommendation.

****Likely Regulatory Outcome:**** Dale would face potential FINRA enforcement action for violations of Rule 2330 and supervisory failures by his firm. The New York Department of Financial Services could pursue action under NY Reg 187, potentially resulting in fines, restitution, and license revocation. The SEC could pursue a Reg BI action. Margaret would likely be entitled to rescission or restitution of losses, surrender charges, fees, and the CD early-withdrawal penalty, plus consequential damages. Dale's firm could face supervisory liability for failing to flag and prevent the unsuitable transaction.

Hypothetical 56

Topic: *tax_deferred_unnecessary_annuity* | Difficulty: *medium*

Fact Pattern

In March 2022, financial advisor Derek Slattery met with Margaret Okonkwo, a 58-year-old school librarian earning \$62,000 annually. Margaret had accumulated \$185,000 in a traditional IRA rollover from a previous employer's 403(b) plan, \$34,000 in a taxable brokerage account invested in index funds, and \$12,000 in a savings account. She described herself as a moderate-risk investor whose primary goal was to grow her retirement savings over the next seven to nine years before retiring at age 66 or 67. She told Derek she did not anticipate needing the IRA funds before retirement and was comfortable with a diversified portfolio of stock and bond funds. Derek recommended that Margaret move the entire \$185,000 IRA balance into a variable annuity issued by a national insurance carrier. The product carried a mortality and expense charge of 1.35% annually, an administrative fee of 0.15%, underlying sub-account fund expenses averaging 0.82%, and an optional guaranteed minimum withdrawal benefit rider costing an additional 1.10% per year. The contract imposed a seven-year declining surrender charge schedule starting at 7% and decreasing by 1% each year. In total, the all-in annual cost of the variable annuity was approximately 3.42%. Derek's firm paid him an upfront commission of 5.5% on the sale, totaling \$10,175. Derek's notes in the client file stated the recommendation was made because the variable annuity would provide "tax-deferred growth" and "downside protection through the living benefit rider." He did not document any comparison of the variable annuity's costs to lower-cost alternatives within the IRA, nor did he address the fact that the IRA already provided tax-deferred growth. Margaret was not informed that purchasing a variable annuity inside an IRA

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provided no additional tax-deferral benefit beyond what the IRA itself already offered. She was also not told that comparable diversified fund portfolios were available within the IRA at a combined expense ratio of roughly 0.45% per year. Over the next two years, Margaret's account underperformed a comparable balanced fund benchmark by approximately 2.9% annually, net of fees, costing her an estimated \$10,700 in relative lost growth by early 2024. When Margaret contacted Derek in January 2024 to liquidate the annuity and move back to a standard IRA brokerage account, she was assessed a 5% surrender charge of \$8,750 on the remaining contract value.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Slattery violated applicable suitability and best-interest standards in multiple respects.

1. ****Unnecessary Tax-Deferral Layering (FINRA Rule 2330(b)):** FINRA Rule 2330 specifically requires that before recommending a variable annuity purchase, a registered representative must have a reasonable basis to believe that the customer would benefit from certain features of a variable annuity, including tax-deferred growth. Because Margaret's funds were already held in a traditional IRA—a vehicle that inherently provides tax deferral under IRC § 408—wrapping those assets inside a variable annuity added no incremental tax benefit. The additional layer of annuity fees was therefore borne without a corresponding tax advantage. FINRA has repeatedly emphasized in regulatory guidance that placing a variable annuity inside a qualified, already tax-deferred account demands heightened scrutiny and documentation of a non-tax rationale that justifies the additional cost.
2. ****Cost-Benefit Analysis Failure:** The all-in annual cost of 3.42% was approximately 2.97% higher per year than comparable diversified fund options available within the existing IRA. Over Margaret's seven-to-nine-year investment horizon, this differential compounds significantly. Derek failed to document any comparative analysis of costs, as required under both FINRA Rule 2330 and Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act). Reg BI's Care Obligation requires that a broker-dealer and its associated persons exercise reasonable diligence, care, and skill to understand the costs and risks of a recommendation and to evaluate reasonably available alternatives. The absence of any documented cost comparison is a clear deficiency.
3. ****NAIC Model Regulation 275 Compliance:** Under the NAIC Suitability in Annuity Transactions Model Regulation (Model 275), as adopted by many states, an insurance producer must have reasonable grounds for believing a recommendation is suitable based on the consumer's financial situation, insurance needs, and objectives. The regulation further requires that the producer consider whether the consumer would benefit from certain features of the annuity and whether the product as a whole is suitable. Recommending a high-cost variable annuity inside a tax-deferred IRA solely on the basis of tax deferral the customer already enjoyed demonstrates a lack of reasonable grounds.
4. ****New York Regulation 187:** If this transaction occurred within New York (and the involvement of a New York-domiciled insurer suggests potential applicability), NY Reg 187 imposes a best-interest standard on annuity recommendations. Under Reg 187, the recommendation must be in the consumer's best interest at the time of the transaction, considering the consumer's financial situation, insurance needs, and financial

objectives, without placing the producer's or insurer's financial interest ahead of the consumer's. The \$10,175 upfront commission and the lack of any documented justification beyond a redundant tax-deferral benefit strongly suggest the producer's compensation incentive, rather than the client's interest, drove the recommendation.

5. ****Surrender Charge Impact:**** The seven-year declining surrender schedule effectively locked Margaret into a product that was unsuitable for her needs. When she sought liquidity after two years, she incurred an \$8,750 surrender penalty-a foreseeable harm given her moderate risk profile and retirement timeline that should have prompted Derek to consider more liquid alternatives.

6. ****Documentation Deficiency:**** Derek's file notes contained only boilerplate language about "tax-deferred growth" and "downside protection" without any individualized analysis. Under both FINRA Rule 2330(c) and Reg BI's compliance and disclosure obligations, principal review and adequate documentation of the rationale-especially when recommending a VA inside a qualified account-are required.

****Likely Regulatory Outcome:**** Derek and his firm face potential FINRA enforcement action for violations of Rule 2330 and Reg BI, including possible disgorgement of commissions, restitution to the customer, fines, and heightened supervision requirements. The firm's supervisory system under FINRA Rule 3110 may also be cited for failing to flag and review a variable annuity purchase within a tax-deferred IRA. State insurance regulators could pursue action under Model 275 or Reg 187 against Derek's insurance license, including fines and potential license suspension.

Hypothetical 57

Topic: *inappropriate_risk_profile* | Difficulty: *hard*

Fact Pattern

In March 2022, financial advisor Derek Hollings met with Margaret Stovall, a 74-year-old retired school librarian living in Buffalo, New York. Margaret's husband had passed away six months earlier, and she had recently received a \$185,000 life insurance death benefit. Her existing financial profile included \$62,000 in a savings account, \$23,000 in a money market fund, a \$1,400/month pension, and \$2,100/month in Social Security benefits. She owned her home outright with no mortgage, had no other debts, and had annual living expenses of approximately \$38,000. Margaret told Derek that she wanted to keep her money safe, that she was 'terrified of losing what Harold left me,' and that she might need access to some of the funds for potential assisted-living costs in the next three to five years, as she had recently been diagnosed with early-stage Parkinson's disease. She described herself as someone who had never invested in the stock market and didn't want to start now. Derek completed a new-account form indicating Margaret's risk tolerance as 'moderate-aggressive,' her investment objective as 'growth,' her time horizon as '10+ years,' and her liquidity needs as 'low.' He recommended she invest \$150,000 of the death benefit into the Jackson National Perspective II variable annuity with a 7-year surrender schedule. The contract carried a mortality and expense charge of 1.35% annually, an administrative charge of 0.15%, and underlying subaccount fund expenses averaging 0.82%, bringing total annual ongoing costs to approximately 2.32%. Derek also recommended adding a Guaranteed Minimum Income Benefit rider at an additional annual cost of 0.95%,

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bringing total all-in annual expenses to approximately 3.27% of account value. The surrender charges started at 7% in year one, declining by 1% per year. Derek allocated the subaccounts as follows: 40% to a small-cap growth fund, 25% to an international equity fund, 20% to a mid-cap value fund, and 15% to a high-yield bond fund - an allocation with over 85% equity exposure. He told Margaret that the guaranteed income rider meant she 'couldn't lose money no matter what,' and that the annuity would 'take care of everything' for her future. He did not discuss any alternative products such as fixed annuities, certificates of deposit, or Treasury securities. He did not compare the proposed Perspective II contract against her existing money market holdings. Margaret signed the paperwork the same day as the initial meeting. Within 14 months, the account had declined in value to \$131,400 due to equity market volatility, and Margaret needed \$30,000 for a deposit at an assisted-living community. She was assessed a \$2,100 surrender charge on the withdrawal amount exceeding the free-withdrawal provision, and the remaining account value dropped further. Margaret filed a complaint with her state insurance department in September 2023, alleging that the annuity was completely unsuitable for her needs and that her risk profile had been falsified.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hollings committed multiple serious violations of applicable suitability and best-interest standards.

****Falsification of the Customer Profile (FINRA Rule 2330 and NAIC Model Regulation 275):**** FINRA Rule 2330 requires that, before recommending a variable annuity transaction, a registered representative must make reasonable efforts to obtain the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing annuity holdings, liquidity needs, liquid net worth, risk tolerance, and tax status. Derek documented Margaret's risk tolerance as 'moderate-aggressive,' her objective as 'growth,' her time horizon as '10+ years,' and her liquidity needs as 'low.' Every one of these entries directly contradicted Margaret's own stated preferences and circumstances. She expressly said she was terrified of losing money, had never invested in equities, anticipated needing funds within three to five years for assisted-living costs, and had a diagnosed progressive medical condition. Documenting a false risk profile to justify a product recommendation is a hallmark of VA mis-selling identified in multiple GAO reports and academic studies on unsuitable annuity sales.

****Failure to Satisfy the Suitability Determination (FINRA Rule 2330(b)):** Under Rule 2330(b), a member or associated person must have a reasonable basis to believe that the customer has been informed of the material features of the annuity - including surrender charges, potential tax penalties, various fees, and market risk - and that the specific annuity is suitable based on the customer's stated profile. Given Margaret's true profile - a 74-year-old conservative widow with no equity experience, near-term liquidity needs, and a progressive illness - a variable annuity with 85% equity subaccount allocation, a 7-year surrender period, and all-in annual expenses of 3.27% was patently unsuitable. The product exposed her to significant market risk and liquidity constraints that were directly contrary to her needs.

****New York Regulation 187 Violations:**** Because Margaret resides in New York, NY Regulation 187 (effective for annuity transactions since August 1, 2019) applies. This regulation imposes a best-interest

standard requiring that the recommendation be in the consumer's best interest at the time of the transaction, without placing the producer's financial interest ahead of the consumer's. The regulation requires evaluation of reasonably available alternatives. Derek failed to present or discuss any alternatives - fixed annuities, CDs, Treasury securities, or even a multi-year guaranteed annuity - that would have been far more consistent with Margaret's stated objectives of safety and liquidity. His recommendation of a high-cost, equity-heavy VA with long surrender periods appears designed to maximize his commission rather than serve the client's interest.

****NAIC Model Regulation 275 Analysis:**** Under the NAIC Suitability in Annuity Transactions Model Regulation (Model 275, as revised in 2020), a producer must have a reasonable basis to believe that the recommended annuity is suitable based on the consumer's financial situation, insurance needs, and financial objectives. The producer must also consider whether the consumer would benefit from certain features of the annuity, such as tax-deferred accumulation, annuitization, or a death benefit. Margaret's situation - modest liquid assets, near-term care needs, conservative disposition, and advanced age - made the long-term, equity-linked, high-fee product fundamentally unsuitable.

****SEC Regulation Best Interest (Rule 15l-1) Considerations:**** To the extent Derek acted in a broker-dealer capacity recommending this security, Reg BI's Care Obligation required him to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the potential risks, rewards, and costs. The Disclosure Obligation required reasonable disclosure of all material facts relating to conflicts of interest. Derek's misstatement that Margaret 'couldn't lose money no matter what' was materially misleading - the GMIB rider does not prevent account value losses; it provides a minimum income base for future annuitization, typically subject to waiting periods and specific conditions. This misrepresentation also likely violates the Reg BI Disclosure Obligation.

****Likely Regulatory Outcome:**** Derek faces potential disciplinary action from FINRA for violations of Rule 2330, potential enforcement by the New York Department of Financial Services under Regulation 187, and possible sanctions under Reg BI. Remedies could include rescission of the transaction, restitution of all fees and surrender charges, fines, and suspension or bar from the industry. The falsification of the customer profile elevates this beyond a mere judgment call into potential fraud, which could also trigger referral for further investigation. Academic literature and IRI guidance consistently emphasize that VA recommendations for elderly clients with near-term liquidity needs and conservative risk profiles require heightened scrutiny - scrutiny that was entirely absent here.

Hypothetical 58

Topic: *high_fees_unsuitable* | Difficulty: *medium*

Fact Pattern

Margaret Kowalski, age 72, is a retired elementary school teacher living in suburban Dallas, Texas. She receives \$2,400 per month from her state pension and \$1,850 per month from Social Security. Her total liquid savings consist of \$185,000 in a credit union savings account and a \$60,000 traditional IRA invested in a balanced mutual fund with an expense ratio of 0.45%. Margaret describes herself as a conservative

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investor; her primary objectives are capital preservation, modest income supplementation, and leaving a small inheritance to her two grandchildren. She has no outstanding debts, owns her home outright, and carries a long-term care insurance policy. Her monthly expenses total approximately \$3,200, meaning her pension and Social Security cover her needs with roughly \$1,050 to spare each month.

In March 2023, Margaret met with financial advisor Dennis Hargrove after attending a free dinner seminar at a local steakhouse titled "Protect Your Retirement from Market Crashes." During two subsequent office meetings, Hargrove recommended that Margaret move \$145,000 of her credit union savings and surrender her \$60,000 IRA balanced fund to purchase a single variable annuity contract with a total investment of \$205,000. The variable annuity carried a mortality and expense risk charge of 1.45%, an administrative fee of 0.15%, underlying sub-account fund expenses averaging 1.10%, and a guaranteed minimum income benefit rider costing an additional 1.05% annually - bringing total all-in annual fees to approximately 3.75%, or roughly \$7,688 per year. The contract also carried a seven-year surrender charge schedule beginning at 8% in year one and declining by one percentage point per year. Hargrove allocated 60% of the sub-account investments to an equity growth portfolio and 25% to an international equities fund, with only 15% directed to a bond sub-account.

Hargrove's notes from the meeting state that Margaret wanted "growth and protection," but contain no documentation of any discussion about the total fee structure, the surrender charge period relative to Margaret's age and liquidity needs, the tax implications of moving after-tax savings into a tax-deferred vehicle she did not need given her low tax bracket, or any comparison to lower-cost alternatives such as fixed annuities, certificates of deposit, or a diversified portfolio of low-cost index funds. Hargrove earned a 6.5% upfront commission of \$13,325 on the sale. Within six months, the equity-heavy sub-account allocation had declined 11% during a market correction, and Margaret called to withdraw \$20,000 for an unexpected roof repair, only to discover she would owe a \$1,600 surrender charge plus any applicable tax on gains. She filed a written complaint with her state insurance department in November 2023.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dennis Hargrove's recommendation violated multiple applicable suitability and best-interest standards.

1. ****FINRA Rule 2330 - Variable Annuity Suitability****: Under Rule 2330, a registered representative must have a reasonable basis for recommending a variable annuity transaction. The rule specifically requires consideration of (a) the customer's age, (b) annual income, (c) financial situation and needs, (d) investment experience, (e) investment objectives, (f) intended use of the annuity, (g) investment time horizon, (h) existing assets including insurance, (i) liquidity needs, (j) liquid net worth, (k) risk tolerance, and (l) tax status. Hargrove failed on nearly every factor. Margaret was 72, conservative, already adequately covered by pension and Social Security income, had limited liquid assets outside the annuity, and had no demonstrable need for tax deferral given her low marginal tax bracket. The seven-year surrender period extends to age 79, creating a foreseeable liquidity trap for an elderly client. The 85% equity allocation within the sub-accounts directly contradicted her stated conservative risk tolerance and capital preservation objective.

2. ****NAIC Model Regulation 275 (Suitability in Annuity Transactions)**:** The NAIC model, adopted in Texas and most states, requires that an insurance producer have reasonable grounds to believe that a recommendation is suitable based on the consumer's profile and that there is a reasonable basis to believe the consumer has been informed of the product's features, including surrender charges, fees, and potential tax penalties. Hargrove's own file notes contain no evidence that he disclosed or discussed total annual costs of 3.75%, the surrender schedule implications, the tax inefficiency of sheltering after-tax money in a VA, or any comparison to lower-cost alternatives. This is a clear violation of the model regulation's disclosure and reasonable-basis requirements.

3. ****New York Regulation 187 (applicable if the carrier or transaction touched NY, and increasingly used as a benchmark)**:** Reg 187 imposes a best-interest standard on annuity recommendations, requiring that the recommendation be in the consumer's best interest at the time of the transaction and that the producer not place his or her financial interest ahead of the consumer's. The \$13,325 upfront commission created an obvious financial incentive that was not counterbalanced by any documented rationale for why this high-cost VA was superior to lower-cost alternatives for Margaret's needs.

4. ****SEC Regulation Best Interest (Rule 15l-1)**:** To the extent Hargrove acted through a broker-dealer in recommending this securities product, Reg BI's Care Obligation required him to exercise reasonable diligence, care, and skill in making the recommendation, including understanding the costs and reasonably available alternatives. Concentrating \$205,000 - roughly 83% of a 72-year-old conservative retiree's liquid assets - in a single high-fee variable annuity with equity-heavy sub-accounts fails the Care Obligation. The Disclosure Obligation required full and fair disclosure of all material fees and conflicts, including his commission. The Conflict of Interest Obligation required that the firm establish policies to mitigate the conflict created by the 6.5% commission incentive. There is no evidence any of these obligations were met.

****Specific Violations Summary**:**

- Unsuitable asset concentration (83% of liquid assets in one illiquid product)
- Unsuitable asset allocation within the VA (85% equities for a conservative 72-year-old)
- Excessive total fees of 3.75% annually with no documented justification
- Failure to consider liquidity needs relative to a seven-year surrender period for an elderly client
- Failure to consider tax inefficiency (no benefit of tax deferral at her bracket; converting after-tax money into eventually taxable ordinary income)
- Failure to document consideration of lower-cost alternatives
- Inadequate disclosure of fees, surrender charges, and conflicts of interest

****Likely Regulatory Outcome**:** Hargrove and his supervising firm face potential sanctions from both the state insurance department and the broker-dealer's self-regulatory organization. Remedies could include rescission of the transaction, restitution of all fees and surrender charges incurred, disgorgement of the commission, fines, a letter of censure or suspension, and enhanced supervisory requirements for the branch office. The firm's principal who approved the transaction may also face liability for supervisory failures under FINRA Rules 3110 and 3120. The state insurance department complaint could trigger an investigation under the state's adoption of NAIC Model 275, potentially resulting in license revocation or civil penalties.

Hypothetical 59

Topic: *tax_deferred_unnecessary_annuity* | Difficulty: *medium*

Fact Pattern

Gerald Hutchins, age 58, is a public school administrator earning \$97,000 per year. He has been contributing to his employer's 403(b) plan for 22 years and has accumulated approximately \$485,000 in that account, invested in a mix of low-cost target-date and index funds with a combined expense ratio of 0.12%. Gerald also has a traditional IRA with \$62,000 and a taxable brokerage account with \$41,000. He describes himself as a moderate-risk investor and says his primary goal is steady growth heading into retirement at age 65. In March 2023, Gerald met with financial advisor Denise Kowalski after attending a dinner seminar at a local steakhouse titled 'Protecting Your Retirement from Market Crashes.' During the seminar, Denise emphasized the downside protection features of variable annuities with living benefit riders. At the one-on-one follow-up meeting, Denise recommended that Gerald roll over his entire \$62,000 traditional IRA into a variable annuity contract issued by National Prosperity Life Insurance Company. The contract carried a mortality and expense risk charge of 1.35%, an administrative fee of 0.15%, underlying sub-account fund expenses averaging 0.87%, and a guaranteed minimum withdrawal benefit rider costing an additional 1.10% annually, bringing total annual costs to approximately 3.47%. The contract also imposed a seven-year surrender charge schedule starting at 8% and declining by 1% per year. Denise earned a 6.5% commission on the sale, totaling \$4,030. In her notes, Denise wrote that Gerald wanted 'downside protection' and 'guaranteed income,' but the customer profile form Gerald signed listed his investment objective as 'growth' and his time horizon as 'seven to ten years.' Gerald's existing IRA funds were already in a tax-deferred account, meaning the variable annuity provided no additional tax-deferral benefit. Denise did not discuss lower-cost alternatives, such as keeping the IRA in its current low-cost index fund allocation, or purchasing a simpler deferred income annuity or fixed annuity for the guaranteed income component. She also did not document any comparison of the total cost differential between the existing IRA allocation and the recommended variable annuity over Gerald's expected holding period.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Denise Kowalski likely violated multiple applicable standards governing variable annuity recommendations.

****FINRA Rule 2330 (Variable Annuity Suitability):**** Under Rule 2330, a registered representative recommending the purchase or exchange of a deferred variable annuity must have a reasonable basis to believe that the transaction is suitable. Specifically, Rule 2330(b)(1)(A) requires consideration of whether the customer would benefit from certain features of a deferred variable annuity, such as tax-deferred growth, annuitization, or a death benefit. Here, Gerald's IRA funds were already tax-deferred, so rolling them into a variable annuity inside the IRA wrapper added no incremental tax-deferral advantage - one of the primary rationales for variable annuity ownership. This is a classic 'tax-deferred wrapping of an already tax-deferred account' violation that regulators have consistently flagged as a red indicator of unsuitability.

Rule 2330(b)(1)(A)(ii) also requires the representative to determine that the particular variable annuity as a

whole - including riders and their costs - is suitable. The total expense load of approximately 3.47% annually represents a dramatic increase from the 0.12% Gerald was paying in his existing IRA allocation. Over a seven-year period (before surrender charges fully lapse), the cumulative cost drag would be substantial. Denise did not perform or document any cost-benefit analysis comparing the existing arrangement against the proposed variable annuity, nor did she present lower-cost alternatives that could have addressed Gerald's stated interest in downside protection (such as a fixed annuity, a fixed indexed annuity, or a simple asset allocation adjustment).

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** The revised Model 275 imposes a best-interest standard on insurance producers recommending annuity products. Under Section 6, the producer must act in the consumer's best interest at the time of the recommendation, considering the consumer's financial situation, insurance needs, and financial objectives. The regulation's care obligation (Section 6(B)) requires the producer to exercise reasonable diligence, care, and skill, including evaluating reasonable alternatives. Denise failed to evaluate or present any alternatives. Additionally, Model 275 Section 6(D) addresses the conflict-of-interest obligation, requiring that the producer's compensation not be a factor that results in a recommendation that is not in the consumer's best interest. Denise's \$4,030 commission on a \$62,000 transaction (6.5%) created a significant financial incentive, and the absence of any documented comparative analysis raises the inference that the recommendation was driven by compensation rather than client need.

****New York Regulation 187:**** If this transaction occurred with a New York resident or involved a New York-authorized insurer, NY Reg 187 (11 NYCRR 224) would impose a best-interest standard requiring the producer to demonstrate that the recommendation was suitable and in the customer's best interest based on the consumer's suitability profile. The regulation explicitly requires consideration of the advantages and disadvantages of the recommended product compared to alternatives, and documentation of the basis for the recommendation. Denise's documentation is internally inconsistent (her notes say 'guaranteed income' while the signed profile says 'growth') and fails to address why a high-cost variable annuity was superior to Gerald's existing low-cost IRA allocation.

****SEC Regulation Best Interest (Rule 15l-1):**** If Denise is a registered representative of a broker-dealer, Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)(B)) requires her to exercise reasonable diligence, care, and skill in making the recommendation, including understanding the potential risks, rewards, and costs of the recommendation and evaluating reasonably available alternatives. The cost differential here - from 0.12% to 3.47% - is enormous and was not justified by any documented analysis. The Conflict of Interest Obligation (Rule 15l-1(a)(2)(iv)) also required Denise's firm to identify and mitigate conflicts associated with her financial incentive to recommend the more expensive product.

****Likely Regulatory Outcome:**** Denise and her firm face potential enforcement action from FINRA, the applicable state insurance department, and potentially the SEC. Typical sanctions could include disgorgement of commissions, fines, restitution to the customer for excess costs incurred, and enhanced supervisory obligations on the firm. The firm's principal who approved the transaction under Rule 2330(c)'s supervisory requirements could also face liability for inadequate review. The pattern of a dinner seminar followed by a high-cost, high-commission variable annuity recommendation placed inside an already tax-deferred account, with no documented alternatives analysis, fits a well-recognized pattern of VA

mis-selling that has been the subject of numerous enforcement actions and GAO reports on variable annuity abuses.

Hypothetical 60

Topic: *complex_products_unsophisticated_investor* | Difficulty: *hard*

Fact Pattern

Margaret Olsen, age 72, is a retired school cafeteria worker living in Syracuse, New York, with a fixed monthly income of \$1,640 from Social Security and a small pension of \$480 per month. She has no prior investment experience beyond a savings account at her local credit union, which held \$187,000—the entirety of her liquid assets, accumulated over decades of frugal living and a modest inheritance from her late sister. Margaret's stated investment objective on her new account form was capital preservation, and her risk tolerance was marked as conservative. She told her advisor, Kevin Driscoll, that she wanted her money to be safe and available in case she needed it for medical expenses, as she had recently been diagnosed with early-stage chronic kidney disease and anticipated rising healthcare costs.

In March 2022, Driscoll recommended that Margaret invest \$155,000—approximately 83% of her liquid net worth—into a variable annuity with a Guaranteed Lifetime Withdrawal Benefit rider. The product carried a mortality and expense risk charge of 1.35%, an administrative fee of 0.15%, underlying subaccount expenses averaging 0.87%, and the living benefit rider cost an additional 1.10% annually, bringing the total all-in annual cost to approximately 3.47%. The variable annuity had a seven-year declining surrender charge schedule starting at 7% in year one and declining by one percentage point per year. Margaret was permitted penalty-free withdrawals of up to 10% of the account value annually under the contract terms.

Driscoll selected an aggressive growth allocation for the subaccounts, placing 45% in a small-cap growth fund, 30% in an international equity fund, and 25% in a technology sector fund. He told Margaret that the living benefit rider would protect her regardless of market performance and that she could not lose money. He did not discuss alternative products such as certificates of deposit, fixed annuities, single premium immediate annuities, or bond ladders. Driscoll earned a gross commission of \$9,300 on the sale.

By February 2023, Margaret's account value had declined to approximately \$121,500 due to equity market losses concentrated in her subaccount selections. She attempted to withdraw \$30,000 to cover a kidney-related surgical procedure and associated rehabilitation costs. She was informed that her penalty-free withdrawal was limited to roughly \$12,150 and that withdrawing the full \$30,000 would trigger a surrender charge of approximately 6% on the excess amount—costing her an additional \$1,071 in surrender penalties on top of any market losses already sustained. Margaret filed a written complaint with the firm stating that she was never told about surrender charges, was never shown any product alternatives, and did not understand that her money was invested in volatile stock funds.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

[NON-COM]

Yes, Kevin Driscoll violated multiple applicable regulatory standards governing the recommendation of variable annuities to retail customers.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under FINRA Rule 2330, a registered representative recommending a variable annuity must have a reasonable basis to believe, based on the customer's stated investment profile, that (a) the customer would benefit from certain features of a deferred variable annuity such as tax-deferred growth, annuitization, or a death or living benefit; (b) the particular variable annuity as a whole is suitable; and (c) the underlying subaccount allocations are suitable. Here, Margaret was 72 years old, had no investment experience, had conservative risk tolerance, sought capital preservation, and needed liquidity for anticipated medical expenses. An illiquid, high-cost variable annuity with a seven-year surrender schedule was fundamentally inconsistent with her profile. The aggressive growth subaccount allocation (100% equities including small-cap, international, and sector-concentrated technology funds) was grossly misaligned with her conservative risk tolerance and capital preservation objective. The GLWB rider, while offering income guarantees, did not address her primary concern of liquidity for near-term medical costs.

****NAIC Model Regulation 275:**** Under Model 275 (adopted in New York), an insurance producer must have reasonable grounds for believing that the annuity recommendation is suitable based on the consumer's financial situation, insurance needs, investment objectives, and other relevant information. The regulation also requires that the producer consider whether the consumer would benefit from the product's features, the consumer's existing financial profile, and whether less costly or more liquid alternatives would better serve the consumer. Driscoll failed to consider or present any alternatives-CDs, fixed annuities, SPIAs, or bond ladders-any of which would have better aligned with Margaret's conservative, liquidity-oriented profile.

****New York Regulation 187 (Best Interest Standard):**** Since Margaret resides in New York, Regulation 187 applies, imposing a best-interest standard on annuity recommendations effective February 1, 2020 (for annuity transactions). Under Reg 187, the recommendation must be in the consumer's best interest at the time of the transaction, considering the consumer's financial situation, insurance needs, and financial objectives, without placing the producer's compensation interest ahead of the consumer's interest. The \$9,300 commission on an unsuitable product, combined with the failure to consider lower-cost and more liquid alternatives, strongly suggests that Driscoll prioritized his own compensation over Margaret's needs.

****SEC Regulation Best Interest (Rule 15l-1):**** As a recommendation by a broker-dealer representative to a retail customer, Reg BI's Care Obligation requires Driscoll to exercise reasonable diligence, care, and skill in making the recommendation, including understanding the risks, rewards, and costs of the variable annuity; having a reasonable basis to believe the recommendation was in the customer's best interest considering her investment profile; and having a reasonable basis to believe that a series of recommended transactions (here, the aggressive subaccount allocation within an unsuitable product) was not excessive. The Disclosure Obligation required material disclosure of all costs, conflicts, and compensation. Margaret's complaint states she was never informed about surrender charges-a fundamental disclosure failure. The Conflict of Interest Obligation required policies to mitigate conflicts arising from Driscoll's commission-based compensation, which evidently was not addressed.

****Specific Violations:****

1. Concentration of 83% of liquid net worth in a single illiquid variable annuity for a 72-year-old with anticipated near-term medical expenses.
2. Selection of 100% aggressive equity subaccounts for a conservative investor seeking capital preservation.
3. Failure to disclose surrender charges and their impact on liquidity.
4. Failure to consider or present reasonably available alternatives (fixed annuities, SPIAs, CDs, bond ladders).
5. Misrepresentation that Margaret 'could not lose money'-the GLWB protects a guaranteed withdrawal base, not the account value, and this distinction was not explained.
6. Placing compensation interests ahead of the customer's needs.

****Likely Regulatory Outcome:**** This fact pattern presents a strong enforcement case. The firm's supervisory principal who approved the transaction under FINRA Rule 2330(c) also bears liability for inadequate supervisory review. Likely outcomes include disgorgement of the commission, rescission or restitution of losses, fines and/or suspension for the advisor, and potential supervisory deficiency charges against the firm. State insurance department action under Model 275 and Reg 187 could include license revocation and additional penalties.

Hypothetical 61

Topic: *variable_annuity_unsuitable* | Difficulty: *hard*

Fact Pattern

Margaret Stein, age 74, is a retired elementary school teacher living in Syracuse, New York, with an annual pension income of \$38,000 and Social Security benefits of \$22,800. Her total liquid savings amount to approximately \$410,000, held primarily in bank certificates of deposit and a modest balanced mutual fund portfolio at a local brokerage. She has no outstanding debts, owns her home outright, and has designated her two adult children as beneficiaries of her accounts. Margaret describes herself as conservative and tells her advisor, Dale Moreno, that her primary goals are preserving her principal, maintaining easy access to funds for potential assisted-living expenses, and leaving something to her children. She has mild early-stage cognitive decline, which her daughter, who accompanied her to one meeting, mentioned to Dale in passing.

In March 2024, Dale recommended that Margaret liquidate \$340,000 of her CDs and mutual fund holdings and use the proceeds to purchase a variable annuity with a Guaranteed Minimum Income Benefit rider. The product carried a mortality and expense charge of 1.40%, an administrative fee of 0.15%, underlying sub-account expense ratios averaging 0.95%, and the GMIB rider fee of 1.10%, bringing total annual costs to approximately 3.60%. The annuity imposed a seven-year declining surrender charge schedule beginning at 8% in year one and decreasing by 1% per year. The free withdrawal provision allowed Margaret to access up to 10% of the account value annually without penalty. Dale allocated 60% of the sub-account investments to an equity growth fund, 25% to an international equity fund, and 15% to a bond fund.

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Dale's rationale, as documented in his file notes, stated that the GMIB rider would provide Margaret with guaranteed income in the future and that the equity exposure would help her keep pace with inflation. He earned a gross commission of \$23,800 (7% of the premium) on the sale. Dale did not document any discussion of Margaret's cognitive status, her liquidity needs related to potential long-term care costs, or the availability of lower-cost alternatives such as fixed annuities, immediate annuities, or simply retaining her existing CD and mutual fund portfolio. He did not consult with Margaret's daughter or suggest that Margaret involve legal counsel or a fiduciary in the decision. Margaret's prior investment experience consisted solely of CDs and the balanced mutual fund; she had never owned an annuity or any individual equity position. Within fourteen months, Margaret needed \$65,000 to cover a deposit and initial fees at an assisted-living facility. She was forced to withdraw \$41,000 from the annuity, of which only \$34,000 fell within the free-withdrawal corridor. The remaining \$7,000 triggered a surrender charge of approximately \$490. Additionally, the equity-heavy sub-accounts had declined roughly 9% from the purchase date due to market volatility, reducing her account value to approximately \$296,000 before the withdrawal.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dale Moreno committed multiple violations of applicable suitability and best-interest standards.

1. ****FINRA Rule 2330 - Variable Annuity Suitability:**** Rule 2330 requires that, prior to recommending the purchase of a variable annuity, a registered representative must make reasonable efforts to obtain the customer's financial status, tax status, investment objectives, liquidity needs, risk tolerance, and other information used to make a recommendation. The representative must then have a reasonable basis to believe that (a) the customer has been informed of the features of the product, (b) the customer would benefit from the annuity's features (such as tax deferral, annuitization, or a death benefit), (c) the particular annuity is suitable given the customer's profile, and (d) the transactions as a whole do not involve unsuitable exchanges or churning. Dale failed on nearly every factor. Margaret, at age 74 with conservative objectives, limited investment experience, early cognitive decline, and a foreseeable need for significant liquidity to cover assisted-living costs, was not an appropriate candidate for a long-surrender-period variable annuity with heavy equity exposure. The seven-year surrender schedule directly conflicted with her liquidity needs. The 3.60% all-in annual cost eroded the very principal she sought to preserve. The 85% equity allocation (60% domestic growth + 25% international) was wildly inconsistent with her conservative risk tolerance and capital preservation objective.

2. ****NAIC Model Regulation 275 (2020 Revised Version) - Best-Interest Standard for Annuity Transactions:**** The revised Model #275, adopted in New York and most states, imposes a best-interest obligation on insurance producers recommending annuity products. Under this standard, the producer must act in the consumer's best interest at the time of the recommendation without placing the producer's financial interest ahead of the consumer's interest. The four component obligations - Care, Disclosure, Conflict of Interest, and Documentation - were all implicated here. (a) ***Care Obligation:** Dale failed to exercise reasonable diligence, care, and skill by not meaningfully evaluating Margaret's liquidity needs in light of her age, health trajectory, and the realistic probability of near-term long-term-care expenses. He did not consider reasonably available alternatives (fixed annuities, SPIAs, retaining existing holdings) that would have been less costly and more liquid. (b) ***Disclosure Obligation:** There is no evidence Dale

disclosed the material conflict created by his \$23,800 commission or explained how the product's costs compared to alternatives. (c) ***Conflict of Interest Obligation:** Dale's compensation of 7% on a \$340,000 premium created a significant financial incentive to recommend the VA over lower-commission or no-commission alternatives. The file contains no mitigation of this conflict. (d) ***Documentation Obligation:** Dale's notes were conclusory and failed to address the customer's cognitive status, her daughter's expressed concerns, her liquidity profile, or why alternatives were rejected.

3. ****New York Regulation 187:**** As a New York transaction, this sale falls under Regulation 187, which applies a best-interest standard to annuity recommendations effective February 1, 2020. Regulation 187 requires that a recommendation be in the best interest of the consumer evaluated at the time of the transaction, considering the consumer's age, financial situation, insurance needs, objectives, and other relevant factors. The regulation specifically prohibits placing the producer's compensation interest ahead of the consumer's interest. Dale's recommendation fails this standard for all the reasons noted above. New York's regulation also requires the insurer to establish and maintain a supervision system to achieve compliance; the carrier that issued this contract may face supervisory liability for inadequate oversight of the sale.

4. ****Regulation Best Interest (SEC Rule 15l-1):**** If Dale is a broker-dealer registered representative (which the facts imply given the commission structure), Reg BI's Care Obligation required him to exercise reasonable diligence, care, and skill in making the recommendation, to understand the potential risks, rewards, and costs of the VA, and to have a reasonable basis to believe the recommendation was in Margaret's best interest considering her investment profile. The Conflict of Interest Obligation required his firm to establish policies to identify, disclose, and mitigate conflicts arising from his compensation. The \$23,800 commission on a product that was demonstrably unsuitable for a 74-year-old conservative investor with cognitive decline and near-term liquidity needs strongly suggests Dale prioritized his financial interest over Margaret's.

5. ****Specific Aggravating Factors:**** Margaret's early-stage cognitive decline is a critical factor. While Dale was made aware of this by her daughter, he neither documented it, nor involved the daughter or other trusted contact in the decision-making process, nor suggested independent review. Many state insurance departments and industry guidance (including IRI best-practice recommendations) emphasize heightened duties when dealing with potentially vulnerable or diminished-capacity clients. The GAO and academic literature on VA mis-selling have repeatedly identified the pattern present here: an elderly, conservative client with limited investment sophistication being placed into a high-cost, long-surrender, equity-heavy VA that generates outsized commissions for the producer.

****Likely Regulatory Outcome:**** Dale faces potential FINRA disciplinary action (fine, suspension, or bar) for violating Rule 2330 and the firm's supervisory obligations. The New York Department of Financial Services could pursue enforcement under Regulation 187 against both Dale and the issuing insurer. The SEC or FINRA could pursue a Reg BI violation. Margaret would have strong grounds for a customer arbitration claim seeking rescission or compensatory damages including the surrender charges paid, market losses attributable to the unsuitable allocation, and the excess costs incurred relative to a suitable alternative. The firm's compliance failures in supervising the transaction compound liability.

Hypothetical 62

Topic: *tax_deferred_unnecessary_annuity* | Difficulty: *medium*

Fact Pattern

Margaret Ellison, age 58, is a public school teacher in suburban Atlanta earning \$72,000 per year. She has been contributing the maximum allowable amount to her 403(b) retirement plan for over fifteen years and has accumulated approximately \$410,000 in that account, invested in a diversified mix of low-cost index funds with a total expense ratio of 0.08%. She also holds \$145,000 in a traditional IRA rolled over from a prior employer's 401(k), invested in a balanced fund charging 0.45% annually. Margaret has an additional \$62,000 in a taxable brokerage account and \$28,000 in a savings account. She has no debt, owns her home outright, and describes her risk tolerance as moderate. Her primary investment objective is growth for retirement, which she plans to begin at age 65. In March 2023, she met with Gerald Fontenot, a dually registered financial advisor affiliated with a regional broker-dealer and insurance agency, after attending a dinner seminar at a local restaurant titled 'Protect Your Retirement Savings from Market Volatility.' During their second office meeting, Gerald recommended that Margaret liquidate her \$145,000 traditional IRA and use the proceeds to purchase a variable annuity issued by National Pacific Life, featuring a Guaranteed Minimum Income Benefit rider. The variable annuity carried a mortality and expense risk charge of 1.30%, an administrative fee of 0.15%, underlying subaccount expenses averaging 0.85%, and the GMIB rider cost an additional 0.95% annually, bringing total annual costs to approximately 3.25%. The contract also imposed a seven-year declining surrender charge schedule starting at 7% in year one and declining by 1% per year. Gerald told Margaret that the variable annuity would give her 'tax-deferred growth that your IRA can't provide' and that the income guarantee would ensure she never ran out of money. He did not discuss or document that her existing IRA already provided identical tax-deferred treatment, nor did he compare the all-in cost difference between her current IRA investments and the proposed variable annuity. Gerald earned a 5.5% commission of \$7,975 on the sale. Margaret's account statements over the following twelve months showed that after fees, her variable annuity subaccounts returned 4.1% gross but only 0.85% net of all charges, while her 403(b) index funds returned 9.6% net over the same period. When Margaret asked Gerald about the performance gap in April 2024, he told her that the guarantee rider was 'like an insurance policy' and that the cost was 'worth the peace of mind.' Margaret later consulted another advisor who explained that purchasing a tax-deferred variable annuity inside an already tax-deferred IRA provided no incremental tax benefit and that the layered fees were substantially eroding her retirement savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Gerald Fontenot violated applicable suitability and best-interest standards on multiple grounds.

1. ****Unnecessary Tax-Deferred Layering - FINRA Rule 2330(b)(1)(A):**** FINRA Rule 2330 requires that a registered representative have a reasonable basis to believe that a variable annuity transaction is suitable, taking into account the customer's financial and tax status, investment objectives, and other relevant factors. A central consideration is whether the customer would benefit from the tax-deferred features of the variable annuity. Margaret's \$145,000 was already held in a traditional IRA, which is itself a tax-deferred vehicle. Purchasing a variable annuity inside an IRA provides zero incremental tax-deferral benefit. Gerald's

statement that the VA would give her 'tax-deferred growth that your IRA can't provide' was materially misleading. FINRA has long identified the purchase of a variable annuity within a qualified, tax-deferred account as a red flag requiring heightened scrutiny and documented justification for the non-tax benefits of the annuity, such as the death benefit or living benefit riders, weighed against the substantially higher costs.

2. ****Cost-Benefit Analysis Failure - FINRA Rule 2330(b)(1)(B) and NAIC Model Regulation 275:**** The total annual expense burden of the variable annuity was approximately 3.25%, compared to the 0.45% she was paying in her existing IRA balanced fund - a cost differential of 2.80% per year, or roughly \$4,060 annually on a \$145,000 investment. Over the seven-year surrender period, this cost drag would amount to approximately \$28,420 in excess fees (not accounting for compounding), plus the forfeiture of superior net returns. NAIC Model Regulation 275, Section 6, requires that before recommending an annuity transaction, the producer must have reasonable grounds to believe the recommendation is suitable and that the consumer has been informed of the features, benefits, and costs. Gerald failed to document any comparison of the existing and proposed investment costs, nor did he establish a reasonable basis for believing the GMIB rider justified the fee differential given Margaret's moderate risk tolerance, her existing diversified portfolio, and her seven-year time horizon to retirement.

3. ****NY Regulation 187 / Best-Interest Standard:**** While Margaret resides in Georgia, if any aspect of the transaction touched New York (e.g., if the insurer is domiciled there or if the broker-dealer applies NY Reg 187 firm-wide as some do), the transaction would also fail the best-interest standard under NY Regulation 187, Section 224.4, which requires that a recommendation be in the consumer's best interest at the time of the transaction and that the producer's financial interest not influence the recommendation. Gerald's \$7,975 commission created a significant financial incentive that was not disclosed as a potential conflict.

4. ****Regulation Best Interest (SEC Rule 15l-1):**** As a dually registered representative, Gerald is subject to Regulation BI's Care Obligation, which requires him to exercise reasonable diligence, care, and skill in making a recommendation, including evaluating reasonably available alternatives. Gerald failed to consider or present the obvious alternative of Margaret simply keeping her money in her existing, lower-cost IRA. The Care Obligation specifically requires that the advisor not place his own financial interest ahead of the customer's interest. The 5.5% commission and the lack of any documented rationale for the recommendation strongly suggest that Gerald's financial interest drove the recommendation.

5. ****Disclosure Failures - Reg BI Disclosure Obligation and NAIC Model 275 Section 6(B):**** Gerald did not disclose the material conflict of interest created by his commission, did not compare costs, and affirmatively misrepresented the tax benefits of the proposed transaction.

****Likely Regulatory Outcome:**** This fact pattern presents a classic case of VA mis-selling involving unnecessary tax-deferred layering, excessive costs without corresponding benefit, misleading statements, and undisclosed conflicts. Gerald would likely face FINRA enforcement action including potential fines, disgorgement of commission, and suspension. The broker-dealer could face supervisory failure charges under FINRA Rule 3110 if it failed to flag this transaction through its supervisory review process. The state insurance department could pursue action under its adopted version of the NAIC suitability model. Margaret would likely prevail in a customer arbitration claim seeking rescission of the transaction and recovery of the surrender charge, excess fees, and opportunity cost of forgone returns.

Hypothetical 63

Topic: *complex_products_unsophisticated_investor* | Difficulty: *hard*

Fact Pattern

Margaret Kowalski, age 72, is a retired school cafeteria worker living in Syracuse, New York, with a fixed monthly income of \$1,840 from Social Security and a small pension of \$620 per month. She has \$215,000 in total liquid savings, consisting of \$135,000 in a bank certificate of deposit earning 4.1% annually and \$80,000 in a money market account. She has no other investments and has never purchased securities of any kind. Her home is fully paid off, valued at approximately \$140,000. Margaret's stated investment objectives, as documented on her new account form, are "preservation of capital" and "income," and her risk tolerance is marked as "conservative." She has a high school education, no financial certifications, and told her advisor during their first meeting that she "doesn't understand the stock market" and just wants to make sure she doesn't outlive her money.

In March 2023, financial advisor Derek Sloane, who holds both a securities license and an insurance license, met Margaret after she attended a free dinner seminar at a local restaurant titled "Protect Your Retirement from Market Crashes." During the seminar, Derek emphasized the guaranteed income benefits available through certain insurance products and used a slide showing hypothetical growth projections at 7% annually without clearly disclosing that the projected values represented a benefit base rather than actual account value.

Over two subsequent meetings at Margaret's home, Derek recommended that she liquidate both her CD (which had seven months remaining to maturity, incurring an early withdrawal penalty of \$1,890) and her money market account, and invest the full \$215,000 into a single variable annuity contract: the "SecureGrowth Elite VA" issued by National Pacific Life. The product features a 7-year surrender charge schedule starting at 8% in year one and declining by 1% per year, an annual mortality and expense charge of 1.35%, an administrative fee of 0.15%, underlying subaccount expenses averaging 0.87%, and an optional guaranteed minimum withdrawal benefit rider costing an additional 1.10% annually - bringing total annual costs to approximately 3.47%. Derek allocated 60% of the subaccount investments to an aggressive growth equity fund and 25% to an international equity fund, with only 15% in a bond fund.

Derek documented in his notes that Margaret "wanted growth potential with downside protection" and "understood the long-term nature of the product," but he did not document any discussion of surrender charges, total annual fees, the difference between the benefit base and actual account value, or alternative products such as fixed annuities, immediate annuities, or Treasury bonds. He also did not document Margaret's existing liquidity needs, including her upcoming need for \$18,000 for roof repairs on her home which she mentioned during their second meeting. Derek earned a gross commission of \$14,190 (approximately 6.6% of premium) on the sale.

By November 2023, the aggressive subaccount allocation had lost 11.2% of value during a market correction, bringing Margaret's account value to approximately \$185,500. When Margaret called Derek in a panic requesting a withdrawal of \$25,000 to cover the roof repair and other expenses, she learned for the first time that an early surrender charge of 8% (\$14,840 on a \$185,500 account) would apply to any withdrawal exceeding the 10% free withdrawal corridor. Margaret filed a complaint with her state insurance

department stating she was never told about surrender charges, never understood she was invested in the stock market, and believed the "guaranteed" projections shown at the dinner seminar meant her money could not decline in value.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Sloane committed multiple serious violations across several regulatory frameworks.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Rule 2330 requires that a registered representative have a reasonable basis to believe that a variable annuity transaction is suitable for the customer based on the customer's age, income, financial situation, investment objectives, investment experience, liquidity needs, risk tolerance, and other factors. Here, virtually every factor weighs against the recommendation: (1) Margaret is 72, beyond the typical time horizon appropriate for a product with a 7-year surrender schedule; (2) her income is modest and fixed; (3) she had zero investment experience and expressly stated she did not understand the stock market; (4) her stated objectives were capital preservation and income, which are directly contradicted by a 60/25/15 aggressive equity allocation; (5) she had a known near-term liquidity need of \$18,000 for roof repairs; and (6) investing 100% of her liquid savings in a single illiquid product eliminated any emergency reserve. Rule 2330(b)(1)(A) also requires consideration of whether the customer would benefit from features of a VA, such as tax deferral, which provides minimal benefit to a 72-year-old retiree in a low tax bracket.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the revised Model 275, which most states have adopted or are adopting in some form, an insurance producer must act in the consumer's best interest at the time of the recommendation without placing the producer's financial interest ahead of the consumer's. The producer must make reasonable efforts to obtain and consider the consumer's financial situation, insurance needs, and objectives. Derek's recommendation concentrated Margaret's entire net worth (excluding her home) in a single high-cost VA, generated a \$14,190 commission, and ignored readily available alternatives such as a single premium immediate annuity (SPIA) that could have directly addressed her stated income objective with far lower costs and no surrender penalties, or a fixed annuity offering principal protection consistent with her conservative risk tolerance. The failure to consider or document any reasonable alternatives is a clear violation.

****New York Regulation 187:**** Because Margaret resides in New York, Regulation 187 applies. Effective since August 2019 for annuity transactions, Reg 187 imposes a best-interest standard on all annuity recommendations made to New York consumers. Section 224.4 requires that the recommendation be in the consumer's best interest based on an evaluation of all relevant suitability factors, and that the producer's compensation not be a material factor in the recommendation. Given that Derek earned a 6.6% commission and recommended an unsuitable product, Reg 187 is directly implicated. Additionally, Reg 187 requires that the producer consider reasonably available alternatives, which Derek failed to do or document.

****Regulation Best Interest (Rule 15l-1):**** As a broker-dealer registered representative recommending a securities product (a variable annuity is a security), Derek is subject to Reg BI's Care Obligation, which

requires reasonable diligence, care, and skill in making a recommendation. The Care Obligation mandates consideration of potential risks, rewards, and costs of the recommendation, and requires that the recommendation be in the retail customer's best interest without placing the advisor's interest ahead of the customer's. The Disclosure Obligation also requires full and fair disclosure of all material facts, including costs and conflicts. Derek failed to disclose surrender charges, the distinction between benefit base and account value, and total annual fees approximating 3.47%. His seminar presentation using hypothetical 7% growth projections without clarifying they applied to the benefit base, not actual account value, is potentially misleading.

****Additional Violations - Subaccount Allocation:**** Even if a VA were somehow appropriate, the 85% equity allocation (60% aggressive growth, 25% international) is grossly inconsistent with Margaret's documented conservative risk tolerance and capital preservation objective. This constitutes an independent suitability violation.

****Likely Regulatory Outcome:**** Derek faces potential action from FINRA (suspension or bar, disgorgement of commissions, fine), the New York Department of Financial Services under Reg 187 (license revocation, penalties), and the SEC under Reg BI. The firm would likely face supervisory failure charges for inadequate review of the transaction. Margaret would likely receive full restitution including the surrender charges, early CD withdrawal penalty, and market losses attributable to the unsuitable allocation. The use of a misleading dinner seminar could also trigger advertising and communications violations under FINRA Rules 2210 and 2330(d). Academic literature and GAO reports on VA mis-selling have consistently identified this precise pattern - elderly, unsophisticated investors with conservative objectives being sold high-cost, long-surrender-period VAs after attending free meal seminars - as a hallmark of unsuitable sales practices.

Hypothetical 64

Topic: *high_fees_unsuitable* | Difficulty: *medium*

Fact Pattern

Margaret Kowalski, age 72, is a retired elementary school teacher living in Buffalo, New York, on a fixed income of \$3,200 per month from her state pension and Social Security. She has \$185,000 in a traditional IRA that she rolled over from a 403(b) upon retirement, and \$22,000 in a savings account that serves as her emergency fund. She has no other investments. Margaret described herself as conservative and told her advisor, Derek Liang, that her primary goals were capital preservation and generating modest supplemental income to cover unexpected medical expenses. She explicitly stated she did not want to take risks with her retirement savings and wanted easy access to her money in case of health emergencies.

In March 2023, Derek recommended that Margaret invest \$170,000 - approximately 92% of her IRA - into a variable annuity issued by National Horizon Life Insurance Company called the "Horizon Select Plus VA." The product featured a guaranteed minimum income benefit rider, a guaranteed minimum death benefit rider, and an optional enhanced nursing care rider. The base mortality and expense charge was 1.35% annually. The administrative fee was 0.15% annually. The guaranteed minimum income benefit rider cost 1.10% annually, the death benefit rider cost 0.65% annually, and the nursing care rider cost 0.40%

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annually. The underlying sub-account options ranged from 0.55% to 1.25% in annual fund operating expenses; Derek allocated Margaret's funds across three sub-accounts with an average expense ratio of 0.92%. In total, Margaret's all-in annual cost was approximately 4.57% of her account value, which would amount to roughly \$7,769 per year on her initial investment.

The product carried a seven-year surrender charge schedule starting at 8% in year one and declining by 1% each year. Derek did not discuss any lower-cost alternatives such as fixed annuities, immediate annuities, bond funds, or certificates of deposit. He did not document any comparison of products or explain why a variable annuity with multiple optional riders was preferable for Margaret's stated objectives.

Derek earned a 6.5% gross commission on the sale, totaling \$11,050. His firm's supervisory review flagged the transaction due to Margaret's age and the high percentage of liquid net worth being committed to a single illiquid product, but the branch manager approved it after Derek submitted a brief note stating that Margaret "wanted guaranteed income and nursing care protection."

Within fourteen months, Margaret needed \$35,000 for an unexpected hip replacement surgery not fully covered by Medicare. She was forced to take a partial surrender from the variable annuity and incurred a 7% surrender charge of \$2,450, plus the account had lost approximately 6.2% in sub-account value due to equity market declines. Margaret filed a complaint alleging that Derek never explained the total fees, the surrender penalties, or the market risk inherent in the variable annuity, and that she would have chosen a safer, more liquid product had she understood the true costs and restrictions.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Liang violated multiple applicable suitability and best-interest standards in recommending the Horizon Select Plus VA to Margaret Kowalski.

****FINRA Rule 2330 - Variable Annuity Suitability:****

FINRA Rule 2330 imposes heightened suitability obligations specific to variable annuity transactions. Under Rule 2330(b), a registered representative must have a reasonable basis to believe that the customer has been informed of the material features of the variable annuity, including surrender charges, potential tax penalties, mortality and expense charges, investment advisory fees, charges for riders and optional benefits, market risk, and the insurance and investment components. Derek failed to adequately disclose total all-in costs of approximately 4.57% per year - a critical material feature. Additionally, Rule 2330(b)(1)(A) requires a reasonable basis to believe the customer would benefit from certain features of a VA, such as tax-deferred growth, annuitization, or death benefit features. Margaret's funds were already in a tax-deferred IRA, so the tax-deferral wrapper of the VA provided no incremental benefit, which is a classic red flag under this rule. Rule 2330(b)(1)(B) requires that the particular VA as a whole, with all selected features and riders, be suitable. The combination of four separate fee layers (M&E, admin, three riders) producing a 4.57% annual drag is extremely difficult to justify for a 72-year-old conservative investor seeking capital preservation.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):****

The NAIC Model #275, as revised, establishes a best-interest standard for annuity recommendations. It requires that the recommendation be in the consumer's best interest without placing the producer's financial interest ahead of the consumer's. Derek earned an \$11,050 commission - a significant financial incentive - while recommending a product with annual costs that would substantially erode Margaret's principal. Model 275 further requires that the producer consider the consumer's financial situation, insurance needs, financial objectives, existing assets, liquidity needs, liquid net worth, and risk tolerance. Margaret's conservative risk tolerance, limited liquid assets, fixed income, and expressed need for accessibility were all factors that pointed away from a long-duration, surrender-charge-laden variable annuity with equity market exposure. The regulation also requires reasonable efforts to obtain suitability information and documentation of the basis for the recommendation, including consideration of alternatives. Derek's documentation consisted only of a single brief sentence, far below the standard.

****New York Regulation 187:****

Because Margaret resides in New York, NY Regulation 187 (11 NYCRR 224) applies directly. Effective for annuity transactions since August 1, 2019, Reg 187 requires that recommendations be in the best interest of the consumer at the time of the transaction. The regulation explicitly requires the producer to consider reasonably available alternatives and to document why the recommended product is in the consumer's best interest compared to those alternatives. Derek failed to consider or present any alternatives - fixed annuities, immediate annuities, CDs, or bond funds - any of which could have met Margaret's stated goals of capital preservation and liquidity at a fraction of the cost. Reg 187 also prohibits recommendations that primarily benefit the producer, and the outsized commission relative to the product's suitability strongly suggests the recommendation was driven by compensation.

****SEC Regulation Best Interest (Rule 15l-1):****

If Derek is a broker-dealer registered representative (as the commission structure suggests), Reg BI applies. Under the Care Obligation (Rule 15l-1(a)(2)(ii)(B)), Derek was required to exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the recommendation, consider reasonably available alternatives, and have a reasonable basis to believe the recommendation was in Margaret's best interest considering her investment profile. Placing 92% of a 72-year-old conservative retiree's liquid retirement assets into a single high-cost, illiquid variable annuity - without considering alternatives - fails the Care Obligation. Under the Disclosure Obligation, Derek was required to disclose material facts about the recommendation, including all costs and conflicts of interest such as his \$11,050 commission. Margaret's complaint that these were never explained suggests a disclosure failure. The Conflict of Interest Obligation required Derek's firm to establish policies to identify and mitigate conflicts. While the firm's supervisory system flagged the transaction, the cursory review and approval by the branch manager suggests the firm's conflict mitigation policies were either inadequate or not properly enforced.

****Supervisory Failures:****

The branch manager's approval despite the supervisory flag, based solely on Derek's one-sentence justification, represents a failure of the firm's supervisory obligations under FINRA Rule 3110 and the heightened principal review requirements of Rule 2330(c), which requires a registered principal to review the transaction and determine whether there is a reasonable basis to approve it based on customer suitability information.

****Likely Regulatory Outcome:****

Derek and his firm face potential FINRA enforcement action for violations of Rule 2330 and supervisory failures, state insurance department action under NAIC Model 275 and NY Regulation 187, and potential SEC action under Reg BI. Remedies could include disgorgement of commissions, restitution to Margaret (including surrender charges and market losses attributable to the unsuitable recommendation), fines, suspension or bar, and enhanced supervisory requirements for the firm. Margaret's complaint, if pursued through arbitration, would likely result in a favorable outcome given the well-documented unsuitability of the recommendation.

Hypothetical 65

[NON-COMPLIANT]

Topic: annuity_unnecessary_switching | Difficulty: hard

Fact Pattern

Patricia Okonkwo, age 58, is a veteran public school teacher in New Jersey earning \$82,000 per year. She has accumulated approximately \$410,000 in a 403(b) plan offered through her school district, invested in a variable annuity issued by Carrier A that she purchased in 2016. The annuity includes a guaranteed minimum income benefit (GMIB) rider with a 5.5% annual rollup rate on a benefit base that had grown to approximately \$485,000 by mid-2022. The contract's surrender charge schedule had fully expired in 2023. The annual mortality and expense (M&E) charge was 1.25%, and the GMIB rider cost an additional 0.95% annually, for total insurance charges of 2.20% on top of underlying subaccount expenses averaging 0.72%.

In January 2023, financial advisor Derek Langston, who had been Patricia's advisor since 2019, recommended that she surrender her existing Carrier A annuity and purchase a new variable annuity from Carrier B within her 403(b) plan. The new Carrier B contract carried a 7-year declining surrender charge schedule starting at 7%, M&E charges of 1.30%, and included a guaranteed lifetime withdrawal benefit (GLWB) rider at 1.10% annually, with a 5% rollup rate on a lower initial benefit base reset to the contract value of approximately \$410,000. The underlying subaccount expenses in the new contract averaged 0.85%. Derek documented in his notes that the new annuity offered "superior fund lineup" and a "lifetime withdrawal feature" as opposed to the annuitization-required GMIB in Carrier A.

Derek did not document any analysis comparing the present value of Patricia's existing GMIB benefit base of \$485,000 against the new GLWB starting at a \$410,000 base. He did not note that Patricia was only seven years from her planned retirement at age 65, meaning the new contract's surrender charges would not fully expire until she was 65, precisely when she intended to begin taking income. He also did not address the fact that the new contract's total annual charges (M&E 1.30% + GLWB rider 1.10% + subaccount expenses 0.85% = 3.25%) were materially higher than the existing contract's charges (M&E 1.25% + GMIB rider 0.95% + subaccount expenses 0.72% = 2.92%), representing an increase of 33 basis points annually on a \$410,000 account, or roughly \$1,353 per year in additional costs.

Patricia signed the exchange paperwork in February 2023. Derek received a \$6,150 commission on the new sale, which was paid from Carrier B's first-year commission schedule. Patricia's old Carrier A contract had been generating no ongoing trail compensation for Derek, as trail commissions on that contract had

been assigned to a prior advisor who had since left the industry. Patricia was not informed of this compensation disparity. In 2024, Patricia contacted her school district's benefits office to discuss retirement income options and learned from an independent advisor that her prior GMIB benefit base had been substantially more valuable than the GLWB she now held, and that the surrender charges on her new contract would restrict her flexibility at the exact point she needed it most.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Langston likely violated multiple applicable standards governing variable annuity replacement transactions.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under FINRA Rule 2330(b), before recommending an exchange of a variable annuity, a registered representative must consider whether the customer would incur a surrender charge, be subject to a new surrender period, lose existing benefits (such as death benefits or guaranteed living benefits), face increased fees or charges, and whether the customer would benefit from product enhancements or improvements. Derek failed on nearly every prong of this analysis:

1. ****New Surrender Period:**** Patricia moved from a fully liquid contract (surrender charges expired) into a new 7-year declining surrender schedule starting at 7%. This is a significant red flag in any annuity exchange. Her planned retirement at age 65 coincides exactly with the end of the new surrender period, meaning any unexpected need for funds-or even a decision to annuitize or restructure-would be penalized throughout her remaining working years.

2. ****Loss of Existing Benefits:**** Patricia's GMIB rider had a benefit base of \$485,000 with a 5.5% rollup, which was approximately \$75,000 higher than her account value. This accumulated guaranteed benefit base was forfeited when she surrendered the Carrier A contract. The new GLWB rider started at \$410,000 with only a 5% rollup-a lower base and a lower growth rate. Derek's notes acknowledge the difference in rider type (GMIB vs. GLWB) but contain no quantitative comparison of the two benefit structures.

3. ****Increased Fees and Charges:**** Total annual charges increased from 2.92% to 3.25%, a 33-basis-point increase costing approximately \$1,353 annually on a \$410,000 account. Over seven years, this amounts to roughly \$9,500-\$10,000 in additional charges (assuming modest growth), not including the compounding drag on investment returns.

4. ****Inadequate Documentation:**** FINRA Rule 2330(c) requires that a principal review and approve variable annuity exchange recommendations before transmittal. The advisor's documentation did not include a side-by-side comparison of benefits, costs, or surrender schedules, which would be expected as part of any supervisory review.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the revised NAIC Model #275, adopted by New Jersey, an insurance producer must act in the best interest of the consumer and must consider reasonably available alternatives. The producer must evaluate the consumer's existing annuity and document the basis for concluding that the replacement is suitable. Derek's failure to conduct or

document any meaningful comparison of guaranteed benefit bases, rollup rates, total charges, or liquidity impact constitutes a violation of the Model Regulation's care and documentation requirements.

****NY Regulation 187 (applicable if sold in New York, and increasingly influential as a standard):**** Regulation 187 imposes a best-interest standard on annuity recommendations and replacements, requiring that the transaction be in the consumer's best interest at the time of the recommendation, considering the consumer's financial situation, insurance needs, and objectives. The compensation-driven nature of this switch—where Derek received \$6,150 in new commission on a product that was objectively inferior for the client—would raise serious concerns under Reg 187's prohibition on placing the producer's financial interest ahead of the consumer's.

****Regulation Best Interest (SEC Rule 15l-1):**** If Derek is a registered representative of a broker-dealer, Reg BI's Care Obligation requires that he exercise reasonable diligence, care, and skill in making a recommendation, considering the costs and reasonably available alternatives. The Disclosure Obligation requires full disclosure of material conflicts of interest, including the compensation differential. Derek did not inform Patricia that his prior advisor's trail commissions had ceased and that the replacement generated significant new first-year compensation for him. The Conflict of Interest Obligation requires the firm to establish policies to mitigate conflicts, such as compensation incentives that favor new sales over retention.

****Analysis of the Switch:**** The factual record demonstrates a classic unnecessary switching pattern: (a) a fully liquid existing contract was replaced with a new contract bearing substantial surrender charges; (b) an accumulated guaranteed benefit base worth \$75,000 more than account value was forfeited; (c) the replacement product had higher total annual charges; (d) the advisor received significant new compensation he would not have earned absent the switch; and (e) the client's time horizon and retirement plans were poorly served by the new product's illiquidity. There is no documented material improvement to the client's position that would justify the exchange.

****Likely Regulatory Outcome:**** Derek and his firm face potential enforcement action from FINRA for violations of Rule 2330, the state insurance department for violations of Model 275-based suitability/best-interest requirements, and potentially the SEC for Reg BI violations. Remedies could include disgorgement of commissions, restitution to make Patricia whole (including the value of the lost GMIB benefit), fines, a letter of caution or censure, enhanced supervisory requirements, and potential suspension. The firm's supervisory system would also be scrutinized for failure to identify and reject an unsuitable exchange at the principal review stage.

Hypothetical 66

Topic: *failure_to_know_customer* | Difficulty: *hard*

Fact Pattern

In March 2022, financial advisor Derek Plunkett met with Margaret Ostrowski, a 71-year-old retired schoolteacher living in Syracuse, New York. Margaret had recently lost her husband of 48 years and inherited approximately \$410,000 from his individual retirement account, which was rolled into an inherited

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IRA held at a regional bank in certificates of deposit. Margaret also had a fixed annuity with a remaining surrender period of three years, worth approximately \$135,000, a small pension paying \$2,100 per month, and Social Security benefits of \$1,850 per month. Her total liquid net worth, including the inherited IRA and a savings account of \$42,000, was roughly \$587,000. She owned her home free and clear. Margaret had no prior experience with securities, had never owned stocks or mutual funds, and described herself during their first meeting as someone who 'cannot afford to lose anything.' She told Derek that her primary concern was making sure she had enough money to cover potential long-term care expenses and leave something to her two adult children. Derek conducted a single 45-minute meeting with Margaret at her kitchen table. He did not use a standardized client intake form or risk tolerance questionnaire. He did not ask about her monthly expenses, her health status, any medications or chronic conditions, her tax bracket, her existing beneficiary designations on the inherited IRA, or whether she had long-term care insurance. He took handwritten notes on a legal pad, recording only her age, the approximate value of the inherited IRA, and that she wanted 'growth and safety.' Based on this meeting, Derek recommended that Margaret surrender her existing fixed annuity - which would trigger a surrender charge of approximately \$6,750 - and combine those proceeds with \$300,000 from the inherited IRA to purchase a \$435,000 variable annuity with a guaranteed minimum income benefit rider. The variable annuity carried a mortality and expense charge of 1.40%, an administrative fee of 0.15%, underlying subaccount expenses averaging 0.87%, and the income rider cost an additional 1.10% annually, bringing all-in annual costs to approximately 3.52%, or roughly \$15,312 per year. The new variable annuity had a seven-year surrender charge schedule beginning at 7% in year one and declining to 1% in year seven. Derek allocated 60% of the subaccounts to equity growth funds and 40% to balanced funds. He did not discuss lower-cost alternatives such as no-load variable annuities, fixed indexed annuities without surrender charges, or simply maintaining the existing CD-based inherited IRA. He also did not document any rationale for why the replacement of the existing fixed annuity was advantageous to Margaret, nor did he provide her with a comparison of the old and new products. The application paperwork listed Margaret's risk tolerance as 'moderate' and her investment objective as 'growth and income,' though Margaret later stated she never used those words and did not understand what 'moderate risk tolerance' meant. Derek earned a gross commission of approximately \$26,100 on the sale. Within 14 months, the equity subaccounts had declined roughly 18% due to market volatility, reducing the contract value to approximately \$368,000. Margaret, alarmed and needing funds for unexpected dental surgery costing \$9,500, attempted a withdrawal and discovered she would owe a surrender charge of approximately \$5,200 in addition to potential tax consequences on the inherited IRA distribution. She filed a complaint with the state insurance department in June 2023, alleging that Derek never properly assessed her financial situation, risk tolerance, or liquidity needs before recommending the variable annuity.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Plunkett committed multiple serious violations relating to his failure to adequately know his customer and the unsuitable recommendation that followed.

****Failure to Know the Customer - FINRA Rule 2330(b)(1):****

FINRA Rule 2330 specifically requires that, prior to recommending the purchase or exchange of a deferred variable annuity, a registered representative must make reasonable efforts to obtain information concerning the customer's age, annual income, financial situation and needs, investment experience, investment

objectives, intended use of the annuity, existing assets (including insurance), liquidity needs, liquid net worth, risk tolerance, and tax status. Derek failed to collect the vast majority of this information. He did not use a standardized intake form, did not inquire about Margaret's monthly expenses, health status, tax bracket, existing long-term care coverage, or beneficiary designations. His handwritten notes captured only her age, approximate IRA value, and a vague notation about 'growth and safety.' This falls far short of the reasonable-efforts standard under Rule 2330(b)(1).

****NAIC Model Regulation 275 - Suitability in Annuity Transactions:****

Under the NAIC Model Regulation 275 (as revised in 2020 to incorporate a best-interest standard), a producer must, prior to recommending an annuity, make reasonable efforts to obtain and consider the consumer's financial situation, insurance needs, financial objectives, and other relevant information. The producer must act in the consumer's best interest at the time of the transaction, without placing the producer's financial interest ahead of the consumer's. Derek's failure to gather essential data - health status, monthly expenses, liquidity needs, tax situation - means the recommendation could not have been based on a reasonable assessment of Margaret's best interest. The \$26,100 commission and the replacement of an existing fixed annuity with a more expensive variable annuity strongly suggest Derek prioritized his own compensation.

****New York Regulation 187 - Best Interest Standard:****

Because Margaret resides in New York, NY Regulation 187 applies. This regulation requires that any recommendation of an annuity transaction be in the best interest of the consumer based on an evaluation of relevant suitability information, including the consumer's existing insurance products, financial situation, and needs. It also requires documentation of the basis for each recommendation. Derek provided no documented rationale for why the replacement was beneficial, did not supply a product comparison as required under New York's replacement regulations (11 NYCRR 51, Appendix 11), and recorded Margaret's risk tolerance and investment objectives inaccurately on the application - listing 'moderate' and 'growth and income' when she expressly stated she could not afford losses.

****Regulation Best Interest (Rule 15l-1) - Care Obligation:****

To the extent the transaction involved a securities recommendation through a broker-dealer, Regulation BI's Care Obligation required Derek to exercise reasonable diligence, care, and skill in making the recommendation. This includes understanding the potential risks, rewards, and costs of the variable annuity; having a reasonable basis to believe the recommendation was in the customer's best interest given her profile; and considering reasonably available alternatives. Derek recommended a product with 3.52% in annual costs and a 60% equity allocation to a 71-year-old widow with no securities experience, stated inability to tolerate losses, and clear liquidity needs. He failed to consider less costly or more conservative alternatives. He also failed to evaluate the cost of replacing the fixed annuity, including the \$6,750 surrender charge and the loss of guaranteed fixed returns.

****Unsuitable Replacement:****

The replacement of Margaret's existing fixed annuity was independently problematic. Under both NAIC Model 275 and NY Regulation 187, a replacement transaction must demonstrably benefit the consumer. Derek triggered a \$6,750 surrender charge on the old annuity, moved Margaret from a guaranteed-rate product into a market-risk product with a new seven-year surrender period, and substantially increased her

annual costs - all without documenting any benefit to the consumer. This has the hallmarks of a classic 'twisting' or churning transaction.

****Likely Regulatory Outcome:****

Derek faces potential disciplinary action from FINRA for violations of Rule 2330, including fines, suspension, or a bar. The New York Department of Financial Services could pursue enforcement under Regulation 187 for failure to act in the consumer's best interest and failure to comply with replacement documentation requirements. The broker-dealer's supervisory system is also implicated under FINRA Rule 3110 if it failed to review and flag the transaction given the customer's age, the size of the investment relative to liquid assets, the replacement, and the high commission. Margaret would likely prevail in an arbitration claim for compensatory damages including the surrender charges on both products, excess fees, market losses attributable to an unsuitable allocation, and potentially consequential damages related to her inability to access funds for medical expenses.

Hypothetical 67

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

In March 2023, financial advisor Derek Hollins met with Margaret Cavendish, a 74-year-old retired school librarian living in Fort Worth, Texas. Margaret's husband had passed away six months earlier, and she had recently received \$285,000 from his life insurance death benefit. Her other assets consisted of \$42,000 in a bank savings account and approximately \$1,100 per month in Social Security income. She had no pension. Margaret told Hollins that she was worried about outliving her money and wanted something safe that would supplement her Social Security so she could cover her \$2,400 monthly living expenses, including medications for a chronic heart condition. She described herself as someone who had never invested in stocks and said she 'couldn't afford to lose a penny.' Hollins documented Margaret's risk tolerance as 'moderate growth' on the new account form, noting that she had a 'long-term time horizon given life expectancy.' He recommended she invest \$260,000-roughly 91% of her liquid net worth-into a variable annuity with an aggressive growth subaccount allocation: 45% in a small-cap equity fund, 30% in an international emerging markets fund, and 25% in a technology sector fund. The variable annuity carried a seven-year surrender period with a declining surrender charge starting at 8% in year one. Total annual expenses including mortality and expense charges, administrative fees, and underlying fund expenses were approximately 3.15%. The product included an optional guaranteed minimum income benefit rider at an additional annual cost of 1.10%, bringing total annual costs to roughly 4.25%. Hollins earned a \$15,600 commission on the sale. He did not discuss any alternative products such as fixed annuities, immediate income annuities, or bond funds. Within eight months, by November 2023, the subaccounts had declined approximately 19% due to emerging market volatility and a technology sector selloff. Margaret's account value dropped to roughly \$210,600. She called Hollins in a panic, explaining she needed to withdraw \$18,000 to cover an unexpected medical procedure related to her heart condition. Hollins informed her that an early withdrawal would trigger a surrender charge of approximately 7.5%, costing her an additional \$1,350 on the withdrawal. Margaret filed a complaint with her state insurance department alleging that her advisor placed her in an investment completely inconsistent with her actual financial situation and stated

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needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hollins violated multiple applicable suitability and best-interest standards in his recommendation to Margaret Cavendish.

****Risk Profile Misrepresentation:**** Under FINRA Rule 2330, before recommending a variable annuity, a registered representative must make reasonable efforts to obtain the customer's investment objectives, financial situation, risk tolerance, and other relevant information. Hollins documented Margaret's risk tolerance as 'moderate growth' despite her explicit statements that she had never invested in equities and 'couldn't afford to lose a penny.' Her actual risk tolerance was clearly conservative. Mischaracterizing the customer's risk profile to justify a product recommendation is a well-documented violation under both FINRA Rule 2330 and NAIC Model Regulation 275, which requires that an insurance producer have reasonable grounds for believing the recommendation is suitable based on facts disclosed by the consumer regarding investments, financial situation, and needs.

****Concentration and Liquidity Concerns:**** Hollins placed approximately 91% of Margaret's liquid net worth into a single variable annuity with a seven-year surrender period. For a 74-year-old widow with a chronic medical condition, limited income (\$1,100/month Social Security against \$2,400/month expenses), and no other meaningful liquid assets beyond \$42,000 in savings, this concentration created severe liquidity risk. FINRA Rule 2330(b) specifically requires that the representative consider, among other factors, whether the customer would benefit from the tax-deferred features of a variable annuity, the customer's liquidity needs, and the customer's existing financial profile. Margaret needed current income and liquidity, not long-term tax deferral with steep surrender charges.

****Aggressive Subaccount Allocation:**** The 100% equity allocation across small-cap, emerging markets, and technology sector funds was wholly inconsistent with Margaret's conservative profile and income needs. This aggressive allocation exposed her to substantial market volatility, which materialized in the 19% decline within eight months.

****Cost Analysis:**** Total annual expenses of approximately 4.25% created an enormous drag on returns, requiring the portfolio to generate significant gains merely to break even—an unreasonable expectation for a client who needed capital preservation and income.

****Failure to Consider Alternatives:**** Under NY Regulation 187 (applicable as a model for best-interest analysis) and the broader best-interest framework under SEC Regulation BI (Rule 15l-1), advisors must consider reasonably available alternatives. Hollins never discussed fixed annuities, single premium immediate annuities (which could have directly addressed Margaret's income gap), or conservative bond funds. An immediate annuity with \$260,000 could have provided meaningful monthly income to close the gap between her Social Security and living expenses without market risk.

****NAIC Model 275 Violations:**** The NAIC Model Regulation specifically requires that insurance

recommendations be suitable based on the consumer's age, financial situation, insurance needs, risk tolerance, and objectives. A variable annuity with aggressive equity subaccounts, high fees, and a lengthy surrender period fails all of these criteria for a 74-year-old conservative widow with income and liquidity needs.

****Likely Regulatory Outcome:**** Hollins faces potential sanctions from both securities and insurance regulators, including fines, disgorgement of the \$15,600 commission, suspension or revocation of licenses, and restitution to the customer. The state insurance department complaint will likely trigger an investigation, and the documented misrepresentation of risk tolerance on the account form could constitute a separate supervisory and books-and-records violation. GAO reports and academic studies on variable annuity mis-selling have repeatedly identified elderly, conservative clients with liquidity needs as the most frequent victims of unsuitable VA recommendations, making this a high-priority enforcement profile.

Hypothetical 68

Topic: *senior_investor_exploitation* | Difficulty: *hard*

Fact Pattern

Margaret Olsen, age 81, is a retired schoolteacher living in Sacramento, California. She has an annual fixed income of \$34,000, consisting of Social Security (\$22,000) and a small state pension (\$12,000). Her total liquid assets consist of \$285,000 in a bank money market account and a \$40,000 certificate of deposit maturing in six months. She also owns her home outright, valued at approximately \$380,000. Margaret has no long-term care insurance. She takes three prescription medications and has mild cognitive decline, though she remains legally competent. Her stated investment objectives, recorded during a meeting in March 2023 with advisor Dennis Hargrove, were capital preservation and income to supplement her pension and Social Security. She described herself as very conservative and said she could not afford to lose any of her savings because it was her "emergency and nursing home money." Margaret's only prior investment experience was the money market account and CDs; she had never owned equities, mutual funds, or annuities of any kind.

During the March meeting, Hargrove recommended that Margaret move \$230,000—roughly 81% of her liquid net worth—out of the money market account and into a variable annuity with a guaranteed minimum income benefit rider. The product carried a mortality and expense risk charge of 1.40%, an administrative fee of 0.15%, underlying sub-account expenses averaging 0.92%, and the income rider fee of 1.10%, bringing total annual costs to approximately 3.57%. The annuity carried a seven-year declining surrender charge schedule starting at 8% in year one and declining by 1% per year. Hargrove allocated 60% of the sub-account investments to an equity growth fund and 40% to a balanced fund, giving the overall portfolio moderate-to-aggressive equity exposure. Hargrove earned a 6.5% commission of \$14,950 on the sale.

Hargrove told Margaret that the guaranteed income rider meant she "couldn't lose money" and that the annuity would "grow faster than a CD" while protecting her principal. He did not discuss the distinction between the benefit base used for income calculations and the actual account value, nor did he explain that the account value itself could decline. He did not document any consideration of less costly alternatives

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such as fixed annuities, fixed indexed annuities, Treasury securities, or high-yield savings accounts. He did not inquire about Margaret's health status, potential need for liquidity for medical or long-term care expenses, or existing estate planning objectives. Margaret's daughter, who holds her financial power of attorney, was not notified of or invited to the meeting, although Margaret had previously told Hargrove that her daughter helped manage her finances.

By December 2023, the equity sub-accounts had declined 11%, reducing the account value to approximately \$199,700. Margaret needed \$18,000 for unexpected dental surgery and home plumbing repairs. When she attempted to withdraw the funds, she learned she would owe a 7% surrender charge of \$1,260 on the withdrawal plus ordinary income tax on any gains, and that the withdrawal would permanently reduce her guaranteed income base proportionally. She had not been informed of any of these consequences at the time of purchase. Her daughter filed a complaint with the insurance department in January 2024.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dennis Hargrove violated multiple suitability and best-interest standards in recommending this variable annuity to Margaret Olsen.

1. ****FINRA Rule 2330 - Variable Annuity Suitability****: Rule 2330(b) requires that a member or associated person have a reasonable basis to believe that a variable annuity transaction is suitable, considering the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, investment time horizon, existing assets (including other annuities and insurance), liquidity needs, liquid net worth, risk tolerance, and tax status. Hargrove failed this standard on nearly every dimension. Margaret was 81, had no investment experience beyond CDs and money market accounts, had a very conservative risk tolerance, stated her objective was capital preservation, and explicitly identified her savings as emergency and potential nursing home funds-signaling critical near-term liquidity needs. Concentrating 81% of her liquid net worth in an illiquid variable annuity with a seven-year surrender period, moderate-to-aggressive equity exposure, and total annual costs of 3.57% is facially unsuitable for this customer profile. Rule 2330 also requires that the member consider whether the customer would benefit from the features of the variable annuity (such as tax deferral, annuitization, or death benefits). At age 81 with modest income and no tax liability on her money market interest sufficient to justify 3.57% in annual costs, the tax-deferral benefit is negligible.

2. ****NAIC Model Regulation 275 (Suitability in Annuity Transactions)****: Model 275, as adopted and enhanced by California, imposes a best-interest standard on insurance producers recommending annuities. The producer must act in the consumer's best interest and must have a reasonable basis to believe the recommendation is suitable based on the consumer's suitability profile, including age, income, financial situation, existing assets, risk tolerance, liquidity needs, and financial objectives. Hargrove's recommendation fails each of these factors. Model 275 also requires that the producer consider reasonably available alternatives, which Hargrove did not document or discuss—fixed annuities, fixed indexed annuities, Treasury instruments, or simple bank products would have been more aligned with Margaret's stated objectives. Additionally, the regulation requires that compensation not be a material factor motivating the

recommendation; the \$14,950 commission (6.5%) raises serious concerns about whether the recommendation was driven by compensation rather than client need.

3. ****Regulation Best Interest (SEC Rule 15l-1)****: If Hargrove is a registered representative of a broker-dealer, Reg BI's Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The advisor must consider reasonably available alternatives. Hargrove's failure to consider lower-cost, lower-risk alternatives for an 81-year-old conservative investor is a clear violation of the Care Obligation. The Disclosure Obligation also required Hargrove to fully and fairly disclose material facts about the recommendation, including the surrender schedule, the distinction between the benefit base and actual account value, the effect of withdrawals on the income guarantee, and the total cost structure. His misleading statement that Margaret "couldn't lose money" constituted a material misrepresentation. The Conflict of Interest Obligation required the firm to have policies addressing the \$14,950 commission as a conflict.

4. ****New York Regulation 187 (if applicable as a model for California's enhanced standards)****: NY Reg 187 similarly imposes a best-interest standard and would find the same deficiencies-failure to act in the consumer's best interest, failure to consider alternatives, and a recommendation materially motivated by producer compensation.

****Additional Aggravating Factors****:

- ****Senior Investor Exploitation****: Margaret's age (81), mild cognitive decline, lack of investment experience, and reliance on a family member for financial management are significant red flags. Hargrove's failure to include or notify Margaret's daughter-who held a financial power of attorney and whom Margaret had identified as a financial decision-making partner-reflects a failure to follow senior investor protection protocols that many firms and state regulators mandate.
- ****Misleading Statements****: Telling Margaret she "couldn't lose money" when the account value was exposed to equity market risk and subject to surrender charges constitutes a misleading and potentially fraudulent statement.
- ****Concentration Risk****: Placing 81% of a senior's liquid assets in a single illiquid product with a seven-year surrender period creates unacceptable concentration and liquidity risk.
- ****Liquidity Mismatch****: Margaret explicitly identified her savings as emergency and long-term care reserves, yet the product imposed significant barriers to accessing those funds.

****Likely Regulatory Outcome****: Hargrove faces potential disciplinary action from FINRA (fine, suspension, or bar), state insurance department enforcement (license revocation or suspension, restitution order), and possible SEC or state securities enforcement for Reg BI violations. The firm's supervisory system would also face scrutiny under FINRA Rules 3110 and 2330(c) for failing to implement adequate principal review of this transaction. Margaret would likely be entitled to rescission or restitution of losses, surrender charges incurred, and the excessive fees paid.

Hypothetical 69

Topic: variable_annuity_unsuitable | Difficulty: hard

[NON-COM

Fact Pattern

Margaret Ellison, age 74, is a retired school librarian living in Syracuse, New York. She has a fixed monthly income of \$2,150 from Social Security and a small state pension of \$980 per month. Her total liquid assets consist of \$310,000 in a bank certificate of deposit earning 4.2% and \$45,000 in a savings account she keeps for emergencies. She owns her home outright, valued at approximately \$185,000. Margaret has no long-term care insurance and has been in generally good health, though she takes medication for mild hypertension and was recently diagnosed with early-stage macular degeneration. She describes herself as very conservative, stating she 'cannot afford to lose any money' and that her primary goal is preserving her savings to cover potential medical expenses and assisted living costs if her health declines. She has no investment experience beyond the CD and savings account.

In March 2024, Margaret met with financial advisor Derek Santana after attending a dinner seminar at a local restaurant titled 'Protect Your Retirement from Market Crashes.' During the seminar, Derek emphasized the downside protection features of variable annuities and used a slide showing hypothetical growth scenarios but did not discuss surrender charges, subaccount volatility, or the impact of fees on returns. After a single 45-minute meeting at Margaret's home three days later, Derek recommended she liquidate her \$310,000 CD—which had seven months remaining to maturity, triggering an early withdrawal penalty of \$3,875—and invest the proceeds into a variable annuity contract issued by National Horizon Life Insurance Company. The product carried a seven-year surrender charge schedule starting at 8% in year one and declining to 1% in year seven, an annual mortality and expense charge of 1.35%, an administrative fee of 0.15%, and average subaccount expense ratios of 0.92%. Derek also recommended she add a Guaranteed Minimum Income Benefit rider at an additional annual cost of 1.10%, bringing total annual charges to approximately 3.52%.

Derek allocated 60% of the subaccounts to an aggressive growth equity fund, 25% to an international equity fund, and 15% to a high-yield bond fund. He did not document Margaret's risk tolerance or investment time horizon on the application beyond checking a box marked 'moderate growth,' nor did he discuss any alternative products such as fixed annuities, fixed indexed annuities, treasury securities, or bond funds. He did not provide Margaret with the prospectus until two weeks after she signed the application and funded the contract. Derek earned a commission of \$21,700 on the sale.

By September 2024, the account had declined to approximately \$267,000 due to equity market volatility and the cumulative effect of fees. Margaret called Derek in distress after receiving her quarterly statement, saying she needed to access \$40,000 for a home modification related to her worsening vision. Derek informed her that a withdrawal of that size would trigger a surrender charge of approximately \$3,200 on top of the market losses. Margaret filed a complaint with her state insurance department in October 2024, alleging that Derek never explained the risks, fees, or surrender charges, and that the product was wholly inappropriate for her situation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Santana committed multiple serious violations of applicable suitability and best-interest standards governing variable annuity sales.

****FINRA Rule 2330 - Variable Annuity Suitability:**** FINRA Rule 2330 imposes specific suitability obligations before recommending a variable annuity purchase or exchange. The registered representative must make reasonable efforts to obtain the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing annuity or insurance holdings, liquid net worth, risk tolerance, and tax status. Derek failed to accurately document Margaret's risk tolerance and time horizon; checking 'moderate growth' for a 74-year-old conservative investor with no market experience and an explicit need for capital preservation is a clear misrepresentation of customer information. Rule 2330(b) requires that the advisor have a reasonable basis to believe (1) the customer has been informed of the general features of a variable annuity, including surrender charges, potential for market loss, fees, and the insurance and investment components; (2) the customer would benefit from certain features of the variable annuity, such as tax-deferred growth, annuitization, or a death benefit; and (3) the particular variable annuity, including riders and subaccount allocations, is suitable. Derek failed all three prongs. Margaret had no tax-deferred accumulation need (she was 74 with an immediate liquidity need), the aggressive subaccount allocation was wholly inconsistent with her stated conservative risk tolerance, and there is no evidence she was informed of surrender charges or subaccount risks prior to signing.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the revised NAIC Model #275, which has been adopted in most states, a producer must act in the best interest of the consumer and must have a reasonable basis to believe the recommendation is suitable based on the consumer's financial situation, insurance needs, and financial objectives. The model regulation requires that the recommendation not place the producer's financial interest ahead of the consumer's interest. The \$21,700 commission on a product that exposed a 74-year-old conservative investor's entire liquid net worth to equity market risk and a seven-year surrender schedule strongly suggests the producer's compensation interest drove the recommendation. Model #275 also requires consideration of reasonably available alternatives; Derek failed to discuss fixed annuities, fixed indexed annuities, treasury products, or any lower-cost option.

****New York Regulation 187:**** Because Margaret resides in New York, NY Regulation 187 (11 NYCRR 224) applies. Reg 187 imposes a best-interest standard on annuity recommendations made in New York, requiring that the transaction be in the consumer's best interest at the time of the recommendation, considering the consumer's age, financial situation, insurance needs, financial objectives, and other relevant characteristics. The regulation explicitly requires producers to consider the types of products available, the consumer's existing insurance portfolio, and to document the basis for any recommendation. Derek's failure to document a reasonable basis, his mischaracterization of Margaret's risk profile, the absence of alternatives analysis, and the aggressive allocation for a risk-averse septuagenarian all constitute violations of Reg 187.

****SEC Regulation Best Interest (Rule 15l-1):**** As a broker-dealer representative, Derek is also subject to Reg BI, which requires that broker-dealers and their associated persons act in the retail customer's best interest at the time of a recommendation. Reg BI's Care Obligation requires reasonable diligence, care, and skill in making recommendations, including understanding the risks, rewards, and costs of the product and having a reasonable basis to believe the recommendation is in the customer's best interest given her investment profile. The Disclosure Obligation requires full and fair disclosure of material facts, including

conflicts of interest, fees, and the type and scope of the relationship. Derek failed the Care Obligation by concentrating Margaret's entire liquid savings in a high-cost, long-surrender, aggressively allocated variable annuity when she needed capital preservation and near-term liquidity. He failed the Disclosure Obligation by not providing the prospectus until two weeks after the sale and by not explaining surrender charges or subaccount risks. The Conflict of Interest Obligation was also likely violated given the high commission and absence of any documented rationale for choosing this product over lower-cost alternatives.

****Specific Violations Summary:****

1. Unsuitable product recommendation for the customer's age (74), conservative risk tolerance, limited income, need for liquidity, and lack of investment experience.
2. Unsuitable subaccount allocation (85% equities) inconsistent with stated conservative objectives.
3. Concentration of virtually all liquid assets (\$310,000 of \$355,000) in a single illiquid product with a seven-year surrender schedule.
4. Failure to consider and present reasonably available alternatives.
5. Failure to deliver the prospectus at or before the time of the recommendation.
6. Misrepresentation of the customer's risk profile on application documents.
7. Failure to disclose material features, including surrender charges and fee impact.
8. Inducement of early CD liquidation resulting in a \$3,875 penalty with no documented offsetting benefit.

****Likely Regulatory Outcome:**** Margaret's complaint will likely result in a state insurance department investigation and potential FINRA enforcement action. Probable outcomes include rescission of the annuity contract and full restitution to Margaret, disgorgement of Derek's commission, fines assessed against Derek and his supervising broker-dealer, and potential suspension or revocation of Derek's insurance and securities licenses. The broker-dealer's supervisory system under FINRA Rule 3110 may also be scrutinized for failure to flag the transaction during principal review, as the customer profile and product characteristics presented obvious red flags.

Hypothetical 70

Topic: *senior_investor_exploitation* | Difficulty: *hard*

Fact Pattern

Margaret Donovan, age 81, is a retired elementary school teacher living in Des Moines, Iowa. Her husband passed away in January 2021, leaving her as the sole beneficiary of his \$410,000 traditional IRA, which was invested in a balanced allocation of bond funds and a money market fund through a discount brokerage. Margaret also has a modest pension of \$2,100 per month, Social Security benefits of \$1,780 per month, and a savings account with \$34,000. Her home is paid off and valued at approximately \$195,000. She has no long-term care insurance. Margaret has early-stage cognitive decline, as noted by her primary care physician in medical records dated November 2020, though she has not been declared legally incapacitated. Her investment objective, as stated on her prior brokerage account paperwork, is capital preservation and income generation. Her risk tolerance is conservative.

In February 2021, Margaret's neighbor introduced her to Craig Ellison, a registered representative and

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insurance-licensed agent affiliated with Patriot Wealth Strategies, a broker-dealer and insurance agency. Craig visited Margaret at her home on three occasions over two weeks. During the first visit, Craig learned about her husband's passing and the inherited IRA. He told Margaret that her current investments were 'losing money to inflation every day' and that he could help her 'lock in guaranteed income for life.' He did not ask about her health status, existing medical conditions, cognitive state, or whether she had a power of attorney or trusted contact person on file.

On the third visit, Craig recommended that Margaret surrender her existing IRA holdings and use \$385,000 to purchase a variable annuity - the Summit Horizon Growth & Income VA - issued by National Consolidated Life Insurance Company. The product carried a 7-year surrender charge schedule beginning at 8% in year one and declining by 1% per year. The annual mortality and expense (M&E) charge was 1.35%, and the administrative fee was 0.15% annually. Craig also recommended that Margaret add an optional Guaranteed Minimum Income Benefit (GMIB) rider at an additional annual cost of 1.10%, bringing total annual fees to approximately 2.60% before underlying subaccount expenses, which averaged 0.82%. The all-in annual cost was therefore approximately 3.42%.

Craig allocated 60% of the subaccount selections to equity growth funds and 40% to a high-yield bond fund, inconsistent with Margaret's stated conservative risk tolerance. Craig earned a 6.25% commission on the sale, totaling \$24,062.50. He did not document any consideration of less costly alternatives such as fixed annuities, immediate income annuities, or simply restructuring her existing IRA portfolio to generate income. His notes from the meetings consisted of a single sentence: 'Client wants guaranteed income.' He did not note Margaret's age, health, liquidity needs, tax situation related to the inherited IRA's required minimum distribution obligations, or the fact that the surrender period would extend until Margaret was 88 years old.

Margaret's daughter, Sandra, discovered the transaction in April 2021 when she helped her mother organize financial paperwork. Sandra noted that Margaret could not clearly explain what she had purchased or why, and that Margaret had confused the variable annuity with a bank certificate of deposit. Sandra also found that Margaret had not taken her required minimum distribution from the inherited IRA for 2021, potentially exposing her to a 50% excise tax penalty on the undistributed amount.

By May 2021, the equity-heavy subaccounts had experienced a short-term decline, and Margaret's account value had dropped to \$361,000. If Margaret were to surrender the annuity to restore her prior investment arrangement, she would face a surrender charge of approximately \$28,880 (8% of the \$361,000 value), plus potential tax consequences from the liquidation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Ellison committed multiple serious violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 - Variable Annuity Suitability:****

FINRA Rule 2330 requires that before recommending the purchase of a variable annuity, a registered representative must make reasonable efforts to obtain comprehensive customer profile information,

including age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing assets, liquidity needs, liquid net worth, risk tolerance, tax status, and other relevant information. Craig Ellison failed to obtain or document most of this information. His documentation consisted of a single sentence - 'Client wants guaranteed income' - which is grossly insufficient. Rule 2330(b)(1) further requires that the representative have a reasonable basis to believe the customer has been informed of the material features of the annuity, including surrender charges, potential tax penalties, mortality and expense charges, fees, and the insurance and investment components. There is no evidence Margaret understood the product - she later confused it with a bank CD. Additionally, Rule 2330(b)(1)(A) requires a reasonable basis to believe the customer would benefit from certain features of a deferred variable annuity (e.g., tax-deferred growth, annuitization, death benefit, or rider features) that are not available through other products. Craig did not document any such analysis or consideration of alternatives.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):****

The revised NAIC Model Regulation 275 (adopted 2020) establishes a best-interest standard for annuity recommendations. Under Section 6 of the model regulation, a producer must act in the best interest of the consumer at the time the recommendation is made, without placing the producer's financial interest ahead of the consumer's interest. The regulation imposes four component obligations: (1) Care Obligation - the producer must exercise reasonable diligence, care, and skill, including understanding the product and its risks, considering reasonably available alternatives, and having a reasonable basis to believe the recommendation is in the consumer's best interest considering the consumer's profile. Craig violated this by recommending a product with a 7-year surrender period to an 81-year-old in declining cognitive health, allocating heavily to equities for a conservative investor, ignoring inherited IRA RMD obligations, and failing to consider lower-cost alternatives. (2) Disclosure Obligation - the producer must disclose the scope and terms of the relationship, compensation, and material conflicts of interest. Craig's \$24,062.50 commission created a significant conflict that was apparently not disclosed. (3) Conflict of Interest Obligation - the producer must identify and avoid or reasonably manage material conflicts of interest. The massive commission incentive was not managed. (4) Documentation Obligation - the producer must make a written record of the basis for the recommendation. Craig's single-sentence note fails entirely.

****NY Regulation 187:****

If Margaret were a New York consumer (or if Craig's broker-dealer applied NY Reg 187 standards more broadly as a best practice), Regulation 187 (11 NYCRR §224) similarly requires that recommendations be in the best interest of the consumer. It requires consideration of alternatives reasonably available to the producer and analysis of whether the transaction is suitable in light of the consumer's suitability profile. The regulation also prohibits placing a producer's or insurer's financial interest ahead of the consumer's.

****Regulation Best Interest (SEC Rule 15l-1):****

As a registered representative of a broker-dealer, Craig is subject to Regulation Best Interest when making a recommendation of any securities transaction, including a variable annuity (which is a security). Reg BI requires satisfaction of four obligations: Disclosure, Care, Conflict of Interest, and Compliance. Under the Care Obligation, Craig was required to exercise reasonable diligence, care, and skill to understand the risks, costs, and rewards of the VA, to have a reasonable basis to believe the recommendation was in Margaret's best interest without placing his own interest ahead of hers, and to consider reasonably

available alternatives. Craig failed the Care Obligation by recommending an illiquid, high-cost, equity-heavy variable annuity to a cognitively declining 81-year-old conservative investor with no documented analysis of lower-cost options. Under the Disclosure Obligation, he failed to adequately present material facts about costs, surrender charges, and conflicts. Under the Conflict of Interest Obligation, his firm's policies should have identified and mitigated the enormous commission incentive, and Craig should have disclosed it.

****Specific Violations and Aggravating Factors:****

1. ****Age and vulnerability:**** Margaret, at 81 with early cognitive decline, is a textbook vulnerable senior investor. The 7-year surrender period extending to age 88 is facially unreasonable.
2. ****Risk mismatch:**** A 60/40 equity-to-high-yield-bond allocation is wholly inconsistent with a conservative risk tolerance and capital preservation objective.
3. ****Liquidity risk:**** Tying up 90%+ of Margaret's investable assets in a product with 8% first-year surrender charges severely impairs her ability to access funds for healthcare or emergencies, particularly given her lack of long-term care insurance.
4. ****Tax mismanagement:**** Craig failed to account for inherited IRA RMD obligations, potentially exposing Margaret to a 50% excise tax penalty - demonstrating a fundamental lack of due diligence.
5. ****Failure to identify trusted contact:**** Craig did not inquire about or document a trusted contact person or power of attorney, which is particularly important given Margaret's cognitive status.
6. ****Inadequate documentation:**** A single-sentence note fails every applicable documentation standard.
7. ****Commission motivation:**** A \$24,062.50 commission provides strong circumstantial evidence that Craig placed his financial interest ahead of Margaret's.

****Likely Regulatory Outcome:****

Craig Ellison faces potential disciplinary action from FINRA (fine, suspension, or bar), enforcement action by the Iowa Insurance Division and any other applicable state insurance department, and potential SEC or state securities enforcement. His firm, Patriot Wealth Strategies, faces supervisory failure liability under FINRA Rules 3110 and 3120 for failing to maintain adequate supervisory systems for variable annuity sales. Margaret or her family would likely prevail in a FINRA arbitration claim seeking rescission of the transaction, recovery of surrender charges, lost opportunity costs, and consequential damages. Given Margaret's cognitive decline and Craig's apparent exploitation of a bereaved, vulnerable senior, enhanced sanctions (including potential referral for elder financial exploitation under state elder abuse statutes) are warranted.

Hypothetical 71

Topic: *senior_investor_exploitation* | Difficulty: *hard*

Fact Pattern

Margaret Holloway, age 81, is a retired schoolteacher living in Syracuse, New York. She has a monthly Social Security income of \$2,140 and a small state pension of \$1,350 per month. Her total liquid assets consist of \$410,000 in a bank savings account, \$55,000 in a money market fund, and a \$180,000 certificate of deposit maturing in three months. She owns her home outright, valued at approximately \$285,000. Margaret has no long-term care insurance and has been managing increasing medical expenses related to

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a recent diagnosis of early-stage Parkinson's disease. Her risk tolerance, as documented on her new account form, is "conservative," and her stated investment objectives are "preservation of capital and income." She has no prior experience with securities or variable products.

In February 2024, financial advisor Derek Nolan, who holds both securities and insurance licenses, was introduced to Margaret through her nephew, who is a casual acquaintance of Derek's. Derek met with Margaret twice at her home. During those meetings, Margaret expressed concern about inflation eroding her savings and mentioned she wanted to make sure she had enough money to cover potential nursing home costs if her condition worsened.

Derek recommended that Margaret liquidate her \$180,000 CD upon maturity and invest it into a variable annuity with a guaranteed minimum income benefit rider. He also recommended she move \$275,000 from her bank savings account into a second variable annuity contract from a different insurance carrier, this one featuring a guaranteed minimum withdrawal benefit rider. The two variable annuities combined carried total annual expenses of approximately 3.45% (including mortality and expense charges, administrative fees, sub-account management fees, and rider charges). Both contracts imposed surrender charges starting at 8% in year one, declining over nine years. The recommended sub-account allocations for both contracts were 60% domestic equity funds and 25% international equity funds, with only 15% in bond funds.

Derek's written rationale, documented in the firm's suitability form, stated that the guaranteed riders would protect Margaret's principal while allowing her to participate in market growth. He noted that the variable annuities would provide "lifetime income she cannot outlive." He did not document any discussion of Margaret's medical condition, her potential need for liquidity to cover healthcare or long-term care expenses, or alternative products such as immediate annuities, fixed annuities, short-term bond funds, or Treasury instruments. He did not discuss the impact of the surrender charges on Margaret's ability to access her funds in an emergency. Derek earned a combined commission of \$29,575 on the two sales.

Within eight months of the purchase, Margaret's Parkinson's symptoms progressed and she needed to access \$60,000 for home modifications and in-home care assistance. She was assessed a surrender charge of \$4,800 on the withdrawal from one contract, and the sub-accounts in the other had declined approximately 11% due to a market correction, reducing her account value by over \$30,000. Margaret's nephew filed a complaint with Derek's firm in November 2024, alleging that the recommendations were inappropriate for his aunt's age, health, and financial needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Nolan's recommendations almost certainly violated multiple applicable suitability and best-interest standards.

1. ****FINRA Rule 2330 - Variable Annuity Suitability****: Rule 2330 imposes heightened suitability requirements specific to variable annuity transactions. Before recommending a VA purchase, the registered representative must make reasonable efforts to obtain the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, investment

time horizon, existing assets, liquidity needs, liquid net worth, risk tolerance, and tax status. Derek documented Margaret's conservative risk tolerance and capital preservation/income objectives, yet recommended two VAs with aggressive equity-heavy sub-account allocations (85% equities) and combined annual costs of 3.45%. This allocation is fundamentally inconsistent with her documented profile. Rule 2330(b) also requires the advisor to have a reasonable basis to believe the customer would benefit from certain features of a VA, such as tax-deferred growth and separate account features. Margaret's age (81) and conservative profile suggest she is unlikely to benefit materially from tax deferral over a long accumulation period. The nine-year surrender period is plainly unsuitable for an 81-year-old with a progressive neurological condition and foreseeable liquidity needs.

2. ****NAIC Model Regulation 275 (Suitability in Annuity Transactions)**:** Under the revised Model 275, which has been adopted or substantially adopted in most states, an insurance producer must act in the consumer's best interest at the time of the recommendation. The producer must consider the consumer's age, financial situation, insurance needs, existing assets, liquidity needs, and the insured's existing coverage. Derek failed to consider or document Margaret's diagnosed Parkinson's disease and the near-certain need for substantial medical and long-term care expenditures. He concentrated approximately 70% of her liquid net worth (\$455,000 of \$645,000) into illiquid variable annuity contracts with lengthy surrender periods. Model 275 also requires consideration and documentation of reasonable alternatives. Derek did not discuss or document why he rejected fixed annuities, immediate annuities, or other conservative, liquid alternatives that would have been more consistent with Margaret's stated objectives.

3. ****New York Regulation 187**:** Because Margaret resides in New York, the transaction is subject to NY Reg 187, which imposes an explicit best-interest standard on annuity recommendations and replacements made to New York consumers. Under Reg 187 (11 NYCRR 224), the producer must act in the best interest of the consumer without placing the producer's financial interest ahead of the consumer's. The \$29,575 combined commission, the concentration of an elderly client's liquid assets in high-cost, illiquid products, and the lack of any documented analysis of less expensive or more suitable alternatives strongly suggest that Derek's financial interest drove the recommendation. Reg 187 also mandates documentation of the basis for the recommendation, including why less costly or less complex alternatives were not recommended. Derek's documentation is deficient on these points.

4. ****Regulation Best Interest (SEC Rule 15l-1)**:** If the transaction was effected through a broker-dealer (as indicated by Derek's securities license and commission-based compensation), Reg BI applies. Under Reg BI's Care Obligation, the broker-dealer and associated person must exercise reasonable diligence, care, and skill in making the recommendation. The Care Obligation requires consideration of the potential risks, rewards, and costs of the recommendation and reasonably available alternatives. Recommending 85% equity exposure in high-cost variable annuities to an 81-year-old conservative investor with a degenerative medical condition and foreseeable liquidity needs fails this standard. Additionally, under Reg BI's Conflict of Interest Obligation, the firm must identify and mitigate conflicts associated with financial incentives. The large commissions here represent a material conflict that does not appear to have been mitigated.

****Specific Violations Summary**:**

- Unsuitable asset allocation (85% equities for a conservative 81-year-old)
- Unsuitable product concentration (approximately 70% of liquid assets in illiquid VAs)

- Failure to consider liquidity needs given known progressive medical condition
- Nine-year surrender periods inappropriate for an 81-year-old with health issues
- Excessive product costs (3.45% annual all-in expenses) relative to client's conservative objectives
- Failure to document or consider reasonable alternatives (fixed annuities, immediate annuities, short-duration bonds, Treasuries)
- Apparent prioritization of advisor compensation over client interest
- Deficient documentation under NAIC Model 275 and NY Reg 187 requirements

****Likely Regulatory Outcome**:** Derek and his firm face exposure on multiple fronts. FINRA could bring an enforcement action for Rule 2330 and Reg BI violations, potentially resulting in a fine, suspension, and restitution. The New York Department of Financial Services could pursue action under Reg 187 against Derek's insurance license. The client (or her nephew on her behalf) may also pursue arbitration seeking compensatory damages including the surrender charges paid, market losses attributable to the unsuitable allocation, and the difference in costs between the recommended products and suitable alternatives. Given Margaret's age, health, and the egregiousness of the concentration, this case presents strong indicators of senior investor exploitation, which is a priority area for both FINRA and state regulators.

Hypothetical 72

Topic: *variable_annuity_unsuitable* | Difficulty: *medium*

Fact Pattern

Margaret Ellison, age 74, is a retired elementary school teacher living in Columbus, Ohio. She receives \$2,400 per month from her state pension and \$1,850 per month from Social Security, giving her a combined annual income of approximately \$51,000. Her total liquid savings amount to \$285,000, held in a bank money market account and a portfolio of short-term Treasury bills. She owns her home outright, valued at roughly \$210,000, and has no outstanding debts. Margaret has described herself as a conservative investor whose primary objectives are preserving her principal and maintaining access to her savings to cover potential assisted-living or long-term care expenses. She has limited investment experience, having never owned equities or mutual funds, and told her advisor she did not want to risk losing any of her nest egg.

In March 2023, Margaret met with financial advisor Derek Saunders after attending a dinner seminar at a local restaurant titled "Guaranteed Income for Life - Protect Your Retirement." During the seminar, Derek emphasized the tax-deferred growth benefits and optional guaranteed income riders available through variable annuities. At a follow-up appointment at his office, Derek recommended that Margaret invest \$230,000 - approximately 81% of her liquid assets - into a variable annuity issued by National Pacific Life. The specific product carried a mortality and expense risk charge of 1.45%, an administrative fee of 0.15%, underlying subaccount expense ratios averaging 0.95%, and a guaranteed minimum withdrawal benefit rider costing an additional 1.10% annually, bringing total annual costs to approximately 3.65%. The contract imposed a seven-year surrender charge schedule starting at 8% in year one and declining by one percentage point each year.

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Derek allocated the subaccounts as follows: 40% in an aggressive growth equity fund, 30% in an international equity fund, 15% in a high-yield bond fund, and 15% in a balanced fund. He told Margaret the guaranteed income rider meant she could never lose money and that the annuity was "just like a CD but with better returns." He did not discuss the surrender charge implications relative to her potential need for liquidity to fund long-term care, nor did he present any alternative products such as fixed annuities, fixed indexed annuities, or a ladder bond portfolio. Derek's notes in the client file listed Margaret's risk tolerance as "moderate growth" and her time horizon as "long-term," despite her verbal statements to the contrary. His firm's compensation records show he received a 6.5% upfront commission of \$14,950 on the sale. Margaret's daughter, who holds power of attorney, discovered the transaction six months later when Margaret needed \$40,000 for a deposit at an assisted-living facility and learned she would owe a \$3,200 surrender penalty to access the funds.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Saunders committed multiple violations of applicable suitability and best-interest standards.

1. ****FINRA Rule 2330 - Variable Annuity Suitability****: Under Rule 2330, before recommending a variable annuity, a registered representative must make reasonable efforts to obtain the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing insurance holdings, risk tolerance, tax status, and liquidity needs. The representative must then have a reasonable basis to believe the transaction is suitable. Here, Derek documented Margaret's risk tolerance as "moderate growth" and her time horizon as "long-term," directly contradicting her stated conservative objectives and her need for near-term liquidity to fund potential long-term care. This mischaracterization of the customer profile violates the information-gathering and reasonable-basis obligations of Rule 2330(b). The 81% concentration of liquid assets in a single illiquid product with a seven-year surrender schedule is facially unsuitable for a 74-year-old retiree with known near-term liquidity needs.
2. ****NAIC Model Regulation 275 (Suitability in Annuity Transactions)****: The revised Model 275, adopted by most states, imposes a best-interest standard requiring that the recommendation be in the consumer's best interest at the time of the transaction, without placing the producer's financial interest ahead of the consumer's. The producer must consider the consumer's stated financial situation, insurance needs, financial objectives, and other relevant information. Margaret's conservative risk profile, limited investment experience, age, and need for accessible funds to cover assisted-living costs all weigh heavily against a high-cost, equity-heavy variable annuity with a lengthy surrender period. Derek also failed to consider reasonably available alternatives (fixed annuities, fixed indexed annuities, bond ladders), which is an explicit requirement under Model 275's care obligation component.
3. ****New York Regulation 187 (applicable if the product were sold in NY, and influential as a benchmark)****: Reg 187 requires that producers act in the best interest of the consumer and that there be a reasonable basis for the recommendation based on a suitability analysis. The regulation also prohibits placing the producer's compensation interest ahead of the consumer's interest. The \$14,950 upfront commission on the most expensive product available, when lower-cost and more suitable alternatives existed, raises a

strong inference that the recommendation was compensation-driven.

4. ****Regulation Best Interest (SEC Rule 15l-1)**:** If Derek is a broker-dealer associated person (which his receipt of commission suggests), Reg BI's Care Obligation requires that he exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile including age, financial situation, liquidity needs, risk tolerance, and investment objectives. He must evaluate reasonably available alternatives. The Disclosure Obligation requires that he disclose material facts about the recommendation, including costs and conflicts of interest. Telling Margaret the annuity was "just like a CD but with better returns" is materially misleading and fails to disclose the risk of loss in equity subaccounts, the high cumulative fees, and the surrender charges. The Conflict of Interest Obligation requires policies to mitigate conflicts arising from compensation; the 6.5% commission creating a \$14,950 payout is a significant conflict that was neither mitigated nor disclosed.

****Specific Violations Summary**:**

- Misrepresentation of the product as equivalent to a CD with no risk of loss.
- Falsification or inaccurate recording of client risk tolerance and time horizon.
- Failure to consider the client's liquidity needs relative to the surrender charge schedule.
- Excessive concentration (81% of liquid assets) in a single illiquid product for a 74-year-old.
- Aggressive equity allocation (70% equities, 15% high-yield bonds) inconsistent with stated conservative objectives.
- Failure to evaluate or present reasonably available alternatives.
- Compensation-driven recommendation without adequate disclosure of conflicts.

****Likely Regulatory Outcome**:** Derek faces potential FINRA disciplinary action including fines, suspension, or bar. The state insurance department could revoke or suspend his insurance license and impose civil penalties. The client or her daughter could pursue arbitration seeking rescission of the contract, recovery of the surrender penalty, consequential damages, and potentially punitive damages if the state permits. The firm's supervisory principal who approved the transaction may also face liability for failure to supervise under firm and FINRA supervisory obligations.

Hypothetical 73

Topic: tax_deferred_unnecessary_annuity | Difficulty: medium

Fact Pattern

In March 2022, financial advisor Denise Kowalski met with Gerald Hoffman, a 58-year-old public school administrator earning \$94,000 annually. Gerald had accumulated \$410,000 in his employer-sponsored 403(b) plan invested in a diversified mix of low-cost index funds with an average expense ratio of 0.08%. He also had a traditional IRA worth \$135,000 and a taxable brokerage account with \$62,000. Gerald described himself as a moderate-risk investor with a primary objective of accumulating assets for retirement at age 65. He told Denise he was satisfied with his current 403(b) allocation but was curious whether he should be doing anything differently. After reviewing his accounts, Denise recommended that Gerald roll over his \$135,000 traditional IRA into a variable annuity offered by National Secure Life Insurance

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Company. The product, called the "Horizon Growth VA," carried a mortality and expense risk charge of 1.35%, an administrative fee of 0.15%, and underlying subaccount expenses averaging 0.85%, bringing total annual costs to approximately 2.35%. The annuity also carried a seven-year surrender charge schedule starting at 7% and declining by 1% per year. Denise explained that the variable annuity would provide Gerald with tax-deferred growth, guaranteed death benefit protection, and optional living benefit riders for additional fees. Denise earned a commission of \$7,425 (5.5% of the \$135,000 rollover amount) on the sale. Gerald's traditional IRA was already tax-deferred, and the underlying mutual funds in his IRA had a blended expense ratio of 0.22%. Gerald had no dependents; he was divorced with no children, and his listed beneficiary on the IRA was his younger sister. He had no expressed need for guaranteed income, no stated concern about outliving his assets, and had not requested annuity-like features. Denise's notes from the meeting stated: "Client interested in maximizing retirement growth and protecting assets. Recommended VA for tax-deferred accumulation and downside protection." She did not document any comparison of the IRA's existing costs to the VA's costs, nor did she note any specific client need that the annuity's insurance features would address beyond what the IRA already provided.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated applicable suitability and best-interest standards in multiple respects.

****Layering Tax Deferral on Tax Deferral:**** Under FINRA Rule 2330(b), a registered representative recommending a variable annuity must have a reasonable basis to believe the transaction is suitable, taking into account, among other factors, whether the customer would benefit from the tax-deferred features of the annuity. Gerald's traditional IRA already enjoyed full tax-deferred treatment under the Internal Revenue Code. Placing IRA assets inside a variable annuity provides no incremental tax benefit whatsoever, yet subjects the customer to substantially higher costs. This is a classic indicator of an unsuitable recommendation and is specifically flagged in FINRA Rule 2330 and FINRA regulatory guidance as a red flag requiring heightened documentation and justification.

****Cost Analysis Failure:**** The annuity's all-in annual cost of approximately 2.35% was more than ten times the 0.22% blended expense ratio Gerald was already paying in his IRA. Over a seven-year period (the length of the surrender schedule) on \$135,000, the excess cost differential would amount to roughly \$20,000-\$25,000 in additional fees, significantly eroding Gerald's retirement accumulation. FINRA Rule 2330(b)(1)(A) requires consideration of the features of the annuity versus other available investment vehicles, and NAIC Model Regulation 275 requires that a recommendation be in the consumer's best interest at the time of the transaction, meaning the producer must evaluate reasonably available alternatives.

****Absence of Identified Insurance Need:**** Gerald was single with no dependents and expressed no need for guaranteed income, longevity protection, or enhanced death benefits. The guaranteed death benefit on a VA within an IRA provides little practical advantage over the IRA's existing beneficiary designation. Denise failed to identify any client-specific need for the insurance features that distinguish a variable annuity from ordinary investment accounts.

****Inadequate Documentation:**** Under both FINRA Rule 2330(b)(2) and NAIC Model 275, advisors must document the basis for their recommendation, including why the annuity's features address the customer's specific needs. NY Regulation 187 similarly requires a producer to act in the best interest of the consumer and document the basis for any recommendation. Denise's notes are conclusory-stating "tax-deferred accumulation and downside protection"-without addressing the redundancy of tax deferral or performing any cost comparison.

****Surrender Charges and Liquidity:**** The seven-year, 7%-declining surrender schedule materially restricts Gerald's access to his own retirement funds during a period (ages 58-65) when he may need flexibility as he approaches retirement. This liquidity constraint was neither discussed nor justified.

****Compensation Conflict:**** Denise received a \$7,425 commission on the sale, creating a material conflict of interest. Under Reg BI (Rule 15l-1), broker-dealers must identify, disclose, and mitigate conflicts of interest, and the recommendation must be in the retail customer's best interest without placing the financial interest of the broker-dealer or associated person ahead of the customer's interest. The high commission, combined with the absence of any documented client benefit, suggests the recommendation was driven by compensation rather than client need.

****Likely Regulatory Outcome:**** This fact pattern presents a textbook case of an unnecessary variable annuity sale into a tax-qualified account. Denise and her supervising broker-dealer face potential FINRA enforcement action for violations of Rule 2330 and Rule 2111, state insurance department action under the applicable state's adoption of NAIC Model 275, and, if in New York, enforcement under Regulation 187. Likely sanctions include fines, disgorgement of the commission, restitution to the customer, and potential suspension. The firm's supervisory system may also be cited if the principal who approved the transaction failed to flag the tax-deferred-into-tax-deferred layering issue.

Hypothetical 74

Topic: senior_investor_exploitation | Difficulty: hard

Fact Pattern

Margaret Tillman, age 81, is a retired elementary school teacher living in Syracuse, New York. She has a monthly pension of \$2,800 and Social Security income of \$1,950 per month. Her total liquid assets consist of \$410,000 in a bank certificate of deposit ladder, \$62,000 in a savings account, and \$45,000 in a money market fund. She also owns her home outright, valued at approximately \$185,000. Margaret has no long-term care insurance. Her investment experience is limited to bank CDs and a small stock portfolio she sold in 2009 after her husband passed away. She describes herself as very conservative and tells her advisor, Kevin Driscoll, that her primary goals are preserving her savings, maintaining access to funds for potential assisted-living costs, and leaving whatever remains to her two grandchildren.

In March 2023, Kevin, a dually registered representative and insurance agent, met Margaret at a free dinner seminar at a local restaurant titled "Protect Your Retirement from Market Crashes." At the seminar, Kevin discussed market volatility and the risk of outliving one's savings. He collected contact information

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from attendees and scheduled a follow-up meeting with Margaret at her home the following week.

During two home visits over the next ten days, Kevin recommended that Margaret liquidate \$340,000 of her CD ladder and invest the proceeds into two variable annuity contracts. The first was a \$200,000 variable annuity with a guaranteed minimum income benefit (GMIB) rider, carrying a total annual expense of 3.45% (including the 1.35% mortality and expense charge, 0.85% in underlying fund expenses, a 0.15% administrative fee, and a 1.10% GMIB rider charge). The surrender period was 8 years, with a declining surrender charge starting at 8% in year one. The second was a \$140,000 registered index-linked annuity (RILA) with a 6-year surrender period, a 10% buffer against losses, a cap rate of 12.5% on annual point-to-point S&P 500 returns, and a declining surrender charge starting at 7%. Kevin allocated the variable annuity's subaccounts 60% to an aggressive growth equity fund and 25% to an international small-cap fund, with only 15% in a bond fund.

Kevin's documentation listed Margaret's risk tolerance as "moderate growth" and her investment time horizon as "10+ years." He did not document any discussion of Margaret's potential need for liquidity related to assisted-living costs, nor did he discuss lower-cost alternatives such as fixed annuities, fixed indexed annuities without securities risk, or a simple bond ladder. Kevin earned a total commission of \$28,900 across the two products. Margaret's remaining liquid assets after the purchases totaled \$177,000 - the \$62,000 savings account, the \$45,000 money market fund, and \$70,000 in remaining CDs.

Eight months later, in November 2023, Margaret suffered a fall and required placement in an assisted-living facility costing \$6,200 per month. Her pension and Social Security covered only \$4,750 of the monthly expense, leaving a \$1,450 monthly shortfall. When Margaret's daughter attempted to access funds from either annuity, she discovered the surrender charges would cost approximately \$23,800 on a partial withdrawal from the variable annuity and \$9,800 from the RILA. Margaret's remaining liquid assets, after eight months of modest spending, had already decreased to approximately \$160,000, which at the \$1,450 monthly shortfall rate would be exhausted in roughly nine years - before the surrender periods on either annuity expired.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Driscoll violated multiple applicable suitability and best-interest standards in recommending these variable annuity and RILA purchases to Margaret Tillman.

****FINRA Rule 2330 - Variable Annuity Suitability:****

FINRA Rule 2330 imposes heightened suitability obligations for variable annuity recommendations. Under Rule 2330(b), a member or associated person must have a reasonable basis to believe that the customer has been informed of the general features of a variable annuity, that the product is suitable considering the customer's insurance and investment objectives, financial situation and needs, and that the specific features (riders, surrender periods, subaccount allocations) are suitable. Kevin's recommendation fails on multiple dimensions:

1. ****Liquidity Needs:**** Margaret, at 81 years of age with no long-term care insurance, faced a foreseeable

need for substantial liquidity for healthcare and assisted-living expenses. Tying up \$340,000 - roughly 66% of her total liquid assets - in products with 6- and 8-year surrender periods and steep surrender charges directly conflicts with her stated and reasonably foreseeable liquidity needs.

2. **Risk Tolerance Misrepresentation:** Kevin documented Margaret's risk tolerance as "moderate growth" with a "10+ years" time horizon. Margaret is 81 years old, described herself as very conservative, and has a history limited to bank CDs. An 85% equity subaccount allocation in the variable annuity is plainly inconsistent with her actual risk tolerance and objectives.

3. **Concentration and Cost:** The 3.45% total annual expense on the variable annuity is exceptionally high for any investor, but particularly egregious for a conservative senior. These expenses consume a significant portion of any potential return, and the GMIB rider - while providing a guaranteed income floor - is of limited utility for someone who expressly needed asset preservation and access, not lifetime income conversion.

4. **Failure to Consider Alternatives:** Under FINRA Rule 2330(b)(1)(A)(ii), the advisor must consider whether the customer would benefit from the features of the variable annuity. Kevin did not document any analysis of lower-cost fixed annuities, fixed indexed annuities, bond ladders, or simply maintaining the CD ladder - all of which would have preserved liquidity and matched Margaret's stated conservative objectives.

NAIC Model Regulation 275:

The NAIC Suitability in Annuity Transactions Model Regulation (Model 275), as amended to incorporate a best-interest standard, requires that producers act in the consumer's best interest at the time of the recommendation. The four component obligations - Care, Disclosure, Conflict of Interest, and Documentation - were all implicated:

- **Care Obligation:** Kevin failed to exercise reasonable diligence, care, and skill in making a recommendation that aligned with Margaret's actual needs, objectives, risk tolerance, and financial situation. The foreseeable liquidity need for long-term care was ignored.
- **Disclosure Obligation:** There is no indication Kevin adequately disclosed the material features of the surrender charges, the impact of the high expense ratios, or the risks of the aggressive subaccount allocation.
- **Conflict of Interest:** Kevin earned \$28,900 in commissions, which created a material conflict. Model 275 requires that such conflicts not place the producer's interest ahead of the consumer's interest.
- **Documentation Obligation:** Kevin's documentation affirmatively misrepresented Margaret's risk tolerance and time horizon, and omitted any discussion of her liquidity needs or alternative products.

New York Regulation 187:

Because Margaret resides in New York, NY Regulation 187 applies. This regulation requires that annuity recommendations be in the best interest of the consumer at the time of the transaction, considering the consumer's age, financial situation, insurance needs, and stated objectives. Regulation 187 explicitly requires evaluation of whether lower-cost or more liquid alternatives exist. Kevin's failure to consider or recommend such alternatives, his mischaracterization of Margaret's investor profile, and the unsuitable concentration of illiquid products for an 81-year-old without long-term care insurance constitute clear

violations.

****SEC Regulation Best Interest (Rule 15l-1):****

As a dually registered representative recommending securities (the variable annuity subaccounts and the RILA), Kevin is subject to Reg BI. The Care Obligation under Reg BI requires that a broker-dealer exercise reasonable diligence, care, and skill to understand the risks and costs of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest without placing the financial interest of the broker-dealer ahead of the retail customer. The aggressive equity allocation, high-cost products, lengthy surrender periods, and the advisor's \$28,900 commission - combined with the customer's advanced age, conservative profile, and foreseeable liquidity needs - strongly suggest that the advisor prioritized his own compensation over the customer's interests.

****Likely Regulatory Outcome:****

Kevin faces potential enforcement action from FINRA under Rule 2330 and potentially Rule 2111 (general suitability), the New York Department of Financial Services under Regulation 187, and potentially the SEC under Reg BI. Likely sanctions include disgorgement of commissions, fines, restitution to Margaret, a supervisory review of the recommending firm's senior investor protection policies, and possible suspension or bar from the industry, particularly given the exploitation of a senior investor. The fact that the recommendation originated from a free dinner seminar - a distribution method subject to heightened scrutiny under FINRA Regulatory Notices (e.g., 07-43) - adds further aggravating factors. The firm's supervisory system may also be cited for failing to flag the concentration, the age-related red flags, and the misrepresented customer profile on the application.

Hypothetical 75

Topic: failure_to_know_customer | Difficulty: medium

Fact Pattern

In March 2022, Gerald Whitfield, a 71-year-old retired postal worker in Buffalo, New York, visited the office of financial advisor Danielle Moreno after receiving a mailer about "tax-advantaged retirement income solutions." Gerald had a modest financial profile: he received \$2,400 per month in Social Security benefits, a \$1,200 monthly pension, and had \$185,000 in a bank certificate of deposit that was maturing the following month. He also maintained a checking account with approximately \$8,500. Gerald had no prior investment experience beyond his CD and had never owned any securities, mutual funds, or insurance products other than a term life policy that had lapsed years earlier. He was widowed and had two adult children. Gerald told Danielle during their initial meeting that he wanted something "safe like the CD but maybe paying a little more interest" and that he might need access to some of the funds within the next two years because he was considering moving to an assisted living community closer to his daughter in Rochester. He mentioned he was in good health but acknowledged he had been diagnosed with early-stage chronic kidney disease during a recent physical. Danielle spent approximately 40 minutes with Gerald during the first meeting. She did not use a client profile questionnaire or any standardized intake form. She did not ask about Gerald's net worth, his monthly expenses, his tax bracket, any outstanding debts, or his broader estate planning goals. She took handwritten notes on a legal pad but did not document his stated liquidity

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needs, his mention of a potential move to assisted living, or his kidney disease diagnosis. At a second meeting one week later, Danielle recommended that Gerald invest \$170,000 - nearly all of his maturing CD - into a variable annuity issued by a New York-domiciled insurer. The product featured a seven-year surrender charge schedule starting at 7% in year one, declining by 1% per year. It included a guaranteed minimum income benefit rider with an annual rider charge of 1.15%, and the underlying subaccount options carried average annual fund expenses of 0.92%. The total all-in annual cost of the product was approximately 3.25%. Danielle selected an aggressive growth subaccount allocation - 60% in a small-cap equity fund and 40% in an international equity fund - without discussing the volatility characteristics of these funds with Gerald. She told Gerald the product would "grow tax-deferred and pay you income for life when you're ready." She did not discuss any alternative products such as fixed annuities, bank CDs, Treasury securities, or money market funds. She did not explain the surrender charges, the mortality and expense charges, the rider fees, or the market risk associated with the subaccount selections. Gerald signed the application and the transaction was processed. Within 14 months, the subaccounts had declined approximately 19% in value due to equity market volatility, reducing Gerald's account value to roughly \$137,700. Gerald then attempted to withdraw \$40,000 to fund his move to an assisted living facility, only to learn he would face a surrender charge of approximately \$2,400 in addition to having already sustained the market losses. Gerald filed a written complaint with the insurance company and the state insurance department, alleging that Danielle never asked him basic questions about his finances, never discussed the risks or costs, and recommended a product completely inconsistent with his needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Danielle Moreno committed multiple serious violations of applicable suitability and best-interest standards.

****Failure to Know the Customer - FINRA Rule 2330(b)(1):**** FINRA Rule 2330 requires that, prior to recommending a variable annuity, a registered representative must make reasonable efforts to obtain, at a minimum, information concerning the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing assets (including investments and insurance), liquidity needs, liquid net worth, risk tolerance, tax status, and other relevant information. Danielle failed to use any standardized client profile form, did not document Gerald's monthly expenses, net worth, tax bracket, outstanding debts, or estate planning objectives. She failed to record his explicitly stated liquidity needs (potential assisted living expenses within two years) and his health condition. This constitutes a textbook failure to know the customer.

****NAIC Model Regulation 275 - Suitability in Annuity Transactions (Section 6):**** Under Model 275, a producer must have reasonable grounds for believing that a recommendation is suitable based on facts disclosed by the consumer regarding investments, insurance products, financial situation, needs, and objectives. Danielle lacked the foundational customer information necessary to form any reasonable basis for her recommendation. Model 275 also requires that the consumer's insurance needs, financial objectives, and suitability profile be documented. No such documentation was created.

****NY Regulation 187 - Best Interest Standard:**** Because this transaction involved an annuity issued in New

York after August 1, 2019, it is subject to NY Regulation 187, which imposes a best-interest standard. Under NY Reg 187 (11 NYCRR 224), the producer must act in the best interest of the consumer at the time of the recommendation, considering the consumer's financial situation, insurance needs, and financial objectives, without placing the producer's financial interest ahead of the consumer's interest. The recommendation of a variable annuity with aggressive subaccount allocations, a seven-year surrender schedule, and total annual costs of 3.25% to a 71-year-old retired individual with no investment experience, a stated preference for safety, known near-term liquidity needs, and a health condition suggesting potential future medical expenses is fundamentally inconsistent with the best-interest standard. Danielle also failed to consider reasonably available alternatives (fixed annuities, CDs, Treasuries) as required.

****SEC Regulation Best Interest (Rule 15l-1):**** If Danielle was also acting as a broker-dealer associated person, Reg BI's Care Obligation requires that she exercise reasonable diligence, care, and skill in making the recommendation, including understanding the potential risks, rewards, and costs of the variable annuity; having a reasonable basis to believe the recommendation was in the customer's best interest considering the customer's investment profile; and having a reasonable basis to believe the recommendation did not place her financial interest ahead of the customer's. Her failure to gather basic customer information, her selection of an aggressive allocation inconsistent with his stated objectives, and her failure to consider lower-cost, more liquid alternatives all violate the Care Obligation. Additionally, the Disclosure Obligation under Reg BI requires disclosure of material facts about costs, risks, and conflicts of interest, none of which was adequately provided.

****Specific Violations Summary:****

1. Failure to collect and document required customer profile information (FINRA Rule 2330(b)(1); NAIC Model 275 Section 6(b); NY Reg 187 Section 224.4).
2. Recommending a product with a lengthy surrender period to a client with known short-term liquidity needs.
3. Selecting aggressive equity subaccounts for a risk-averse, elderly, inexperienced investor.
4. Concentrating nearly 92% of the client's liquid assets in a single illiquid product.
5. Failing to disclose material costs, risks, and surrender charges.
6. Failing to consider or present suitable alternatives.
7. Failing to act in the consumer's best interest as required under NY Reg 187 and Reg BI.

****Likely Regulatory Outcome:**** Danielle faces potential sanctions from FINRA (fines, suspension, or bar), state insurance department enforcement action (including license revocation under NY Reg 187 and NAIC Model 275), and potential SEC or state securities enforcement under Reg BI. The customer would likely prevail in arbitration or a complaint proceeding and be entitled to rescission or compensatory damages reflecting the surrender charges paid and investment losses attributable to the unsuitable allocation. The producing insurer may also face supervisory liability for inadequate oversight of the transaction.

Hypothetical 76

Topic: *annuity_unnecessary_switching* | Difficulty: *medium*

[NON-COM

Fact Pattern

Margaret Connolly, age 64, is a retired schoolteacher in Buffalo, New York, with a modest pension of \$42,000 per year, Social Security benefits of \$21,600 per year, and total liquid savings of approximately \$310,000. Her risk tolerance is moderate-conservative, and her primary investment objective is generating supplemental retirement income while preserving capital for potential long-term care needs. In March 2021, she purchased a variable annuity (Product A) through her financial advisor, Darren Kolchak, investing \$185,000. Product A carried a 7-year surrender schedule beginning at 7% and declining annually, a mortality and expense charge of 1.25%, an annual administrative fee of \$35, and offered a guaranteed minimum income benefit (GMIB) rider at an additional 0.85% annually. Margaret elected the GMIB rider at purchase. By January 2023 - less than two years into the surrender period - Darren contacted Margaret and recommended she surrender Product A and move the proceeds into a different variable annuity (Product B) offered by a competing carrier. Darren told Margaret that Product B had 'better fund options' and a 'newer, more flexible' income rider. Product B carried a new 8-year surrender schedule starting at 8%, a mortality and expense charge of 1.35%, a \$50 annual administrative fee, and an optional guaranteed lifetime withdrawal benefit (GLWB) rider at 1.00% annually. The surrender of Product A triggered a \$9,250 surrender penalty (5% of account value at the time, which had grown modestly to \$185,000 due to market volatility). Darren's written notes from the meeting stated only: 'Client wants better options and newer product features.' He did not document a side-by-side comparison of the two products' riders, fees, fund lineups, or surrender schedules. He did not analyze whether Margaret's existing GMIB rider - which had been accumulating a benefit base for nearly two years - was comparable to or more valuable than the GLWB rider in Product B given her age and time horizon. Margaret's new account application listed her investment objective as 'growth,' though all prior documentation consistently listed her objective as 'income' or 'income with capital preservation.' Darren earned a \$9,600 commission on the sale of Product B. His commission on the original Product A sale had been \$8,325. Margaret later discovered that the fund options in Product B largely overlapped with those in Product A, and the GLWB rider in Product B would not produce materially higher projected income than the GMIB she forfeited. She filed a complaint with her state insurance department in October 2023, alleging that the replacement was unnecessary and that Darren prioritized his own compensation over her financial interests.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Darren Kolchak likely violated multiple regulatory standards governing variable annuity replacements and suitability.

1. ****FINRA Rule 2330 (Variable Annuity Suitability):**** Under Rule 2330, a registered representative recommending a variable annuity exchange must have a reasonable basis to believe that the transaction is suitable, taking into account - among other factors - whether the customer would be subject to surrender charges on the existing annuity, whether the customer would lose existing benefits (such as death benefits or living benefit riders), whether the customer would be subject to a new surrender period, and whether the new product would confer a material benefit over the existing product. Here, Margaret incurred a \$9,250 surrender penalty, lost nearly two years of GMIB benefit base accumulation, entered a new and longer 8-year surrender period, and moved into a product with higher M&E charges (1.35% vs. 1.25%) and a higher rider fee (1.00% vs. 0.85%). Darren's documentation did not include a comparative analysis of costs,

benefits, or rider features. The vague notation - 'Client wants better options' - is insufficient to demonstrate a reasonable basis for the recommendation. This constitutes a clear violation of Rule 2330's heightened suitability requirements for VA exchanges.

2. ****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Model 275, as amended in 2020, imposes a best-interest standard on annuity recommendations. Under Section 6, a producer must act in the consumer's best interest at the time of the recommendation without placing the producer's financial interest ahead of the consumer's interest. The producer must demonstrate reasonable diligence, care, and skill, including a comparative analysis when recommending a replacement. Darren failed to perform or document any such analysis and earned a higher commission on the replacement product, suggesting a financial conflict that was not mitigated.

3. ****New York Regulation 187 (Best Interest Standard):**** Because Margaret resides in New York and the contract state is New York, NY Reg 187 applies. This regulation requires that any recommendation of an annuity transaction - including a replacement - must be in the best interest of the consumer, based on an evaluation of the consumer's suitability information, the insurer's product screening, and a comparison of the existing and proposed products. Producers must document the basis for each recommendation and may not place their compensation interest ahead of the consumer's. Darren's failure to conduct a documented side-by-side comparison, his alteration of the customer's stated investment objective from 'income/capital preservation' to 'growth' without justification, and the higher commission structure all suggest violations of NY Reg 187's best-interest standard.

4. ****Regulation Best Interest (SEC Rule 15l-1):**** If Darren is a broker-dealer representative, Reg BI's Care Obligation requires that he exercise reasonable diligence, care, and skill to understand the risks, costs, and rewards of the recommended transaction and have a reasonable basis to believe it is in the customer's best interest, considering reasonably available alternatives. The Disclosure Obligation also requires full and fair disclosure of material conflicts. The replacement here generated a higher commission for Darren while imposing materially higher costs and a new surrender period on the customer without a demonstrable benefit. This falls short of the Care Obligation. Additionally, the change to the customer's listed investment objective raises potential concerns under the Compliance Obligation if the firm's policies were circumvented.

****Likely Regulatory Outcome:**** Darren faces potential disciplinary action from FINRA for violating Rule 2330, enforcement action by the New York Department of Financial Services under Reg 187, and potential SEC or state regulatory action under Reg BI. Remedies could include disgorgement of commissions, restitution of surrender charges and excess fees paid by Margaret, fines, and possible suspension. The firm's supervisory structure may also be scrutinized for failure to flag the exchange under its internal compliance protocols.

Hypothetical 77

Topic: *senior_investor_exploitation* | Difficulty: *medium*

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Fact Pattern

Margaret Ellison, age 81, is a retired elementary school teacher living in Syracuse, New York. She has a modest fixed income consisting of a \$1,400 monthly pension and \$1,850 monthly in Social Security benefits, totaling approximately \$39,000 per year. Her total liquid savings amount to \$285,000, held primarily in bank certificates of deposit and a money market account. She owns her home outright, valued at approximately \$180,000. Margaret has no long-term care insurance and has expressed concerns to her family about potential nursing home costs. She describes herself as very conservative with money and has never owned equities or mutual funds. She has mild early-stage cognitive decline, which her daughter, Karen, mentioned to the advisor during an initial meeting in March 2022.

Her financial advisor, Dale Whitmore, age 44, met Margaret through a free dinner seminar at a local restaurant advertised as 'Retirement Income Protection for Seniors.' During the seminar, Dale discussed the dangers of inflation eroding fixed-income savings and suggested that attendees schedule individual appointments.

At the follow-up meeting on April 5, 2022, Dale recommended that Margaret liquidate \$240,000 of her CDs-incurring approximately \$3,200 in early withdrawal penalties-and invest the proceeds into a variable annuity with a guaranteed minimum income benefit rider. The specific product was the Horizon Growth & Income VA, which carried total annual expenses of 3.45% (including a 1.40% mortality and expense charge, a 0.95% administrative fee, and a 1.10% rider fee). The product featured a 7-year surrender period with a declining surrender charge starting at 8% in year one. The underlying subaccount allocations Dale selected were 60% in an aggressive growth equity fund and 40% in an international small-cap fund.

Dale's written notes from the meeting stated Margaret's investment objective as 'growth' and her risk tolerance as 'moderate,' neither of which aligned with anything Margaret had ever expressed verbally. Karen was not present at the April 5 meeting. Dale earned a 6.5% commission on the sale, totaling \$15,600.

By October 2023, the account had declined to \$198,500, a loss of over \$41,000, due to both market losses in the aggressive subaccounts and the high ongoing fees. Margaret needed to access funds to pay for in-home care assistance costing \$2,800 per month, but faced a 7% surrender charge on any withdrawal exceeding the 10% free withdrawal corridor, which would have cost her approximately \$13,300 on the amount she needed. Margaret's daughter filed a complaint with the state insurance department in December 2023.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dale Whitmore committed multiple serious violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 - Variable Annuity Suitability:****

FINRA Rule 2330 requires that before recommending a variable annuity purchase, a registered representative must have a reasonable basis to believe the transaction is suitable based on the customer's

investment profile, including age, income, financial situation, risk tolerance, liquidity needs, investment objectives, investment experience, and time horizon. Dale's recommendation fails virtually every element of this analysis:

1. **Age and Time Horizon:** Margaret is 81 years old. A variable annuity with a 7-year surrender period would lock her assets until age 88. This is presumptively unsuitable for an elderly customer with potential near-term liquidity needs, particularly given the known possibility of long-term care expenses.
2. **Liquidity Needs:** Margaret had no long-term care insurance and expressed concern about nursing home costs. Concentrating 84% of her liquid assets (\$240,000 of \$285,000) in an illiquid product with steep surrender charges directly contradicted her foreseeable liquidity needs.
3. **Risk Tolerance and Investment Experience:** Margaret had never owned equities, described herself as very conservative, and had all savings in CDs and money market accounts. Dale documented her risk tolerance as 'moderate' and her objective as 'growth,' which appear fabricated and inconsistent with all available information. The subaccount allocation of 60% aggressive growth equities and 40% international small-cap was wildly inappropriate for a conservative, inexperienced 81-year-old investor.
4. **Costs:** Total annual expenses of 3.45% are exceptionally high and create a significant drag on returns, particularly inappropriate for a client who could have maintained her CD and money market positions with virtually no expense and no principal risk.
5. **Cognitive Decline:** Karen informed Dale of Margaret's early-stage cognitive decline. This is a significant red flag that should have heightened Dale's duty of care and, at minimum, prompted involvement of a trusted contact person or additional safeguards-not an aggressive, complex product sale.

NAIC Model Regulation 275:

Model Regulation 275 (Suitability in Annuity Transactions) requires that producers have reasonable grounds for believing a recommendation is suitable based on facts disclosed by the consumer concerning investments, financial situation and needs, and other relevant information. The regulation also imposes insurer supervision obligations. Dale's recommendation fails the suitability inquiry under Model 275 because the product's surrender period, cost structure, risk profile, and illiquidity were fundamentally mismatched with Margaret's conservative profile, limited income, advanced age, and anticipated care needs.

New York Regulation 187 - Best Interest Standard:

Since this transaction occurred in New York after August 1, 2019, NY Reg 187 applies. This regulation requires that any recommendation involving an annuity transaction must be in the best interest of the consumer. The regulation evaluates whether the producer's recommendation reflects the care, skill, prudence, and diligence that a reasonably prudent person would exercise. Key considerations include:

- The recommendation must be based on an evaluation of the consumer's suitability information, including age, income, financial situation, tax status, objectives, risk tolerance, liquidity needs, and existing insurance products.

- The producer must not place their financial interest ahead of the consumer's interest.
- Compensation must not be a material factor in making the recommendation.

Dale earned a \$15,600 commission, representing 6.5% of the investment. The aggressive product selection, fabricated risk tolerance documentation, failure to account for liquidity needs, disregard of cognitive decline information, and the concentration of nearly all liquid assets in a single illiquid product strongly suggest that Dale prioritized his compensation over Margaret's interests. This is a clear violation of the best-interest standard under Reg 187.

****Reg BI (Rule 15l-1) Considerations:****

If Dale is also a registered representative of a broker-dealer, Regulation Best Interest under SEC Rule 15l-1 also applies to the securities component of this variable annuity recommendation. Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and ensuring costs are not excessive relative to alternatives. The Disclosure Obligation requires clear disclosure of material conflicts, including commission incentives. The Conflict of Interest Obligation requires policies to mitigate conflicts. Dale appears to have violated all three components.

****Likely Regulatory Outcome:****

Dale faces potential disciplinary action from FINRA (fines, suspension, or bar), enforcement action from the New York Department of Financial Services for Reg 187 violations, and potential action from the state insurance department. The insurer may also face scrutiny for supervisory failures under both NAIC Model 275 and Reg 187. Margaret would likely be entitled to rescission or compensatory damages, including the early CD withdrawal penalties, surrender charges, investment losses, and fees paid. The fabrication of client profile information is an aggravating factor that could lead to enhanced sanctions.

Hypothetical 78

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Margaret Dunleavy, age 74, is a retired school librarian living in Columbus, Ohio, on a fixed income of approximately \$2,400 per month from Social Security and a small state pension. Her total liquid savings amount to \$185,000, held primarily in a bank money market account and a short-term Treasury ladder she established with help from a previous advisor. She has no other investments and lists her home, valued at roughly \$210,000 with no mortgage, as her primary asset. Mrs. Dunleavy's prior account documentation consistently characterized her risk tolerance as conservative, her investment objective as capital preservation, her time horizon as short-term (one to three years), and her liquidity needs as moderate, given that she occasionally draws from savings to cover prescription drug costs and home maintenance expenses averaging \$6,000 to \$8,000 per year.

In March 2024, financial advisor Kyle Brennan of Keystone Financial Partners contacted Mrs. Dunleavy after obtaining her name from a direct-mail seminar response card. During a single in-home meeting lasting

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approximately 90 minutes, Brennan recommended she liquidate her entire Treasury ladder (\$110,000) and transfer \$95,000 of the proceeds into a variable annuity issued by National Horizon Life. The product selected was the "Horizon Growth & Income VA," which offered an optional Guaranteed Minimum Income Benefit (GMIB) rider at an additional annual cost of 1.15% of the account value. The base mortality and expense charge was 1.30%, the administrative fee was 0.15%, and the underlying sub-account options chosen by Brennan on Mrs. Dunleavy's behalf were allocated 60% to an aggressive growth equity fund (expense ratio 0.92%) and 40% to an international small-cap equity fund (expense ratio 1.05%). The combined all-in annual cost of the contract, including the rider and sub-account fees, was approximately 3.55% per year. The contract carried a seven-year surrender schedule beginning at 7% in the first year and declining by 1% each year.

Brennan's new-account paperwork for the variable annuity listed Mrs. Dunleavy's risk tolerance as "moderate-aggressive," her investment objective as "growth," and her time horizon as "long-term (10+ years)." These characterizations were sharply inconsistent with every prior account document on file. Brennan did not document any material change in Mrs. Dunleavy's financial circumstances, nor did he note any conversation in which she expressed a desire to accept significantly greater market risk. He also did not discuss lower-cost alternatives, such as a balanced mutual fund portfolio without surrender charges, or a fixed indexed annuity with lower fees and no direct equity market exposure. Mrs. Dunleavy signed the application, later telling a family member she "trusted the young man" and believed the guaranteed income rider meant she "couldn't lose money."

Within eight months of purchase, the aggressive equity and international small-cap sub-accounts declined approximately 18% due to broad market volatility. Mrs. Dunleavy's contract value fell to roughly \$77,900. When she attempted to withdraw \$7,500 to pay for an emergency furnace replacement, she was assessed a 7% surrender charge of \$525 on the amount exceeding the 10% free-withdrawal corridor, and she realized for the first time the extent of the contract's restrictions. She filed a complaint with her state insurance department in January 2025, alleging that Brennan never explained the risks, misrepresented her profile, and placed her in a product entirely unsuitable for her age, income, and financial needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes. Advisor Kyle Brennan committed multiple violations of applicable suitability and best-interest standards governing the sale of variable annuities.

1. ****FINRA Rule 2330 - Variable Annuity Suitability****: Under Rule 2330(b), before recommending a variable annuity, a registered representative must make reasonable efforts to obtain the customer's financial profile, including age, income, net worth, investment objectives, risk tolerance, time horizon, existing insurance holdings, and liquidity needs. Brennan obtained this information in prior documentation but deliberately altered the customer's recorded risk profile from conservative to moderate-aggressive and changed the time horizon from short-term to long-term (10+ years) without any documented basis. Rule 2330(b)(1)(A) requires that the representative have a reasonable basis to believe the customer would benefit from certain features of the variable annuity, such as tax-deferred growth, annuitization, or a death benefit. A 74-year-old conservative investor with a short time horizon and moderate liquidity needs gains minimal

benefit from tax deferral (which she could already achieve through other means) and faces significant harm from the seven-year surrender period and aggressive sub-account allocation. The recommendation fails the reasonable-basis, customer-specific, and quantitative suitability requirements embedded in FINRA's framework.

2. ****NAIC Model Regulation 275 (2020 Amendments - Best Interest Standard)****: Ohio adopted the revised Model 275 framework, effective August 1, 2023. Under this standard, the producer must act in the consumer's best interest at the time the recommendation is made, without placing the producer's financial interest ahead of the consumer's. The four component obligations are:

- ****Care Obligation****: The producer must exercise reasonable diligence, care, and skill in making the recommendation. Placing a 74-year-old, conservative, income-dependent retiree into a product with 3.55% annual all-in costs, a seven-year surrender schedule, and 60/40 aggressive-growth/international-small-cap allocation is fundamentally inconsistent with the care obligation. Brennan failed to consider reasonably available alternatives with lower costs and less market risk.

- ****Disclosure Obligation****: The producer must provide the consumer with a meaningful description of the material features of the product, including costs, risks, and limitations. Mrs. Dunleavy's later statements that she believed she 'couldn't lose money' indicate Brennan either failed to disclose or affirmatively misrepresented the nature of the variable annuity's market risk, conflating the GMIB rider (which only guarantees a minimum income base for future annuitization, not the account value itself) with principal protection.

- ****Conflict of Interest Obligation****: Brennan obtained Mrs. Dunleavy's name through a direct-mail seminar lead, and the high-cost variable annuity with an optional rider would generate significantly higher compensation than a low-cost alternative. There is no evidence Brennan disclosed his compensation or managed this conflict.

- ****Documentation Obligation****: Model 275 requires the producer to document the basis for the recommendation. Brennan not only failed to document the rationale but affirmatively falsified the customer profile to create the appearance of suitability.

3. ****NY Regulation 187 (applicable by analogy and in any New York-linked transaction)****: Although Mrs. Dunleavy resides in Ohio, Regulation 187's best-interest framework-effective since August 1, 2019 for annuity transactions-mirrors the Model 275 standard and has influenced enforcement expectations nationwide. The regulation requires that the recommendation be in the consumer's best interest based on evaluation of the consumer's stated needs, and explicitly prohibits basing a recommendation on the producer's compensation.

4. ****Regulation Best Interest (SEC Rule 15l-1)****: To the extent Brennan acted in a broker-dealer capacity through Keystone Financial Partners, Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation, considering the investment profile of the retail customer. The recommendation must reflect the customer's actual-not fabricated-investment profile. The Disclosure Obligation requires full and fair disclosure of all material facts, including costs and conflicts. The Conflict of Interest Obligation requires the firm to establish policies and procedures to identify, mitigate, and eliminate conflicts. Brennan's actions violate all three component obligations.

****Specific Violations****:

- Falsification of client risk profile and investment objectives on new-account documentation
- Recommendation of a high-cost variable annuity with aggressive sub-account allocation to a 74-year-old conservative retiree with limited income, moderate liquidity needs, and a short time horizon
- Failure to consider or present lower-cost, lower-risk alternatives
- Failure to adequately disclose surrender charges, sub-account volatility risk, and the true nature of the GMI B rider
- Concentration of more than 51% of liquid assets in a single illiquid product with a seven-year surrender period
- Likely compensation-motivated recommendation without disclosure of conflicts

****Likely Regulatory Outcome**:** The state insurance department would likely find a violation of the adopted best-interest standard under Model 275 and could impose administrative sanctions including fines, license suspension or revocation, and restitution. FINRA could pursue an enforcement action under Rule 2330 and the broader suitability/best-interest framework, resulting in potential suspension, disgorgement of commissions, fines, and restitution to Mrs. Dunleavy. The broker-dealer, Keystone Financial Partners, could face supervisory failure charges if it did not maintain adequate principal review procedures for variable annuity transactions as required under Rule 2330(c). SEC enforcement under Reg BI is also possible if the transaction involved a broker-dealer recommendation to a retail customer.

Hypothetical 79

Topic: *failure_to_know_customer* | Difficulty: *hard*

Fact Pattern

In March 2022, financial advisor Derek Fulton met with Margaret Cahill, a 71-year-old retired postal worker living in Albany, New York. Mrs. Cahill had recently lost her husband and received a \$410,000 life insurance death benefit, which she deposited into a money market account at her local bank. She had no prior investment experience and had never owned securities or insurance products beyond her husband's term life policy. Her only other assets consisted of a modest home valued at approximately \$185,000 (owned free and clear), a checking account with \$12,000, and Social Security income of \$2,150 per month. She also received a small federal pension of \$1,400 per month. She told Fulton during their first and only meeting that she was 'nervous about losing any of this money' and that her primary goal was to make sure she could cover potential long-term care expenses and leave whatever remained to her two grandchildren. The meeting lasted approximately 35 minutes. Fulton did not use a client intake questionnaire or risk tolerance assessment form. He took handwritten notes on a legal pad but did not record Mrs. Cahill's liquid net worth, her monthly living expenses, her existing insurance coverage, her tax bracket, or her investment time horizon. He did not ask whether she had any outstanding debts, medical conditions, or anticipated large expenditures. He did not inquire about her familiarity with variable annuities, subaccounts, surrender charges, or market risk. At the conclusion of the meeting, Fulton recommended that Mrs. Cahill invest \$375,000 - roughly 91% of the death benefit - into a variable annuity with a 7-year declining surrender charge schedule starting at 7%, annual mortality and expense charges of 1.35%, an administrative fee of 0.15%, and underlying subaccount expense ratios averaging 0.85%. The product also included an optional guaranteed minimum income benefit rider at an additional annual cost of 0.95%, bringing total annual fees

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to approximately 3.30%. Fulton selected an aggressive growth allocation for the subaccounts, placing 60% in a small-cap equity fund and 40% in an international emerging markets fund. He told Mrs. Cahill the product would 'protect her money while giving it room to grow.' He earned a \$26,250 commission on the sale. Fulton's new account documentation listed Mrs. Cahill's risk tolerance as 'moderate,' her investment objective as 'growth,' and her liquid net worth as '\$500,000' - figures that did not match the information she had provided. By September 2022, the account had declined approximately 18% in value due to equity market volatility, and Mrs. Cahill discovered she could not access her funds without paying a surrender charge of roughly \$22,000. She filed a complaint with the state insurance department in November 2022, stating she never understood the product's risks or fee structure and that she had told the advisor she could not afford to lose money.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Fulton committed multiple serious violations relating to his failure to know his customer and his unsuitable recommendation. Under FINRA Rule 2330 (Suitability - Variable Annuities), a registered representative must make reasonable efforts to obtain, at a minimum, the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing insurance coverage, liquid net worth, risk tolerance, and tax status before recommending a variable annuity. Fulton conducted a cursory 35-minute meeting with no standardized intake questionnaire, failed to ascertain Mrs. Cahill's monthly expenses, medical situation, existing coverage, tax bracket, time horizon, or investment experience, and made no effort to gauge her actual understanding of variable annuity mechanics.

The falsification of the new account form is an independent and particularly egregious violation. Listing her risk tolerance as 'moderate,' her objective as 'growth,' and her liquid net worth as \$500,000 - when she actually had roughly \$422,000 in total liquid assets, no investment experience, explicitly stated she could not afford losses, and wanted capital preservation - constitutes a material misrepresentation of customer information. This violates both FINRA Rule 2330 and FINRA Rule 4511 (books and records requirements) and could support a finding of fraud.

Under the NAIC Model Regulation 275 (Suitability in Annuity Transactions), producers must have a reasonable basis to believe a recommendation is suitable based on the consumer's disclosed financial situation, insurance needs, and objectives. Since Mrs. Cahill's entire profile - elderly widow, no investment experience, loss-averse, reliant on fixed income, with preservation and legacy as stated objectives - pointed toward conservative, liquid products, the recommendation of a high-cost variable annuity with aggressive equity subaccounts and a 7-year surrender period was manifestly unsuitable.

Because Mrs. Cahill was a New York resident, NY Regulation 187 also applies. Effective for annuity transactions since August 1, 2019, Regulation 187 imposes a best-interest standard requiring that the recommendation be in the consumer's best interest at the time of the transaction, considering the consumer's financial situation, insurance needs, financial objectives, and other relevant information. The regulation requires producers to act without placing their own financial interest ahead of the consumer's. Fulton's \$26,250 commission on a product that concentrated 91% of a loss-averse retiree's liquid assets in

aggressive equity subaccounts with a 3.30% total annual cost is strong evidence that his financial interest drove the recommendation.

Additionally, SEC Regulation Best Interest (Rule 15l-1), applicable to broker-dealer recommendations to retail customers, requires satisfaction of the Care Obligation - requiring reasonable diligence, care, and skill in making recommendations based on the customer's investment profile - and the Disclosure Obligation. Fulton's failure to gather basic customer information means he could not have had a reasonable basis for his recommendation. His statement that the product would 'protect her money while giving it room to grow' was misleading given the aggressive allocation and market risk inherent in the subaccounts.

GAO reports and academic studies on variable annuity mis-selling have consistently identified the pattern present here: elderly, unsophisticated customers with concentrated liquid assets being directed into high-cost, long-surrender-period variable annuities with aggressive allocations, generating substantial commissions for the advisor. The IRI's own guidance materials emphasize the importance of thorough customer profiling and matching product features to documented customer needs.

Likely regulatory outcomes include: FINRA enforcement action including potential bar or lengthy suspension for Fulton; state insurance department revocation or suspension of Fulton's insurance license under NY Regulation 187 and NAIC Model 275; potential SEC or state securities enforcement under Reg BI; restitution and rescission of the annuity contract; and possible referral for fraud if the falsified account documentation is deemed intentional. The broker-dealer employing Fulton could face supervisory failure charges for inadequate review of the transaction.

Hypothetical 80

Topic: *tax_deferred_unnecessary_annuity* | Difficulty: *medium*

Fact Pattern

In March 2023, financial advisor Derek Mullins met with Patricia Holloway, a 58-year-old high school principal earning \$112,000 per year. Patricia had accumulated \$340,000 in her employer-sponsored 403(b) plan, \$95,000 in a traditional IRA, and \$48,000 in a taxable brokerage account. She described herself as a moderate investor with a primary goal of growing her retirement savings over the next seven to ten years before retiring at age 65-67. She told Derek she wanted to consolidate some accounts and ensure her money was working efficiently. Derek recommended that Patricia roll her \$95,000 traditional IRA into a variable annuity contract issued by Pinnacle Life Insurance Company. The VA carried an annual mortality and expense charge of 1.35%, an administrative fee of 0.15%, and average underlying subaccount expense ratios of 0.85%, bringing the total annual cost to approximately 2.35%. The contract included a seven-year surrender charge schedule starting at 7% and declining by 1% per year. The product also featured an optional guaranteed minimum income benefit rider that added an additional 0.95% annual charge, which Derek included in the recommendation. Patricia's existing IRA had been invested in a diversified mix of index mutual funds with a blended expense ratio of 0.12%. Derek's notes from the meeting indicated that the primary rationale for the recommendation was 'tax-deferred growth' and 'downside protection via the income rider.' He did not document any discussion of the fact that the IRA

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already provided tax-deferred growth, nor did he compare the cost differential between the existing IRA holdings and the proposed VA. Derek earned a 5.5% commission of \$5,225 on the sale. Patricia signed the paperwork, and the rollover was processed in April 2023. By October 2023, Patricia contacted her state insurance department after a colleague informed her that annuities inside IRAs do not provide any additional tax-deferral benefit beyond what the IRA itself already offers.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Mullins likely violated both suitability and best-interest standards applicable to variable annuity transactions. Several regulatory frameworks are implicated.

****FINRA Rule 2330 (Variable Annuity Suitability):**** Under Rule 2330(b), a registered representative recommending the purchase or exchange of a deferred variable annuity must have a reasonable basis to believe that the transaction is suitable. Critically, the rule requires consideration of whether the customer would benefit from certain features of a deferred variable annuity, such as tax-deferred growth, annuitization, or a death benefit. Here, Patricia's IRA already provided tax-deferred growth, which was Derek's stated primary rationale. Placing a variable annuity inside a tax-qualified account like an IRA provides no incremental tax benefit-the layering of tax deferral is redundant. This is one of the most well-documented indicators of an unsuitable variable annuity recommendation. Rule 2330 also requires the registered representative to consider whether the aggregate cost structure is justified by the features provided.

****Cost Analysis:**** Patricia's existing IRA had a blended expense ratio of approximately 0.12%. The recommended VA, inclusive of M&E charges, administrative fees, subaccount expenses, and the income rider, carried total annual charges of approximately 3.30% (2.35% + 0.95%). This represents a cost increase of roughly 2,750% over her existing arrangement. On a \$95,000 investment over ten years, the cumulative cost differential could exceed \$25,000-\$30,000 depending on performance, creating substantial drag on her retirement savings. Derek failed to document or present this comparison to the client.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the revised NAIC Model #275 (adopted by most states), a producer must act in the consumer's best interest when recommending an annuity. The regulation requires that the recommendation be based on an evaluation of the consumer's financial situation, including existing products, and that cost be considered as a factor. The producer must have a reasonable basis to believe the consumer has been informed of the features of the annuity. Derek's failure to disclose or analyze the redundancy of tax deferral and the significant cost increase violates these requirements.

****NY Regulation 187:**** If this transaction occurred in New York, Regulation 187 imposes a best-interest standard that requires producers to consider reasonably available alternatives and ensure that the recommendation is in the consumer's best interest at the time of the transaction. The regulation explicitly requires consideration of costs relative to alternatives. Derek's recommendation would fail this analysis.

****Regulation Best Interest (SEC Rule 15l-1):**** If Derek is a broker-dealer representative, Reg BI's Care

Obligation requires that he exercise reasonable diligence, care, and skill in making the recommendation, including understanding the costs and risks of the product and evaluating reasonably available alternatives. The Disclosure Obligation requires full and fair disclosure of material facts, including conflicts of interest such as the \$5,225 commission. The failure to disclose the redundancy of tax deferral, the massive cost differential, and the seven-year surrender period that would limit Patricia's liquidity as she approaches retirement all constitute violations.

****Additional Concerns:**** The seven-year surrender schedule is particularly problematic given Patricia's stated retirement horizon of 7-10 years, as she may need access to these funds during the surrender period. The income rider, while offering downside protection, added nearly 1% in annual fees without documented analysis of whether Patricia needed or wanted guaranteed income features given her other retirement assets.

****Likely Regulatory Outcome:**** Derek would likely face supervisory action from FINRA for violating Rule 2330, potential state insurance department enforcement under applicable versions of NAIC Model 275, and possible Reg BI violations. Remedies could include rescission of the transaction, disgorgement of the commission, restitution of excess fees paid by Patricia, fines, and heightened supervision. His firm's supervisory procedures under Rule 2330(c) would also be scrutinized, as a principal should have flagged the tax-qualified-to-VA rollover for additional review. GAO reports and academic literature on VA mis-selling have consistently identified the placement of variable annuities inside already tax-advantaged accounts as a primary indicator of unsuitable sales practices.

Hypothetical 81

Topic: *high_fees_unsuitable* | Difficulty: *medium*

Fact Pattern

Margaret Delacroix, age 71, is a retired schoolteacher in Baton Rouge, Louisiana, living on a fixed income of approximately \$3,200 per month from her state pension and Social Security. She has \$185,000 in a bank CD ladder that she has maintained for over a decade, \$22,000 in a savings account, and no other investments. Her home is paid off. She has no dependents; her husband passed away in 2019. Margaret describes herself as very conservative and says her primary goal is preserving her savings so she can cover potential long-term care expenses and leave a modest amount to her church. She has no prior experience with securities or variable products.

In March 2023, her financial advisor, Dale Robichaux, who is dually registered with a broker-dealer and also holds an insurance license, contacted Margaret after learning her largest CD-worth \$140,000-was maturing. Dale met with her at her kitchen table and recommended she move the \$140,000 into a variable annuity issued by National Pacific Life. The product, called the "Horizon Growth VA," carried a mortality and expense risk charge of 1.45% annually, an administrative fee of 0.15%, and underlying sub-account expenses averaging 1.05%, bringing the all-in annual cost to approximately 2.65%. The contract also imposed a seven-year surrender charge schedule starting at 8% in year one and declining by one percentage point per year. Dale also recommended she add an optional guaranteed minimum income

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benefit rider costing an additional 1.10% per year, bringing total annual charges to roughly 3.75%.

Dale allocated 60% of the sub-accounts to equity growth funds and 40% to a balanced fund. He told Margaret the rider would "guarantee her income no matter what the market does" and that the product was "better than CDs because it could grow tax-deferred." He did not discuss the impact of the surrender charges on her liquidity, did not compare the annuity's projected returns net of fees against a simple CD renewal or Treasury bond ladder, and did not document her existing health concerns-Margaret had mentioned she was recently diagnosed with early-stage kidney disease and was uncertain about future medical costs.

Dale earned a 6.5% commission on the sale, totaling \$9,100. His firm's product shelf included several lower-cost fixed annuities, a fixed indexed annuity with no surrender charge beyond three years, and a no-load variable annuity available through the advisory platform. None of these alternatives were presented to Margaret.

By December 2023, the equity sub-accounts had declined 9% due to market volatility. Margaret's account value had dropped to approximately \$121,800 after fees and market losses. When Margaret called to withdraw \$15,000 for an unexpected medical procedure related to her kidney condition, she was informed she would owe a 7% surrender charge (\$1,050) plus potential tax penalties. She filed a complaint with her state insurance department in January 2024, alleging that Dale never explained the fees, surrender penalties, or the risks of market loss, and that the product was wholly inappropriate for someone in her financial and health situation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated applicable suitability and best-interest standards on multiple grounds.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under FINRA Rule 2330, before recommending a variable annuity, a registered representative must make reasonable efforts to obtain and consider the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing assets, liquidity needs, liquid net worth, risk tolerance, tax status, and other relevant information. The representative must also have a reasonable basis to believe that (a) the customer has been informed of the material features of the product, (b) the customer would benefit from certain features of the annuity such as tax-deferred growth, annuitization, or a death benefit, (c) the particular annuity as a whole and its underlying sub-accounts are suitable, and (d) exchanges or replacements, if applicable, meet an additional net-benefit analysis.

Here, Dale failed to adequately consider Margaret's age (71), conservative risk tolerance, limited liquid assets, health condition, and need for accessible funds. A seven-year surrender period with an 8% initial charge is plainly unsuitable for a 71-year-old with early-stage kidney disease and foreseeable medical expenses. The 60% equity allocation is inconsistent with her stated conservative posture. Dale also failed to inform Margaret of the material features-specifically the total 3.75% annual fee load and the surrender charge schedule's impact on liquidity.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the revised NAIC Model #275 (adopted in many states and reflecting a best-interest standard as of the 2020 amendments), an insurance producer must act in the best interest of the consumer, which includes a care obligation, a disclosure obligation, a conflict-of-interest obligation, and a documentation obligation. The producer must consider reasonably available alternatives. Dale had access to lower-cost fixed annuities and a no-load VA but failed to present or even consider them. The 6.5% commission created a material conflict of interest that was neither disclosed nor mitigated. The care obligation requires that the recommendation be in the consumer's best interest without placing the producer's financial interest ahead of the consumer's. The \$9,100 commission on a product with 3.75% annual fees, sold to a conservative 71-year-old retiree with health issues and limited liquidity, strongly suggests the producer's compensation interest drove the recommendation.

****NY Regulation 187 (applicable if transaction occurred in New York, and increasingly used as a benchmark in other states):**** Regulation 187 imposes a best-interest standard on annuity recommendations in New York, requiring producers to consider the consumer's existing assets, insurance products, financial situation, needs, values, and financial objectives, as well as reasonably available alternatives. Even if Margaret resides in Louisiana, state insurance departments increasingly align with this framework. The failure to compare the VA against a CD renewal or Treasury ladder, the failure to document health concerns affecting liquidity needs, and the failure to present lower-cost alternatives all constitute violations.

****Regulation Best Interest (SEC Rule 15l-1):**** As a dually registered representative making a recommendation to a retail customer, Dale was subject to Reg BI's four component obligations: Disclosure, Care, Conflict of Interest, and Compliance. The Care Obligation requires that the advisor exercise reasonable diligence, care, and skill to understand the product and have a reasonable basis to believe the recommendation is in the customer's best interest, considering the customer's investment profile and potential risks, rewards, and costs of the recommendation compared to alternatives. Dale failed to consider reasonably available alternatives (fixed annuities, no-load VAs, Treasury bonds, CD renewal), failed to weigh costs against benefits, and recommended an illiquid, high-fee equity-heavy product to a conservative elderly retiree with known health problems. The Conflict of Interest Obligation required Dale's firm to have policies to identify, disclose, and mitigate conflicts arising from the 6.5% commission—there is no indication this occurred. The Disclosure Obligation required full and fair disclosure of fees and material limitations, which Dale did not provide.

****Likely Regulatory Outcome:**** Dale faces potential enforcement action from both his broker-dealer's supervisory structure and the Louisiana Department of Insurance. Probable sanctions include disgorgement of the \$9,100 commission, restitution to Margaret (including surrender charges incurred), fines, and potential suspension or revocation of licenses. His broker-dealer may face supervisory failure charges under its obligation to review variable annuity transactions before transmittal. The fact pattern presents a textbook example of VA mis-selling driven by high commissions at the expense of a vulnerable, unsophisticated retiree with pressing liquidity needs.

Hypothetical 82

Topic: *failure_to_know_customer* | Difficulty: *medium*

Fact Pattern

In March 2022, financial advisor Derek Langston met with new client Evelyn Marsh, a 74-year-old retired schoolteacher living in Albany, New York, who had recently lost her husband. Mrs. Marsh came into the meeting carrying a folder of account statements and a check for \$285,000, representing the proceeds from her late husband's life insurance policy. She told Langston she wanted 'something safe that would give her income' and mentioned she was worried about running out of money because she had mounting medical expenses related to a recent hip replacement and anticipated needing in-home care within the next few years. Her only other assets were a \$42,000 savings account and monthly Social Security income of \$1,870. She had no pension and no other investment accounts. Langston spent approximately 25 minutes with Mrs. Marsh during the initial meeting. He did not use a client profile questionnaire or new account form during this meeting. He did not ask Mrs. Marsh about her risk tolerance, her tax situation, her existing insurance coverage, her monthly living expenses, or whether she had any beneficiaries or estate planning documents. He did not inquire about her investment experience; Mrs. Marsh later told a state insurance investigator that she had never owned any investment product other than a bank CD. At the conclusion of the meeting, Langston recommended that Mrs. Marsh invest \$260,000 into a variable annuity issued by National Prosperity Life, specifically the 'Horizon Growth VA' product with an optional Guaranteed Lifetime Withdrawal Benefit (GLWB) rider. The product carried a mortality and expense charge of 1.40%, an administrative fee of 0.15%, underlying sub-account expenses averaging 0.92%, and the GLWB rider cost an additional 1.10% annually, bringing total annual costs to approximately 3.57%. The product also carried a seven-year surrender charge schedule starting at 8% in the first year and declining to 0% in year eight. Langston earned a 6.5% commission on the sale, totaling \$16,900. Langston allocated 100% of the sub-account investments into an aggressive growth equity fund and an emerging markets fund, split 60/40. He did not discuss alternative products such as fixed annuities, immediate income annuities, bank CDs, or conservative balanced funds. He did not explain the surrender charge schedule or the impact of the layered fees on her returns. Mrs. Marsh signed the application that same day. Sixteen months later, in July 2023, Mrs. Marsh needed to withdraw \$85,000 to cover home health aide costs and medical bills. She was assessed a \$5,950 surrender charge (7% in year two), and her account value had also declined 14% due to the aggressive equity allocation during a market downturn, leaving her with significantly less than she had originally invested. Her daughter filed a complaint with the state insurance department in September 2023, alleging that Langston never took the time to understand her mother's financial situation and recommended an unsuitable product.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Langston committed multiple serious violations related to his failure to know his customer and his unsuitable recommendation.

****Failure to Know the Customer - FINRA Rule 2330 and NAIC Model Regulation 275:****

FINRA Rule 2330(b)(1) requires that, prior to recommending a variable annuity, a registered representative

must make reasonable efforts to obtain information concerning the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing assets (including other insurance and annuity products), liquidity needs, liquid net worth, risk tolerance, and tax status. Langston obtained virtually none of this information. He conducted no needs analysis, used no client profile form, and spent only 25 minutes with a newly widowed 74-year-old client before recommending a \$260,000 variable annuity. This constitutes a textbook violation of the know-your-customer requirement under Rule 2330(b).

The NAIC Model Regulation 275 (Suitability in Annuity Transactions), as adopted with modifications in New York through Regulation 187, imposes an affirmative duty on producers to obtain comprehensive consumer profile information before making an annuity recommendation. Under NY Reg 187, which applies to annuity transactions effective August 1, 2019, the producer must act in the best interest of the consumer and must gather sufficient information to form a reasonable basis for determining that the recommendation is suitable. Langston's failure to gather any meaningful information about Mrs. Marsh's financial profile, risk tolerance, liquidity needs, health status, investment experience, or tax situation violates these requirements.

****Suitability of the Recommendation:****

Even setting aside the information-gathering failures, the recommendation itself was unsuitable on multiple grounds:

1. ****Liquidity Needs:**** Mrs. Marsh explicitly stated she had mounting medical expenses and anticipated near-term care needs. Placing 91% of her liquid assets (\$260,000 of \$285,000 in insurance proceeds, plus only \$42,000 in savings) into a product with a seven-year surrender schedule starting at 8% directly contradicted her expressed and foreseeable liquidity needs. FINRA Rule 2330(b)(1)(A) specifically requires consideration of liquidity needs.
2. ****Age and Time Horizon:**** At 74, with health concerns and anticipated care needs, Mrs. Marsh had a short effective time horizon. A seven-year surrender period and aggressive equity allocation were inappropriate.
3. ****Risk Tolerance and Investment Experience:**** Mrs. Marsh had no investment experience beyond bank CDs and wanted 'something safe.' Allocating 100% of sub-account assets to aggressive growth and emerging markets funds was grossly inconsistent with her conservative profile.
4. ****Costs:**** Total annual costs of approximately 3.57% created an enormous drag on returns, particularly inappropriate for a conservative, income-oriented elderly investor. Langston earned \$16,900 in commissions without disclosing or discussing lower-cost alternatives.
5. ****Failure to Consider Alternatives:**** Under NY Reg 187's best-interest standard and NAIC Model 275 suitability requirements, the producer must consider reasonably available alternatives. Fixed annuities, single premium immediate annuities (SPIAs), or even bank CDs would have better addressed Mrs. Marsh's stated objectives. Langston recommended the most expensive, most complex, and most illiquid option without discussing any alternatives.

****Reg BI Considerations (if applicable to broker-dealer capacity):****

If Langston was acting in a broker-dealer capacity, SEC Regulation Best Interest (Rule 15l-1) requires the Care Obligation be met, meaning the advisor must exercise reasonable diligence, care, and skill to understand the product, the customer's investment profile, and whether the recommendation is in the customer's best interest. Langston failed all three prongs. The Disclosure Obligation under Reg BI was also violated by failing to explain the surrender charges, layered fees, and risks of the aggressive allocation.

****Likely Regulatory Outcome:****

Langston faces potential FINRA disciplinary action for violations of Rule 2330, including fines, suspension, and restitution. The New York Department of Financial Services could pursue enforcement under Regulation 187 for failure to act in the consumer's best interest, potentially resulting in revocation of his insurance license. The customer is likely entitled to rescission or compensatory damages. The producing broker-dealer's supervisory procedures under FINRA Rule 3110 would also come under scrutiny for failing to flag the concentration, the customer's age, and the absence of a completed customer profile before the transaction was approved.

Hypothetical 83

Topic: *variable_annuity_unsuitable* | Difficulty: *hard*

Fact Pattern

In March 2024, financial advisor Derek Whitfield met with Helen Kowalski, a 71-year-old retired schoolteacher living in Syracuse, New York. Helen's husband had passed away eight months earlier, and she had recently received \$410,000 from his life insurance policy. Her existing assets consisted of a \$185,000 IRA invested in a balanced mutual fund, \$62,000 in a savings account, a fully paid-off home valued at approximately \$240,000, and Social Security income of \$2,350 per month. Helen had no pension, no long-term care insurance, and described herself as a conservative investor whose primary goals were preserving her husband's life insurance proceeds and generating modest supplemental income to cover property taxes, utilities, and medical co-pays - roughly \$1,400 per month in additional expenses beyond what Social Security covered. She told Derek she had never owned a variable annuity and had limited experience with equities beyond her balanced fund.

Derek recommended that Helen invest \$365,000 of the life insurance proceeds into a variable annuity issued by Patriot Life & Annuity Company. The product featured a seven-year surrender charge schedule starting at 8% in year one and declining by 1% per year, an annual mortality and expense charge of 1.35%, an administrative fee of 0.15%, and underlying subaccount expense ratios averaging 0.92%. Derek also recommended the addition of a Guaranteed Minimum Income Benefit (GMIB) rider at a cost of 1.10% annually, bringing the total annual cost structure to approximately 3.52% of account value. The GMIB rider could not be exercised for ten years - meaning Helen would be 81 before she could annuitize under the guaranteed terms.

Derek's rationale, as documented in a brief suitability form, stated that the GMIB rider would 'protect

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Helen's income in retirement regardless of market conditions' and that the variable annuity's tax-deferred growth would benefit her long-term. He allocated the subaccounts as follows: 40% to a large-cap growth fund, 25% to an international equity fund, 15% to a small-cap value fund, and 20% to a high-yield bond fund. He did not discuss or present any alternative products such as a single premium immediate annuity (SPIA), a fixed annuity, a systematic withdrawal plan from a diversified portfolio, or a short-term bond ladder.

Helen signed the application materials after a single 90-minute meeting. Derek earned an upfront commission of \$25,550 (7% of the premium). Within five months, Helen contacted Derek because she needed \$18,000 for an emergency roof repair. She learned she would face a surrender charge of \$1,440 (8% on the withdrawal exceeding the 10% free-withdrawal corridor), plus potential tax consequences. She also realized that her monthly income needs were not being met because the annuity was not structured to provide current income, and her remaining liquid savings of \$107,000 (the \$62,000 in savings plus the \$45,000 of life insurance proceeds not invested) were being depleted faster than expected. By October 2024, Helen filed a complaint with her state insurance department alleging that Derek never explained the surrender charges, never discussed how she would meet her monthly income gap, and never presented lower-cost alternatives that could have addressed her stated needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Whitfield violated applicable suitability and best-interest standards on multiple grounds.

****1. FINRA Rule 2330 - Variable Annuity Suitability:****

FINRA Rule 2330 requires that before recommending a variable annuity, a registered representative must make reasonable efforts to obtain the customer's financial status, tax status, investment objectives, and other relevant information, and must have a reasonable basis to believe that (a) the customer has been informed of the material features of a variable annuity, including surrender charges, potential tax penalties, mortality and expense charges, fees, and market risk; (b) the customer would benefit from certain features of a variable annuity such as tax-deferred growth, annuitization, or a death benefit; and (c) the specific variable annuity as a whole is suitable. Here, Helen was a 71-year-old conservative investor with a near-term income need. The product's seven-year surrender schedule, ten-year GMIB waiting period, and aggressive equity-heavy subaccount allocation were fundamentally mismatched to her profile. Tax deferral inside a variable annuity provided minimal incremental benefit given her modest tax bracket. Derek failed to meaningfully inform Helen of surrender charge implications - evidenced by her surprise at the \$1,440 charge - and did not document a reasonable basis for believing the product's features aligned with her needs.

****2. NAIC Model Regulation 275 - Suitability in Annuity Transactions:****

The NAIC Model 275, as adopted by many states, requires that producers have a reasonable basis to believe an annuity recommendation is suitable based on the consumer's age, income, financial situation, existing insurance products, intended use of the annuity, financial time horizon, liquidity needs, risk tolerance, and financial objectives. Derek's recommendation fails virtually every factor: Helen's age (71) and income gap (\$1,400/month) demanded liquidity and current income, not a long-duration illiquid growth

product. Her conservative risk tolerance was contradicted by an 80% equity allocation in the subaccounts. Her financial time horizon was short to intermediate - she needed income immediately, not in ten years when the GMIB rider could be exercised. Derek concentrated 77% of Helen's total liquid assets in a single illiquid product, leaving her dangerously under-reserved for emergencies and ongoing expenses.

****3. New York Regulation 187 - Best Interest Standard:****

Because Helen resides in New York, the transaction is subject to NY Regulation 187, which since August 2019 (for annuity transactions) requires that recommendations be in the best interest of the consumer at the time of the transaction and that the producer's compensation not be a factor that compromises the best-interest determination. The regulation requires consideration of alternatives reasonably available to the producer. Derek earned a \$25,550 upfront commission (7%), one of the highest commission rates in the annuity marketplace. He did not present or consider a SPIA - which could have immediately addressed Helen's \$1,400/month income gap - nor a fixed annuity with lower costs and no market risk, nor a simple bond ladder or balanced portfolio with systematic withdrawals. The failure to consider and document why reasonably available, lower-cost alternatives were not recommended strongly suggests the recommendation was driven by compensation rather than Helen's interests. NY Reg 187 also requires that the producer consider the consumer's existing assets and insurance products in totality. Derek's plan left Helen with inadequate liquidity and no mechanism to address her primary stated objective of monthly income.

****4. Regulation Best Interest (SEC Rule 15l-1):****

If Derek's broker-dealer is subject to Reg BI (applicable to broker-dealer recommendations to retail customers), the Care Obligation under Rule 15l-1(a)(2)(ii) requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation, including understanding the potential risks, rewards, and costs of the recommendation, and having a reasonable basis to believe the recommendation is in the retail customer's best interest without placing the advisor's financial interest ahead of the customer's. The Cost Obligation further requires consideration of reasonably available alternatives. Derek's recommendation of a product with ~3.52% annual all-in costs, a seven-year surrender schedule, and an aggressive equity allocation to a 71-year-old conservative widow with immediate income needs and limited liquidity is a textbook failure of the Care Obligation. The \$25,550 commission, combined with the absence of any documented consideration of lower-cost alternatives, raises a strong inference of a Conflict of Interest Obligation violation as well.

****Likely Regulatory Outcome:****

Helen's complaint to the New York Department of Financial Services would likely trigger an investigation under Reg 187, potentially resulting in fines, restitution, and remedial action against Derek and his supervising firm. A FINRA examination could result in a Rule 2330 violation, leading to suspension, fines, and disgorgement of commissions. The firm's supervisory system would also be scrutinized under FINRA Rule 3110 for failure to flag a large VA sale to an elderly, conservative, recently bereaved customer with documented liquidity needs. Academic literature on VA mis-selling consistently identifies these fact patterns - elderly customers, concentration of liquid assets, aggressive subaccount allocations, high surrender periods relative to customer age and time horizon, and failure to present alternatives - as hallmarks of unsuitable recommendations.

Hypothetical 84

Topic: *illiquid_investments* | Difficulty: *hard*

Fact Pattern

Margaret Donnelly, age 71, is a retired school librarian living in Syracuse, New York. She receives \$2,400 per month from her state pension and \$1,850 per month in Social Security benefits. Her total liquid savings consist of \$310,000 in a bank certificate of deposit maturing in six months and \$45,000 in a savings account. She owns her home outright, valued at approximately \$185,000. Margaret has no other investments and has described herself as a conservative investor who needs her savings to supplement her fixed income to cover property taxes, medical co-pays, and occasional home repairs. She has no dependents and has listed her church and a local animal rescue as her beneficiaries.

In March 2023, Margaret's financial advisor, Dennis Harwood, who has been licensed for four years, met with her after she expressed concern about her CD rate being too low. During the meeting, Dennis recommended that Margaret invest \$275,000 of her CD proceeds into a variable annuity with a seven-year surrender period. The product carried a mortality and expense charge of 1.35%, an administrative fee of 0.15%, and average underlying subaccount expenses of 0.82%, bringing the total annual cost to approximately 2.32%. The annuity included an optional guaranteed minimum income benefit rider at an additional cost of 0.95% annually, bringing the all-in annual cost to roughly 3.27%. The surrender charges started at 8% in the first year and declined by one percentage point annually. Dennis allocated the subaccounts as follows: 40% to an equity growth fund, 25% to an international equity fund, 20% to a balanced fund, and 15% to a bond fund—resulting in an overall equity allocation of roughly 65%.

Dennis documented Margaret's risk tolerance as 'moderate growth' on the new account form, though Margaret's prior account paperwork from her CD purchase at the same firm six months earlier listed her risk tolerance as 'conservative' and her investment objective as 'preservation of capital.' Dennis did not document any explanation for the change in risk profile. He told Margaret that the guaranteed income rider would protect her principal no matter what and that she could access her money whenever she wanted through the annuity's free withdrawal provision of 10% annually without penalty. He did not explain that the guaranteed income benefit was only available as an annuitized income stream, not as a lump-sum guarantee of principal. He also did not disclose that accessing more than the free withdrawal amount would trigger surrender charges that could total \$22,000 in the first year.

By September 2023, Margaret needed \$40,000 for emergency roof repairs after storm damage. When she contacted Dennis, she learned that withdrawing \$40,000 would result in a surrender charge of approximately \$2,400 on the amount exceeding the free withdrawal allowance. Margaret also discovered that her account value had declined to approximately \$254,000 due to market losses in the equity subaccounts, compounded by the fee drag from the combined expense charges. Margaret filed a written complaint with the firm in October 2023, stating that Dennis never told her about the surrender charges, that she did not understand she would be locked into the product for seven years, and that she believed the guaranteed rider protected her full principal at all times. Dennis's firm's internal records show that no comparative analysis was performed between the variable annuity and alternative lower-cost, more liquid products such as a short-term bond fund or a new CD ladder. No supervisory principal conducted a heightened review of the transaction despite Margaret's age.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dennis Harwood committed multiple violations of applicable suitability and best-interest standards.

1. ****FINRA Rule 2330 - Variable Annuity Suitability****: Rule 2330 imposes specific obligations when recommending variable annuities. The advisor must have a reasonable basis to believe, based on the customer's investment profile, that (a) the customer would benefit from certain features of a deferred variable annuity, such as tax-deferred growth, annuitization, or a death benefit; (b) the particular variable annuity is suitable; and (c) the transactions as a whole are not excessive. Here, Margaret is 71 years old, conservative, income-dependent, and needs liquidity. A seven-year surrender-period variable annuity with 65% equity exposure and 3.27% all-in annual costs is fundamentally inconsistent with her documented conservative risk tolerance, preservation-of-capital objective, and liquidity needs. Dennis offered no documented rationale for why tax deferral or other VA-specific features benefited Margaret compared to simpler, more liquid alternatives.
2. ****FINRA Rule 2330(c) - Principal Review and Supervision****: Rule 2330 requires that a registered principal review and approve each variable annuity transaction. For customers aged 65 and older, firms typically apply heightened supervisory scrutiny. The firm's records show no supervisory principal conducted any heightened review, which is both a firm-level and advisor-level failure.
3. ****NAIC Model Regulation 275 (Suitability in Annuity Transactions)****: The NAIC Model, adopted in many states and recently amended to incorporate a best-interest standard, requires that an insurance producer have a reasonable basis to believe a recommendation is in the consumer's best interest based on the consumer's age, income, financial situation, existing insurance products, risk tolerance, liquidity needs, and financial objectives. The producer must consider the product's costs, the consumer's existing portfolio, and whether less costly or more liquid alternatives exist. Dennis failed on virtually every element: the product's illiquidity contradicted Margaret's near-term and ongoing liquidity needs; the 65% equity allocation contradicted her conservative profile; and no comparative analysis of alternatives was performed.
4. ****New York Regulation 187****: Because Margaret resides in New York, Regulation 187 applies. It imposes a best-interest standard on annuity recommendations, requiring the producer to act in the consumer's best interest at the time the recommendation is made, without placing the producer's financial interest ahead of the consumer's. The producer must consider reasonably available alternatives and document the basis for the recommendation. Dennis's recommendation of a high-cost, illiquid, equity-heavy VA to a 71-year-old conservative retiree with documented preservation-of-capital objectives-without any alternatives analysis-fails the Reg 187 best-interest standard. His commission on the \$275,000 transaction likely incentivized the recommendation.
5. ****SEC Regulation Best Interest (Rule 15l-1)****: If Dennis is a registered representative of a broker-dealer, Reg BI's Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the product's risks, rewards, and costs. The advisor must consider reasonably available alternatives. The Disclosure Obligation requires full

and fair disclosure of material facts, including costs and conflicts. Dennis misrepresented the guaranteed income rider as a principal guarantee, failed to disclose the practical impact of surrender charges, and altered the customer's documented risk tolerance without explanation-violations of both the Care and Disclosure Obligations.

6. ****Misrepresentation and Omissions****: Dennis told Margaret the rider 'protected her principal no matter what' and that she could 'access her money whenever she wanted,' both materially misleading statements. The GMB rider provides guaranteed annuitized income, not lump-sum principal protection. The free withdrawal provision is limited to 10% annually, and amounts above that trigger substantial surrender charges. These omissions and mischaracterizations constitute material misrepresentations.

7. ****Risk Tolerance Alteration****: Changing Margaret's documented risk tolerance from 'conservative' to 'moderate growth' without any documented explanation or life-event justification suggests the advisor manipulated the suitability profile to justify an otherwise unsuitable recommendation. This is a hallmark red flag in regulatory examinations and enforcement.

****Likely Regulatory Outcome****: Dennis faces potential FINRA disciplinary action including fines, suspension, and restitution. The firm faces supervisory failure charges under FINRA Rule 3110 for the absence of a principal review. The New York Department of Financial Services could pursue action under Regulation 187. Margaret would likely prevail in a FINRA arbitration claim for compensatory damages including the surrender charges, fee drag losses, and market losses attributable to the unsuitable equity allocation.

Hypothetical 85

Topic: *complex_products_unsophisticated_investor* | Difficulty: *hard*

Fact Pattern

Margaret Tully, age 71, is a retired postal worker living in Syracuse, New York, with a fixed monthly pension of \$2,450 and Social Security benefits of \$1,680 per month. She has no prior investment experience beyond a passbook savings account and a certificate of deposit. Her total liquid savings amount to \$310,000, held in a money market account at a local credit union. Margaret has a stated risk tolerance of 'conservative' and her primary financial objectives are capital preservation and maintaining access to funds for potential assisted-living expenses, as she was recently diagnosed with early-stage Parkinson's disease. She completed only a high school education and told her advisor, Kevin Danforth, that she 'doesn't understand Wall Street stuff' and simply wants her money to be safe. In February 2023, Danforth, a registered representative affiliated with a mid-size broker-dealer who also holds an insurance license, recommended that Margaret move \$265,000-roughly 85% of her liquid assets-into a single variable annuity contract with a seven-year surrender charge schedule starting at 8% in year one and declining by one percentage point annually. The contract carried total annual expenses of 3.42%, comprising a mortality and expense risk charge of 1.25%, an administrative fee of 0.15%, and average underlying sub-account fund expenses of 0.92%, plus an optional guaranteed minimum income benefit rider costing an additional 1.10% annually. Danforth allocated 60% of the sub-account value to an aggressive-growth equity fund, 25% to a

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mid-cap value fund, and 15% to an international emerging-markets fund. He explained the guaranteed income rider to Margaret by telling her it 'works like a pension-your money is completely protected no matter what the market does,' without clarifying the distinction between the benefit base used to calculate future income payments and the actual account value, which remained fully subject to market risk. Danforth did not discuss lower-cost alternatives such as fixed annuities, Treasury securities, or bank CDs. He earned a 6.5% upfront commission of \$17,225 on the sale. No written documentation exists showing that Danforth considered Margaret's health diagnosis, her liquidity needs, or the concentration of nearly all her savings in a single illiquid product. Three months after purchase, Margaret needed \$40,000 to cover a deposit for an assisted-living facility; she was assessed a surrender charge of \$3,200 and also realized that her account value had declined by approximately \$14,600 due to the aggressive sub-account allocations during a period of equity-market volatility.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Danforth committed multiple serious violations of applicable suitability and best-interest standards.

1. FINRA Rule 2330 - Variable Annuity Suitability: Rule 2330 requires that before recommending a variable annuity purchase, a registered representative must have a reasonable basis to believe the transaction is suitable based on the customer's age, income, financial situation, investment experience, investment objectives, risk tolerance, liquidity needs, and other relevant factors. Danforth failed on nearly every criterion. Margaret was 71 years old, had no investment experience, expressly stated conservative risk tolerance, needed liquidity for foreseeable medical and assisted-living costs, and depended on fixed income. Concentrating 85% of her liquid assets in a single variable annuity with a seven-year surrender period and aggressive equity sub-accounts is facially unsuitable. Rule 2330(b)(1)(A) also requires the representative to consider whether the customer would benefit from the tax-deferral features of a VA given the availability of other products; Danforth conducted no such comparative analysis.

2. NAIC Model Regulation 275 (Suitability in Annuity Transactions): The Model Regulation, adopted broadly among states, requires an insurance producer to have reasonable grounds to believe an annuity recommendation is suitable based on the consumer's financial situation, insurance needs, and stated objectives. It also imposes a care standard requiring the producer to act in the consumer's best interest at the time of the recommendation, exercise reasonable diligence, and ensure costs are not excessive in relation to the consumer's needs. The 3.42% all-in annual expense ratio, the long surrender period, and the aggressive allocation are inconsistent with Margaret's conservative profile and near-term liquidity requirements, evidencing a failure of the care standard.

3. New York Regulation 187: Because Margaret resides in New York, Regulation 187 applies and imposes a best-interest standard for annuity recommendations. Under Reg 187, the producer must act in the best interest of the consumer without placing the producer's financial interest ahead of the consumer's. The \$17,225 commission, combined with the absence of any documented consideration of lower-cost or more liquid alternatives, strongly suggests Danforth prioritized his own compensation. Reg 187 also requires evaluation of existing financial resources, insurance needs, the consumer's values and financial objectives,

and the product's features such as surrender charges, riders, and costs. No evidence of such evaluation exists in the file.

4. Regulation Best Interest (SEC Rule 15l-1 / Reg BI): As a registered representative of a broker-dealer, Danforth is subject to Reg BI's four component obligations-Disclosure, Care, Conflict of Interest, and Compliance. Under the Care Obligation, Danforth was required to exercise reasonable diligence, care, and skill to understand the product and have a reasonable basis to believe the recommendation was in the customer's best interest, considering the customer's investment profile and the potential risks, rewards, and costs. The recommendation fails this standard because: (a) the product's illiquidity conflicted with Margaret's foreseeable need for accessible funds; (b) the aggressive sub-account allocations contradicted her conservative risk tolerance; (c) the high all-in cost was excessive relative to her modest means; and (d) no reasonable-alternatives analysis was performed. Under the Conflict of Interest Obligation, the firm was required to have policies to identify and mitigate conflicts arising from compensation, and the outsized 6.5% commission created an obvious conflict that was neither disclosed nor mitigated.

5. Misleading Explanation of the GMIB Rider: Danforth told Margaret the rider makes her money 'completely protected no matter what the market does,' conflating the benefit base with the actual account value. This omission is materially misleading; the account value remained fully exposed to market losses, as evidenced by the \$14,600 decline within three months. This misrepresentation independently violates general antifraud and fair-dealing standards and compounds the suitability violations.

Aggravating factors include Margaret's age, lack of sophistication, health diagnosis creating foreseeable liquidity needs, the extreme concentration of assets, the absence of any documented suitability analysis, and the high commission. Likely regulatory outcomes include disgorgement of the commission, rescission or reformation of the transaction, restitution for surrender charges and market losses attributable to unsuitable allocation, possible fines, suspension or bar of the representative, and supervisory action against the broker-dealer for failure to supervise the transaction.

Hypothetical 86

Topic: tax_deferred_unnecessary_annuity | Difficulty: medium

Fact Pattern

In March 2023, financial advisor Derek Haines met with Margaret Ellison, a 58-year-old high school principal earning \$112,000 per year. Margaret had accumulated \$340,000 in her employer-sponsored 403(b) plan, held \$95,000 in a traditional IRA rolled over from a prior employer, and maintained \$72,000 in a taxable brokerage account invested in index funds. She described herself as moderately conservative and told Derek her primary goals were to continue growing her retirement savings over the next seven to nine years before retiring at age 66 or 67, and to keep her investment costs low. She mentioned that she was already maximizing her annual 403(b) contributions and had no immediate liquidity needs beyond a six-month emergency fund she kept in a high-yield savings account.

Derek recommended that Margaret move her \$95,000 traditional IRA into a variable annuity issued by

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National Keystone Life Insurance Company. The product, called the Keystone Advantage Select VA, carried an annual mortality and expense risk charge of 1.35%, an administrative fee of 0.15%, and underlying subaccount expense ratios averaging 0.82%, bringing the all-in annual cost to approximately 2.32%. The contract also imposed a seven-year surrender charge schedule starting at 7% in year one and declining by one percentage point each year. Derek selected the optional Guaranteed Minimum Income Benefit rider, which added another 0.95% annually, bringing total annual charges to roughly 3.27%. Derek told Margaret that the variable annuity would give her "an extra layer of tax-deferred growth" and "guaranteed retirement income she can't outlive." He did not discuss that her traditional IRA already provided tax-deferred growth or compare the cost differential between keeping the IRA invested in low-cost index funds versus the variable annuity. He also did not explore whether lower-cost alternatives-such as a no-load variable annuity or a simple balanced index fund portfolio within the existing IRA-might accomplish her objectives at a fraction of the cost. Derek earned a 5.5% commission of \$5,225 on the sale. Margaret signed the application and the transfer paperwork that afternoon. Six months later, Margaret's daughter was diagnosed with a serious illness, and Margaret needed \$30,000 to help with medical expenses. When she attempted to withdraw funds from the annuity, she was assessed a 7% surrender charge of \$2,100 plus ordinary income tax on the gains, reducing her net withdrawal significantly. She filed a complaint with her state insurance department alleging that Derek never explained the surrender penalties and that the product was unnecessary given her existing tax-deferred accounts.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Haines likely violated multiple applicable standards governing the sale of variable annuities.

****FINRA Rule 2330 - Members' Responsibilities Regarding Deferred Variable Annuities:****

Under FINRA Rule 2330(b), before recommending the purchase of a deferred variable annuity, a registered representative must have a reasonable basis to believe that the customer has been informed of the material features of the product, including surrender charges, mortality and expense charges, potential tax penalties, and the insurance and investment components. Derek failed to adequately disclose the seven-year surrender schedule and the cumulative annual cost structure exceeding 3.27%. More critically, Rule 2330(b)(1)(A) requires that the representative consider whether the customer would benefit from features of a deferred variable annuity-such as tax-deferred growth-in light of the customer's existing financial profile. Margaret's \$95,000 was already in a traditional IRA, which by its nature provides tax-deferred growth. Placing tax-deferred money inside another tax-deferred wrapper (the variable annuity) provides no incremental tax benefit while layering on substantial additional costs-the hallmark of a "tax-deferred unnecessary annuity" violation.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):****

As revised to incorporate the best interest standard adopted by most states, Model 275 Section 6 requires that a recommendation to purchase an annuity must be in the consumer's best interest at the time of the transaction, considering the consumer's financial situation, insurance needs, financial objectives, and existing assets including other annuity and insurance products. The regulation further requires that the producer consider reasonably available alternatives and that the recommendation not place the producer's financial interest ahead of the consumer's. Derek's recommendation failed the care obligation component of

this standard because (1) the IRA already enjoyed tax deferral, making the annuity's principal marketed benefit redundant; (2) the all-in cost of approximately 3.27% per year dramatically exceeded the roughly 0.05%-0.15% Margaret was paying in her index fund IRA, eroding her retirement accumulation by tens of thousands of dollars over the remaining investment horizon; (3) the seven-year surrender period was inconsistent with Margaret's moderately conservative profile and her stated timeline of seven to nine years, leaving her with almost no liquidity from this asset during the accumulation phase; and (4) the Guaranteed Minimum Income Benefit rider, at 0.95% per year, was not clearly needed by a client who already had a pension-like benefit through her school district and had not expressed concern about longevity risk.

****New York Regulation 187 (applicable if the transaction occurred in NY or serves as a persuasive model in other states):****

Regulation 187 explicitly requires that a producer must act in the best interest of the consumer, and that there must be a reasonable basis to believe the consumer has been informed of and understands the features of the annuity, including fees. It also requires documentation of the basis for the recommendation. Derek's failure to discuss the redundancy of tax deferral, failure to present lower-cost alternatives, and failure to weigh the surrender charge risk against Margaret's potential liquidity needs would constitute violations under this standard.

****Regulation Best Interest (SEC Rule 15l-1):****

If Derek is also a registered representative of a broker-dealer (which is typical for variable annuity sales), Regulation Best Interest applies. The Care Obligation under Reg BI requires that the broker-dealer and associated person exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and to have a reasonable basis to believe the recommendation is in the retail customer's best interest, considering reasonably available alternatives. Recommending a product with total annual charges of 3.27% and a seven-year surrender schedule to replace a low-cost IRA that already provided the same tax treatment fails the cost-consideration prong of the Care Obligation. The Disclosure Obligation also required full and fair disclosure of material facts about the recommendation, including conflicts of interest-Derek's \$5,225 commission created a significant financial incentive that went undisclosed or inadequately addressed.

****Likely Regulatory Outcome:****

Derek faces potential disciplinary action from FINRA (fine, suspension, or bar) for violating Rule 2330's suitability requirements and Reg BI's care and disclosure obligations. His insurance license could be subject to revocation or suspension by the state insurance department for violating the state's adopted version of Model Regulation 275. Margaret would likely be entitled to rescission of the annuity contract or restitution including the surrender charge she paid, the excess costs incurred, and possibly consequential damages. The supervising broker-dealer could face a failure-to-supervise charge under FINRA Rule 3110 for not identifying the red flag of a tax-deferred-to-tax-deferred transfer into a high-cost product. Academic research and GAO reports have repeatedly identified this exact pattern-wrapping already tax-advantaged assets in a variable annuity solely to generate commissions-as one of the most common forms of variable annuity mis-selling.

Hypothetical 87

Topic: *complex_products_unsophisticated_investor* | Difficulty: *hard*

Fact Pattern

Margaret Olsen, age 71, is a retired elementary school teacher living in Utica, New York. She receives a monthly pension of \$2,850 and Social Security of \$1,640. Her total liquid savings consist of \$285,000 in a bank certificate of deposit and \$42,000 in a savings account. She owns her home outright, valued at approximately \$165,000. Margaret has no investment experience beyond bank CDs and her pension. Her stated investment objective on her new account form, which was filled out by her advisor, is 'growth and income,' and her risk tolerance is marked 'moderate.' Margaret's highest level of education is a two-year associate degree. She has no dependents; her husband passed away in 2019.

In March 2023, Margaret met financial advisor Derek Fanning at a free dinner seminar at a local restaurant. The seminar was titled 'Protect Your Retirement Savings from Market Volatility.' During the seminar, Derek emphasized the importance of guaranteed income streams and protection from inflation. After the seminar, Margaret scheduled an office visit.

At the meeting, Derek recommended that Margaret liquidate her \$285,000 CD - which was earning 4.15% APY with nine months remaining until maturity, resulting in an early withdrawal penalty of approximately \$4,400 - and invest the proceeds into a variable annuity with a Guaranteed Minimum Income Benefit (GMIB) rider. The specific product was the Apex Lifetime Growth VA, which carried a mortality and expense risk charge of 1.35%, an administrative fee of 0.15%, an average underlying sub-account expense ratio of 0.92%, and the GMIB rider fee of 1.10%, bringing the total annual cost to approximately 3.52%. The product carried a seven-year declining surrender charge schedule starting at 7% in year one and declining to 1% in year seven.

Derek allocated the entire \$285,000 into the VA across six equity-heavy sub-accounts: 30% in an aggressive growth fund, 25% in an international equity fund, 20% in a mid-cap growth fund, 15% in a technology sector fund, and 10% in a bond index fund. Derek did not discuss alternative products such as fixed annuities, immediate annuities, bond funds, or simply renewing the CD. He told Margaret that her money would 'grow tax-deferred and she'd have guaranteed income for life,' but he did not explain the surrender charges, the total annual fee drag, the market risk of the sub-accounts, or the fact that the GMIB rider could only be exercised after a ten-year waiting period, at which point Margaret would be 81 years old.

Derek earned a gross commission of \$16,530 (5.8% of the premium) on the sale. His firm's product committee had flagged the Apex Lifetime Growth VA as unsuitable for clients over age 70 with limited liquid assets, but this internal guidance was advisory rather than mandatory. Derek did not document any rationale for why this product was appropriate for Margaret over simpler alternatives. He also did not note Margaret's existing guaranteed income sources (pension and Social Security totaling \$4,490/month) or analyze whether she had an actual income gap that the GMIB rider would address.

By December 2023, the sub-accounts had declined 11.2% due to equity market corrections, bringing the account value to approximately \$253,080. Margaret needed \$18,000 for emergency roof repairs but learned she would owe a 7% surrender charge (\$1,260 on the withdrawal) plus potential tax consequences on any

gains. She filed a complaint with her state insurance department in January 2024, stating she was never told about the surrender period or fees and that she believed she was purchasing something similar to a CD with better returns.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated multiple applicable suitability and best-interest standards in a particularly egregious manner.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under FINRA Rule 2330, before recommending the purchase of a variable annuity, a registered representative must make reasonable efforts to obtain the customer's financial status, tax status, investment objectives, and other relevant information. The advisor must then have a reasonable basis to believe that (a) the customer would benefit from certain features of a VA (such as tax-deferred growth, annuitization, or a death benefit), (b) the particular VA as a whole is suitable, and (c) the underlying sub-account allocations are suitable. Derek Fanning failed all three prongs.

First, Margaret already had \$285,000 in a CD earning 4.15% with no market risk - a product well-suited to her conservative profile, age, and liquidity needs. She had no demonstrated need for tax-deferred growth (she was 71, in a low tax bracket, and the VA would convert favorable capital gains treatment into ordinary income upon withdrawal). Her existing pension and Social Security already provided \$4,490/month in guaranteed income, undermining any claim that the GMIB rider addressed an income gap. The GMIB rider would not even be exercisable until Margaret was 81, raising serious questions about the time horizon.

Second, the sub-account allocation was overwhelmingly aggressive: 90% equity, including 30% aggressive growth and 15% technology sector - wildly inconsistent with a 71-year-old retiree with no investment experience and a need for capital preservation and liquidity. Even the 'moderate' risk tolerance marked on the account form (which Margaret did not fill out herself) would not support such an allocation.

Third, Derek failed to consider or present reasonable alternatives as required. He did not discuss fixed annuities, single premium immediate annuities (SPIAs), bond ladders, or simply renewing the CD - any of which would have been more appropriate for Margaret's profile.

****NAIC Model Regulation 275:**** Under the NAIC Suitability in Annuity Transactions Model Regulation (Model 275, as amended in 2020 to incorporate a best-interest standard), a producer must act in the best interest of the consumer and must have a reasonable basis to believe the recommendation is suitable based on the consumer's financial situation, insurance needs, age, risk tolerance, liquidity needs, and existing coverage. The producer must consider reasonably available alternatives. Derek's recommendation fails this standard because: (1) the total all-in cost of 3.52% annually drastically exceeded the 4.15% CD yield while introducing significant market risk; (2) the seven-year surrender schedule locked up virtually all of Margaret's liquid savings, creating severe liquidity risk for a 71-year-old with no other liquid assets beyond \$42,000 in savings; (3) no needs analysis or alternatives comparison was documented; and (4) his firm's own product committee had flagged this VA as unsuitable for clients over 70 with limited liquidity.

****New York Regulation 187:**** Because Margaret resides in New York, NY Reg 187 applies. This regulation requires that recommendations be in the best interest of the consumer at the time of the transaction, considering the consumer's age, annual income, financial situation, financial objectives, intended use of the product, financial time horizon, existing assets, liquidity needs, liquid net worth, risk tolerance, and tax status. It also prohibits placing the producer's financial interest ahead of the consumer's interest. The \$16,530 commission (5.8%) created a significant financial incentive that appears to have driven the recommendation. Derek's failure to document any rationale, failure to disclose material features (surrender charges, fees, GMIB waiting period), and failure to consider alternatives all constitute violations of Reg 187's best-interest and disclosure requirements.

****SEC Regulation Best Interest (Rule 15l-1):**** If Derek is also a registered representative of a broker-dealer (as is typical for VA sales), Reg BI applies to the recommendation. Under the Care Obligation, the advisor must exercise reasonable diligence, care, and skill to understand the product and its risks and have a reasonable basis to believe the recommendation is in the customer's best interest, considering the customer's investment profile. The Disclosure Obligation requires full and fair disclosure of all material facts relating to conflicts of interest, costs, and risks. Derek failed the Care Obligation by recommending an illiquid, high-cost, equity-heavy VA to an elderly, unsophisticated, low-risk-tolerance client whose needs were well-served by her existing CD. He failed the Disclosure Obligation by not explaining surrender charges, total fees, sub-account risks, or the GMIB waiting period. He failed the Conflict of Interest Obligation by not mitigating the influence of his \$16,530 commission on the recommendation.

****Likely Regulatory Outcome:**** This case involves multiple compounding red flags - dinner seminar solicitation of a senior investor, liquidation of a safe asset to fund a complex product, aggressive sub-account allocation inconsistent with the client's profile, failure to document suitability rationale despite internal product warnings, failure to disclose material terms, and a large commission incentive. This would likely result in: (1) the New York Department of Financial Services finding violations of Reg 187 and potentially imposing fines and license sanctions; (2) FINRA bringing an enforcement action for Rule 2330 and Rule 2111 (general suitability) violations, with potential restitution, fines, and suspension or bar; (3) potential SEC or state-level Reg BI enforcement; and (4) a successful customer arbitration claim for damages including the CD early withdrawal penalty, surrender charges, fee drag, investment losses, and consequential damages related to the roof repair liquidity crisis.

Hypothetical 88

Topic: *high_fees_unsuitable* | Difficulty: *medium*

Fact Pattern

Margaret Hollis, age 74, is a retired elementary school teacher living in Syracuse, New York. She has a fixed pension of \$2,800 per month and receives \$1,650 per month in Social Security benefits. Her total liquid savings amount to \$185,000, held primarily in a bank money market account and a \$40,000 certificate of deposit. She owns her home outright and has no outstanding debts. Mrs. Hollis described her investment objective as capital preservation and generating modest supplemental income to cover occasional medical expenses and home maintenance. She told her advisor, Craig Devereaux, that she had

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a low risk tolerance, had never invested in equities, and wanted to keep her money safe and accessible.

In March 2023, Devereaux recommended that Mrs. Hollis move \$160,000-approximately 86% of her liquid assets-into a variable annuity issued by National Horizon Life Insurance Company. The product selected was the "Horizon OptiGrowth VA," which carried a mortality and expense risk charge of 1.45% annually, an administrative fee of 0.15%, and underlying sub-account fund expenses averaging 1.12%, bringing total annual fees to approximately 2.72%. The contract also included a guaranteed minimum withdrawal benefit rider costing an additional 1.05% per year, raising the all-in annual cost to approximately 3.77% of the account value-roughly \$6,032 per year on the initial investment. The contract imposed a seven-year declining surrender charge schedule starting at 8% in year one and decreasing by 1% each year.

Devereaux allocated the sub-accounts as follows: 40% to a mid-cap growth fund, 30% to an international equity fund, and 30% to a high-yield bond fund. None of the sub-accounts were in fixed-income or money market options. Devereaux earned a 6.5% upfront commission of \$10,400 on the sale.

Mrs. Hollis was not informed about lower-cost alternatives such as fixed annuities, single premium immediate annuities, or balanced mutual fund portfolios that could have met her stated income and preservation objectives at a fraction of the cost. Devereaux did not document any discussion of the product's high fee structure relative to her modest return needs, nor did he explain the practical implications of the surrender charge schedule given her age and potential need for liquidity to fund healthcare expenses.

By November 2023, Mrs. Hollis needed \$18,000 to pay for an unexpected roof replacement and emergency dental surgery. She contacted Devereaux about accessing her funds, only to learn she would incur a surrender charge of approximately \$1,260 (7% on the excess above the free withdrawal allowance) on top of having already paid roughly \$4,020 in annualized fees during the eight months she held the contract. The account had also declined in value by approximately 4.3% due to equity market volatility in the sub-accounts selected, reducing her account balance to roughly \$147,100 before any withdrawal penalties.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Devereaux violated applicable suitability and best-interest standards on multiple grounds.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under FINRA Rule 2330, a registered representative must have a reasonable basis to believe that a variable annuity transaction is suitable before recommending it. Specifically, Rule 2330(b)(1) requires consideration of the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, investment time horizon, existing assets, liquidity needs, liquid net worth, risk tolerance, and tax status. Devereaux failed this analysis in several critical respects:

1. ****Age and Time Horizon:**** Mrs. Hollis was 74 years old. A seven-year surrender charge period means she would not have penalty-free access to her full principal until age 81. At her age, liquidity needs for healthcare and home maintenance are foreseeable and should have been weighted heavily.

2. ****Liquidity Needs:**** Allocating 86% of her liquid assets to an illiquid product with steep surrender charges left Mrs. Hollis with only \$25,000 in accessible funds—clearly inadequate given her modest fixed income and the reality of unpredictable expenses in retirement.

3. ****Risk Tolerance Mismatch:**** Mrs. Hollis explicitly stated she had low risk tolerance, no equity experience, and a capital preservation objective. Devereaux allocated 100% of the sub-accounts to equity and high-yield bond funds—an aggressive allocation fundamentally inconsistent with her stated preferences and needs.

4. ****Excessive Fee Burden:**** Total annual expenses of approximately 3.77% are extraordinarily high for a client whose stated objective is capital preservation and modest income. For the investment to merely break even after fees, the portfolio would need to generate nearly 4% annually before any real return to the client. Lower-cost alternatives (fixed annuities, SPIAs, low-cost balanced funds) were readily available and far more aligned with her objectives.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the revised NAIC Model 275, which has been adopted or substantially adopted by most states, an insurance producer must act in the consumer's best interest at the time of the recommendation. The producer must consider reasonably available alternatives and must not place their financial interest ahead of the consumer's interest. The 6.5% commission (\$10,400) strongly suggests a compensation-driven recommendation rather than one rooted in the consumer's needs. The failure to present or document consideration of lower-cost alternatives (fixed annuities, SPIAs) violates the care obligation embedded in the model regulation.

****New York Regulation 187:**** Because Mrs. Hollis resides in New York, Regulation 187 (11 NYCRR 224) applies and imposes an explicit best-interest standard for annuity recommendations made on or after August 1, 2019 (for annuity transactions). Under Reg 187, the producer must act in the best interest of the consumer, evaluate the consumer's financial situation holistically, and consider the insurer's product as compared to alternatives available through the producer. Devereaux's failure to document the consideration of suitable alternatives, combined with the manifestly unsuitable fee structure and risk allocation, constitutes a clear violation.

****SEC Regulation Best Interest (Reg BI, Rule 15l-1):**** If Devereaux is a broker-dealer associated person (as the commission structure suggests), Reg BI's Care Obligation under Rule 15l-1(a)(2)(ii)(B) requires that he exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest, considering the customer's investment profile. Recommending a high-cost, equity-heavy variable annuity to a 74-year-old capital-preservation-oriented client with limited liquid assets and no equity experience fails this standard. The Conflict of Interest Obligation also required identification, disclosure, and mitigation of the significant compensation conflict (\$10,400 commission).

****Likely Regulatory Outcome:**** Devereaux faces potential enforcement action from FINRA for a Rule 2330 violation, action by the New York Department of Financial Services for a Regulation 187 violation, and potential SEC or FINRA action under Reg BI. Remedies could include disgorgement of commissions,

restitution to Mrs. Hollis for losses and excess fees, fines, suspension, or enhanced supervisory requirements. The firm's supervisory system under FINRA Rule 3110 would also be scrutinized for failing to flag this transaction given the customer profile. Academic literature and GAO reports on variable annuity mis-selling have consistently identified precisely this pattern-high-cost VA sales to elderly, low-risk-tolerance clients with concentrated liquid assets-as the archetype of an unsuitable recommendation.

Hypothetical 89

Topic: *tax_deferred_unnecessary_annuity* | Difficulty: *medium*

Fact Pattern

In March 2023, financial advisor Derek Holloway met with Patricia Engel, a 58-year-old public school teacher earning \$72,000 annually. Patricia had accumulated \$410,000 in her 403(b) retirement plan through her school district, \$45,000 in a traditional IRA, and \$18,000 in a savings account. She described herself as a conservative investor with a primary goal of preserving her retirement savings and generating modest income after her planned retirement at age 65. She told Derek she was interested in consolidating her retirement accounts for simplicity and wanted something 'safe and steady.' Derek recommended that Patricia roll her \$45,000 traditional IRA into a variable annuity issued by Keystone Life Insurance Company. The product - the Keystone Advantage Plus VA - carried a mortality and expense risk charge of 1.40% annually, an administrative fee of 0.15%, and underlying sub-account fund expenses averaging 0.92%. The contract also imposed a seven-year surrender charge schedule starting at 7% in the first year and declining by 1% each year. An optional guaranteed minimum income benefit rider was added at an additional annual cost of 0.95%. Total all-in annual expenses on the contract came to approximately 3.42%. Derek's notes from the meeting stated that the variable annuity would provide 'tax-deferred growth' as a key benefit justifying the recommendation. He documented Patricia's risk tolerance as 'moderate' on the new account form, despite her repeated verbal statements about being conservative and wanting safety. Derek received a \$2,700 commission on the sale. Patricia's existing traditional IRA had been invested in a diversified bond index fund with an expense ratio of 0.06%, and the IRA already provided tax-deferred growth. Six months later, the sub-accounts Patricia was placed in had declined 8.2% in value due to equity market volatility, and when she called to withdraw funds to cover an unexpected roof repair costing \$6,500, she was informed she would owe a 7% surrender charge of approximately \$2,730 on top of the market losses. Patricia filed a complaint with her state insurance department alleging that Derek never explained the surrender charges, overstated the tax benefits, and placed her in an unsuitable product.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Holloway committed multiple violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under FINRA Rule 2330, before recommending a variable annuity, a registered representative must make reasonable efforts to obtain the customer's financial profile, including income, net worth, investment objectives, risk tolerance, existing insurance

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holdings, and liquidity needs. The representative must then have a reasonable basis to believe that the customer would benefit from certain features of a variable annuity, such as tax-deferred growth, annuitization, or a death benefit. A critical element is that if the customer's funds are already in a tax-deferred vehicle (here, a traditional IRA), the tax-deferral feature of the variable annuity is redundant and cannot serve as a justification for the recommendation. Derek's own notes cited 'tax-deferred growth' as the primary rationale, yet Patricia's IRA already enjoyed tax-deferred status. This is a classic indicator of an unsuitable recommendation - layering an expensive variable annuity on top of an already tax-advantaged account with no incremental tax benefit.

****NAIC Model Regulation 275:**** Under the NAIC Suitability in Annuity Transactions Model Regulation (Model 275), as adopted in most states, an insurance producer must have a reasonable basis to believe the annuity recommendation is suitable based on the consumer's stated financial situation, insurance needs, and objectives. The regulation requires the producer to make reasonable efforts to obtain accurate information and to ensure the recommendation is in the consumer's best interest (under the 2020 amendments aligning with a best-interest standard). Here, Patricia's conservative risk profile, limited liquidity, and the seven-year surrender period creating a lock-up extending past her intended retirement age all suggest the product was unsuitable. The high all-in cost of 3.42% annually dramatically eroded returns compared to her existing 0.06% bond index fund.

****NY Regulation 187 (if applicable):**** If Patricia resides in New York, Regulation 187 imposes a best-interest standard on annuity recommendations. The producer must act in the consumer's best interest without placing the producer's financial interest ahead of the consumer's. Derek's \$2,700 commission, combined with the lack of any incremental benefit to Patricia, strongly suggests a financially motivated recommendation that prioritized compensation over the client's welfare.

****Reg BI (Rule 15l-1):**** As a broker-dealer representative, Derek is subject to Regulation Best Interest, which requires that a recommendation be in the retail customer's best interest at the time it is made, not placing the financial interest of the broker ahead of the customer. The Care Obligation under Reg BI requires consideration of reasonably available alternatives. A low-cost bond index fund within the existing IRA was clearly a superior option. Additionally, the Disclosure Obligation required Derek to provide full and fair disclosure of material facts, including the surrender charge schedule, which Patricia alleges was never explained.

****Specific Violations:****

1. Recommending a variable annuity inside a tax-deferred account with tax deferral cited as the primary benefit - directly contrary to FINRA Rule 2330(b)(1)(A)(ii) guidance.
2. Misrepresenting Patricia's risk tolerance as 'moderate' on the application when she consistently expressed conservative preferences - a documentation integrity violation.
3. Failing to adequately disclose or explain the seven-year surrender charge schedule.
4. Recommending a product with 3.42% annual expenses to replace a 0.06% expense ratio fund, with no demonstrable offsetting benefit.
5. Failing to consider reasonably available alternatives that would have been less costly and more aligned with her objectives.

****Likely Regulatory Outcome:**** Derek and his supervising broker-dealer face potential sanctions including fines, disgorgement of the \$2,700 commission, restitution to Patricia for losses including the surrender charge, and possible suspension. The firm's supervisory system may also be cited for failing to flag the IRA-to-VA rollover for enhanced review as required under FINRA Rule 2330(c), which mandates principal review and approval prior to transmittal of a variable annuity application. The state insurance department may impose additional penalties under its adoption of Model 275.

Hypothetical 90

Topic: *failure_to_know_customer* | Difficulty: *medium*

[NON-COM]

Fact Pattern

In September 2022, financial advisor Marcus Pemberton met with new client Dorothy Huang, a 71-year-old retired schoolteacher living in Buffalo, New York. Dorothy had walked into the branch office after seeing a mailer about 'guaranteed retirement income solutions.' During their initial meeting, which lasted approximately 25 minutes, Marcus collected Dorothy's name, address, Social Security number, and date of birth. He asked her how much money she had available to invest, and she told him she had approximately \$340,000 in a bank certificate of deposit that was maturing the following week, plus about \$18,000 in a checking account. Marcus did not ask Dorothy about her monthly income, her expenses, whether she had any other investments or retirement accounts, her health status, her tax situation, or whether she had any dependents or estate planning goals. He did not ask about her prior investment experience or her comfort level with market fluctuations. Dorothy mentioned offhand that her late husband had 'handled all the money stuff' and that she was not sure what to do now. Marcus recommended that Dorothy liquidate her maturing CD and invest \$310,000 into a variable annuity contract issued by National Horizon Life Insurance Company - the 'Horizon FlexGrowth VA' - which featured a Guaranteed Minimum Income Benefit rider. The product carried total annual fees of 3.45%, including a mortality and expense charge of 1.25%, an administrative fee of 0.15%, average underlying subaccount expenses of 1.10%, and a rider fee of 0.95%. The contract included a seven-year declining surrender charge schedule starting at 7% in year one. Marcus selected an aggressive growth subaccount allocation consisting of 60% in a small-cap equity fund and 40% in an international emerging markets fund. He told Dorothy the income rider would 'protect her no matter what' and that she didn't need to worry about the investment choices. Dorothy signed the paperwork. Marcus's branch office new account form had multiple blank fields: risk tolerance, investment objective, annual income, net worth (excluding primary residence), liquid net worth, investment time horizon, and existing insurance coverage were all left empty. The account was approved by the branch office manager the same day. Over the next fourteen months, the aggressive subaccounts declined approximately 19% in value due to market volatility, bringing Dorothy's account value down to roughly \$251,000. Dorothy, alarmed by a quarterly statement, called Marcus in November 2023 and expressed significant distress, stating she did not understand she could lose money and that she needed the funds to cover her living expenses and potential nursing home costs. An internal audit later revealed that Dorothy's sole source of income was a \$2,100 monthly pension and \$1,400 in Social Security benefits, that she had no other liquid savings beyond the checking account, and that she had been diagnosed with early-stage Parkinson's disease six months before the investment.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Marcus Pemberton violated multiple regulatory standards governing variable annuity sales and the obligation to know one's customer.

****FINRA Rule 2330 (Variable Annuity Suitability):**** Rule 2330(b) requires that, prior to recommending the purchase of a deferred variable annuity, a registered representative must make reasonable efforts to obtain, at a minimum, the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing assets (including other insurance products), liquid net worth, risk tolerance, and tax status. Marcus failed to collect virtually all of these data points. The new account form contained multiple blank critical fields. Rule 2330(b)(1)(A) makes clear that without this information, no reasonable basis exists to determine that the transaction is suitable. Additionally, under Rule 2330(b)(2), no registered principal should have approved the transaction when the account documentation was so manifestly incomplete.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the revised Model 275, a producer must obtain comprehensive suitability information before making a recommendation, including the consumer's financial situation, insurance needs, financial objectives, intended use of the annuity, financial time horizon, existing assets, liquidity needs, liquid net worth, risk tolerance, and financial experience. Marcus obtained almost none of this. Model 275 Section 6 further requires that the producer have a reasonable basis to believe the recommended annuity is suitable based on the facts disclosed by the consumer. The complete absence of customer profile data means this analysis could not have been performed.

****New York Regulation 187 (Suitability and Best Interest in Life Insurance and Annuity Transactions):**** Because Dorothy resides in New York, Regulation 187 applies. Effective since August 1, 2019, for annuity transactions, it requires producers to act in the best interest of the consumer. This includes a care obligation and a know-your-customer obligation. The producer must gather sufficient information about the consumer's financial situation, needs, and objectives. Marcus's failure to collect income, health, liquidity needs, risk tolerance, and existing holdings constitutes a clear violation of the information-gathering requirements under Reg 187.

****Regulation Best Interest (Rule 15l-1):**** As a broker-dealer representative making a recommendation of a securities product (a variable annuity is a security), Marcus was subject to Reg BI's Care Obligation, which requires a reasonable basis to believe the recommendation is in the customer's best interest based on the customer's investment profile. The Care Obligation specifically requires consideration of costs, reasonably available alternatives, and the customer's specific circumstances including age, risk tolerance, liquidity needs, and financial situation. Without collecting any meaningful customer profile information, Marcus could not have formed any reasonable basis for his recommendation.

****Specific Deficiencies Beyond Information Gathering:**** Even if the information had been obtained, the recommendation was almost certainly unsuitable on its face. A 71-year-old retiree with a modest fixed income, no other liquid savings, a progressive neurological condition, and no investment experience should

not have been placed into (1) a product with a seven-year surrender period and 7% first-year surrender charge when she might need liquidity for medical expenses, (2) an aggressive subaccount allocation of small-cap and emerging markets equities inappropriate for someone with no stated risk tolerance and evident capital preservation needs, and (3) a high-cost product with 3.45% annual fees that would significantly erode her retirement savings.

****Supervisory Failures:**** The branch manager who approved the account on the same day despite blank suitability fields violated FINRA Rule 2330(c), which requires a registered principal to review and approve each variable annuity transaction based on the suitability information gathered. Approving a transaction with missing material information constitutes a supervisory failure under FINRA Rule 3110 as well.

****Likely Regulatory Outcome:**** Marcus faces potential disciplinary action including fines, suspension, or bar. The firm faces supervisory violation charges. Dorothy may be entitled to restitution, rescission of the transaction, and consequential damages. State insurance regulators in New York could pursue separate action under Regulation 187, including penalties against Marcus's insurance license. The pattern of conduct - rushed sale, incomplete documentation, unsuitable allocation, misleading assurances about the income rider - is consistent with the type of variable annuity mis-selling documented extensively in GAO reports and academic literature on VA sales to elderly customers with liquidity needs and limited investment sophistication.

Hypothetical 91

Topic: *variable_annuity_unsuitable* | Difficulty: *hard*

Fact Pattern

Margaret Kowalski, age 74, is a retired school librarian living in Syracuse, New York, on a fixed income of approximately \$2,800 per month from Social Security and a small pension. She has \$185,000 in a bank certificate of deposit that recently matured and \$22,000 in a savings account. She has no other investments and owns her home outright. Her stated investment objectives, documented on her new account form, are capital preservation and income. She described her risk tolerance as conservative and noted that she might need access to her savings for assisted-living expenses within the next two to three years, as her physician had recently recommended she begin exploring care options due to early-stage cognitive decline. She has limited investment experience, having never owned securities or annuity products.

In October 2023, her financial advisor, Dale Simmons, who holds both securities and insurance licenses, recommended that Margaret invest \$160,000—approximately 86% of her liquid assets—into a variable annuity issued by National Growth Life Insurance Company. The product, the "National Growth Advantage Plus VA," carried a seven-year surrender charge schedule beginning at 8% in year one and declining by one percentage point annually. The contract included a Guaranteed Minimum Income Benefit (GMIB) rider with an annual cost of 1.05% of the benefit base, on top of mortality and expense charges of 1.35% and average underlying sub-account fees of 0.82%. Total all-in annual costs were approximately 3.22%. Dale allocated 60% of the sub-account investments to an aggressive growth equity fund and 40% to a balanced fund.

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Dale's rationale, as noted in his file, was that the GMIB rider would guarantee Margaret a lifetime income stream if she annuitized after a ten-year waiting period, and that the equity exposure would help her "stay ahead of inflation." He did not document any discussion of the surrender charges, the total cost structure, Margaret's near-term liquidity needs, her limited time horizon, or her stated interest in preserving capital. He also did not discuss or evaluate any alternative products such as fixed annuities, short-term bond funds, or Treasury securities. Dale received an upfront commission of 6.5% on the sale, totaling \$10,400.

Within fourteen months, Margaret needed to withdraw \$45,000 to fund a move into an assisted-living facility. The surrender charge on that withdrawal, net of the 10% free withdrawal corridor, was approximately \$2,800. Additionally, because the equity sub-accounts had declined 11% during a market correction, her account value had fallen to roughly \$138,500 before the withdrawal. After the withdrawal and surrender penalty, her remaining contract value was approximately \$90,700—a loss of nearly \$69,300 from her original \$160,000 investment in just over a year.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dale Simmons committed multiple serious violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under FINRA Rule 2330, before recommending the purchase of a variable annuity, a registered representative must make reasonable efforts to obtain the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing assets, liquid net worth, liquidity needs, risk tolerance, and tax status. Having obtained this information, the representative must then have a reasonable basis to believe the transaction is suitable. Rule 2330(b)(1) specifically requires consideration of whether the customer would benefit from certain features of a variable annuity, such as tax-deferred growth, annuitization, or a death benefit, and whether the customer has been informed of the product's features, including surrender charges and expenses. Here, Dale's own documentation showed Margaret was 74, conservative, focused on capital preservation and income, had near-term liquidity needs related to anticipated assisted-living costs, and had minimal investment experience. A seven-year surrender charge product with 3.22% annual all-in costs and a GMIB rider requiring a ten-year wait to annuitize was fundamentally unsuitable for a 74-year-old client who would be 84 before she could even access the guaranteed income benefit—well beyond her stated and realistic time horizon.

****Concentration Risk:**** Allocating 86% of Margaret's liquid assets to a single illiquid variable annuity left her with only \$47,000 in accessible funds to cover all near-term living and potential care expenses. This concentration is facially unsuitable under the reasonable-basis and customer-specific suitability requirements embedded in FINRA Rule 2330 and the broader suitability framework.

****Aggressive Sub-Account Allocation:**** Placing 60% of a 74-year-old conservative investor's variable annuity assets in an aggressive growth equity fund directly contradicted her stated conservative risk tolerance and capital preservation objectives, compounding the unsuitability.

****NY Regulation 187 - Best Interest Standard:**** Because this transaction occurred in New York, NY Regulation 187 applies and imposes a best-interest standard on insurance producers making annuity recommendations. Under Reg 187, the producer must act in the best interest of the consumer at the time the recommendation is made, without placing the producer's or insurer's financial interest ahead of the consumer's interest. The regulation requires evaluation of the consumer's existing assets, financial situation, insurance needs, financial objectives, and the values, benefits, and costs of the existing product (if any replacement is involved). Dale's recommendation-driven by a \$10,400 commission on a product manifestly ill-suited to Margaret's profile-strongly suggests that his financial interest took precedence over Margaret's. His failure to consider or document any lower-cost, more liquid alternatives (fixed annuities, Treasury securities, short-term bonds) violates the requirement to consider reasonably available alternatives.

****NAIC Model Regulation 275:**** The NAIC Suitability in Annuity Transactions Model Regulation (Model 275), which New York's Reg 187 exceeds, also requires that producers have reasonable grounds for believing the recommendation is suitable based on the consumer's profile. The factors enumerated-age, annual income, financial situation, investment objectives, intended use, existing assets, liquidity needs, liquid net worth, risk tolerance, and tax status-all pointed away from this recommendation. The ten-year GMIB waiting period for a 74-year-old with near-term care needs is a textbook example of a feature that provides no realistic benefit to the consumer.

****SEC Regulation Best Interest (Reg BI, Rule 15l-1):**** As a registered representative of a broker-dealer, Dale is also subject to Reg BI when making a recommendation of a securities transaction (variable annuities are securities). Under Reg BI's Care Obligation, Dale was required to exercise reasonable diligence, care, and skill to understand the recommendation, its potential risks, rewards, and costs, and to have a reasonable basis to believe the recommendation was in the customer's best interest at the time it was made-considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation without placing his financial or other interest ahead of the customer's. The high commission, high-cost product with features Margaret could not realistically use, sold to a conservative elderly client with imminent liquidity needs, fails this standard on every dimension.

****Likely Regulatory Outcome:**** Dale faces potential disciplinary action from FINRA (fines, suspension, or bar), enforcement action by the New York Department of Financial Services under Reg 187, and potential civil liability. Supervisory failures at his broker-dealer may also be at issue under FINRA Rule 3110 if no principal reviewed and questioned this transaction despite the obvious red flags (client age, concentration, liquidity mismatch). Customer restitution of the approximately \$69,300 in losses (including surrender charges, market losses exacerbated by unsuitable allocation, and excessive fees) would likely be sought through FINRA arbitration or regulatory restitution order. Academic literature and GAO reports on VA mis-selling have identified this precise pattern-elderly, conservative clients placed in high-cost, long-surrender-period VAs with features misaligned to their time horizons-as the most common form of variable annuity abuse.

Hypothetical 92

Topic: senior_investor_exploitation | Difficulty: medium

Fact Pattern

Margaret Olsen, age 81, is a retired schoolteacher living in Syracuse, New York. She is a widow whose husband passed away in 2021, leaving her with \$410,000 in a bank savings account and a \$185,000 certificate of deposit. Her sole income consists of Social Security benefits of \$2,340 per month and a small state pension of \$1,100 per month. She owns her home outright and has no debts. Mrs. Olsen has mild cognitive decline, which her daughter, Karen, has mentioned to the advisor during a prior meeting. Her investment objectives, as documented in her new account form, are capital preservation and income. Her risk tolerance is listed as conservative. She has no prior experience with securities or annuity products.

In March 2023, advisor Derek Hartwell, who works for a dual-registered broker-dealer and insurance agency, visited Mrs. Olsen at her home after she called the firm about getting a better return on her savings account. During the visit, Karen was not present. Hartwell recommended that Mrs. Olsen liquidate her \$410,000 savings account and invest the entire amount into a variable annuity with a guaranteed minimum income benefit rider. The product carried a mortality and expense charge of 1.40%, an administrative fee of 0.15%, underlying subaccount expenses averaging 0.95%, and the income rider fee of 1.10%, bringing total annual costs to approximately 3.60%. The annuity had a seven-year surrender charge schedule beginning at 8% in year one and declining by one percentage point per year. The product allowed a 10% free withdrawal annually without penalty.

Hartwell told Mrs. Olsen the product would "protect her principal while giving her stock market growth" and that she could "access her money whenever she needed it." He did not discuss the surrender charges in detail, nor did he explain how the subaccount values could decline. He allocated the annuity 60% to equity subaccounts and 40% to a bond subaccount. He did not discuss any alternative products, such as fixed annuities, fixed indexed annuities, Treasury securities, or CDs with higher yields. He did not document any consideration of Mrs. Olsen's liquidity needs, her health status, her cognitive condition, or whether the lengthy surrender period was appropriate given her age of 81. Hartwell earned a commission of \$24,600 (6% of the premium) on the sale.

Within five months, Mrs. Olsen needed \$65,000 to pay for an unexpected assisted-living deposit and first three months of care after a fall. Because only \$41,000 (10% of the contract value) was available without surrender charges, she was forced to withdraw an additional \$24,000 and incurred a surrender penalty of approximately \$1,920. Additionally, the equity subaccounts had declined 7.2% during that period due to market volatility, reducing her contract value to approximately \$380,500 before the withdrawal. Karen filed a complaint with the state insurance department and the advisor's broker-dealer, alleging that her mother was placed in an unsuitable product that tied up virtually all of her liquid assets in a long-term, high-cost investment she did not understand.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hartwell committed multiple violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 (Variable Annuity Suitability):**** This rule requires that prior to recommending a variable annuity, a registered representative must have a reasonable basis to believe that the customer has been informed of the product's features, including surrender charges, potential tax penalties, mortality and expense charges, subaccount fees, rider costs, and market risk. Hartwell failed to adequately disclose the surrender charge schedule and downplayed the liquidity constraints by telling Mrs. Olsen she could 'access her money whenever she needed it,' which was materially misleading given the 8% first-year surrender penalty and the 10% annual free-withdrawal limitation. Rule 2330 also requires that the representative determine the customer would benefit from certain features of the VA, such as tax-deferred growth, annuitization, or a death benefit. For an 81-year-old conservative investor with no securities experience, the tax-deferral benefit is minimal (she was unlikely to benefit from long-term compounding), and the seven-year surrender period extends to age 88, making liquidity access problematic during a period of life when healthcare costs frequently escalate.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** The revised Model 275 imposes a best-interest standard on insurance producers recommending annuity products. The producer must act in the consumer's best interest at the time of the recommendation without placing the producer's financial interest ahead of the consumer's interest. Hartwell's \$24,600 commission created a significant financial incentive, and there is no evidence he considered lower-cost alternatives such as fixed annuities, fixed indexed annuities with shorter surrender periods, Treasury securities, or high-yield CDs-all of which would have been more consistent with Mrs. Olsen's stated objectives of capital preservation and income. Model 275 also requires the producer to consider the consumer's age, liquidity needs, financial situation, existing assets, risk tolerance, and investment time horizon. Placing 100% of a client's liquid savings into a single illiquid product with a seven-year lockup for an 81-year-old with known cognitive decline and conservative objectives fails every element of this analysis.

****New York Regulation 187:**** Because Mrs. Olsen resides in New York, the transaction is also subject to NY Reg 187, which requires that recommendations be in the best interest of the consumer at the time of the transaction, considering the consumer's expressed needs, financial situation, and suitability profile. Reg 187 places an affirmative duty on the producer to document the basis for the recommendation. Hartwell failed to document any consideration of Mrs. Olsen's liquidity needs, health status, cognitive condition, or alternative products. Under Reg 187, the absence of such documentation itself constitutes a violation.

****Regulation Best Interest (Rule 15l-1):**** As a registered representative of a broker-dealer, Hartwell is also subject to Reg BI. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill to understand the risks, costs, and rewards of the recommendation, and to have a reasonable basis to believe the recommendation is in the customer's best interest considering the customer's investment profile. The Disclosure Obligation requires full and fair disclosure of all material facts relating to conflicts of interest, including compensation. Hartwell failed to disclose or meaningfully explain the total annual cost of approximately 3.60%, the surrender charge implications, or the market risk of the 60% equity allocation. The Conflict of Interest Obligation required his firm to have policies reasonably designed to mitigate the conflict created by his \$24,600 commission; recommending the most expensive product without considering alternatives suggests those policies were either absent or not followed.

****Specific Violations:****

1. Concentration of 100% of liquid assets in a single illiquid variable annuity for an 81-year-old with conservative objectives and known cognitive decline.
2. Failure to consider or document the client's liquidity needs, health status, and life expectancy relative to the seven-year surrender period.
3. Materially misleading statements about liquidity access and principal protection.
4. Failure to consider or recommend less costly, more suitable alternatives.
5. Inappropriate asset allocation (60% equity) for a conservative, elderly investor seeking capital preservation.
6. Failure to ensure a trusted contact or family member was present given knowledge of cognitive decline.
7. Failure to document the basis for the recommendation as required under NY Reg 187 and firm supervisory procedures.

****Likely Regulatory Outcome:**** Hartwell faces potential sanctions from multiple regulators. FINRA could impose fines, disgorgement of the \$24,600 commission, restitution to Mrs. Olsen for surrender charges and losses, and a suspension or bar. The New York Department of Financial Services could revoke or suspend his insurance license for violations of Reg 187. His broker-dealer may face supervisory failure charges under FINRA Rule 3110 for inadequate review of the variable annuity transaction, particularly given the customer's age and the concentration of assets. The SEC or a state securities regulator could pursue action under Reg BI. GAO reports and academic studies on VA mis-selling have consistently identified transactions like this-high-cost VAs sold to elderly, unsophisticated investors with conservative objectives-as a primary pattern of unsuitable sales.

Hypothetical 93

Topic: *high_fees_unsuitable* | Difficulty: *medium*

Fact Pattern

Margaret Olsen, age 74, is a retired elementary school teacher living in Albany, New York. She has a modest retirement income consisting of a \$2,100 monthly pension and \$1,400 per month in Social Security benefits, totaling \$42,000 annually. Her total liquid savings amount to approximately \$185,000, held primarily in bank certificates of deposit and a small balanced mutual fund. She has no other significant assets beyond her home, which is fully paid off and valued at approximately \$210,000. Margaret has no dependents; her husband passed away three years ago. She describes herself as very conservative with money and has told her advisor, Kevin Bascombe, on multiple occasions that her primary goals are capital preservation, maintaining easy access to her savings for potential medical expenses, and leaving a modest inheritance to her two grandchildren. She has mild cognitive decline noted by her family but has not been declared legally incapacitated.

In March 2023, Kevin recommended that Margaret move \$155,000 - roughly 84% of her liquid assets - out of her CDs and mutual fund and into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The product Kevin recommended was the Pinnacle Growth & Protection VA, issued by Great

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Northern Life Insurance Company. The annuity carried total annual fees of 3.45%, broken down as follows: mortality and expense risk charge of 1.30%, administrative fees of 0.15%, underlying sub-account fund expenses averaging 0.85%, and the GLWB rider fee of 1.15%. The product also imposed a seven-year declining surrender charge schedule starting at 8% in year one and declining by 1% per year. There was no upfront sales charge, but Kevin received a 6.5% commission on the sale, totaling \$10,075.

Kevin allocated Margaret's sub-accounts as follows: 40% to an aggressive growth equity fund, 30% to an international equity fund, 15% to a high-yield bond fund, and 15% to a balanced fund. When Margaret's daughter, Patricia, later reviewed the paperwork, she noted that the new account application listed Margaret's risk tolerance as 'moderate-aggressive' and her investment objective as 'growth,' neither of which aligned with anything Margaret had ever expressed. Patricia also discovered that the surrender charges would effectively lock up her mother's savings until Margaret was 81 years old, severely limiting access to funds that Margaret might need for assisted living or medical costs.

Kevin did not document any analysis of why the variable annuity was preferable to Margaret's existing CD and mutual fund portfolio. He did not compare the recommended product to lower-cost alternatives such as fixed annuities, immediate annuities, or no-load variable annuities. He did not discuss the surrender charge implications in detail with Margaret or note the potential impact of the 3.45% annual fee drag on her portfolio, which would amount to approximately \$5,348 in the first year alone. Kevin also did not consult with Margaret's daughter or any other family member before making the recommendation, despite Margaret having mentioned that Patricia helps her with financial decisions. There is no record in Kevin's notes of any discussion about Margaret's cognitive health or whether a less complex, lower-cost product might better serve her stated needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Bascombe committed multiple violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 - Variable Annuity Suitability:****

FINRA Rule 2330 imposes heightened suitability requirements for variable annuity transactions. Under Rule 2330(b), before recommending a variable annuity, a registered representative must have a reasonable basis to believe the transaction is suitable based on the customer's investment profile, including age, income, financial situation, risk tolerance, liquidity needs, investment objectives, and other relevant factors. The rule specifically requires consideration of whether the customer would benefit from the tax-deferred features of a VA, whether the customer has been informed of the surrender charges and their implications, and whether the customer has a long-term investment horizon consistent with the product's liquidity constraints.

Here, Margaret is 74 years old, extremely conservative, income-dependent, and needs liquidity for potential medical expenses. The seven-year surrender period would lock her funds until age 81, directly contradicting her stated liquidity needs. The 3.45% total annual fee is exceptionally high for a conservative investor and would significantly erode her principal over time. Kevin failed to document any analysis of why this VA was more suitable than Margaret's existing low-cost, liquid holdings. The aggressive sub-account

allocation (70% equities including international and aggressive growth) directly contradicts her conservative risk tolerance and capital preservation objectives. The falsification of Margaret's risk tolerance as 'moderate-aggressive' and her objective as 'growth' on the application constitutes a serious additional violation, as it misrepresents the customer's profile.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):****

The NAIC Model Regulation 275, as revised in 2020, requires that producers act in the consumer's best interest when recommending annuity products. Section 6 of the model regulation requires that the recommendation be based on an evaluation of the consumer's financial situation, insurance needs, financial objectives, and that there be a reasonable basis to believe the consumer has been informed of and understands the product features including surrender charges, fees, and potential limitations on liquidity. The producer must also consider reasonably available alternatives. Kevin conducted no documented comparative analysis and failed to consider lower-cost fixed annuities or immediate annuities that would have better matched Margaret's income and preservation goals.

****New York Regulation 187 - Best Interest Standard:****

Because Margaret resides in New York, NY Regulation 187 applies. This regulation requires that annuity recommendations be in the best interest of the consumer at the time the recommendation is made, without placing the producer's financial interest ahead of the consumer's interest. The 6.5% (\$10,075) commission created a significant financial incentive that, absent documented justification, suggests the recommendation was driven by the producer's compensation rather than the client's needs. Regulation 187 also requires that the producer consider the consumer's existing insurance and financial products before recommending a replacement. Kevin recommended liquidating Margaret's existing low-cost, liquid holdings without any documented justification for why the VA was superior to her current portfolio.

****Reg BI (Regulation Best Interest) - Rule 15l-1:****

If Kevin was acting in a broker-dealer capacity, SEC Regulation Best Interest (Rule 15l-1) under the Exchange Act also applies. The Care Obligation requires that the broker exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The Disclosure Obligation requires clear disclosure of all material facts, including conflicts of interest related to compensation. The Conflict of Interest Obligation requires policies to identify, disclose, and mitigate or eliminate conflicts. Kevin's receipt of a \$10,075 commission - combined with no documented analysis, falsified risk tolerance, and a product plainly ill-suited for the customer - constitutes a clear violation of all three component obligations.

****Additional Concerns:****

The indication of mild cognitive decline raises serious concerns about whether Margaret had the capacity to understand the complex features of the VA and GLWB rider. Kevin's failure to involve Patricia, whom Margaret identified as her financial decision-making helper, further compounds the suitability concerns. The GAO has specifically noted in its 2012 report (GAO-13-75) that VA/GLWB products carry complexity and risks that may not be appropriate for all consumers, particularly those who need near-term liquidity.

****Likely Regulatory Outcome:****

Kevin would likely face enforcement action from FINRA for violation of Rule 2330 and the general suitability

requirements, as well as potential action by the New York Department of Financial Services under Regulation 187. Sanctions could include fines, disgorgement of the commission, restitution to Margaret, suspension, or barment from the industry. The falsification of Margaret's risk profile on the application could also give rise to additional charges of falsifying books and records. The broker-dealer firm could face supervisory liability if it approved the transaction without adequate review, particularly given the red flags presented by Margaret's age, account concentration, and the magnitude of the surrender charges relative to her liquidity needs.

Hypothetical 94

Topic: *illiquid_investments* | Difficulty: *hard*

[NON-COM

Fact Pattern

Margaret Thornton, age 71, is a retired school librarian living in Tallahassee, Florida. She receives \$2,100 per month in Social Security and a \$1,400 monthly pension from the state retirement system. Her total liquid assets consist of \$185,000 in a bank money market account, \$42,000 in a traditional IRA invested in short-term Treasury bills, and \$18,000 in a checking account used for daily expenses. She owns her home outright, valued at approximately \$210,000. Margaret has no long-term care insurance and has expressed concern to her advisor, Daniel Reeves, about potential future nursing home costs and maintaining access to her savings for medical emergencies. She describes herself as conservative and says she cannot afford to lose principal. Her investment objective, as documented on her account application, is "capital preservation and income."

In March 2023, Daniel recommended that Margaret move \$160,000 from her money market account into a variable annuity with a guaranteed minimum income benefit rider. The product carried a mortality and expense charge of 1.35%, an administrative fee of 0.15%, underlying sub-account expense ratios averaging 0.87%, and the income rider carried an additional annual charge of 1.10%, bringing total annual costs to approximately 3.47%. The annuity imposed a seven-year declining surrender charge schedule starting at 8% in year one and declining by 1% per year. Daniel allocated the funds across four sub-accounts: 40% in a mid-cap growth fund, 25% in an international equity fund, 20% in a high-yield bond fund, and 15% in a balanced fund. The product's prospectus noted that the guaranteed income benefit would not begin payments until the contract had been in force for at least 10 years, at which point Margaret would be 81.

Daniel earned a commission of \$9,600 on the sale. He did not document any comparison of alternative products, nor did he note any analysis of Margaret's liquidity needs. His file contained a brief note stating, "Client wants guaranteed income - VA with GMIB rider is the best fit." Margaret was not informed that the surrender charges could consume a significant portion of her investment if she needed to access funds for a medical emergency. Six months later, Margaret was diagnosed with early-stage dementia and her daughter attempted to withdraw \$80,000 to pay for an assisted living facility. The surrender charge on the withdrawal was \$6,400, and the sub-accounts had declined 7.2% in value due to equity market volatility, resulting in Margaret receiving approximately \$67,840 - a total loss of over \$12,000 from her original investment. Margaret's daughter filed a complaint alleging that the annuity was completely unsuitable for

her mother's circumstances.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Daniel Reeves committed multiple violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 - Variable Annuity Suitability:****

FINRA Rule 2330 requires that before recommending a variable annuity, the registered representative must make reasonable efforts to obtain the customer's financial profile, including age, income, net worth, liquid net worth, investment objectives, risk tolerance, tax status, and liquidity needs. The rule further requires that the representative have a reasonable basis to believe that the customer would benefit from certain features of the variable annuity, such as tax-deferred growth, annuitization, or a death benefit. Here, Margaret's documented investment objective was capital preservation and income, she was 71 years old, had limited liquid assets, no long-term care insurance, and expressed concern about emergency access to her funds. The seven-year surrender period, the 10-year wait for the GMIB rider to activate (when she would be 81), the total annual fees of 3.47%, and the aggressive equity-heavy sub-account allocation are all fundamentally inconsistent with her profile. The recommendation fails the Rule 2330(b) reasonable-basis suitability requirement and the customer-specific suitability requirement.

****NAIC Model Regulation 275 - Suitability in Annuity Transactions:****

Model Regulation 275, as adopted in Florida, requires producers to have reasonable grounds for believing that an annuity recommendation is suitable based on the consumer's financial situation, insurance needs, and stated objectives. Section 6 of Model 275 requires documentation of the basis for the recommendation, consideration of whether the consumer would benefit from the product's features, the consumer's existing assets and liquidity, the potential surrender charges, and the consumer's willingness to accept risk. Daniel's file contained no meaningful analysis of alternatives, no liquidity-need assessment, and no documentation of how the product's features matched Margaret's needs. The concentration of 86% of her liquid assets in a single illiquid product with a seven-year surrender schedule directly contravenes the consumer-protection intent of Model 275.

****New York Regulation 187 (Best Interest Standard):****

While Margaret resides in Florida, NY Reg 187 is instructive as an evolving standard. Under Reg 187, producers must act in the best interest of the consumer and must consider reasonably available alternatives. The recommendation here would clearly fail such a standard, as the product's illiquidity, high costs, and aggressive allocation were antithetical to the client's needs.

****SEC Regulation Best Interest (Reg BI), Rule 15l-1:****

If Daniel is a registered representative of a broker-dealer, Reg BI's Care Obligation under Rule 15l-1(a)(2)(ii)(B) requires that the representative exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile including age, financial situation, liquidity needs, risk tolerance, and investment objectives. The advisor must consider reasonably available alternatives. Reg BI's Disclosure Obligation also required Daniel to provide full and fair disclosure of all material facts, including surrender charges and the risk of loss in the sub-accounts. The failure to explain

the surrender charge impact and the mismatch between a 10-year GMIB activation period and a 71-year-old client's time horizon violates the Care Obligation. The lack of alternative product comparison documentation violates the Compliance Obligation, which requires broker-dealers to establish policies and procedures to achieve compliance.

****Specific Violations Summary:****

1. ****Concentration/Illiquidity:**** Placing approximately 86% (\$160,000 of \$185,000) of the client's liquid savings in a product with a seven-year surrender schedule, when the client had no long-term care insurance and expressed concern about emergency medical access, created an unreasonable illiquidity risk.
2. ****Unsuitable Asset Allocation:**** Allocating 65% to equity sub-accounts (mid-cap growth + international equity) and 20% to high-yield bonds for a 71-year-old conservative investor seeking capital preservation is inconsistent with her risk tolerance and objectives.
3. ****Excessive Costs:**** Annual all-in costs of 3.47% are difficult to justify for a capital-preservation client, particularly when lower-cost alternatives (e.g., immediate annuities, Treasury ladders, or low-cost balanced funds) were available.
4. ****Time Horizon Mismatch:**** The GMIB rider would not activate until Margaret was 81 - an unreasonable delay for a retiree with current income needs and health concerns.
5. ****Inadequate Documentation:**** Daniel's file contained no evidence of a reasonable alternatives analysis, no liquidity-need assessment, and only a conclusory statement about guaranteed income.
6. ****Failure to Disclose Material Risks:**** Margaret was not informed of the practical impact of surrender charges in an emergency, constituting a disclosure failure under both FINRA and Reg BI frameworks.

****Likely Regulatory Outcome:****

Daniel faces potential FINRA disciplinary action including fines, disgorgement of the \$9,600 commission, suspension, and possible restitution to Margaret. The Florida Office of Insurance Regulation could pursue action under the state's adoption of NAIC Model 275, including revocation or suspension of his insurance license. If arbitration is pursued, the panel would likely award compensatory damages reflecting the surrender charges, market losses attributable to the unsuitable allocation, and potentially consequential damages. A pattern of similar sales could trigger heightened sanctions including a bar from the industry.

Hypothetical 95

Topic: *failure_to_know_customer* | Difficulty: *hard*

Fact Pattern

In March 2024, financial advisor Derek Holton met with Margaret and Leonard Stengel, a married couple ages 71 and 74 respectively, at a dinner seminar hosted at a steakhouse in Scottsdale, Arizona. The seminar was marketed as a 'Retirement Income Protection Workshop.' After the seminar, Derek scheduled a follow-up meeting at his office the following week. During the 45-minute office meeting, Derek collected the couple's names, ages, address, and the approximate value of their investment accounts - roughly \$620,000 in total, split between a jointly held brokerage account (\$180,000), Margaret's traditional IRA (\$290,000), and Leonard's rollover IRA (\$150,000). Derek noted on his internal worksheet that their

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combined Social Security income was approximately \$4,800 per month and that Leonard received a small pension of \$1,100 per month. Derek did not ask about their monthly living expenses, existing health conditions, prescription drug costs, long-term care needs, other insurance policies, tax bracket, estate planning goals, beneficiary designations on existing accounts, or whether either spouse had been diagnosed with any serious illness. He did not inquire about their investment experience beyond Margaret mentioning they had 'some mutual funds for years.' He did not ask about their liquidity needs or whether they anticipated any large expenditures such as home repairs, vehicle purchases, or helping family members financially. Leonard mentioned briefly that he had 'a little trouble with his memory lately,' but Derek did not follow up or document this comment. Derek recommended that Margaret liquidate her entire \$290,000 traditional IRA and invest the proceeds into a variable annuity issued by National Horizon Life Insurance Company - the 'Horizon Growth & Income VA' - with an optional guaranteed minimum withdrawal benefit rider costing an additional 1.15% annually on top of the contract's base mortality and expense charge of 1.40% and an administrative fee of 0.15%. The underlying sub-account options Derek selected included an aggressive growth equity portfolio (40%), an international equity fund (30%), and a balanced allocation fund (30%), for a blended estimated annual sub-account expense of 0.92%. The total all-in annual cost of the annuity was approximately 3.62%. The contract carried a seven-year surrender charge schedule starting at 8% in the first year and declining by 1% per year. Derek completed the application in Margaret's name only and listed her investment objective as 'growth' and her risk tolerance as 'moderate-aggressive.' He did not present any alternative products, did not compare the costs of the VA with lower-cost alternatives such as a diversified portfolio of index funds or a fixed indexed annuity, and did not discuss the tax implications of holding a traditional IRA inside a variable annuity, which would layer annuity taxation on top of already tax-deferred IRA assets without providing any additional tax benefit. The application was processed and funded within ten days. Five months later, in August 2024, Leonard was diagnosed with early-stage Alzheimer's disease, and the couple needed to access \$45,000 from their savings to modify their home for accessibility. Margaret attempted to withdraw from the annuity and was informed she would face a \$3,600 surrender charge plus a potential market value adjustment. The couple's daughter, a CPA, reviewed the paperwork and filed a complaint with the state insurance department, alleging that the advisor failed to gather essential information about her parents' financial situation before making such a significant recommendation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Holton committed multiple serious violations rooted in a fundamental failure to know his customer, which undermined every downstream aspect of his recommendation.

****Failure to Gather Adequate Customer Profile Information:****

Under FINRA Rule 2330(b)(1), before recommending a variable annuity purchase, a registered representative must make reasonable efforts to obtain, at minimum, the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing assets (including other insurance and annuity holdings), liquidity needs, liquid net worth, risk tolerance, and tax status. Derek gathered only the most superficial data points - names, ages, account balances, and income sources. He failed to ascertain monthly living expenses, health conditions, liquidity requirements, tax bracket, existing insurance, estate planning considerations, investment experience in any

meaningful detail, or the couple's actual risk tolerance through any validated method. Leonard's offhand comment about memory difficulties - a potential red flag for diminished capacity - was neither explored nor documented. This alone constitutes a clear violation of the know-your-customer requirements embedded in FINRA Rule 2330.

The NAIC Model Regulation 275, adopted in substantially similar form by Arizona, requires that an insurance producer, prior to the recommendation of an annuity, gather comprehensive suitability information including the consumer's financial situation, insurance needs, financial objectives, and the intended use of the product. The regulation explicitly states that the recommendation must be based on the consumer's suitability profile. Derek's cursory information-gathering fell far short of this standard.

New York Regulation 187, though directly applicable only in New York, reflects the broader industry trend toward a best-interest standard for annuity transactions and illustrates the type of comprehensive analysis expected - including consideration of reasonably available alternatives. Derek's failure to consider or present alternatives is a further deficiency.

Under SEC Regulation Best Interest (Rule 15l-1), applicable to Derek as a broker-dealer representative, the Care Obligation requires that the advisor exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest. Without a complete customer profile, Derek had no reasonable basis for any recommendation whatsoever.

****Substantive Unsuitability of the Recommendation:****

Even setting aside the information-gathering failures, the recommendation itself was problematic on multiple fronts:

1. ****Tax Inefficiency:**** Placing a traditional IRA inside a variable annuity provides no incremental tax deferral benefit, since IRA assets are already tax-deferred. This is a well-documented concern flagged in GAO reports and academic studies on VA mis-selling, and it is specifically identified as a red flag in FINRA Rule 2330(b)(1)(A)(ii).
2. ****Excessive Cost:**** Total annual expenses of approximately 3.62% are extraordinarily high for a 71-year-old retiree, especially when lower-cost alternatives could have achieved similar objectives.
3. ****Liquidity Constraints:**** A seven-year surrender period beginning at 8% is inappropriate for a couple in their early 70s with no documented emergency fund analysis and foreseeable health-related and home-modification expenses.
4. ****Risk Tolerance Mismatch:**** Listing Margaret's risk tolerance as 'moderate-aggressive' and selecting 70% equity-heavy sub-accounts (including 30% international) for a 71-year-old retiree is unsupported by any documented risk assessment.
5. ****Concentration Risk:**** Investing \$290,000 - nearly 47% of the couple's total assets - into a single illiquid product is excessive concentration.

****Leonard's Potential Diminished Capacity:****

Although Margaret was the named annuitant, the couple's finances were clearly intertwined. Derek's failure to follow up on Leonard's memory comment raises concerns under both firm supervisory obligations and elder investor protection guidelines.

****Likely Regulatory Outcome:****

The state insurance department complaint will likely result in an investigation. Probable outcomes include an order to rescind the annuity contract and restore Margaret's IRA, restitution for any surrender charges and losses incurred, a fine against the advisor and potentially the supervising broker-dealer, and possible suspension or revocation of Derek's insurance license. FINRA may independently pursue disciplinary action for violations of Rule 2330 and Regulation BI, including fines, disgorgement, suspension, or a bar from the industry depending on Derek's disciplinary history.

Hypothetical 96

Topic: *illiquid_investments* | Difficulty: *hard*

Fact Pattern

Margaret Ostrowski, age 71, is a retired elementary school teacher living in Syracuse, New York, with an annual pension income of \$42,000 and Social Security benefits of \$1,850 per month. Her total liquid assets consist of \$385,000 in a rollover IRA (invested in a diversified mix of bond and balanced mutual funds), a \$60,000 money market account she describes as her 'emergency cushion,' and a \$22,000 checking account. She owns her home outright, valued at approximately \$195,000. Margaret has moderate-to-low risk tolerance and told her advisor, Dale Kressman, that her primary goals are preserving her savings, maintaining access to funds for potential medical expenses (she has a family history of early-onset dementia and has expressed concern about possible long-term care costs within the next five to ten years), and leaving a modest inheritance to her two grandchildren. In March 2023, Dale recommended that Margaret liquidate \$310,000 of her rollover IRA and purchase a variable annuity issued by National Pacific Life with a Guaranteed Minimum Income Benefit (GMIB) rider. The product carried total annual fees of 3.42% (including a 1.35% mortality and expense charge, a 0.95% GMIB rider fee, and underlying subaccount expenses averaging 1.12%). The annuity imposed a seven-year surrender charge schedule starting at 8% in year one, declining by one percentage point per year, with a 10% free withdrawal corridor annually. Dale also recommended Margaret allocate the subaccounts aggressively: 55% in a small-cap growth fund and 25% in an international equity fund, with only 20% in a fixed-income subaccount. Dale documented in his notes that the GMIB rider would 'protect Margaret's downside' and that the aggressive allocation was appropriate because 'the rider eliminates investment risk.' He did not document any discussion of Margaret's liquidity needs, her concerns about potential long-term care expenses, or alternative products such as fixed annuities, fixed indexed annuities, or simply maintaining her existing diversified portfolio. Dale's firm's internal compliance questionnaire flagged the transaction for supervisory review due to the client's age and concentration level, but the supervising principal approved the transaction the same day without requesting additional documentation or contacting Margaret. Dale received a 5.5% commission on the sale, totaling \$17,050. Within fourteen months, Margaret's neurologist recommended she begin exploring assisted living options. When Margaret attempted to withdraw \$125,000 from the annuity to fund a deposit and first-year costs at an assisted living facility, she discovered that only \$31,000 (the 10% free corridor) was available without a surrender penalty. Withdrawing the remaining \$94,000 would trigger a surrender charge of approximately 6%, costing her \$5,640. The subaccounts had also declined 11.2% from the aggressive equity allocation, reducing the account value to approximately

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\$275,320. Margaret filed a complaint with her state insurance department stating that Dale never explained the surrender charges in the context of her healthcare needs, never discussed how the product would limit her access to a significant portion of her life savings, and never presented alternatives.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated multiple applicable standards governing variable annuity recommendations.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under FINRA Rule 2330, a registered representative recommending the purchase or exchange of a deferred variable annuity must have a reasonable basis to believe that the transaction is suitable. The rule specifically requires consideration of (a) whether the customer would benefit from certain features of deferred variable annuities such as tax-deferred growth, annuitization, or a death benefit; (b) the customer's age and liquidity needs; (c) the particular annuity as a whole, including rider costs and surrender periods; and (d) whether the customer has had another annuity exchange within the preceding 36 months. Here, Margaret was 71 years old, had explicitly communicated concerns about needing funds for potential long-term care, and had a known family history of dementia. Recommending that she place approximately 80.5% of her IRA assets (\$310,000 of \$385,000) into a product with a seven-year surrender schedule and an 8% initial penalty directly contradicts her stated liquidity needs. The 10% free withdrawal corridor was grossly insufficient relative to foreseeable medical and care expenses.

****NAIC Model Regulation 275 - Suitability in Annuity Transactions:**** Under the revised NAIC Model #275, which New York has adopted in a form at least as stringent through NY Regulation 187, a producer must act in the best interest of the consumer. The producer must consider the consumer's financial situation, insurance needs, financial objectives, and other relevant information. The regulation requires that the recommendation be suitable taking into account the consumer's liquidity needs and existing assets. Dale failed to conduct any documented analysis of how the surrender period interacted with Margaret's foreseeable care needs. His notes contained no liquidity analysis, no discussion of alternatives, and no explanation of why the GMIB rider (which requires annuitization and typically has a lengthy waiting period before exercise) served Margaret's stated goal of asset preservation and accessibility.

****NY Regulation 187 - Best Interest Standard:**** Because Margaret resides in New York, NY Reg 187 applies. This regulation requires that the recommendation must be in the best interest of the consumer, considering the consumer's financial needs and objectives as identified by the consumer and through reasonable inquiry. It prohibits placing the producer's financial interest ahead of the consumer's interest. Dale's 5.5% commission (\$17,050) creates an inference that financial motivation influenced the recommendation, especially given the absence of any documented consideration of lower-cost or more liquid alternatives (e.g., retaining the existing balanced portfolio, purchasing a fixed annuity with shorter or no surrender periods, or a combination product with long-term care features).

****Reg BI (Rule 15l-1) - Care Obligation:**** If Dale is a broker-dealer associated person (which is likely given his FINRA registration and commission structure), Regulation Best Interest also applies to this

recommendation. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation, to understand the potential risks, rewards, and costs of the recommendation, to have a reasonable basis to believe the recommendation is in the customer's best interest considering the customer's investment profile, and to consider reasonably available alternatives. Dale's aggressive subaccount allocation (80% equities for a 71-year-old conservative investor) was rationalized solely by the GMIB rider, which does not eliminate investment risk - it merely provides a floor income benefit typically available only through annuitization after a waiting period (often 10 years). This rationale demonstrates a fundamental misunderstanding or misrepresentation of the product.

****Supervisory Failures:**** The supervising principal's same-day approval without requesting additional documentation or contacting Margaret - despite the internal compliance flag - constitutes a supervisory failure under FINRA rules regarding supervision (FINRA Rules 3110 and 3120). The firm's supervisory system failed to function as designed.

****Specific Violations Summary:****

1. Concentration of approximately 80% of IRA assets in a single illiquid product for a 71-year-old with known healthcare liquidity needs.
2. Failure to document or meaningfully consider the customer's liquidity needs, time horizon, and risk tolerance.
3. Aggressive subaccount allocation inconsistent with the customer's moderate-to-low risk tolerance and age.
4. Failure to consider or present reasonably available alternatives.
5. Misleading characterization that the GMIB rider 'eliminates investment risk.'
6. Inadequate supervisory review despite internal compliance flags.

****Likely Regulatory Outcome:**** Margaret's complaint to the New York Department of Financial Services would likely trigger an investigation under NY Reg 187. The advisor faces potential sanctions including fines, disgorgement of commissions, suspension or revocation of insurance license, and FINRA disciplinary action. The firm faces potential liability for supervisory failures. Margaret would likely be entitled to rescission or compensatory damages covering surrender charges, investment losses attributable to the unsuitable allocation, and potentially consequential damages related to impaired access to funds needed for care.

Hypothetical 97

Topic: *annuity_unnecessary_switching* | Difficulty: *medium*

Fact Pattern

Margaret Thornton, age 63, is a retired school librarian living in Rochester, New York. She has a fixed pension of \$42,000 per year, Social Security benefits of \$1,850 per month, and total liquid savings of approximately \$310,000. Her risk tolerance is conservative, and her primary investment objective is capital preservation with modest income supplementation to cover healthcare expenses not covered by her pension. In March 2019, Margaret purchased a variable annuity through her advisor, Dennis Kwan,

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investing \$185,000 into the Meridian Secure Growth VA, which included a guaranteed minimum income benefit (GMIB) rider. The product carried total annual expenses of 2.85%, including the rider cost of 0.95%, and imposed a seven-year declining surrender charge schedule beginning at 7%. Margaret's GMIB benefit base had grown from \$185,000 to \$197,400 by January 2022 through the rider's guaranteed roll-up rate of 2.25% per year. In February 2022, Dennis contacted Margaret and recommended she surrender the Meridian product and transfer the proceeds into a new variable annuity, the Pinnacle Lifetime Select VA, issued by a different carrier. Dennis told Margaret the new product had 'better fund options' and a 'newer rider design.' The Pinnacle VA carried total annual expenses of 3.10%, including a lifetime withdrawal benefit rider at 1.15%, and imposed a new eight-year surrender charge schedule starting at 8.5%. Margaret paid a surrender charge of \$8,325 (approximately 4.5% on the \$185,000 original investment, reflecting the declining schedule after roughly three years) to exit the Meridian contract. The new Pinnacle contract reset her benefit base to the transferred amount of approximately \$176,675 after the surrender charge, meaning she lost the \$197,400 accumulated GMIB benefit base. Dennis's commission on the new Pinnacle VA sale was \$9,700, whereas he would have earned no further compensation had Margaret remained in the existing Meridian product. Dennis documented the transaction by noting that the new product had 'updated investment subaccounts' but did not perform or retain any written comparative analysis of the old and new riders, did not quantify the surrender charge impact, and did not compare the projected income streams under both contracts. Margaret's account statement from December 2022 shows the Pinnacle VA account value had declined to \$161,200 due to market losses, and her new benefit base stood at \$176,675—approximately \$20,700 less than the benefit base she would have retained under the Meridian contract. Margaret filed a complaint in April 2023 after learning from another advisor that the switch had materially disadvantaged her financially.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dennis Kwan likely violated multiple applicable standards governing variable annuity replacements and exchanges.

1. ****FINRA Rule 2330 (Variable Annuity Suitability):**** Rule 2330 requires that before recommending the purchase or exchange of a deferred variable annuity, a registered representative must have a reasonable basis to believe the transaction is suitable. Specifically, Rule 2330(b)(1)(A) requires consideration of whether the customer would benefit from certain features of a deferred variable annuity, such as tax-deferred growth, annuitization, or a death benefit. For exchanges under Rule 2330(b)(1)(B), the representative must additionally consider: (i) whether the customer would incur a surrender charge or be subject to a new surrender period; (ii) whether the customer would lose existing benefits such as death benefits, living benefits, or other contract features; (iii) whether the customer would benefit from product enhancements and improvements; and (iv) whether the customer has had another exchange within the preceding 36 months. Dennis failed to adequately weigh these factors. Margaret incurred a \$8,325 surrender charge, lost a \$197,400 GMIB benefit base that was reset to \$176,675, entered a new and longer surrender charge period (eight years vs. the remaining four years), and took on higher annual expenses (3.10% vs. 2.85%). Dennis's only documented rationale—'updated investment subaccounts'—is vague and insufficient to justify these quantifiable disadvantages.

2. **NAIC Model Regulation 275 (Suitability in Annuity Transactions):** The NAIC Model Regulation, as revised and adopted in many states, requires producers to act in the consumer's best interest when recommending an annuity. Under Section 6 of Model 275, the producer must consider the consumer's existing insurance and annuity products and must have a reasonable basis to conclude that the recommended transaction is in the consumer's best interest. For replacements, the regulation specifically mandates a comparison of benefits, costs, and features of existing and proposed products. Dennis conducted no documented comparative analysis, which constitutes a procedural and substantive violation.

3. **New York Regulation 187:** Because Margaret resides in New York, NY Reg 187 applies. Effective February 1, 2020 for annuity transactions, Reg 187 requires that recommendations be in the best interest of the consumer at the time of the transaction, and that the producer's compensation not be a factor that compromises the best-interest standard. Reg 187, Section 224.4, requires the producer to evaluate the consumer's existing annuity, compare riders and benefits, and document the basis for the recommendation. Dennis earned \$9,700 in new commissions—a clear financial incentive—while Margaret suffered quantifiable economic harm. The absence of any comparative analysis and the producer's financial motivation strongly suggest a violation of Reg 187's best-interest standard.

4. **Regulation Best Interest (Rule 15l-1):** If Dennis acted in his capacity as a broker-dealer representative, Reg BI's Care Obligation requires that he exercise reasonable diligence, care, and skill to understand the recommended transaction and have a reasonable basis to believe it is in the customer's best interest, considering costs, reasonably available alternatives, and the customer's profile. The Disclosure Obligation requires full and fair disclosure of material conflicts, including compensation. The evidence suggests Dennis failed both obligations: the switch was more costly, eliminated accrued benefits, and was driven at least in part by the commission differential.

Likely Regulatory Outcome: This fact pattern is a classic example of unnecessary variable annuity switching (often called 'churning' or 'twisting' in insurance regulatory parlance). Regulators and arbitration panels would likely find that: (a) the exchange was unsuitable and not in Margaret's best interest; (b) Dennis failed to document a reasonable basis for the recommendation; (c) the financial harm (\$8,325 surrender charge plus \$20,700+ in lost benefit base value) is directly traceable to the switch; and (d) Dennis's compensation incentive created an unaddressed conflict. Probable sanctions include disgorgement of commissions, customer restitution, fines, potential suspension, and enhanced supervisory requirements for Dennis's firm, which also bears supervisory liability under FINRA Rule 3110 for failing to review and approve the exchange.

Hypothetical 98

Topic: *senior_investor_exploitation* | Difficulty: *medium*

Fact Pattern

Margaret Kowalski, age 81, is a retired elementary school teacher living in Rochester, New York. She is a widow whose husband passed away in 2019, leaving her with a combined net worth of approximately \$620,000, consisting of \$340,000 in bank CDs and a money market account, \$180,000 in a traditional IRA

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invested in Treasury bonds, and her home valued at roughly \$100,000. Her sole income sources are Social Security benefits of \$2,100 per month and a small state teacher's pension of \$1,400 per month, giving her annual income of approximately \$42,000. She has modest monthly expenses of about \$3,200, including property taxes, utilities, Medicare supplement premiums, and prescriptions for hypertension and early-stage macular degeneration. She has no long-term care insurance. Her investment experience is limited to CDs and the Treasury bond holdings her late husband set up. She has consistently described herself as conservative and has told multiple professionals over the years that her primary goals are preserving her savings and maintaining liquidity in case she needs home health aides or assisted living.

In March 2022, financial advisor Derek Hannon, who works for a broker-dealer and holds both securities and insurance licenses, was introduced to Margaret through her nephew. During their first meeting at her kitchen table, Margaret explained she was worried about whether her money would last if she needed long-term care. She also mentioned that her largest CD, worth \$210,000, was maturing the following month and she wanted to know where to put it.

Over two meetings in March and April 2022, Hannon recommended that Margaret invest \$200,000 from the maturing CD into a variable annuity issued by a national insurance company. The product had a seven-year surrender period with a declining surrender charge schedule starting at 7% in year one and decreasing by 1% per year. Annual mortality and expense charges were 1.35%, the administrative fee was 0.15%, and the underlying sub-account fund expenses averaged 0.85%, bringing the total annual cost to approximately 2.35%. The product also included an optional guaranteed minimum income benefit rider with an additional annual charge of 0.95%, bringing total all-in annual costs to approximately 3.30% of account value. Hannon allocated 60% of the sub-account investments to an equity growth fund and 25% to an aggressive international equity fund, with only 15% to a bond fund.

Hannon's notes from the meetings state that Margaret wanted 'growth with some guarantees' and that she had a 'moderate' risk tolerance. However, Margaret later told her nephew and her bank advisor that she never used the word 'growth,' that she told Hannon she 'couldn't afford to lose money,' and that she didn't understand most of what was in the paperwork he had her sign. She said Hannon told her the product was 'like a CD but better' and that she could always get her money if she needed it.

By September 2023, the account had declined in value to approximately \$171,000 due to equity market volatility and the cumulative drag of fees. Margaret needed \$45,000 to pay for a home health aide after a fall, and upon calling the insurance company discovered she would owe a surrender charge of approximately 5% on any withdrawal beyond the 10% free withdrawal allowance. She was ultimately able to withdraw only about \$20,000 without penalty and had to liquidate a separate CD early to cover the rest of her care costs.

Hannon earned a gross commission of approximately \$11,200 on the variable annuity sale. His firm's compliance department had flagged the application for supervisory review due to Margaret's age but the branch manager approved it the same day with a one-line notation: 'Client wants guarantees-rider addresses this.' No documentation of alternative products considered, such as fixed annuities, short-term bond funds, or simply renewing the CD, was included in the file.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated applicable suitability and best-interest standards on multiple grounds.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under FINRA Rule 2330, before recommending the purchase of a variable annuity, a registered representative must make reasonable efforts to obtain comprehensive customer profile information, including age, income, financial situation, investment experience, investment objectives, risk tolerance, tax status, and liquidity needs. The recommendation must then be suitable based on those factors, with specific attention to (a) whether the customer would benefit from the tax-deferred features of a variable annuity, (b) whether the customer has a long enough time horizon to recoup surrender charges and benefit from the product, and (c) whether the customer understands the features, risks, and costs of the product.

Here, Margaret Kowalski was 81 years old with a conservative risk profile, limited investment experience, stated liquidity concerns related to potential long-term care needs, and no apparent need for tax deferral (the funds came from an already after-tax CD). The seven-year surrender period was plainly unsuitable for an 81-year-old with foreseeable near-term liquidity needs. The 85% equity sub-account allocation was inconsistent with her conservative stated objectives and her explicit statement that she 'couldn't afford to lose money.' The all-in annual cost of approximately 3.30% imposed a substantial drag that made meaningful growth unlikely even in favorable markets, particularly given her short effective time horizon.

Rule 2330 also requires that the principal (branch manager) conduct a meaningful review of the transaction before approving it. The one-line notation approving the sale, without any analysis of alternative products, the customer's liquidity profile, or the asset allocation suitability, constitutes a supervisory failure under Rule 2330(c).

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the NAIC Model Regulation, as amended in 2020 and adopted by most states, an insurance producer must act in the best interest of the consumer at the time of the recommendation, must not place their financial interest ahead of the consumer's, and must consider reasonably available alternatives. The producer must evaluate the consumer's existing insurance and financial products, financial situation, objectives, and specifically the consumer's liquidity needs. The recommendation of a product with a seven-year surrender schedule to an 81-year-old with identified near-term liquidity needs for potential long-term care fails this standard. The commission of \$11,200 raises a material conflict of interest that was not mitigated by any documented analysis of lower-cost alternatives such as a fixed annuity, a short-term bond fund, or CD renewal.

****New York Regulation 187:**** Because Margaret resides in New York, Regulation 187 applies. This regulation requires that the recommendation be in the best interest of the consumer, based on an evaluation of the consumer's suitability profile. It explicitly requires consideration of alternatives reasonably available to the producer. There is no documentation in the file that Hannon considered or presented any alternative. The regulation also prohibits a producer from making a recommendation that primarily benefits the producer. Given the high commission, the high ongoing fees, the aggressive asset allocation, and the

lack of any documentation of alternatives, this transaction likely violates Regulation 187.

****Regulation Best Interest (Rule 15l-1):**** To the extent this transaction was effected through Hannon's broker-dealer registration, Reg BI requires that the recommendation be in the retail customer's best interest, considering the customer's investment profile and potential risks, rewards, and costs. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, including understanding the product and evaluating it against the customer's profile. The Disclosure Obligation requires full and fair disclosure of material conflicts, including compensation. The Conflict of Interest Obligation requires the firm to have policies to identify and mitigate conflicts. The sale of a high-cost, long-surrender, equity-heavy variable annuity to an 81-year-old conservative investor with near-term liquidity needs who did not understand the product fails the Care Obligation. The characterization of the product as 'like a CD but better' represents a material misrepresentation that also violates the Disclosure Obligation.

****Additional concerns:**** The advisor's documentation that Margaret had a 'moderate' risk tolerance and wanted 'growth with some guarantees' appears to be inconsistent with the customer's own statements and overall profile, suggesting potential falsification or inflation of the customer's risk tolerance to justify the sale—a recurring pattern identified in GAO reports and academic studies on variable annuity mis-selling to seniors.

****Likely regulatory outcome:**** This transaction would likely result in disciplinary action against both the advisor and the supervising principal. Remedies could include disgorgement of commissions, restitution to the customer for losses and surrender charges incurred, fines, suspension or bar of the advisor, and potential censure or fines against the firm for supervisory failures. State insurance regulators could also pursue separate action for violations of the applicable state annuity suitability or best-interest regulation.

Hypothetical 99

Topic: *illiquid_investments* | Difficulty: *hard*

Fact Pattern

Margaret Kowalski is a 71-year-old retired schoolteacher living in Syracuse, New York. She receives \$2,400 per month from her state pension and \$1,870 per month in Social Security benefits. Her total liquid assets consist of \$185,000 in a money market account and \$62,000 in a traditional IRA holding short-term Treasury bills. She has no other investments and owns her home outright, valued at approximately \$210,000. Margaret has described herself as very conservative, stating that her primary financial goal is preserving her savings so she can cover potential long-term care costs for herself and assist her disabled adult son, who lives in a group home and may need supplemental financial support if state funding is reduced. She told her advisor, Daniel Ferreira, that she might need access to a significant portion of her savings within two to three years if her son's care situation changes. Daniel has been Margaret's insurance agent for four years and also holds a securities license through a regional broker-dealer. In March 2023, Daniel recommended that Margaret move \$155,000 from her money market account into a variable annuity issued by National Pacific Life. The product features a seven-year surrender charge schedule starting at

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8% in year one and declining by 1% per year, a mortality and expense charge of 1.35% annually, an administrative fee of \$45 per quarter, and underlying sub-account investment management fees averaging 0.92%. Daniel also recommended she add a Guaranteed Minimum Income Benefit rider at an additional annual cost of 0.95% of the benefit base. The total annual cost structure on the product was approximately 3.22% before any sub-account transaction costs. Daniel allocated 60% of the funds into an aggressive growth equity sub-account and 25% into an international small-cap equity sub-account, with only 15% in a bond sub-account. Daniel's commission on the sale was \$10,850, which was the highest commission tier available for the product. He documented Margaret's risk tolerance as 'moderate growth' on the application and listed her investment objective as 'long-term accumulation.' He did not document Margaret's statements about needing liquidity within two to three years, nor did he reference her son's care needs. He did not present any alternative products, such as shorter-surrender-period annuities, fixed annuities, or non-annuity investment options. The annuity contract permits free withdrawals of up to 10% of the account value per year without surrender charges, but any withdrawals beyond that threshold during the surrender period would trigger the full applicable surrender charge. Fourteen months after the purchase, in May 2024, Margaret's son's group home lost its state contract, and Margaret needed to withdraw \$80,000 to transition him to a private facility. The account value had declined to \$141,200 due to equity market losses in the sub-accounts. After the 10% free withdrawal allowance (\$14,120), the remaining \$65,880 withdrawal was subject to a 7% surrender charge of \$4,611.60. Margaret also faced ordinary income tax on the earnings portion and a potential early-withdrawal situation on the gain. She filed a complaint with her state insurance department and her advisor's broker-dealer.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Daniel Ferreira committed multiple serious violations of applicable suitability and best-interest standards.

1. ****FINRA Rule 2330 - Variable Annuity Suitability****: Rule 2330 requires that before recommending a variable annuity, a registered representative must make reasonable efforts to obtain the customer's financial status, tax status, investment objectives, liquidity needs, risk tolerance, and other relevant information. Daniel failed to document Margaret's stated need for liquidity within two to three years and her concern about funding her disabled son's care. The rule further requires that the representative have a reasonable basis to believe the transaction is suitable based on the information gathered. Placing 83.8% (\$155,000 of \$185,000) of a 71-year-old conservative retiree's liquid savings into a seven-year surrender-charge variable annuity with aggressive equity sub-accounts directly contradicts her stated conservative profile, near-term liquidity needs, and capital preservation objectives. The product's 10% annual free-withdrawal provision was grossly insufficient to cover the foreseeable large liquidity event Margaret described.

2. ****NAIC Model Regulation 275 - Suitability in Annuity Transactions****: Under Model 275, as adopted and enhanced in New York, the producer must have a reasonable basis to believe the annuity is suitable based on the consumer's age, financial situation, insurance needs, investment objectives, liquidity needs, and intended use of the annuity. Margaret's profile-age 71, conservative, dependent on liquid savings for potential care costs, stated two-to-three-year liquidity horizon-is fundamentally mismatched with a

long-surrender, high-cost variable annuity invested in aggressive equity sub-accounts. The regulation also requires consideration of whether the consumer would benefit from certain features of the annuity, such as tax deferral. Given Margaret's modest income and existing tax-advantaged IRA, the incremental tax-deferral benefit of the VA was minimal and did not justify the illiquidity and cost.

3. ****NY Regulation 187 - Best Interest Standard****: New York's Regulation 187 imposes a best-interest standard on annuity recommendations made to New York consumers. It requires that the recommendation be in the consumer's best interest at the time of the transaction, considering known and reasonably foreseeable needs. Daniel's recommendation fails this standard on multiple grounds: (a) the aggressive asset allocation was inconsistent with Margaret's conservative risk tolerance and age; (b) the seven-year surrender period created severe illiquidity risk given her stated near-term needs; (c) the total annual cost of approximately 3.22% was excessive for a conservative retiree who could have achieved her preservation goals through far less costly alternatives; (d) no reasonable alternatives were considered or documented; and (e) the documented risk tolerance ('moderate growth') and investment objective ('long-term accumulation') appear to have been falsified to justify the sale, which constitutes a separate violation.

4. ****Regulation Best Interest (Rule 15l-1)****: If Daniel's recommendation was made through his broker-dealer capacity, Reg BI's Care Obligation required him to exercise reasonable diligence, care, and skill in making the recommendation, including understanding the risks, costs, and rewards of the variable annuity and having a reasonable basis to believe it was in Margaret's best interest. The Disclosure Obligation required full and fair disclosure of material facts, including all costs and conflicts of interest such as his \$10,850 commission-the highest available tier. The Conflict of Interest Obligation required the broker-dealer to establish policies to identify and mitigate conflicts, including compensation incentives that could lead to recommendations not in the customer's best interest. The record shows Daniel selected the highest-commission product without considering alternatives, a hallmark of a conflict-driven recommendation.

****Additional Concerns****: The apparent falsification of the customer profile on the application (listing 'moderate growth' when the client expressed conservative objectives and near-term liquidity needs) raises issues under FINRA's general supervisory rules and the broker-dealer's obligation to maintain accurate books and records. The broker-dealer's supervisory system under FINRA Rule 2330(c) required a registered principal to review and approve the transaction, considering whether there was a reasonable basis for the recommendation. A functioning supervisory system should have flagged the age/liquidity/risk mismatch.

****Likely Regulatory Outcome****: Margaret's complaint to the New York Department of Financial Services and the broker-dealer would likely result in an investigation. Probable outcomes include: rescission or partial rescission of the transaction; restitution of surrender charges paid and investment losses attributable to the unsuitable allocation; disgorgement of Daniel's commission; fines and potential license suspension or revocation for Daniel; and supervisory deficiency findings against the broker-dealer if its principal failed to conduct adequate review before approving the transaction.

Hypothetical 100*Topic: illiquid_investments | Difficulty: hard*

[NON-COM]**Fact Pattern**

Margaret Kowalski, age 74, is a retired elementary school teacher living in Buffalo, New York. She receives \$2,800 per month from her state pension and \$1,400 per month from Social Security. Her total liquid assets consist of \$385,000 in a bank money market account and a \$40,000 certificate of deposit maturing in three months. She also owns her home outright, valued at approximately \$210,000. Margaret has no long-term care insurance and has expressed concern to her advisor, Kevin Driscoll, about potential nursing home costs, noting that her older sister recently entered a memory care facility costing \$9,500 per month. Margaret described herself as conservative and said her primary goals were preserving her savings, maintaining access to funds for medical emergencies, and possibly leaving something to her two adult children. She told Kevin she did not want to 'lock anything up' and needed to be able to get to her money quickly.

In March 2023, Kevin recommended that Margaret invest \$310,000 into a variable annuity issued by National Guardian Life with a Guaranteed Minimum Withdrawal Benefit (GMWB) rider. The product carried total annual expenses of 3.45%, consisting of a 1.30% mortality and expense charge, a 1.05% rider fee, and underlying sub-account fund expenses averaging 1.10%. The contract included a seven-year declining surrender charge schedule beginning at 8% in year one and declining by 1% per year. Free withdrawals were limited to 10% of accumulated value per year without a surrender penalty. Kevin also recommended she allocate 70% of the sub-account value to an aggressive growth equity portfolio and 30% to a high-yield bond fund.

Kevin's written notes from the meeting stated that the GMWB rider would 'protect Margaret's principal' and 'guarantee lifetime income.' He recorded her risk tolerance as 'moderate growth' on the new account form, despite her verbal statements to the contrary. Kevin earned a \$17,050 commission on the sale, representing 5.5% of the premium. Margaret's remaining liquid assets after the purchase totaled \$115,000—the \$40,000 CD and \$75,000 left in the money market account.

By November 2023, Margaret's sister's condition had worsened and Margaret began exploring whether she might also need long-term care planning. She contacted Kevin and asked to withdraw \$85,000 to set aside in a dedicated savings account for potential care costs. Kevin informed her that a withdrawal of that size would trigger a surrender charge of approximately \$5,600 on the amount exceeding the 10% free withdrawal allowance. Margaret was upset, stating she had explicitly told Kevin she could not afford to have her money tied up. She filed a complaint with her state insurance department in January 2024, alleging the product was inappropriate and that Kevin misrepresented her risk tolerance and liquidity needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Driscoll violated multiple applicable standards governing variable annuity recommendations.

****FINRA Rule 2330 (Variable Annuity Suitability):**** Under Rule 2330, before recommending a variable annuity, a registered representative must make reasonable efforts to obtain the customer's financial profile, including liquid net worth, investment objectives, risk tolerance, time horizon, liquidity needs, and existing insurance coverage. The representative must then have a reasonable basis to believe the recommendation is suitable. Here, Margaret explicitly stated she needed liquidity for potential medical and long-term care expenses, had no long-term care insurance, and described herself as conservative. Placing \$310,000-approximately 80% of her liquid assets-into a product with a seven-year surrender charge schedule directly contradicts her stated liquidity needs and risk tolerance. The 10% annual free-withdrawal provision was wholly inadequate given her foreseeable need for large lump-sum access. The aggressive sub-account allocation (70% aggressive growth equity, 30% high-yield bonds) also conflicts with her conservative profile. Kevin's mischaracterization of her risk tolerance as 'moderate growth' on the application raises additional concerns about falsification of records.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the revised NAIC Model #275, which New York has adopted and enhanced, a producer must act in the consumer's best interest at the time the recommendation is made. The producer must consider the consumer's existing financial situation, insurance needs, financial objectives, liquidity requirements, and risk tolerance. The regulation specifically requires that the transaction as a whole be in the consumer's best interest, not merely suitable in some narrow sense. Concentrating 80% of a 74-year-old retiree's liquid savings in an illiquid product with high surrender charges, when the customer has identified near-term liquidity as essential, fails this standard. The commission of \$17,050 (5.5%) also raises questions about whether the recommendation was driven by compensation rather than the client's needs.

****NY Regulation 187:**** As a New York resident, Margaret's transaction falls under Regulation 187, which imposes a best-interest standard on annuity recommendations. Under Reg 187, the producer must evaluate the consumer's needs and financial objectives and ensure the recommendation reflects the consumer's best interest. The regulation explicitly states that a producer's compensation cannot be the primary motivating factor. Kevin's recommendation failed to account for Margaret's age (74), her lack of long-term care insurance, her explicitly stated need for liquidity, and the foreseeable risk that she would need access to a large portion of her savings within the surrender period. His misrepresentation of her risk tolerance on the application compounds the violation.

****Reg BI (Regulation Best Interest, Rule 15l-1):**** If Kevin is also a registered representative of a broker-dealer (which commission-based VA sales typically require), Regulation Best Interest applies. Under the Care Obligation, Kevin was required to exercise reasonable diligence, care, and skill in making his recommendation, considering the customer's investment profile, ensuring the recommendation was in Margaret's best interest, and evaluating reasonably available alternatives. An annuity with a seven-year surrender schedule, 3.45% total annual costs, and aggressive sub-account allocations is plainly unsuitable for a 74-year-old conservative investor with identified near-term liquidity needs and no long-term care coverage. Under the Disclosure Obligation, Kevin was required to disclose material facts about the recommendation, including the surrender charges and their implications; his characterization that the GMWB would 'protect her principal' was misleading given the surrender charges and market risk in the sub-accounts. The Conflict of Interest Obligation also required policies to mitigate the influence of his \$17,050 commission on his recommendation.

****Likely Regulatory Outcome:**** Kevin faces potential disciplinary action from FINRA, including fines, suspension, or barment. The New York Department of Financial Services may pursue enforcement under Regulation 187, including revocation or suspension of his insurance license. Margaret may be entitled to rescission of the contract or compensatory damages through arbitration or the state insurance department complaint process. Kevin's firm may also face supervisory failure charges under FINRA Rule 3110 if it failed to have adequate procedures to review the suitability of variable annuity transactions before execution, as required by Rule 2330(c). The falsification of Margaret's risk tolerance on the application could also constitute a separate violation of FINRA Rules 4511 (books and records) and 2010 (standards of commercial honor).